Merton Council

Budget Book

2026-2030



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INTRODUCTION

Welcome to Merton Council's Budget book for 2026-2030, which brings together financial information in the form of the council's budget and the Medium Term Financial Strategy over the next four years. Although it is a four-year plan, it will be refreshed every year to ensure we are on target and to take account of changing needs and priorities.

As the work of the council encompasses such a wide and diverse range of services, we have tried to include all the necessary information needed to understand what we are doing and why we are doing it. This information should give you a detailed picture of how the council will be budgeted over the next four years. To help understand some of the more complex areas of the council's business a Glossary of Terms has been included.

The Medium Term Financial Strategy incorporates details of the money the council has coming in (revenue) and the money and assets it has in place (capital) and how it will spend and invest this money over the four year planning period, through the Capital and Treasury Management Strategies.

Other key resources in place to enable the council to manage the Budget Book include how we identify and manage the risks the council may face in delivering services, through the Risk Management Strategy.

The book also contains proposed Savings & Growth for 2026-2030 and the Revenue Estimates and Fees & Charges for 2026-27.

We appreciate that there is a huge level of detail in the book, but hope it helps you to understand what the council is trying to achieve and how we intend to succeed. If you have any comments or questions on the content of this plan, then please contact: zoe.church@merton.gov.uk

MEDIUM TERM FINANCIAL STRATEGY 2026-2030

SECTION 1: GENERAL FUND REVENUE BUDGET 2026/27, COUNCIL TAX STRATEGY AND MEDIUM TERM FINANCIAL STRATEGY 2026-30

1. Background to Financial Planning

1.1 The approach to Medium-Term Financial Planning provides a great deal of flexibility in decision making and enables the impact of alternative options to be modelled. This has assisted with progress towards a balanced budget over the four-year plan.

1.2 The MTFS has been re-priced and rolled forward a year so that each year from 2026/27 to 2029/30 starts from the approved budget 2025/26 and is built up showing the cumulative effect of variations over the period. Council on 26 February 2025 agreed the Budget 2025/26 and MTFS 2025-29. Whilst a balanced budget was set for 2025/26 there was a gap remaining in future years which needs to be addressed, as shown in the following table:-

Table 1: Budget Gap Council 26 February 2025 (Cumulative)	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000
MTFS Gap (Council February 2025)	**5,142**	**6,500**	**8,667**	**13,886**

1.3 Reports to Cabinet on 22 September 2025, 20 October 2025, 19 January 2026 and 16 February 2026 presented updated information to Members, setting out the financial implications as assumptions were reviewed and decisions made.

1.4 The decisions made in respect of each element of the MTFS impact on the overall financial position of the Authority. To make progress towards balancing the budget over 2026-30, an overall package of options and variables that need to be included in the budget were modelled, enabling the impact of different scenarios to be seen.

1.5 The main issues in formulating the budget for 2026/27 and the development of the MTFS 2026-30 continued to be the ongoing impact of high inflation and consequential impact on pay and prices, the increasing cost of adults and children's social care, the cost of SEND and schools, and the increasing levels of homelessness and associated costs. These issues will continue to have implications across the MTFS planning period and as far as possible the financial impact has been recognised in the budget reports to Cabinet.

1.6 In addition, the government has introduced as part of the Local Government Finance Settlement for 2026/27 to 2028/29, changes made in respect of the Fair Funding Review 2.0. This includes a business rates revaluation and resetting of the Business Rates Retention Scheme. The financial impact of these decisions has been included in the Medium Term Financial Strategy 2026-30.

1.7 Setting a Balanced Budget

1.7.1 Resource and expenditure projections were continually updated throughout the year to inform Members and officers of the overall position for 2026-30. A four-year forward plan is presented, but it is still a legal requirement that a balanced (i.e. fully funded) budget is achieved for 2026/27. There are a number of ways in which a balanced budget is achieved:

- Reducing expenditure/costs;
- Identifying new savings or additional income;
- Adjusting the level of Council Tax ;
- Using unallocated reserves as a temporary measure pending the implementation of the options above.

1.7.2 Budget savings proposals were formulated within the overall constraints of the resource projections. The proposals were approved in principle by the Cabinet and then considered by Overview and Scrutiny Panels as part of the scrutiny process. Meetings of the Overview and Scrutiny Panels and the Committee took place during November 2025 and January/February 2026 and their feedback on the Council's spending proposals was considered by Cabinet on 16 February 2026. Due to the remaining financial gap a third tranche of savings was considered by Cabinet on 16 February 2026.

1.7.3 The Medium-Term Financial Strategy (MTFS) for the Council supports the achievement of the budget and any financial implications arising from the agreed plan are included in financial planning for 2026/27 and beyond. The MTFS brings together all of the key elements relating to the Council's financial position which are reflected in the General Fund, and the Capital Programme.

1.7.4 The MTFS which was reported to Cabinet on 19 January 2026 showed that the budget gap was:-

Table 2: Budget Gap Cabinet 19 January 2026 (Cumulative)	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**
MTFS Gap (Cabinet January 2026)	**1,744**	**8,098**	**16,389**	**22,021**

1.7.5 As with previous years, the Medium-Term Financial Strategy is a multi-year approach and this includes a review of total planned expenditure and income over the period 2026-30.

1.7.6 There were further changes to some of the key budget variables as more information has become available and the details are set out in this report.

1.7.7 One of the key objectives is to balance the budget and there has been a major improvement in recent years in the ability to look over a long-term period and identify significant savings over more than one year.

1.7.8 The Medium-Term Financial Strategy framework aims to enable strategic resource allocation and investment decisions to be made that allow for services to transform and change at different times in the future and which

would otherwise be very difficult to plan under an annual planning framework. This improved long-term financial planning process is the best way to ensure that budgets are robust and sustainable.

2. Review of Assumptions

2.1 The key assumptions included in the MTFS were continually reviewed and updated as the budget process developed. It should be noted that any one-off adjustments will need to be addressed in future years. The latest information is set out in the following paragraphs :-

2.2 Pay & Price inflation

The latest MTFS 2026-30 includes the following assumptions on pay and price inflation

Table 3: Inflation assumptions	2026/27	2027/28	2028/29	2029/30
Pay	3%	2%	2%	2%
Prices	3%	2%	2%	2%

2.2.1 Outlook for inflation

CPI inflation had fallen since January 2026 to 3.2%. Although above the 2% target, it is forecast to fall back towards target more quickly in the near term. Reflecting restrictive monetary policy, and consistent with evidence of subdued economic growth and building slack in the labour market, pay growth and services price inflation also continued to ease.

The Consumer Prices Index (CPI) rose by 3.2% in the 12 months to November 2025, down from 3.6% in the 12 months to October. On a monthly basis, CPI fell by 0.2% in November 2025, compared with a rise of 0.1% in November 2024.

The Consumer Prices Index including owner occupiers' housing costs (CPIH) rose by 3.5% in the 12 months to November 2025, down from 3.8% in the 12 months to October. On a monthly basis, CPIH fell by 0.1% in November 2025, compared with a rise of 0.2% in November 2024.

Food and non-alcoholic beverages, and alcohol and tobacco made the largest downward contributions to the monthly change in both CPIH and CPI annual rates.

Core CPI (CPI excluding energy, food, alcohol and tobacco) rose by 3.2% in the 12 months to November 2025, down from 3.4% in the 12 months to October; the CPI goods annual rate slowed from 2.6% to 2.1%, while the CPI services annual rate eased slightly from 4.5% to 4.4%.

Core CPIH (CPIH excluding energy, food, alcohol and tobacco) rose by 3.5% in the 12 months to November 2025, down from 3.7% in the 12 months to

October; the CPIH goods annual rate slowed from 2.6% to 2.1%, while the CPIH services annual rate eased slightly from 4.6% to 4.5%.

The RPI rate for November 2025 was 3.8%, which is down from 4.3% in October 2025.

2.2.2 The November 2025 Monetary Policy Report included the following forecast for key economic indicators:-

Table 4: Forecast for key economic indicators	2025 Q.4	2026 Q.4	2027 Q.4	2028 Q.4
GDP	1.4%	1.4%	1.7%	1.8%
CPI	3.5%	2.5%	2.0%	2.1%
Unemployment rate	5.0%	5.0%	4.9%	4.7%
Excess Supply/Excess demand	-0.8%	-0.7%	-0.4%	0%
Bank Rate	3.9%	3.5%	3.5%	3.6%

2.2.3 The latest inflation and unemployment forecasts for the UK economy, based on a summary of independent forecasts are set out in the following table:-

Table 5: Forecasts for the UK Economy Source: HM Treasury - (January 2026)			
2025 (Quarter 4)	Lowest %	Highest %	Average %
CPI	3.2	3.6	3.4
RPI	3.7	5.3	4.1
LFS Unemployment Rate	4.8	5.2	5.9
2026 (Quarter 4)	Lowest %	Highest %	Average %
CPI	1.7	3.1	2.2
RPI	2.2	4.2	3.0
LFS Unemployment Rate	4.6	5.4	5.1

2.3 Extended Producer Responsibility for Packaging

In 2025/26 the government (Defra) introduced funding for Extended Producer Responsibility (EPR) for packaging. The MTFS 2025-29 included £2.951m grant for 2025/26 but to be prudent £1m was included for subsequent years.

On 4 November 2026 the council was notified that £3.252m is the anticipated total EPR for packaging payment for Financial Year 2026 to 2027.

There is therefore additional funding of £2.252m expected for 2026/27 and this assumption was included in the MTFS 2026-30.

2.4 Concessionary Fares

London Councils administers the Freedom Pass scheme on behalf of the 32 boroughs and the City of London Corporation. Each year, negotiations take place between London Councils (on behalf of boroughs) and the transport operators. These include TfL, the Rail Delivery Group (RDG) for national rail services (excluding the London Overground and Elizabeth Line network which is managed by TfL) and local bus service providers for the cost of the Freedom Pass usage on non-TfL bus routes.

The past 12-months have seen demand continue to recover from the lows of the coronavirus pandemic. Freedom pass journeys are up on last year, but some of the effects of the pandemic can still be seen in the settlement figures, which remain marginally lower than pre-pandemic. As a result, next year's settlement will cost c. 11.81% more than this year's.

The methodology for the apportionment of cost between boroughs was established following an arbitration award in 2008. It established the principle of apportioning costs according to usage and using a two-year rolling average of the previous two years' journeys to establish the next year's cost. In order to apportion costs between boroughs, London Councils has obtained usage data from Oyster clicks on the various transport modes; bus, underground, DLR, tram, London Overground and National Rail.

London Councils identified areas of the settlement methodology for further review and updated and refined its approach to cost modelling – providing more regular and longer-term forecasts of costs to assist with financial planning at borough level.

London Councils issued a revised 5-year forecast for the Freedom Pass levy, updated for latest inflation and economic projections and assumptions on the journey demands beyond 2026.

Table 6: London Councils - Freedom Pass 5 year forecast (December 2025 - Final)	Budget 2025/26	Estimate 2026/27	Estimate 2027/28	Estimate 2028/29	Estimate 2029/30	Estimate 2030/31
	£000	£000	£000	£000	£000	£000
Lower	8,802	9,713	10,034	10,784	11,397	11,826
Baseline	8,802	9,713	10,561	11,352	11,996	12,448
Higher	8,802	9,713	11,089	11,919	12,596	13,070

The overall change in the estimated cost of concessionary fares from the budget agreed by council in March 2025 is as follows:-

Table 7: Change from Council March 2025 to Proposed Budget 2026/27	Estimate 2026/27	Estimate 2027/28	Estimate 2028/29	Estimate 2029/30	Estimate 2030/31
	£000	£000	£000	£000	£000
Council March 2025	9,825	10,809	11,703	12,562	13,302
Proposed Budget 2026/27	9,713	10,561	11,352	11,996	12,448
Change	(112)	(248)	(351)	(566)	(854)

2.5 Collection Fund

2.5.1 The Collection Fund is a statutory fund separate from the General Fund. It accounts for income from Council Tax and from NNDR (Business Rates).

2.5.2 The Collection Fund accounts are kept on an accrual basis and a surplus or deficit for the year in the collection fund is estimated accordingly. The draft accounts for 2024/25 include the following surplus/deficit for Council Tax and NNDR as at 31 March 2025:-

Table 8: Collection Fund Surplus/Deficit as at 31 March 2025			
	Surplus/(deficit) as at 31/03/25 Outturn	Surplus/(deficit) as at 31/03/25 Outturn	Total surplus/ (deficit) as at 31/03/25
	Council Tax £000	NNDR £000	£000
Central Government	N/A	479	479
GLA	(51)	541	490
Merton	(156)	439	283
Total	**(207)**	**1,459**	**1,252**

2.5.3 A review of the Collection Fund, related bad debt provisions, write offs, appeals and collection rates in 2025/26 and anticipated collection rates in 2025/26 was undertaken. With respect to Business Rates, the NNDR1 return was submitted which analyses the estimated Business Rates for 2026/27, and estimated surplus/deficit as at 31st March 2026 estimated Section 31 Grant and the allocations between Merton, Central Government, and the GLA. For 2025/26 and 2026/27 Business Rate Retention, the shares will be 33% central government, 37% GLA and 30% Merton.

2.5.4 As a result of the further analysis, the estimated surplus/deficit on the Collection Fund as at 31st March 2026 is as follows:-

Table 9: Estimated Collection Fund Surplus/Deficit at 31 March 2026			
	Surplus/(deficit) as at 31/03/26 Estimate	Surplus/(deficit) as at 31/03/26 Estimate	Total surplus/ (deficit) as at 31/03/26
	Council Tax	NNDR	
	£000	£000	£000
Central Government	N/A	(2,185)	(2,185)
GLA	587	(2,450)	(1,863)
Merton	1,919	(1,986)	(67)
Total	**2,506**	**(6,621)**	**(4,115)**

2.5.5 Collection Fund Deficits 2025/26 – Business Rates and Council Tax

These are the latest forecasts of the surplus/deficits for the Collection Fund 2025/26 for council tax and business rates. These are the final forecasts for 2025/26 to be included within the council's Council Tax requirement 2026/27 and MTFS 2026-30.

2.5.6 Council Tax:

Based on a review in January 2026 of the bad debt provision and amounts to be written off during 2025/26, it is estimated that there will be a forecast surplus of £2.506m arising from Council Tax as at 31 March 2026.

Table 10: Estimated Council Tax Surplus/Deficit in 2025/26 payable in 2025/26			
Net Surplus apportionment for 2025/26	**GLA £m**	**LBM £m**	**TOTAL £m**
Total share of the estimated surplus for 2025/6 to be paid in 2026/27	0.587	1.919	2.506

Business Rates

The calculation of the amounts and apportionments of the estimated Business Rates surplus/deficit element of the Collection Fund are made using the NNDR1 return which has to be made to the MHCLG by 31 January.

Table 11: Estimated Business Rates Deficit in 2025/26 payable in 2026/27				
Net Deficit apportionment for 2026/27	Government £m	Merton £m	GLA £m	Total £m
Total share of the estimated deficit for 2025/26 to be paid in 2026/27	2.185	1.986	2.450	6.621

3. Budget Monitoring 2025/26 and Ongoing Budget Pressures

3.1 Based on expenditure as at the third quarter (Period 9, December 2025), there is a forecast net adverse variance for 2025/26 of £0.785m, consisting of unfavourable variances of £5.925m in services offset by a favourable variance of £5.139m in corporate provisions. There may be issues identified from monthly monitoring which need to be addressed in setting the budget for 2026-30.

3.2 The main pressures are in the following services:-

- Children's Social Care (CSC) and Youth Inclusion £3.909m
- Housing – Temporary Accommodation/Homelessness £7.154m

3.3 The CSC position is driven primarily by pressures from placements (CP) and packages for children with disabilities (FSS).

3.4 The total number of placements in temporary accommodation at the beginning of April 2025 was 700 compared to 539 one year earlier and based on P9 monitoring is forecast to remain constant at 750 by the end of March 2026.

3.5 Additional Pressures and growth with Ongoing Impact

As previously mentioned, service directorate's budgets have been under pressure during the current financial year, 2025/26, Work was undertaken to mitigate pressures and to identify those pressures that require ongoing support needed in order to meet service demands.

The following table is a departmental summary of the amounts agreed to address pressures and provide growth:-

Table 12: Additional Pressures and growth - Cabinet February 2026	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Innovation and Change	0	0	0	0	0
Finance and Digital	524	378	0	0	902
Housing and Sustainable Development	4,238	0	0	0	4,238
Environment, Civic Pride and Climate	305	295	0	0	600
Children, Lifelong Learning, and Families	0	0	0	0	0
Adult Social Care, Integrated Care, & Public Health	0	0	0	0	0
Total Additional Pressures 2026-30	**5,067**	**673**	**0**	**0**	**5,740**
Cumulative Total	**5,067**	**5,740**	**5,740**	**5,740**	

4.1 Local Government Finance Settlement 2026-30 and Fair Funding

4.1.1 The Local Government Finance Settlement is a multi-year Settlement for 2026/27 to 2028/29.

4.1.2 The Final Local Government Finance Settlement was published on 9 February 2026.

4.1.3 Following feedback in the provisional Settlement consultation, and amongst other changes, the Government announced as part of the Settlement an additional £740 million in grant funding for 2026-27.

4.1.4 Of the additional funding, £272 million is for additional allocations within the Homelessness, Rough Sleeping and Domestic Abuse Grant, including new burdens funding associated with the Renters Rights Act and £159 million for Supported Housing.

For Merton, this results in an increase in Core Spending Power as follows:-

Change in Merton's Homelessness, Rough Sleeping and Domestic Abuse allocations	2026/27 £m	2027/28 £m	2028/29 £m
Provisional Settlement	2.367	2.475	2.570
Final Settlement	2.603	2.631	2.648
Change	0.236	0.156	0.078

4.1.5 This means that Merton's Core Spending Power is:-

Table 13: Merton's Core Spending Power (Amended – paragraph 7.17)	**2024/25**	**2025-26***	**2026-27**	**2027-28**	**2028-29**
		£m	**£m**	**£m**	**£m**
Fair Funding Allocation	N/A	N/A	82.022	76.391	70.836
Legacy Funding Assessment*	78.592	84.216	N/A	N/A	N/A
Council tax requirement	119.569	126.771	135.216	144.224	153.832
Homelessness, Rough Sleeping and Domestic Abuse	1.431	1.880	2.603	2.631	2.648
Families First Partnership	0.714	1.438	2.687	2.687	2.295
Grants rolled in to Revenue Support Grant	1.805	2.173	-	-	-
Core Spending Power	202.111	216.478	222.528	225.933	229.611

* Grant allocations in 2025/26 are based on the previous methodology used to allocate funding needs and resources and refer to this as "Legacy Funding". The equivalent from 2026/27 is based on updated formulae determined by government as part of the Fair Funding Review 2.0.

4.1.6 The Local Government Finance Settlement 2026-29 sets out the government's proposals to deliver the Fair Funding Review 2.0 reforms through locally retained business rates and grant funding allocations, over the next 3 years. This includes plans for the total Fair Funding Allocation for each council in 2026-27, comprised of Revenue Support Grant (RSG), Local Authority Better Care Grant (LABCG), and Baseline Funding Levels (BFLs), as well as wider changes to the business rates retention system and funding consolidation.

4.1.7 The changes arising from the Settlement, driven by the Fair Funding Review represent a fundamental change to local government funding and have resulted in a major redistribution of resources. Due to a transition arrangement spread over three years, the full effect of the changes arising from the Fair Funding Review 2.0 will not be fully realised until 2028-29.

4.1.8 It is important to recognise that whilst Core Spending Power increases year on year for Merton between 2026/27 to 2028/29 this is based on the assumption that council tax is increases by 5% each year and that the council tax base increases by c. 1.6%.

4.1.9 The changes to the funding regime being introduced from 2026/27 are complex. The settlement is based on a major review of all local authorities' needs and resources and has resulted in significant changes to government resource allocations and the assumption that councils increase their council tax by the maximum permitted under Referendum Principles

4.1.10 The changes arising from the Fair Funding Review 2.0 are estimated to have the following negative impact on council funding: -

Table 14: Changes in Fair Funding Allocations 2025-29	2024/25 £m	2025/26 £m	2026/27 £m	2027/28 £m	2028/29 £m
Legacy Funding	78.592	84.216			
Fair Funding Allocation			82.022	76.391	70.836
Change to 2025/26			-2.194	-7.825	-13.380
Reduction in grant assumed in MTFS (Cabinet October 2025)			-0.300	-3.600	-7.600
Change			-1.894	-4.225	-5.780

4.1.11 The Fair Funding Allocation for 2028/29 is based on 2026/27 figures, being the amount of funding to be expected after transition over the three year period. It is calculated as follows:-

Table 15: How Merton's Fair Funding Allocation is calculated	Fair Funding Allocation after Transition £m
Resources Available for Distribution	
-Business Rates	32,170.0
- Council Tax	39,729.4
Total Resources available for distribution	71,899.4
Merton share of Needs	0.309389%
Merton Needs Allocation (A)	**222.4**
Merton Adjusted Council Tax Base (a)	73,503
National Band D Average (b)	2,063
Merton Resource Adjustment (B) = (a) x (b)	**151.6**
Merton's Fair Funding Allocation (after Transition completed) (A)-(B)	**70.8**

4.1.12 Under Fair Funding a higher Needs Allocation and a low Resource Adjustment will result in a higher funding allocation.

Merton's Needs share is ranked as low and is 28th lowest out of 32 London boroughs and 16th out of 19 Outer London boroughs.

Also, if a council's actual average Band D council tax had been used rather than the national average, Merton's Resource Adjustment would be c. £118m.

4.2 Council Tax Referendum Threshold

The Final Settlement confirmed that the referendum threshold for principal local authorities such as Merton is as follows:-

- For 2026-27, the relevant basic amount of council tax is excessive if the authority's relevant basic amount of council tax for 2026-27 is 5% (comprising 2% for expenditure on adult social care, and 3% for other expenditure), or more than 5%, greater than its relevant basic amount of council tax for 2025-26

4.3 SEND White Paper and DSG Safety Valve and Deficit Calculation

In the Final Local Government Finance Settlement 2026-29 the government announced that they are introducing support for local authorities' Dedicated Schools Grant (DSG) deficits in phases. The first phase will tackle historic

deficits accrued up to the end of 2025-26. All local authorities with SEND deficits will be eligible in 2026-27 to receive a grant covering 90% of their High Needs-related DSG deficit accrued up to the end of 2025-26, subject to each local authority submitting and securing the Department for Education's approval of a local SEND reform plan.

The government will confirm the detail on further support for deficits arising in 2026/27 and 2027/28 before the accounting override set out in Regulation 30L of The Local Authorities (Capital Finance and Accounting) (England) Regulations 2003 ("the Statutory Override") ends from 1 April 2028. From 2028-29, SEND spending will be covered by the overall government Departmental Expenditure Limit (DEL) budget, meaning local authorities are not expected to fund future SEND costs from general funds, once the Statutory Override ends at the end of 2027-28.

First Phase of Support

The government will make available a High Needs Stability Grant covering 90% of historic deficits accrued up to the end of 2025-26 to all local authorities with SEND deficits.

This grant will be paid in Autumn 2026, subject to each local authority submitting and securing the Department for Education's approval of a local SEND reform plan.

The government say that "resolving DSG deficits is a shared priority for central and local government, working alongside schools, health partners, early years settings and post-16 providers. Therefore, local authorities are expected to set out a clear pathway towards an inclusive system in line with the wider vision for SEND reform. The Department for Education will commission local area partnerships to develop these plans."

As part of this, the government will share best practice from previous programmes, including Safety Valve and Delivering Better Value, to support local authorities to develop local plans. Additionally, each local area will be provided with advisers to help ensure that spending is effective, efficient, and focused on improving outcomes for children and young people

Statutory Override

The Statutory Override will remain in place until the end of 2027-28. While it remains in effect, all DSG deficits including any proportion of the historic deficit up to 2025-26 not covered by grant ("the residual deficit") will remain in the associated statutory reserve ("the unusable reserve") and will not affect local authorities' wider financial positions. The Statutory Override will end on 31 March 2028. Therefore, local authorities will need to plan to be able to meet the cost of the residual deficit from their own resources in 2028-29, including setting aside appropriate reserves in the preceding years.

Future Phases of Support

The government acknowledge that SEND reform will take time to fully embed and local authorities will need further support. For deficits that arise in 2026-27 and 2027-28, local authorities can expect that the government will continue

to take a similarly appropriate and proportionate approach to such support, though it will not be unlimited.

4.4 Government Approach to Simplifying the local government funding landscape

The government aims to simplify the funding landscape, and give authorities greater certainty and flexibility.

As part of the Fair Funding Review 2.0 the government set out its ambitions for 2026-27 aiming to deliver the biggest programme of revenue funding simplification to date. It created four large consolidated grants that bring together funding for similar service areas, as well as rolling funding into Revenue Support Grant wherever possible. The government also set out its proposed principles for the scope of revenue funding simplification.

To be rolled into Revenue Support Grant the government requires that a grant should generally be paid to all local authorities or, depending on the service, to all upper tier or all lower tier authorities. The government has simplified an unprecedented 36 revenue funding streams worth over £56 billion over the three years (2026-27 to 2028-29) of the multiyear Settlement. This will be delivered by:

1. Creating four new consolidated grants from 2026-27,
    - The Homelessness, Rough Sleeping and Domestic Abuse Grant that consolidates four funding streams;
    - The Children, Families and Youth Grant that consolidates five funding streams, including the 2025-26 Children and Families Grant;
    - The Public Health Grant that brings together four funding streams with the existing Public Health Grant; and

2. The Crisis and Resilience Fund that consolidates two funding streams.
    - rolling 18 funding streams into the 2026-27 Revenue Support Grant
    - bringing all prior business rates under indexation compensation funding, into the 2026-27 Revenue Support Grant.
    - Bringing together funding for Mayoral Strategic Authorities into the Mayoral Capacity Fund

The government say that the package of funding simplification will give local authorities more certainty of their income than they have had previously. Authorities will receive fewer grants, each of a larger value, and have more flexibility around how they are spent. This will reduce administrative burdens, and support the delivery of key outcomes that meet local needs.

Whilst simplification and greater flexibility is to be welcomed, it will create some short term issues for the council in ensuring that funding is allocated to the correct budget areas.

5. Capital Financing and Treasury Management

5.1 Capital financing costs are derived from the draft capital programme which is included in the Capital Strategy and estimated revenue funding is built into the MTFS for the level of borrowing that is expected.

5.2 Details relating to how the capital programme has changed from that approved by Council in March 2025 to the capital programme for 2026-30 are discussed in the Capital Strategy and related appendices. The capital programme continued to be subject to major review as part of monthly monitoring and the process of developing the Capital Strategy and Programme for 2026-30.

5.3 In addition to reviewing the capital programme, focus was also maintained on the treasury management aspects of funding the programme, to improve forecasts of available funding and to minimise as far as possible the costs of funding capital. This included improved cash flow forecasting to enable the programme to be funded from capital receipts and internal resources for as long as possible to take advantage of current low levels of interest. Work also continued to ensure that grants and contributions are utilised effectively, and this work will continue into the closing of accounts process for 2025/26 to ensure that the revenue impact of the capital programme is minimised in 2026/27 and beyond.

5.4 <u>Revenue Implications of Current Capital Programme</u>
It is important to ensure that the revenue and capital budgets are integrated and not considered in isolation. The revenue implications of capital expenditure can quickly grow if the capital programme is not contained within the Council's capacity to fund it over the longer term.

5.5 There have been limited additions to the capital programme due to the current financial challenges and Budget Managers have been asked to further review current schemes in the programme to either reduce, defer or delete them. Any resulting revisions to the programme will be reported to Cabinet on an ongoing basis, along with any changes required. The current capital provision and associated revenue implications of the approved capital programme, based on November 2025 monitoring information and maximum use of capital receipts were reported to Cabinet in January 2026.

5.6 Since January 2026, the capital programme continued to be reviewed and based on the latest December 2025 monitoring information the current position is:-

Table 16: Capital Programme and Revenue Implications 2026-30

	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000
Capital Programme (after slippage)	56,082	55,119	60,552	78,669
Revenue Implications	8,142	9,251	11,365	13,625

The potential change in the capital programme since Council in February 2025 is summarised in the following table:-

Table 17: Change in Capital Programme and financing costs since Council 2025				
	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000
Capital Programme:				
- Council February 2025	42,618	42,711	34,183	30,660
- Revised Position with Slippage	54,596	55,725	67,576	82,961
Change	11,978	13,014	33,393	52,301
Revenue impact				
- Council February 2025	8,619	9,225	10,779	12,344
Revised	7,928	9,037	11,240	13,881
Change	**(6G1)**	**(188)**	**461**	**1,537**

5.7 The analysis of the budget for capital financing costs and investment income is set out in the following table:-

Table 18: Details of Budgets for capital financing costs				
	2026/27 £000	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**
MRP(net of contributions)	5,614	6,912	8,535	10,018
Interest	2,314	2,125	2,705	3,863
Capital financing costs	7,928	9,037	11,240	13,881

5.8 **Investment Income**

5.8.1 The Council receives investment income on general investment and cash balances. As interest rates fall and amounts under investment may reduce the level of investment income is expected to come under pressure.

Table 19: Investment income summary 2025-29				
	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000
Interest – Council March 2025	8,909	8,909	8,909	8,909
Latest	10,909	10,909	10,909	10,909
Investment income- change	**2,000**	**2,000**	**2,000**	**2,000**

6. Savings and Fees and Charges

6.1 It was clear from the budget gap for 2026/27 and beyond in the MTFS agreed by council in March 2025 and the ongoing high levels of inflation, increasing demand for social care from both children's and adult services, increasing homelessness, and other pressures in services that setting a balanced for 2026/27 would be difficult leading to the need for some directorate savings.

6.2 Savings proposals were considered and agreed by Cabinet in October 2025 and January 2026, and referred to scrutiny panels and the Commission in November 2025 and January 2026.

6.3 The total savings agreed by Cabinet in October 2025 and January 2026 are set out in the following table:-

Table 20: Savings Proposals: Cabinet 20 October 2025 + 19 January 2026	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**	**Total £000**
Innovation and Change	132	0	0	0	**132**
Finance and Digital	2,060	0	0	0	**2,060**
Housing and Sustainable Development	289	205	0	0	**494**
Environment, Civic Pride and Climate	1,100	350	250	200	**1,900**
Children, Lifelong Learning, and Families	1,410	70	0	0	**1,480**
Adult Social Care, Integrated Care, & Public Health	2,281	0	0	0	**2,281**
Total Savings 2026-30	**7,272**	**625**	**250**	**200**	**8,347**
Cumulative Total	**7,272**	**7,897**	**8,147**	**8,347**	

6.4 Due to the continuing size of the budget gap and the need to set a balanced budget in 2026/27, further savings and these are summarised in the following table:-

Table 21: Savings Proposals: Cabinet February 2026	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**	**Total £000**
Council - wide	1,550	0	0	0	**1,550**
Innovation and Change	0	0	0	0	**0**
Finance and Digital	0	0	0	0	**0**
Housing and Sustainable Development	0	0	0	0	**0**
Environment, Civic Pride and Climate	0	0	0	0	**0**
Children, Lifelong Learning, and Families	1,580	0	0	0	**1,580**
Adult Social Care, Integrated Care, & Public Health	0	0	0	0	**0**
Total Savings 2026-30	**3,130**	**0**	**0**	**0**	**3,130**
Cumulative Total	**3,130**	**3,130**	**3,130**	**3,130**	

6.5 The total draft savings including new savings is as follows:-

Table 22: Savings Proposals: Cabinet Oct. 2025 + Cabinet Jan. 2026 + Cabinet Feb. 2026	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Council - wide	1,550	0	0	0	**1,550**
Innovation and Change	132	0	0	0	**132**
Finance and Digital	2,060	0	0	0	**2,060**
Housing and Sustainable Development	289	205	0	0	**494**
Environment, Civic Pride and Climate	1,100	350	250	200	**1,900**
Children, Lifelong Learning, and Families	2,990	70	0	0	**3,060**
Adult Social Care, Integrated Care, & Public Health	2,281	0	0	0	**2,281**
Total Savings 2026-30	**10,402**	**625**	**250**	**200**	**11,477**
Cumulative Total	**10,402**	**11,027**	**11,277**	**11,477**	

7. GENERAL FUND BALANCES AND RESERVES

7.1 In determining an appropriate level of general fund balances previously, an analysis of the overall expenditure of the authority was prepared. This was updated as part of the budget process. The overall result of the analysis of balances is summarised below and compares with current GF balances of £14m as shown in the final accounts for 2024/25. Given the minimum level of risk is indicated to be £13.2m, no change was proposed to the current GF balance.

Table 23: Indicative range of balances			
	Min	Medium	Max
	£m	£m	£m
Level of balances	13.2	33.2	56.9

7.2 An alternative approach would be to look at a percentage based on the net spending of the authority. From the Audit Commission's report "Striking a Balance", most Chief Officers regarded an amount of between 3 and 5 per cent of the net revenue budget as a prudent level and the minimum the auditors would consider prudent. There are also some other areas of risk and unknowns in relation to the localisation of business rates and how this impact will flow through. This approach is set out below, using an amount of 5 per cent for net spending, and amounts for DSG and business rates appeals.

Table 24: Indicative level of balances	£m
Net spending	12.6
DSG	1.0
Appeals	0.5
Level of balances	14.1

7.3 Analysis of reserves and balances in London shows that the average level of General Fund balances for outer London boroughs for 2024/25 was £15.9m, with a low of £1.45m and a high of £27.5m.

7.4 A review of Merton's reserves has been undertaken and shows that the estimated level of General Fund revenue reserves (excluding General Fund balances) changes from £129.1m as at 31 March 2025 to £115.6m by 31 March 2030.

7.5 The average level of earmarked reserves (excluding schools and HRA) for outer London boroughs for 2024/25 was £81.1m, with a low of £9.4m and a high of £191.7m. Merton, with £119.7m (excluding schools) is ranked 4th highest out of the 20 outer London boroughs.

7.6 Merton's level and movement in reserves assesses the council as lower risk. A number of applications of reserves are planned for next year including implementing changes to employment rights, apprenticeships and investment in environmental measures including graffiti removal, deep clean in town centres, dealing with fly tipping and extension of pop-up tips.

7.7 Financial Resilience – CIPFA Index

On 19 January 2026, CIPFA announced the release of the latest version of the Resilience Index (2024/25),

The CIPFA Financial Resilience Index shows an English council's position on a range of measures associated with financial risk highlighting where additional scrutiny may be required. The selection of indicators has been informed by extensive financial resilience work undertaken by CIPFA, public consultation and stakeholder engagement.

CIPFA advise that "Section 151 officers may also reference the index in their annual report to the council on the proposed budget and medium-term financial strategy, particularly in their assessment of the robustness of the budget and the adequacy of reserves."

The resilience index uses data from the Revenue Expenditure and Financing England Outturn Report ("RO Forms") submitted by Local Authorities to the Ministry of Housing, Communities & Local Government (MHCLG).

While recognising some limitations in the returns (e.g. reflecting the previous financial year) they provide a consistent and transparent starting place for a discussion on financial resilience that can be tracked over time.

The chart below summarises Merton's financial resilience against a number of key financial measures and indicates that overall Merton's financial risk based on 2024/25 outturn is good.



The index provides a platform to facilitate constructive dialogue between those charged with decision-making and governance. It uses historic comparative data to support medium term financial planning.

This model offers a transparent source of data to support Section 151 officers in their duty to employ good financial management.

Whilst based on 2024/25 outturn data Merton's financial resilience appears robust, this has to be seen in the context of a changing financial environment with rising demand for services such as temporary accommodation due to increasing levels of homelessness, and social care, both adults and children's. In addition, there will added pressure from the outcome of the Fair Funding Review which indicates an overall reduction in grant by c. £13m over the next three years.

8. Business Rates Funding 2026/27

8.1 In the 2026-27 financial year, the government is introducing a business rates revaluation and a new structure with five different multipliers in England. This replaces the previous system which used temporary Retail, Hospitality, and Leisure (RHL) relief.

8.2 The government is also undertaking a Business Rates Retention System Reset. As part of the Fair Funding Review 2.0 and Local Government Finance Settlement 2026-27 the government is fully redistributing growth in business rates around England. Accrued above-baseline growth in business rates revenues, which councils have been able to retain since 2013–14, will be redistributed based on updated assessments of needs. Following this redistribution of past growth, councils will be able to benefit from future growth in business rates revenues from 2026–27 onwards, until the system is reset again.

8.3 In summary, the Reset is a technical exercise to update the government's assessment of how much business rates are available (updating Business Rates Baselines); and where they are needed (updating Baseline Funding Levels).

8.4 This redistribution of local authority income across local government is managed via 'top-ups' and 'tariffs'. Authorities whose income exceeds their assessed need will pay a tariff. Authorities whose income is less than their assessed level of need will receive a top up payment.

8.5 The following table demonstrates the fundamental role that Business Rates income has in funding Merton's services:-

Table 25: Key information table in Local Government Finance Settlement	**2026-27**
	£m
Fair Funding Allocation (£m)	82.022
of which:	
Revenue Support Grant (£m)	44.205
Baseline Funding Level (£m)	31.637
Local Authority Better Care Grant (£m)	6.180
Tariff(-)/Top-Up (£m)	-7.051

8.6 Based on the above figures Merton is now a Tariff (paying) authority and has moved from a top-up authority under the previous distribution system

Table 26: Change from Top-up to Tariff under Fair Funding 2.0	**2025/26 £m**	**2026/27 £m**
Baseline Funding Level	39.719	31.637
Business Rates Baseline	32.632	38.688
Top up	7.087	N/A
Tariff	N/A	7.051

8.7 The figures for Business Rates included in the Local Government Finance Settlement 2026/27 are the Government's estimate based on the outcome of the Fair Funding Review 2.0 and assessed needs, and estimated share of business rates. The council is able to produce a more accurate estimate of its Business Rates Baseline, being based on local information on the latest forecast of Business Rates included in Merton's NNDR1 form which is a statutory return that local authorities are required to submit to the Government by 31 January each year.

Table 27: Change in Baseline Business Rates Funding 2026-27			
	Local Government Finance Settlement 2026-27	NNDR1 2026-27	Difference
	£m	£m	£m
Business Rates	38.688	38.943	0.255
Tariff	7.051	7.051	0
Baseline Funding	**31.637**	**31.892**	**0.255**

The government will continue to operate a safety net threshold as part of Business Rates Retention. The government is increasing the level of the safety net to protect an authority's business rates income for 2026-27 to 100% of their set Baseline Funding Level (BFL). This will provide increased certainty for local authorities when budgeting for business rates income in 2026 amongst the backdrop of major business rates reforms, including the reset and tax policy changes.

As proposed in the Fair Funding Review 2.0, the increased protection provided by the safety net will gradually scale back to the current 92.5% level over the course of the multi-year Settlement period. The government proposes that for 2027-28, the safety net will be set at 97% of local authorities' BFLs, before returning to its standard level of 92.5% in 2028-29.

9. Council Tax Bases, GLA Precept and Levies

9.1 The Localism Act 2011 amended the legislation regarding the calculation of council tax. It also provides for a council tax referendum to be held if an authority increases its relevant basis amount of council tax in excess of principles determined by the Secretary of State.

9.2 Council Tax Referendum Principles

The Government proposes the following package of referendum principles for 2026-27 for authorities like Merton:

- a core council tax referendum principle of up to 3% for shire counties, unitary authorities, London boroughs, the GLA general precept, and fire authorities

- an Adult Social Care (ASC) precept of 2% on top of the core principle for local authorities with responsibility for adult social care.

9.3 For Merton, a Council Tax increase of 5% (3% core + 2% Adult Social Care) would be regarded as excessive but, for example, a core principle of 2.999% plus Adult Social Care precept of 2% (i.e. 4.999%) would be in accordance with the thresholds set.

9.4 **Council Tax Base**

Cabinet on 19 January 2026 agreed the Council Tax Base calculation for 2026/27. For 2026/27 the Council Tax Base has been calculated as:-

Table 28: Council Tax Base 2026/27

Council Tax Base 2026/27	**80,770.1**

A separate council tax base calculation has been produced for the properties covered by the Wimbledon and Putney Common Conservators (WPCC) area.

For 2026/27 the Council Tax Base for Wimbledon and Putney Commons Conservators has been calculated as:-

Table 29: WPCC Council Tax Base 2026/27

WPCC Council Tax Base 2026/27	**12,183.8**

9.5 **Greater London Authority Precept and Other Levies**

The Greater London Authority (GLA) sets a budget for itself and each of the four functional bodies: Transport for London, the London Development Agency, the Metropolitan Police Authority, and the London Fire and Emergency Planning Authority. These budgets together form the consolidated budget.

The proposed Band D precept for council taxpayers in the 32 London boroughs is £510.51 – a £20.13 or 4.1% increase compared to 2025/26. This increase comprises £15 for MOPAC (Met Police) and £5.13 for the London Fire Brigade. This is in line with the maximum increase permitted under the GLA's referendum limit – which is a monetary one – as set out in the provisional local government finance settlement. The proposed precept for council taxpayers in the City of London - which has its own police force - is £176.38 (an increase of £5.13 - 3% - which excludes the £15 relating to the Met Police).

9.6 **Other Levies**

The Council is required by statute to pay certain levies to the organisations listed below. The levies for 2026/27 have been confirmed and are set out in the following table:-

Table 30: Other Levies	2025/26 £000	2026/27 £000	2026/27 Change %
London Pension Fund Authority	24	25	0.9%
Lee Valley Regional Park	206	213	3.3%
Environment Agency	189	195	3.1%

9.7 **Wimbledon and Putney Commons Conservators (WPCC) (details tbc)**

9.7.1 A separate precept is levied in respect of those residents of properties bordering the Wimbledon and Putney Commons. The amount is calculated on the basis of the amount levied by the Commons Conservators and based on the WPCC Band D Council Tax the precept in 2026/27 will be £504,223, an increase of £29,973 (6.3%) from the 2025/26 levy of £474,250.

Table 31: Wimbledon and Putney Commons Conservators Precept			
	2025/26 £000	2026/27 £000	Change %
Wimbledon & Putney Commons Conservators	474	504	6.3%

9.8 The average Band D cost to a council taxpayer in the WPCC area has changed from £40.10 in 2025/26 to £41.38 (3.2%) in 2026/27.

10. Council Tax and Fair Funding Review 2.0

10.1 The collection rate is an important element of council tax funding and features in the government's Fair Funding Review 2.0 as well as the government's consultation paper "Modernising and improving the administration of council tax" which included changes to collection and enforcement practices.

10.2 In the Fair Funding Review 2.0 the government state that they "will use the Council Tax base of a local authority as a measure of this Council Tax raising ability. The strength of Council Tax bases is usually down to several factors, including historical house prices and land values, and, in general, is not an outcome of the decisions that local authorities make."

10.3 The government's Fair Funding Review sets out how the government determines local authority funding allocations, bringing together an updated assessment of relative need, a resource adjustment, and transitional arrangements. To equalise for the Council Tax base of a local authority, the government set an assumed or 'notional' level of Council Tax for all authorities in the resource adjustment.

10.4 The assumption that the government make for the notional Council Tax level determines the amount of funding that is distributed according to the updated needs assessment, and the size of the relative resource adjustment for individual local authorities. The government say that "the notional Council Tax level therefore effectively sets the level of equalisation in the funding system, with a higher notional level of Council Tax meaning greater equalisation of the Council Tax base. Greater equalisation of the taxbase prevents disadvantaging those areas with weaker taxbases."

10.5 The government has set a notional Council Tax level that it believes will achieve the objective of full equalisation. To fully equalise against the Council Tax base, the government has set the notional Council Tax level at the average Band D level of Council Tax in England for authorities in scope of these reforms. This means that for 2026-27 the notional council tax level used is £2,063, for 2027- 28 it is £2,164, and for 2028-29 it is £2,269. Merton's average Band D council tax in 2025/26 is £1,604.05.

10.6 This does not mean that all councils will set their Council Tax at this level, but that the government calculate their central grant funding and locally retained business rates in such a way to ensure that all authorities can provide the same level of services to their residents, irrespective of their ability to raise Council Tax.

10.7 In terms of collection rate, in its calculations , the government will be assuming an 100% council tax collection rate within the resource adjustment. Although no local authorities achieve 100% collection, it is the government's view that this is important to retain a clear incentive for all authorities to reduce avoidance of council tax. A uniform collection rate assumption supports the reform principle of simplicity, and ensures that authorities always benefit from increasing their collection rate.

10.8 For 2026-27, Merton's estimated council Tax Base assumes a collection rate of 98.75% (unchanged from 2025/26)

10.9 Council Tax Assumptions

10.9.1 Council Tax setting is a key element of a council's funding strategy. Most council's are constrained by the level of council tax increase that they can set by Referendum Principles.

10.9.2 Local authorities are required to determine whether the amount of council tax they plan to raise is 'excessive'. The Secretary of State sets thresholds of excessiveness, known as 'referendum principles', for different classes of authority. Since 2016-17, these thresholds have also included a 'social care precept', providing higher thresholds for authorities with social care responsibilities. The thresholds are finalised alongside the annual Local Government Finance Settlement each February. Any authority proposing an excessive increase in council tax must hold a local referendum and obtain a 'yes' vote before implementing the increase. An authority proposing an excessive increase must also make substitute calculations, based on a non-excessive council tax level. This is implemented if the excessive increase is rejected in the referendum.

10.9.3 For 2026-27 the government have announced that they will maintain core referendum principles as they were in 2025-26 over the multi-year Settlement. For London boroughs this is 3% for core services and 2% for Adult Social Care Precept.

In the Local Government Finance Settlement 2026-29 the government has assumed that councils increase their council tax by the maximum allowed. Council Tax is a key component of local government funding and has an impact on the level of funding that councils receive. Clearly the council has to carefully consider its options when setting its council tax level.

The MTFS 2026-30 agreed by Council in February 2026 includes the following assumptions for a council tax increase:-

Table 32: Council Tax assumptions in MTFS (Council February 2026)	2026/27	2027/28	2028/2G	202G/30
Council Tax - Core Services	0%	2%	2%	2%
Council Tax - ASC precept	2%	2%	2%	2%

The funding from the ASC precept is passported to the service in full so any adjustment to the amount agreed has a nil impact on the MTFS budget gap but will impact on the ASC budget.

Council Tax Strategy Proposed by Council

Having identified further savings contained in February 2026 from its review of service departments and corporate budgets and taking into account the continuing cost of living pressures experienced by residents, Council agreed to freeze the level of general Council Tax with an increase of 2% in the Adult Social Care precept to help fund care for older and vulnerable residents within Merton.

Freezing the level of general Council Tax produces a permanent real terms reduction in Council Tax yield of up to £3.8m. This is a permanent and compounding loss of funding for the Council budget. This has been mitigated through the savings agreed as part of the 2026-27 budget process.

The decision to not increase general council tax by the referendum limit may also have implications for the council's future "funding floor" going forward.

10.9.4 Funding Floor

In the government's technical consultation on funding for 2026-29 it states that it intends "to ensure that local authorities see their income protected by a specified amount across the multi-year Settlement. The rationale for this policy would be to prevent funding reductions that could pose a financial sustainability risk in these local authorities. However, such a policy involves a direct trade-off with allocating funding where the government consider it to be needed most according to the updated Settlement Funding Assessment."

It further states that the government "would also propose continuing the existing policy that any protection offered through a funding floor assumes local authorities use their full council tax flexibility." It is therefore assumed that if the council should in future fall below the funding floor level, whether additional support is provided towards this will depend on whether the council has increased its council tax by the maximum set out in the referendum principles between now and any such event.

13.9.5 To summarise, as part of its Fair Funding Review 2.0 the government has made a number of assumptions around Relative Need Formulae (RNF) and Council Tax which have fundamentally changed the assessment of needs and resources. Merton's RNF rating is low compared to other London boroughs. The assumptions on resources included in the calculation of resources are based on an average council tax of £2,063 compared to Merton's £1,604.05 and that 100% of council tax is collected. Therefore Merton's resources element is higher than it can achieve based on it's current Band council tax. The combination of a low needs rating and a relatively high resources rating leads to a reduction in grant of c £13.4m over the Spending Review period

These are discussed in more detail in Appendix 2.

11. CONCLUSIONS

11.1 It is a statutory requirement that the council sets a balanced budget in 2026/27. In accordance with sections 52ZY and 68 of the Local Government Finance Act 1992 ('the 1992 Act'), section 139A of the Local Government Finance Act 1988, and section 230 of the Local Government Act 1972 authorities are required to supply information required to measure whether any proposed Council Tax increase is in excess of the principles laid down requiring a local referendum.

11.2 The Government return is the Council Tax Requirement form CTR1 and authorities are required to complete and submit this to the Ministry of Housing, Communities and Local Government within 7 days of approving their Council Tax requirements.

11.3 The Medium Term Financial Strategy assumes that all of the corporate provisions and proposals for growth and savings, in 2026/27 are agreed and if this is the case, the following financial position is achieved:-

Table 34: Average Council Tax Calculation at Band D	**2025/26 £m**	**2026/27 £m**
Budget Requirement	221.250	227.709
Fair Funding Allocation		
Baseline Funding Level/ revised for NNDR1 (Table 27)	N/A	(31.892)
Revenue Support Grant	N/A	(44.205)
Local Authority Better Care Grant	N/A	(6.180)
Legacy Funding Assessment		
Legacy Business Rates	(47.403)	N/A
Legacy Grant Funding	(29.081)	N/A
Local Authority Better Care Grant	(6.181)	N/A
Homelessness, Rough Sleeping and Domestic Abuse	(1.880)	(2.603)
Children, Families and Youth Grant	(0.723)	(2.687)
Other:		
PFI Grant	(4.797)	(4.797)
Collection Fund – (Surplus)/Deficit	(1.463)	0.067
Extended Producer Responsibility Scheme	(2.951)	(3.252)
Council tax requirement	126.771	132.160
Council Tax Base	79,031.80	80,770.10
Average Council Tax	1,604.05	1,636.25

11.4 The calculation of Band D council tax for properties outside the Wimbledon and Putney Commons Conservators area is as follows:

Table 35: Council Tax Calculation at Band D	2025/26 £m	2026/27 £m
Budget Requirement	221.250	227.709
WPCC	(0.474)	(0.504)
Fair Funding Allocation		
Baseline Funding Level – revised for NNDR1(Table 27)	N/A	(31.892)
Revenue Support Grant	N/A	(44.205)
Local Authority Better Care Grant	N/A	(6.180)
Legacy Funding Assessment		
Legacy Business Rates	(47.403)	N/A
Legacy Grant Funding	(29.081)	N/A
Local Authority Better Care Grant	(6.181)	N/A
Homelessness, Rough Sleeping and Domestic Abuse	(1.880)	(2.603)
Children, Families and Youth Grant	(0.723)	(2.687)
Other:		
PFI Grant	(4.797)	(4.797)
Collection Fund – (Surplus)/Deficit	(1.463)	0.067
Extended Producer Responsibility Scheme	(2.951)	(3.252)
Balance to be met from Council Tax	126.297	131.656*
Council Tax Base	79,031.80	80,770.10
Council Tax (Band D)	1,598.05	1,630.01*

*** Based on a freeze of general Council Tax and an increase of 2% in the Adult Social Care precept to help fund care for older and vulnerable residents within Merton.**

11.5 The implications for the level of Council Tax on a Band D property, including the GLA precept are set out as follows:-

Table 36: Council Tax at Band D	2025/26 £	2026/27 £	% change from 2025/26
Merton (exc. WPCC)	1,598.05	1,630.01	2.00%*
GLA Precept (Provisional)	490.38	510.51	4.10%
Implied Council Tax at Band D	2,088.43	2,140.52	2.49%

*** Based on a freeze of general Council Tax and an increase of 2% in the Adult Social Care precept to help fund care for older and vulnerable residents within Merton.**

12. Risk Management

12.1 The management of risk is strategically driven by the Corporate Risk Management Group. This is the central hub of a number of council mechanisms for risk management including a Corporate Key Strategic Risk Register, departmental risk registers and project risk registers. The group collates on a quarterly basis the headline departmental risks and planned mitigation activity from each department, project and partnership, to be put forward for discussion at CLT. Reports on risk are made through the Standards and General Purposes Committee to Cabinet and Council.

12.2 Currently c. £6m of savings are being progressed for 2025-26 coupled with a further c. £13m of additional savings identified for 2026-30. Current practice is to monitor delivery of savings as part of budget monitoring.

13. Summary

13.1 Taking into account the changes that have taken place since the Council meeting in February 2025, the budget gap in the MTFS has changed to the following:-

Table 37: Cumulative MTFS Gap 2026-30	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**
Gap exc. Savings	13,117	23,049	32,557	39,700
Savings	(13,117)	(15,098)	(15,621)	(15,821)
Gap Net of Savings	0	7,951	16,936	23,879

13.2 **Future Years**

As indicated in the updated MTFS there is a gap between the forecast level of resources and budget requirements for later years which will need to be addressed if balanced budgets are to be set for those years.

The budget process for 2027/28 will commence in the new financial year and some of the options available to the Council to eliminate the budget gaps include:-

- Savings – reduction/deletion of services
- Savings – efficiencies including procurement
- Income – increase in fees and charges/new sources of income/commercialisation
- Council Tax increase
- Use of balances
- Options arising from the Investment Strategy
- Technology-based transformation

13.3 Peopletoo were commissioned to undertake a Financial Healthcheck for Merton Council. This report forms the first output of this Financial Healthcheck, and aims to understand, validate, and assure the Council is delivering good value for money services, and outline key success factors to inform the Council's next phase of improvement.

14. Chief Financial Officer Section 25 Statement

Section 25 of the Local Government Act 2003 requires the Chief Financial Officer of an authority to report on:

a. the robustness of the estimates made for the purposes of the calculations, and
b. the adequacy of the proposed financial reserves.

In doing so, the Executive Director, Finance and Digital, has had particular regard to the guidance offered by the Chartered Institute of Public Finance and Accountancy and the views of the Council's external auditor.

Financial resilience and demonstrating that the Council is a going concern have been important considerations in developing the budget for 2026/27 and MTFS 2026-30. The following paragraphs draw out the key issues and actions that have been taken and risks that remain.

Context and Risks

Fair funding 2.0

There have been many changes to the way that the LGF settlement is presented due to the Fair Funding Review, including changes to the Business Rates system. The Fair Funding Review has resulted in some major changes to local authorities grant shares, both positively and negatively. Based on the review, Merton comes out as a relatively low needs, high resourced authority and the settlement reflects that. Merton's grant reduces from £84.216m under the legacy system to £82.022m in 2026/27, £76.391m in 2027/28, and £70.836m in 2028/29, creating a cumulative loss of £13.380m once fully implemented.

This report and previous MTFS updates set out in depth the calculations and factors driving the impact on Merton. These include the reduction of our relative needs share driven largely from the changes to the Children's formula, with the impact of our relative resources impacted by the assumptions around Council Tax discussed further below.

The Council joined London Councils in lobbying around these key points, as well as advocating for deprivation to include the impact of housing costs. Whilst deprivation was lobbied for successfully and has increased the funding into London, other areas were limited in their lobbying impact and the settlement for Merton reflects this.

The net impact of Fair Funding 2.0 represents a significant financial challenge to the authority and when added to the forward forecast of costs and other income leaves a further £23.9m to find by 2029/30. The Council will be required to continue delivering savings at pace and maintain a strong grip on financial management to ensure sustainability within the Medium-Term Financial Strategy.

Although a balanced budget is presented for 2026/27, the impact of Fair Funding 2.0 will require a major programme of strategic change of transformation and service delivery to operate within the renewed financial envelope. This will involve exploitation of technology, further commercialisation and strategic change to the way the Council operates and delivers services. Given the levels of savings to be found it will also inevitably involve some difficult choices and reviews of service delivery and standards. It will remain imperative that the Council delivers multi-year programmes of change and transformation to meet the savings needed. However this is done from a foundation of a strong track-record of financial stability, wise investment of legacy funding and low debt and consistent delivery of savings.

Council Tax

This Local Government Finance Settlement has been based on a major review of all local authorities' needs and resources and specifically includes the assumption that councils increase their council tax by the maximum permitted under Referendum Principles. This report sets out that government has set a notional Council Tax level at the average Band D level of Council Tax in England for authorities in scope of these reforms. This means that for 2026-27 the notional council tax level used is £2,063 and increasing annually after that. Merton's average Band D council tax in 2025/26 is £1,604.05 i.e. some £459 below the amount assumed by Government.

The decision proposed to freeze the level of general Council Tax produces a permanent real terms loss in Council Tax yield of up to £3.8m. This would be a permanent and compounding loss of funding for the Council budget. Additionally, this may may have implications for the council's future "funding floor" going forward, as set out in this report.

Although the foregoing of this income is material, the Council has taken this decision to reduce (in real terms) the financial cost of its services to residents and has found compensating reductions/service changes which generate the equivalent permanent on-going savings, albeit not accounting for the compounding effect on the growth of the Council Tax base. This is likely to mean that the challenge of meeting the savings required to balance the MTFS will increase as further savings become more challenging. This is mitigated through the high percentage of savings delivery this Council has a track record of. When making decisions on setting Council Tax levels there is also a need to give due regard to the cost of living crisis faced by residents.

Special Educational Needs and Disabilities (SEND) Reform

A significant financial challenge for all local authorities is the Dedicated Schools Grant (DSG) High Needs budget which, for Merton, has been in deficit since

2018/19. The government introduced a statutory override to separate DSG deficits from broader council finances, extended until March 2028, which provides an accounting solution to the problem but does not solve the underlying funding problem. The Office for Budget Responsibility estimate nationally that by the end of 2027-28 the cumulative deficit nationally will be £4.9bn.

Merton joined the Department for Education's High Needs Safety Valve programme in 2022 due to its significant deficit. The Safety Valve programme for Merton enters its final year for Merton in 2026/27.

The cumulative DSG deficit at the end of 2024/25 was £53.556m and by the end of 2025/26 as per December's forecast will increase to £68.863m which is an increase of £0.560m since November 2025. Whilst the actions from the safety valve agreement are being carried out, they are not yet resulting in the financial outcomes required and present a significant risk to the Council's financial position over the medium-term and an inherent danger to its reserves position with the deficit forecast to exceed available reserves.

On 11 June 2025, as part of the Spending Review, the government confirmed that its intended approach to SEND reform would be set out in a Schools White Paper in autumn 2025. This was subsequently delayed to 2026 with further clarity outlined in the Final Local Government Settlement. In light of this planned review the Council previously determined it will no longer be earmarking reserves to match the full amount of the deficit over and above what is already provided for in the MTFS from 2025-26 onwards to lessen the strain on the General Fund.

This approach has and will impact the cashflow position of the Council as the deficit continues to grow. Coupled with the impact of the major capital schemes outlined in this report this will accelerate the need to borrow over the MTFS period with corresponding impact on debt servicing charges to the General Fund. Projections are incorporated as part of the Treasury Management Strategy.

While the continuing positive efforts to manage the DSG deficit need to go further and deeper, it is clear that once the override ends in 2027/28 the level of forecast deficit will exceed the Council's available revenue resources and it will not be able to meet its financial obligations from 2028/29 without reform to the SEND system. Many other councils are in a similar position.

As part of the Final Settlement the Government addressed the growing SEND deficits and announced a significant funding package to tackle 90 per cent of the historic high-needs deficits on the DSG stating that all local councils with a SEND deficit will be eligible to receive grant funding, subject to securing approval of a SEND local reform plan. This will be in the form of a High Needs Stability Grant. Further, the final settlement set out that for 2026/27 and 2027/28 there would be a similar programme to tackle the accruing deficit for those financial years, to be confirmed at a later date.

These announcements are welcome and provides a major investment into local authorities of circa £5bn and is particularly needed here at Merton given the size of our deficit. Alongside wider SEND reforms planned later in the year; this should

provide a solution to the unsustainable SEND system which has been financially challenging for Local Authorities for many years.

Finally, the Government announced the end of Safety Valve as at the end of 2025/26 as part of the changes, therefore Merton will no longer be in the scheme, albeit 2026/27 was the final year for this Council. All of these measures announced are subject to conditions, eligibility of spend and approval of a SEND local reform plan. Updates will be provided throughout the year.

Adult Social Care, Integrated Care, and Public Health

Across England and London, Merton also continues to experience growing pressures within Adult Social Care (ASC), driven by increased demand, more complex needs, and rising service costs. This year to date we have seen a rise in package of care by 5%. To manage pressures, ASC has put in place comprehensive measures which focus on:

- Managing rising demand through a strength-based approach, enabling residents to maintain independence for longer in line with legislation.
- Preventing escalation of need by investing in early intervention and community-based support.
- Improving commissioning to ensure better value and reduce reliance on expensive care packages.
- Supporting recruitment and retention to stabilise the workforce amidst a national shortage of qualified staff.
- Using technology and digital tools, including portals and smart notes, to improve efficiency and support case management.

These efforts are designed to ensure ASC remains financially sustainable while maintaining quality of care for residents. However, each year this becomes more challenging. The Council eagerly awaits wider reforms of social care as part of the Casey review. Additionally, the reform of local health structures will be key to understand the impact on the department and is a key strategic risk.

Children's Social Care

Merton's children's services remain high performing, with its Children's Services having been rated Outstanding again by Ofsted in 2025. But it faces growing demand and cost pressures, particularly around complex needs requiring residential placements and meeting the challenges for children with enduring health needs. To manage this demand, the Directorate is:

- Investing in the Family First Partnership Programme, which focuses on early help, family support, and reducing the need for costly interventions.
- Strengthening commissioning of children's placements, expanding local provision, and reducing reliance on high-cost external to Merton placements.
- Working strategically with partners, including the ICB and other health providers, education, and voluntary sector organisations, to provide coordinated support for children and young people.
- Revisiting the Looked After Children's Sufficiency Strategy
- Launching the CLLF recruitment campaign to reduce agency spend

- Commissioning independent expertise through the company ‘C3’ to further progress CLLF transformation

These actions aim to reduce pressures on children’s social care, ensure earlier and more effective family support, and maintain high quality safeguarding across the borough. However, the financial risks in this area remain significant and volatile especially with the impact of the costs passed on by local providers. These areas must continue to be managed effectively.

As mentioned earlier, wider SEND reforms will be a key area to understand the impact on Merton, as well as wider legislative changes. As with Adults Social Care, the reform of local health structures will be imperative to understand the impact on the department and Council and is a key strategic risk.

Temporary Accommodation

The total number of placements in temporary accommodation at the beginning of April 2025 was 700 compared to 539 one year earlier. The increase in numbers over the past year was on average 30%. This is now the largest spend pressure of the Council. In last year’s MTFS, a £3.5m recurrent provision was made to invest in spending pressures in this area. A further £3m is being made available from 2026/27 on a permanent basis. This is in addition to £1.2m permanent growth to support restructuring the department to deliver on its priorities, including delivering the Council’s comprehensive Temporary Accommodation (TA) Cost Reduction Programme.

The Council has a strong record of preventing homelessness (60% success rate, compared to the London average of 40%). With this investment coupled with the recovery plan and availability of contingency resources, it is crucial that the plans deliver. TA issues are prevalent across London and major urban areas and, given. major risk it presents for the Council will continue to be closely monitored.

Housing

As outlined in other reports in this financial year the Council is embarking on Council House building for the first time in a generation. Additionally, there is a programme to take further opportunities to develop acquire social housing, as well as purchasing homes for temporary accommodation. This programme of activity is forecast to have a significantly positive impact on public health outcomes and in turn a reduction of spend on associated support services and costs of temporary accommodation.

However, this programme of work does carry risks, particularly exposure to construction cost volatility and setting up structures to manage said properties and programme-manage builds and acquisitions. It is crucial that governance processes and mitigation programmes continue to be robust. Additionally, the creation of the Housing Revenue Account (HRA) will require careful planning. Proposed growth allocated to the service will support these endeavours.

Borrowing

Merton has a very low level of debt for a borough of its size and complexity. As of the time of this report, £38m of debt exists. This is as a direct result of the sale of the Council's wholly owned company CHAS for £186m, with an element used to pay off the Council's PWLB debt and significant amount invested for long-term returns. Additionally, the Council has carried low levels of debt. This sound financial management of the Council's resources has benefited the General Fund greatly, with a reduced cost of financing the capital programme and investment returns into the MTFS.

With the acceleration of the Council's house building/acquisition and regeneration plans, as well as the impact of the DSG on cash balances, it is inevitable that the Council will need to borrow in the term of this MTFS and manage the associated debt servicing charges.

Contingencies

More contingencies have been foregone to ensure that structural budget pressures have been tackled, with the aim to reduce the reliance of those budgets to offset departmental overspends. Further growth has again been included into services to ensure departmental budgets are adequate. However, that does mean that those contingency budgets have reduced. Although the recurrent contingency budgets remain adequate, even at a reduced level to be available for contingent events during 2026/27 and onwards, there is a need to continually monitor levels as part of the ongoing and regular review of the MTFS. Over the MTFS, due to the healthy reserves position the Council holds, there is likely to be adequate resourcing available to manage any contingent events that may occur.

Wider risks

- Economic Uncertainty: The wider economic environment, including inflation, interest rates, and energy prices, creates financial challenges for both the Council and residents.
- Workforce Pressures: Recruitment and retention of skilled staff, particularly in specialist roles, continues to be an area requiring close management.
- Climate and Environmental Risks: The Council is committed to climate action, but this brings both cost and opportunity.

These risks are mitigated through a range of management actions, including active budget monitoring, scenario planning, and the maintenance of reserves at a prudent level. The Council also has a strong culture of in-year corrective action, ensuring that pressures are tackled early and recurrently.

Robustness of estimates

Forward projections on funding, pay and inflation are challenging in this current environment, with macroeconomic and geopolitical events having the potential to cause significant volatility to key assumptions. Local government funding settlements returning to multi-year settlements going forward are positive and will aid financial planning over the medium-term, albeit with a significant reduction in grant funding.

Key assumptions made for the MTFS, taking into account expert forecasts and internal assessments are shown as below-:

Key Assumptions-:

	2026/27	2027/28	2028/29	2029/30
Pay inflation (%)	3.0%	2.0%	2.0%	2.0%
Price inflation (%)	3.0%	2.0%	2.0%	2.0%
Council Tax increase - General	0.0%	2.0%	2.0%	2.0%
Council Tax increase – ASC precept	2.0%	2.0%	2.0%	2.0%

Further capacity to manage risk is contained within ongoing contingency and general inflation budgets, as well as allocated reserves.

Income to the Council has also been challenged through the wider economic pressures and the legacy of slow recovery post-covid. The Council now publishes a register of all fees and charges annually with a review of changes into the next financial year. Further development of the Council's commercial programme is envisaged to aid the council's financial resilience.

The Council must have regard to the major risks to its financial position and in particular:

- Maintaining effective management and delivery of services at a time of escalating price inflation
- The current economic position including the cost-of-living crisis and volatile levels of prices inflation.
- The envisaged financial implications of exiting our PFI arrangements in less than 4 years which will have a medium-term call on reserves to manage the transition.
- Maintaining robust and effective budget setting and monitoring processes demand pressures on the budget
- Delivering against the Council's priorities
- Identifying and achieving cost and income improvements
- Managing the decrease in funding over the MTFS period driven by the Fair Funding Review 2.0, ensuring a robust programme of transformation is in place over this period.

- The ongoing impact of changing working practices and impact on income generation continuing since the pandemic.

Savings proposals included in this report and in previous reports for implementation over the MTFS period have been reviewed and challenged in terms of deliverability and have impact assessments included in this pack. Merton has a good track record of savings delivery and currently forecasts 89% delivery for this year. It is imperative this focus on delivery is maintained over the MTFS period with clear savings delivery plans in place.

Reserves

The forecast balance of earmarked reserves at year-end 2025/26 is £84.906m. At the end of the MTFS period 2029-30 it is forecast to be £81.893m. The General reserve is £14m which represents a sufficient balance for the level of risk the council faces and the size of the budget.

Reserves are considered healthy, and as of CIPFA's most recent Resilience index date (outlined in this report) show levels present positively when measured against statistically similar authorities and represent low risk. Furthermore, the Council does not rely on reserves to set a balanced budget.

The forecast the forecast budget monitoring position for 2025/26 is showing a £0.785m overspend as at period 9, but with further measures of mitigations it is expected the outturn is near to on-budget, subject to any significant emerging cost pressures.

This is compared to an overspend last year of £2.521m which was ultimately taken from earmarked reserves at year end. The strong financial performance in 2025/26 has been as a result of robust financial management and investment of growth into service pressures. This MTFS outlines further measures to invest back into services not only for budget pressures but growth to support the council's housing and regeneration programme, as well as investing into the digital team to drive forward future transformation.

It is clear that wider service pressures do remain, as set out in this statement and with further savings to identify and deliver there is strong financial management required to mitigate the risk of overspending. Close financial monitoring and strong preventative action will continue.

As referred to previously, it is clear that without changes to the SEND system, the size and worsening position of the DSG represents an inherent danger to the Council's earmarked reserve balances and presents a significant risk to the Council's financial position in the medium term. With current projections on the DSG deficit, at the expiration of the accounting override at the end of 2027/28, reserves will not be sufficient in 2028/29 to cover the deficit that will be accrued. However, the announcement in the Final Settlement of a High Needs Stability Grant is positive and welcome and should be beneficial to the Council, but further clarity is awaited in

2026/27 of Merton's allocation, treatment of unfunded elements of the deficit and the treatment of deficits up until the override.

This, coupled with the Council's efforts to be effective in implementing its plans at managing its overspend position and tackling the DSG deficit, alongside a government review of the DSG being positive for local authorities, the Council has sufficient reserves over the life of the MTFS having eliminated any dependency on them to balance the budget.

The Council's reserves and their usage is linked to both the capital and revenue budget. A list of the current reserves held by the Council is attached at Appendix 8.

Taking into account this MTFS report and assessment of risk set out in this statement , the levels of reserves are sufficient to provide a reasonable level of mitigation for the risks that the council faces over the medium-term and are currently adequate for 2026/27.

Governance and Financial Management Framework

Merton Council operates within a robust framework of financial management and internal control. Standing orders, financial regulations, and codes of practice guide financial decision-making at all levels. Regular in-year budget monitoring, including reporting to Cabinet and scrutiny committees, ensures transparency and accountability. The Council has a well-established internal audit function and benefits from external challenge through its appointed auditors and sector peers.

Monitoring arrangements are comprehensive, and variances are reported promptly. Corrective actions are identified and implemented by managers with oversight from the Corporate Management Team. This ongoing scrutiny is vital to the continued robustness of the Council's financial position and underpins my confidence in both the estimates and the wider financial strategy.

Summary

Chief Officers have reviewed their budgets in line with departmental finance officers and are confident that the budgets set for their services are robust and, together with the corporate contingency, will meet the strategic objectives and performance targets set out in this MTFS. Further, sufficient controls and governance is in place to effectively monitor and manage the Council's finances.

In summary, it is the view of the Chief Financial Officer (being the Executive Director, Finance and Digital) that the estimates are robust for the purposes of the required budget/council tax calculations for 2026/27 and that the Council's reserves are adequate in setting the budget for 2026/27.

MTFS 2026-30:				
	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000
Departmental Base Budget 2025/26	**242,585**	**242,585**	**242,585**	**242,585**
Inflation (Pay, Prices)	11,526	17,089	23,821	29,433
NI increase - Pay and contract costs	1,300	1,300	1,300	1,300
Pension Fund Revaluation	96	120	144	168
FYE – Previous Years Savings	(2,715)	(4,071)	(4,344)	(4,344)
FYE – Previous Years Growth	43	81	81	81
Amendments to previously agreed savings/growth	0	0	0	0
Change in Net Appropriations to/(from) Reserves	(3,753)	(4,313)	(4,313)	(4,313)
Taxi card/Concessionary Fares	911	1,759	2,550	3,194
Change in depreciation/Impairment (Contra Other Corporate items)	0	0	0	0
Social Care - Additional Spend offset by grant/precept	2,581	5,202	7,861	10,560
Provision - Service pressures	5,067	5,740	5,740	5,740
DSG Safety Valve	1,811	2,165	0	0
Contract increases	1,200	1,200	1,200	1,200
Other	748	828	908	988
Re-Priced Departmental Budget	**261,400**	**269,684**	**277,532**	**286,592**
Treasury/Capital financing	(981)	128	2,331	4,972
Other Corporate items	(25,359)	(26,005)	(26,007)	(26,004)
Levies	433	433	433	433
Sub-total: Corporate provisions	**(25,907)**	**(25,444)**	**(23,243)**	**(20,599)**
Sub-total: Repriced Departmental Budget + Corporate Provisions	**235,493**	**244,240**	**254,289**	**265,993**
Savings/Income Proposals 2026/27	(10,402)	(11,027)	(11,277)	(11,477)
Sub-total	**225,091**	**233,213**	**243,012**	**254,516**
Appropriation to/from departmental reserves	(560)	0	0	0
Appropriation to/from Balancing the Budget Reserve	0	0	0	0
BUDGET REQUIREMENT	**224,531**	**233,213**	**243,012**	**254,516**
Funded by:				
FAIR FUNDING				
Revenue Support Grant	(44,205)	(44,029)	(37,821)	(37,821)
NNDR:				
Baseline Funding Level	(31,637)	(32,362)	(33,015)	(33,015)
Local Authority Better Care Grant	(6,180)	0	0	0
FAIR FUNDING ALLOCATION				
CONSOLIDATED GRANTS ASSUMED IN CORPORATE FUNDING				
Homelessness, Rough Sleeping, Domestic Abuse Grant	(2,367)	(2,475)	(2,570)	(2,570)
Other Corporate grants:				
PFI Grant	(4,797)	(4,797)	(4,797)	(2,998)
Extended Producer Responsibility Scheme	(3,252)	(3,252)	(3,252)	(3,252)
Council Tax and Collection Fund:				
Council Tax inc. WPCC	(132,160)	(138,348)	(144,621)	(150,981)
Collection Fund – (Surplus)/Deficit	66	0	0	0
TOTAL FUNDING	**(224,532)**	**(225,263)**	**(226,076)**	**(230,637)**
GAP including Use of Reserves (Cumulative)	**0**	**7,951**	**16,936**	**23,879**

Building a Better Merton Together

Merton as a borough has a huge amount to offer those who live, work or visit here. It is one of the greenest boroughs in London and has plenty of parks, green spaces and rivers offering easy access to nature. It is extremely well connected to central London, as well as neighbouring boroughs and the Surrey Hills. Each year, 500,000 visitors come to our borough to enjoy the Wimbledon Championships, which have been held since 1877 at the All-England Club. Merton is also proud to be the home once more of AFC Wimbledon in the Plough Lane stadium.

We are a growing and diverse borough – Merton is home to 215,187 people, an increase of 7% over the last 10 years, and the population is made up of a broad range of different communities. One third of residents were born outside the UK and the most common languages spoken after English are Polish, Tamil, Portuguese and Urdu, which reflects the Polish, European, South American and Asian communities that have made Merton their home.

We have always strived for Merton to be a great place to raise a family. There is excellent support for children and young people and almost all our schools are rated either good or outstanding. We are one of the safest boroughs in London, and we have worked hard to prevent homelessness and maintain the lowest number of households in temporary accommodation of all London's boroughs. However, we know there is more to do to make Merton a better place to live for everyone.

If we want to achieve the goal of nurturing civic pride in Merton, this must be truly felt and experienced by all communities across the borough. Parts of Merton have higher levels of overcrowding, poorer health, deprivation and poverty and a greater proportion of lower-income households that are more affected by the rising cost of living. We will target our delivery to address these disparities and to make sure that investment, support, and action goes to the right places and makes a difference.

We have shown that we work best when we work together and that will become even more important in the years ahead. The council cannot achieve these ambitions alone but will need to work closely and collaboratively with communities, businesses, and partners on a local and London-wide level to build a better Merton together.



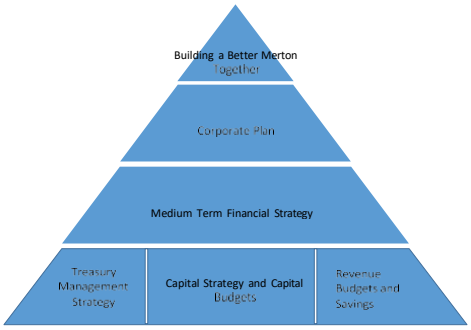
Councillor Ross Garrod, Leader, Merton Council



Councillor Stephen Alambritis MBE, Lead Member Finance & Corporate Services

Strategic Planning Framework

The Capital Strategy is an integral part of the Council's Strategic and Financial Planning Framework:



The Corporate Plan is specific to Merton Council and sets out the council's vision and ambitions for improvement over the next four years and how this will be achieved. Corporate Planning and financial planning frameworks are closely aligned and integrated.

The Medium Term Financial Strategy (MTFS) is a 4 year plan which sets out our commitment to provide services that meet the needs of people locally, and represents good value for money. It links our council vision and priorities with forecasted resources and budgets. This shows how our finances will be structured and managed to ensure they support our priorities, and those of our partners. It incorporates the medium term impact on rate payers of activity within both the Capital Strategy and the Treasury Management Strategy Statement.

Capital Strategy - The importance of having a meaningful and comprehensive Capital Strategy is recognised by the Chartered Institute of Public Finance and Accountancy's (CIPFA) in both its Prudential Code (2021) and Capital Strategy Guidance. It provides a high level overview of how capital expenditure, capital financing and treasury management activity contributes to the provision of services, along with an overview of how associated risk is managed and what the implications might be for future financial sustainability.

Treasury Management Strategy Statement (TMSS) summarises the management of the council's cash flows, its banking, money market and capital market transactions and the effective control of the risks associated with those activities and the pursuit of optimum performance consistent with those risks.

Strategic Themes

The Corporate Plan sets out the key themes, for analysing the capital programme two further areas have been added to the strategic priorities identified in this plan, they are the corporate change programme and corporate items:



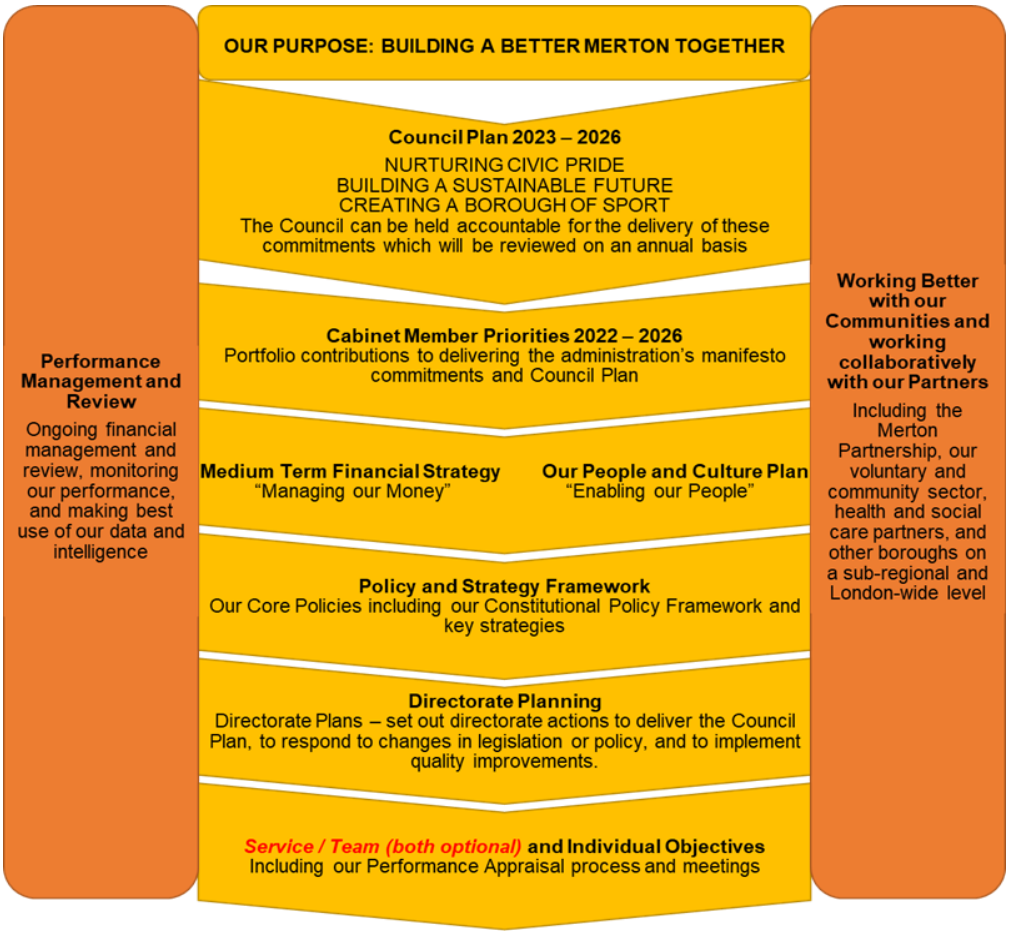
Underneath these five Themes sit a set of priorities which we would work with our partners to develop and deliver on. As a Council we continue to respond to these challenges making sure we position ourselves to recover as quickly as possible from its effects. Strong financial management is at the heart of the Capital Strategy enabling it to play a key role in the Council's response.

Summary of the Number Strategic Priorities, Initiatives and Performance Indicators

Strategic Priority	Priorities	Initiatives	Indicators
Nurturing Civic Pride	9	37	13
Building a sustainable future	7	31	17
Creating a Borough of Sport	4	11	4
(Core service delivery)			13

The Golden Thread

The Golden Thread is a performance model that aligns business goals to measures of success. The Golden Thread is the link between vision, analysis, systems and people, amounting to a shared understanding of how the vision, goals and values of the organisation relate to daily work. The diagram details how this operates in Merton:



Capital Strategy

The Council recognises the vital contribution its Capital Strategy plays in the economic growth of the borough. The significant and strategically planned investment shows that Merton is an ambitious borough looking to invest in improvements of placemaking to create an economic resilience which allows both local business and communities to thrive. It also welcomes the opportunity to work with the private sector to deliver its priorities and for the private sector to see Merton as a place it wants to invest in. The Council recognises that it needs to leverage private investment to create a resilient local economy and deliver the best outcomes for residents and businesses.

In developing the Capital Strategy, clear linkages have also been identified with not only the Corporate Plan, MTFS and TMS but departmental service and commissioning plans beneath this. It reflects the capital investment implications of the approved objectives of those plans, which themselves reflect the council's proposals set out in service based strategies such as the Primary Places Strategy, Local Implementation Plan (Transport), and Asset Management Plans.

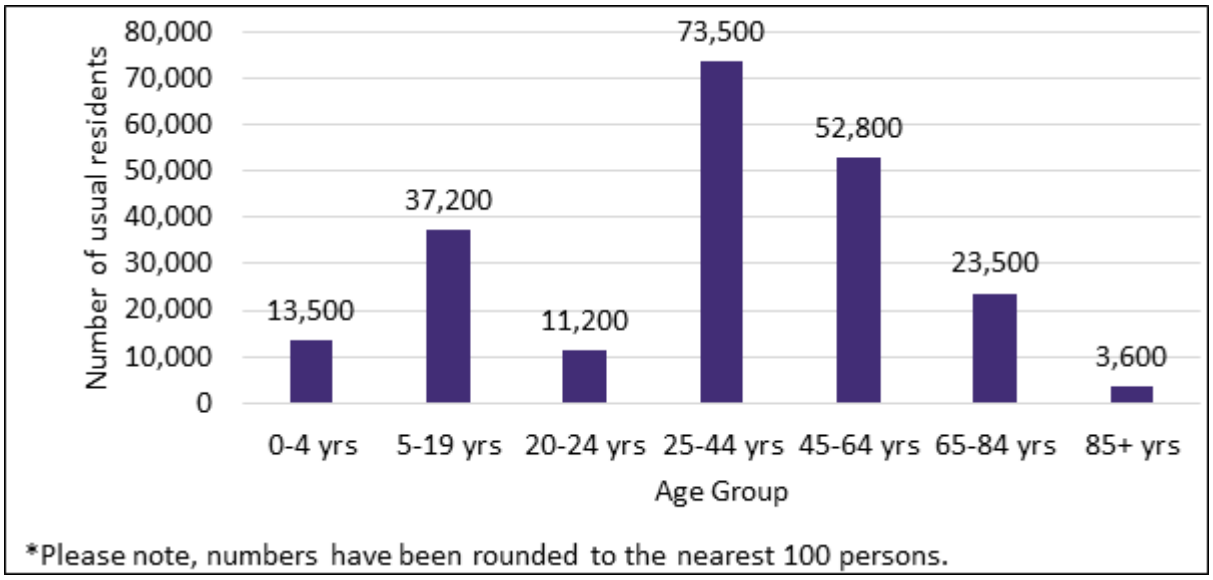


Evidence of Need

Merton is an outer London borough. The 2021 Census data shows Merton's resident population as 215,200 (which is the actual number as opposed to a projection from previous years' data). In 2022 Merton had a resident population of 205,820 according to the housing led projections which is predicted to increase to 214,999 by 2035

According to the 2021 Census Merton has a higher number of young working age population (73,500) compared to the housing led projection (64,958)

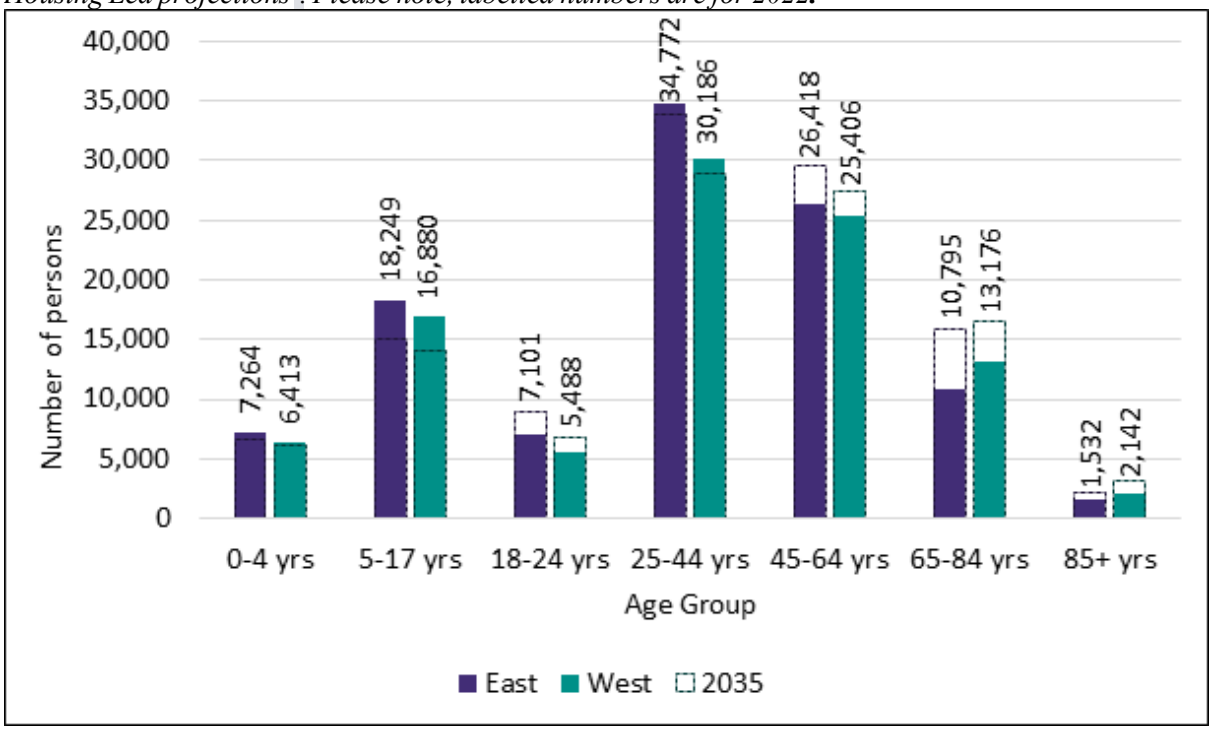
The number of usual residents in the Merton population by age groups. Source: Office for National Statistics, Census Data 2021.



The Chart over the page represents the numbers of people by age group and East/West Merton as well as the projected numbers by 2035. Currently, East Merton has a younger population and a higher number of residents in the 25-44 year old working age population compared to West Merton with an older population and higher numbers of residents in the 65 year and over population. By 2035 projections indicate that East Merton will continue to have higher numbers in the younger working age population compared to West Merton, but numbers will be balanced in the older age group population between East and West Merton.

The population of younger age groups (0-17 year olds) is projected to decrease from 48,806 in 2022 to 41,950 by 2035, the working age groups (25-64 years) is projected to increase from 116,782 in 2022 to 119,655 by 2035 and the population of older age (65 years and over) is projected to increase from 27,645 in 2022 to 37,713 by 2035.

Numbers of residents in East and West Merton by age group in 2022 including 2035 projections, Merton Housing Led projections[1]. Please note, labelled numbers are for 2022.



By 2035, the largest increases in the numbers of residents can be seen generally in the older age groups, whereas children and young people aged 5-17 years will decrease. Local research supports the increasing need identified in the London Plan for housing designed for older people, including sheltered and extra-care.

The Local Plan sets out that the council will plan for 11,732 new homes over the 15 year plan period from 2021 to 2036. Delivery of this housing is required to meet the needs of the increase in population and growth; projected to be an overall increase of approximately 16,600 people.

The Infrastructure Delivery Plan identifies the anticipated strategic requirements for the provision of a range of different infrastructure types across the borough. These include transport, health, education, green and blue infrastructure, sport and leisure, community, utilities, climate change, economic development and emergency services.

The council must ensure that the necessary infrastructure required to support new residential and commercial development throughout the borough can be delivered at the right time, therefore addressing any existing shortfalls in provision.

We have co-designed a methodology with our partners to improve how we work with our local communities and use local, council and partner assets and resources. This work was undertaken with Collaborate CIC, one of the leaders in the field of collaboratively designed public services and produced ‘Working Better with Communities’ framework. This model takes what we learned from how we worked differently with partners during the pandemic, feedback from community groups and best practice from Merton and elsewhere to offer a guide to how we can work differently with communities.

The commissioning of our new multi-million-pound Civic Pride Fund: Supporting the Voluntary and Community Sector has provided a valuable opportunity to this put this framework into practice. The fund invests in social infrastructure at a neighbourhood level and supports our voluntary groups.

Strategic Theme 1 - Nurturing Civic Pride

Civic pride is about the relationship that people and communities have with a place – not only their physical surroundings but also their feelings of identity and belonging. By nurturing civic pride, we want people to be proud of their local area, feel more connected to their community, and get more involved in making Merton a great place to live, work and visit. That means getting the basics right so that all residents across the borough can benefit from cleaner streets, vibrant high streets, good schools, and safe neighbourhoods. It is also about everyone taking pride in their borough, which means becoming a fairer, more equal and inclusive place.

There are 8 established priorities in this area which detailed below, capital investment is being utilised to deliver them where necessary

1. **We will put residents at the heart of everything we do, and be responsive and resident-centric in our approach to customer service, communication, and engagement**
2. **Residents, businesses and visitors will enjoy clean, safe and welcoming places across the borough -** the proposed capital programme includes £11 million investment in our Waste and Recycling Depot and £15 million for the replacement of the bulk of the waste and cleansing fleet with a carbon neutral alternative.
3. **Existing businesses are supported, and new businesses, talent and investment will be attracted to the borough -** the proposed programme provides £37 million investment in regeneration throughout the borough.
4. **More residents will be able to access secure and well-paid employment in a local economy that is fairer and more inclusive**
5. **Town centres will attract more footfall, events and investment, becoming better places to visit, do business and live -** the approved programme 2026-30 contains £9 million (including the £4 million for Morden Regeneration) of regeneration schemes spread throughout the borough.
6. **Merton will be a thriving place for voluntary and community organisations where giving back is valued and encouraged**
7. **Fantastic educational provision and support gives children the best start and equips residents of all ages with the skills and qualifications to succeed** – the approved capital programme 2026-30 includes £9 million for the expansion of Special Educational Needs Places in the borough.
8. **Residents across Merton will be supported through the cost-of-living emergency**
9. **We will continue to embrace diversity across the Borough**



Strategic Theme 2 - Building a Sustainable Future

Working towards a greener, more sustainable, and resilient future for the borough means better housing, action on climate change, and support for the health and wellbeing of our communities. Accelerating the supply of affordable and sustainable homes is a top priority for the council. Alongside this priority, we will push for better standards in private and social housing and work with Integrated Care partners to make sure that local health provision meets the needs of communities across Merton.

There are 7 established priorities in this area which detailed below, capital investment is being utilised to deliver them where necessary:

1. **New developments deliver more affordable housing and exhibit design excellence -** Like other London boroughs, Merton faces a housing crisis with increasing numbers of households in temporary accommodation and too many people living with high housing costs and poor-quality accommodation. The approved capital programme 2026-30 includes £88.5 million for the provision of affordable housing, £19 million for the provision of an enhanced learning disability day centre with housing above and £35m investment in the purchase of temporary accommodation to reduce the financial pressure on revenue budgets
2. **A borough where residents can live in good quality housing**
3. **Our environment and parks will be protected, restored, and well *managed* -** *the approved capital programme 2026-30 includes £2m investment in Parks and Trees Funding.*
4. **The council will aim to reach net zero by 2030**
5. **Take-up of alternative and sustainable modes of transport increases**
6. **Air quality across the borough will improve**
7. **Equal access to local health services in Merton**

Climate Emergency

On 10th July 2019, Merton Council passed a motion to declare a Climate Emergency and set an ambitious carbon reduction target to make the London Borough of Merton carbon neutral by 2050. In order to lead by example, Merton Council has also set a target to decarbonise its own buildings and services by 2030

The capital investment required to achieve the carbon reduction target can be divided into four main areas:

1. Buildings – the number of operational buildings needs to be rationalised, and the Authority needs to invest in the remaining buildings to make them carbon neutral – surveys are currently being undertaken on Merton owned property the results will inform the rationalisation process. The capital programme includes £3m (total scheme £5 million) for the upgrading of the Civic Centre boilers.
2. Vehicles – the approved capital programme includes £13 million to decarbonise the waste and street cleansing fleet – and officer are reviewing the options for decarbonisation the whole fleet including the required infrastructure
3. Infrastructure – will consider the changes required to the infrastructure for the devised decarbonisation programme in 1 and 2 above.
4. Other Items not covered in the items above

Strategic Theme 3 - Creating a Borough of Sport

As the home of the Wimbledon Tennis Championships, AFC Wimbledon, the oldest cricket club in the world, and a rugby club that was one of the founding members of the RFU, our borough has a great sporting heritage on which to build. Today, we have an array of parks, tennis courts, sports pitches, leisure centres and a wealth of grassroots clubs and sporting organisations.

We are perfectly placed to establish Merton as a borough of sport and promote healthy, active lives for all our residents. Increasing participation in sport and exercise not only supports better health and wellbeing but can also bring wider social benefits such as greater connectedness and engage young people. By supporting residents of all ages to be active and incorporate more movement into their lives, we can help people to lead more healthier lives and become more independent, particularly those who are older or disabled.

There are four established priorities in this area which detailed below, capital investment is being utilised to deliver them where necessary

1. **Merton's sporting heritage will receive national recognition Increasing participation in sport and physical activity amongst all residents**
2. **All 4- to 16-year-olds and over 65s will have access to weekly sporting and wellbeing activities - t**he approved capital programme 2026-30 includes just over £20.6 million investment in sporting facilities.
3. **More residents will take part in sport and physical activities -**
4. **Investment in sporting infrastructure and promoting healthy activities**

As part of Merton's work to be recognised as London's Borough of Sport, capital funded schemes to improve sporting facilities are already included in the Capital Strategy. The Sport & Leisure Service have recently completed a comprehensive review of sports facilities in the borough and what the future needs will be based on demand. The demand has been scoped from engagement with local sporting organisations and national governing bodies of sport and the Playing Pitch Strategy sets out the long-term facilities proposals for the borough to meet demand. One of the key areas identified is the introduction of a new sports hall at Morden Leisure Centre. Planning approval to build a sports hall at the site was approved when the leisure centre opened in 2018, and the scheme has been reviewed and will require a new planning application to make it fit for purpose for future generation needs. Cabinet, at its meeting of 19 January 2026, approved the Playing Pitch Strategy, requested that officers move forward with the building of a new sports hall including assigning the relevant capital funding.



Corporate Change Programme (4)

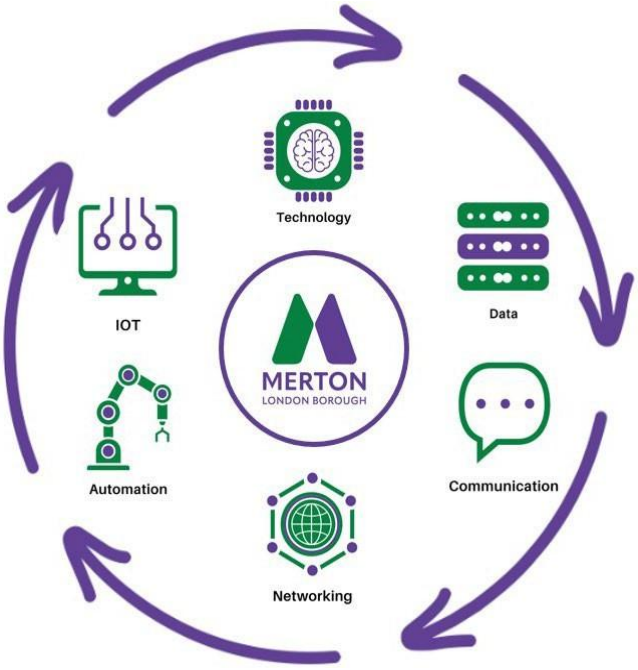
The Corporate Change Programme

The Corporate Change Programme was launched in September 2023 at the Staff Conference. It has four key themes:

- Customer and Digital
- Financial Sustainability
- People and Culture
- Story and Reputation

The Change Team have been recruited internally and will be reporting their progress through to CLT and LSG regularly.

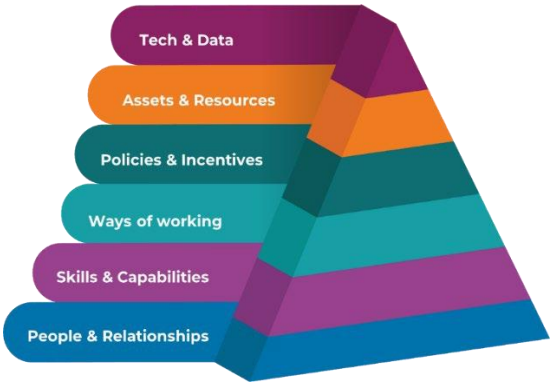
Key to the Corporate Change Programme is Digital Transformation “the act of radically changing how our organisation works, so that it can survive and thrive in a technology and information age by applying the culture, processes, business models and technologies of the connected era to respond to residents raised expectations.”



The Authority will need to determine where it wants to be in the future, identify the barriers and obstacles to achieving those goals and identify what can be implemented to remove those barriers.

Our vision is to develop inclusive, connected and engaged communities and develop digitally-optimised and innovate services. Digital strategy focuses on using innovation, data and technology to improve business performance by improved utilisation of the resources and capabilities available to it. Compiling and implementing this strategy is a key priority for the organisation.

Hierarchy of Public Sector Innovation



By empowering our staff with the capabilities needed in the digital-era, we can, in turn, help our less confident residents benefit from digital services and technologies.

Our priority is to improve people's lives and we can only do this if we ensure our services are designed with people's needs truly at their heart. Tackling digital exclusion and ensuring our residents have the tools, skills, and technology to participate in today's society. Providing fast, reliable internet availability throughout the Borough, and the skills to enable our residents to use it.

We recognise that redesigning or building new services requires the collaborative efforts of people across the organisation and out in our communities, and that our data holds valuable information which isn't always immediately visible. By working collaboratively, sharing data appropriately and engaging our communities, we can get the insights and understanding that we need in order to design services which improve people's lives.

The Authority will be reviewing business needs, determining required outcomes, developing a delivery plan and identifying the resources required to deliver those developments. A strategic engagement plan will need to be developed which includes engagement with both internal and external stakeholders. The newly established Transformation Team will manage the consultation and manage the impact across the organisation. The Table over the page provides a summary overview of the work to be undertaken.

Digital Strategy

Services	Data & Insight	Workforce	Digital Inclusion	Technology Estate	Digital Place
User-centred digital services	Data usage	Recruitment and retention	Needs identification	Technology Governance	Smart City
Improve digital presence	IG & data ethics	Agile working methods	Digital inclusion for staff	Interoperability and data access	Digital Economy
Service design capabilities	Data culture	Staff training in digital and data methods	Digital inclusion for residents	Procurement	Digital Infrastructure
Digital democracy	Data quality	Tools for staff	Local Partnerships	Cyber security	
Emerging tools and practice	Advanced data methods	Effective hybrid working		Emerging Tech	

Residents have told us they want to be involved in decisions that affect the things that matter most to them, such as their high streets, parks and local services. They want to maintain and build on the community spirit that saw us through the pandemic where thousands of residents, businesses and local organisations helped support some of our most vulnerable residents. We want to harness this collaborative spirit to work with residents, businesses and local organisations and build a better Merton together.

Our new Community Engagement strategy will change our approach to engaging with residents and enable us to engage more directly. We will be expanding the use of new and existing digital channels to engage with residents on a regular basis and seek their views on a range of topics. We will also bring in new ways for residents to talk with us and each other, including an annual Question Time for the Leader and Cabinet in each town centre and more support for community groups that hold consultations with residents.

At present, in relation to capital expenditure the corporate change programme mainly relates to information technology.



Corporate Items (5)

The authority retains three corporate budgets to maximise its flexibility and agility these are:

1. Acquisitions Budget £1.4 million for the purchase of land and buildings to aid the delivery of capital schemes
2. Capital Bidding Fund £0.7 million to provide match funding to lever in external funding for capital schemes
3. Capital Contingency £1.1 million to offset funding shortfalls in capital schemes

In addition to these contingencies the capital programme contains provision the reprovision of multi-function devices and multi-authority projects.

Merton's Facilities Management Department have been tasked with reviewing building condition and statutory compliance data to provide service/cost efficiencies and long-term, strategic and operational improvements and savings. This, to ensure

a) Effective Corporate Safeguarding
b) Negate and mitigate excessive 'reactive' expenditures, and
c) To improve our logistical, operational and budgetary liabilities in relation to our operational property portfolio.

Early indications within ongoing audit have highlighted the tangible requirement for availability to capital sum(s) that can address – at pace (as legally dictated 'in a timely manner' protocol) any non-compliances and statutory betterments as highlighted within such ongoing reviews, audits and reports.

Statutory Compliance (predominantly Fire Safety) liabilities have been directly cited as a direct and/or significant causation within multiple Section 114 Notices over the last 24 months and Merton is taking the proactive and pragmatic approach to review, forecast, programme (in prioritised stages), budget and implement such Capital necessities before such Regulatory and Financial issues can occur.



External and Partner Influences

The Council's capital investment plans are influenced by a number of external parties and factors: central government and its agencies, legislation requiring capital works, partner organisations, businesses developers and by the needs and views of other interested parties, particularly those of Borough residents

Government sponsored initiatives and programmes will influence the projects which the Council will include in its capital investment plans. In particular, its Housing Investment Programme in which the Council participates with regard to Disabled Facilities Grants, this is a major area of investment where the majority of funding is provided by Government.

The Authority is also working closely with the Greater London Authority and Local Housing associations to secure grant and commence its housing delivery programme.

Transport for London works closely with all London boroughs and community groups to integrate transport planning and operations across the Capital. This results in the provision of ring-fenced funding for work to be undertaken by Merton.

The Authority is working closely with the Department of Education to deliver plans to reduce and contain the increasing revenue pressure from independent sector SEN placements, this is resulting in the provision of additional SEN places within the capital programme.

Where required by legislation to carry out works of a capital nature, such as to comply with the Disablement Disability Act or Health and Safety requirements, or anti-pollution regulations, the Council will consider the most effective way to discharge its obligations and appropriate provision will be made in its Capital Programme once it has determined the necessary work and what can be capitalised.

The Council works with a wide range of partners from the public, private, voluntary and community sectors, all of which have an influence over its spending priorities. Wherever possible the Council will seek to work in partnership with others to deliver its capital investment programme in order to provide facilities which meet its own and partners' needs. When working with the private sector, the objective will be to maximise the benefits to the Council and the community from any projects, both in terms of outputs and in relation to obtaining funding for the project.

Regard will be given to the Council's obligations under Disabled Access requirements in putting forward proposals for capital investment and in the design of any facilities which are proposed. Wherever possible the principles of financial and environmental sustainability will be incorporated into any capital projects.



Property as a Corporate Resource

The Asset Management Strategy provides the overarching aims and framework for managing the Council's property portfolio within the context of the council's corporate priorities.

The Council also works closely with a wide range of partners, such as the health sector, police and education services. The Property Strategy acknowledges the importance of joint working with these organisations and the need to be consistent with the Community Plan and planning framework.

The Council's aim is to maximise the contribution of property assets to the delivery of the councils objectives, with the flexibility to continually adapt to changing demands.

The Financial Aims are to:

- Maximise capital receipts.
- Maximise revenue income.
- Reduce revenue cost.
- Reduce capital expenditure.

The Service aims are to:

- Minimise the amount of office accommodation.
- Improve quality and suitability of property assets.
- Match property to approved service requirements.

It ensures that its properties are fit for purpose by making proper provision and action for maintenance and repair. The organisation makes investment and disposal decisions based on thorough option appraisal. The capital programme gives priority to potential capital projects based on a formal objective approval process.

Whole life project costing is used at the design stage for significant projects where appropriate, incorporating future periodic capital replacement costs, projected maintenance and decommissioning costs.

The Asset Management Plan/Strategy is being reviewed and will include greater emphasis on the use of the council's property assets to support the council's Transformation Programme, regeneration and increased income/revenue generation.

The Authority use the CIPFA Fixed Asset IT System to manage, maintain and account for its fixed assets, Property Management, Facilities Management and Capital Finance utilise the system.

Under the requirements of the Localism Act 2011 parish councils and local voluntary and community organisations have the right to nominate local land or buildings they would like to see included in a list of assets of community value which is maintained by the Local Authority. Once listed the owner must allow community interest groups up to six months to make an offer before the property can be sold to another. It is envisaged that this may lengthen the disposal time for some properties if they are listed as assets of community value by the council.

Capital Investment Mapping

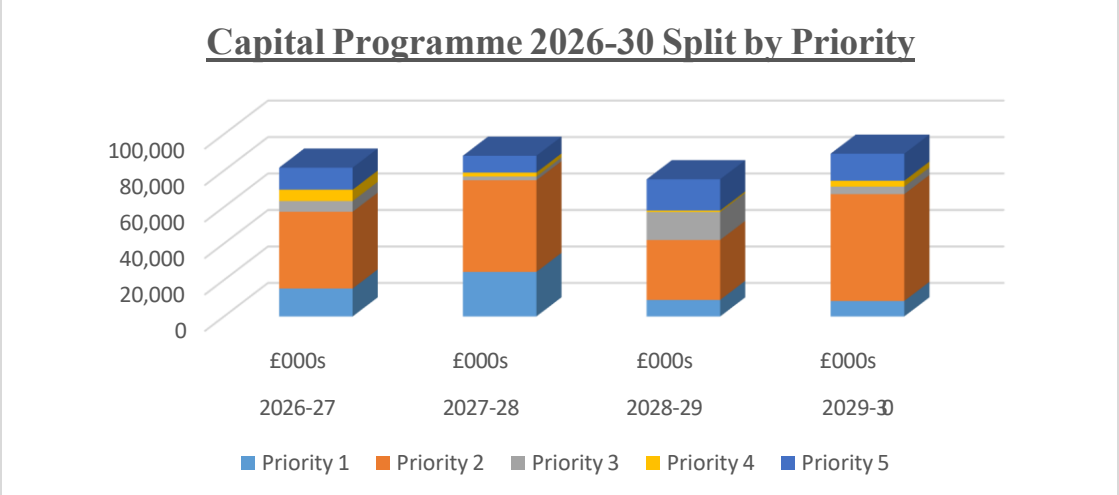
The Authority has the following identified priorities:

1. Nurturing Civic Pride – is about the relationship that people and communities have with a place this includes their physical surroundings and feelings of identity and belonging.
2. Building a Sustainable Future - Working towards a greener, more sustainable, and resilient future for the borough means better housing, action on climate change and supporting the health and wellbeing of our local communities.
3. Creating a Borough of Sport - From internationally renowned organisations like the All-England Club to grassroots clubs and organisations like Tooting and Mitcham FC, we want to strengthen our partnerships with sports clubs, organisations and businesses across the borough and promote increased participation in sports and activity.
4. Corporate Change Programme - comprising Customer and Digital (including the Digital Strategy), Financial Sustainability, People and Culture and Story and Reputation.
5. Corporate Budgets

The table analyses the priority information contained in Annex 3, showing the investment in each priority:

Capital Programme 2026-30 Split by Priority

Priority	2026-27	2027-28	2028-29	2029-30
	£000s	£000s	£000s	£000s
1	15,302	24,404	9,060	8,487
2	42,110	50,285	32,860	58,606
3	5,899	2,009	15,300	4,100
4	6,200	2,203	858	3,230
5	12,084	9,225	17,133	14,825
Total	**81,596**	**88,126**	**75,211**	**89,248**



Capital Investment Planning

Capital resources 2026-30

Capital expenditure is funded from a variety of sources:-

- Grants which are not ring-fenced to be spent on a specific project or service
- Specific grants - earmarked for a specific project or purpose
- Capital receipts from the disposal of surplus and under-utilised land and property and repayment of principal
- Other contributions such as Section 106/CIL
- Council Funding – through revenue funding, use of reserves or borrowing.

Capital receipts

Capital receipts generated from the disposal of surplus and under-utilised land, property and other assets are a major source of funding and the potential available capital resources are under constant review and revision. The forecast of capital receipts included in this report are based on a forecast of planned land and property disposals. In addition, after the transfer of the housing stock to Merton Priory Homes, the council continues to receive a share of the receipts from Right to Buy applications and through future sharing arrangements, receipts from the sales of void properties, sales of development land and VAT saving on expenditure on stock enhancements (ceasing March 2025).

Projected Capital Receipts

Much of the anticipated capital receipts are as a result of the VAT shelter agreement entered into with Merton Priory Homes as part of the housing stock transfer. There are current proposals for some of the properties under this agreement to be redeveloped which could result in a reduction in receipts from the VAT shelter agreement (ends in the financial year 2024/25), however a Development and Disposals Clawback Agreement was entered into as part of the same transfer and this could result in a significant capital receipt should these development plans go ahead.

The following table represents an estimate of an anticipated cash flow and therefore these future capital receipts have been utilised to fund the capital programme:-

Anticipated Capital Receipts	**2025/26**	**2026/27**	**2027/28**	**2028/29**	**2029/30**
	£000s	**£000s**	**£000s**	**£000s**	**£000s**
CHAS - Merton Legacy Fund	0	3,000	3,000	3,000	6,000
CHAS - Morden Town Centre Regen	0	0	0	0	30,000
Right to buy/VAT Shelter	3,981	2,079	279	0	0
Total	**3,981**	**5,079**	**3,279**	**3,000**	**36,000**

Based on forecast capital expenditure and impact of the DSG deficit it is estimated that the Authority will need to start to externally borrow in 2028-29, this may be delayed if additional sources of funding for the existing capital programme are identified. Average expected interest rates on investments across the years of the capital programme are approximately 3.5%, as such an increase in receipts of £1m would be expected to generate a £35,000 increase in interest in a full year.

Grant Funding

The Table below summarises the allocated grants being utilised to fund the budgeted proposed capital programme over the planning period:

Grants	2025/26 £000s	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Transport for London LIP (earmarked) Capital	1,143	0	0	0	0
Department for Transport	608	1,859	1,660	1,776	2,037
Sustainable Planters	50	0	0	0	0
TOTAL: E,CP&C	**1,801**	**1,859**	**1,660**	**1,776**	**2,037**
School Condition Grant (semi-ringfenced)	3,521	2,913	2,500	2,500	2,500
High Needs (ringfenced)	5,513	1,987	7,131	0	0
Family Hubs	80	71	73	74.2	0
Devolved Formula Capital (Earmarked)	358	TBA	TBA	TBA	TBA
Childcare Expansion	30	116	0	0	0
Sixth Form Expansion Grant	0	0	0	0	0
TOTAL: C,LL&F	**9,501**	**5,087**	**9,704**	**2,574**	**2,500**
LAHF Homeless Grant	7,115	3,900	2,661	6,033	2,424
Disabled Facilities Grant	1,792	1,400	1,400	1,153	0
Disabled Facilities Grant Estimated Allocation	0	0	0	247	1,400
Grant for the Demolition of Farm Rd Church	130	0	0	0	0
GLA Affordable Housing Grant	20,665	10,649	17,587	2,433	6,804
TOTAL: H&SD	**29,703**	**15,949**	**21,648**	**9,866**	**10,628**
TOTAL GRANT FUNDING	**41,005**	**22,896**	**33,013**	**14,217**	**15,165**



Contributions

The Table below summarises the budgeted contributions being utilised to fund the proposed capital programme over the planning period:

Capital Contributions	2025/26 £000s	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Strategic Community Infrastructure Levy	4,404	7,992	12,833	1,840	3,500
Neighbourhood Community Infrastructure Levy	586	357	150	0	0
Section 106 Agreements	3,748	100	2,309	0	0
School Contributions	236	4	0	0	0
Clarion Contributions to fund CPOs	330	0	0	0	0
Other Contributions	675	1,666	493	0	0
Total Used to Fund the Programme	**9,978**	**10,119**	**15,785**	**1,840**	**3,500**

In accordance with the Community Infrastructure Levy (CIL) Regulations the Authority is required to provide an Annual Infrastructure Funding Statement which provides analysis of income and expenditure in relation to CIL and Section 106

It is envisaged that the budgeted capital programme will slip, the table below shows the expected outturn position and the summary funding position. Balances held by the authority will generate interest until utilised to fund the capital programme (detail in Annex 2).

Capital Expenditure	2025/26 Estimate £000's	2026/27 Estimate £000's	2027/28 Estimate £000's	2028/29 Estimate £000's	2029/30 Estimate £000's
Capital Expenditure	**85,391**	**81,596**	**88,126**	**75,211**	**89,248**
Slippage and Underspends	(28,713)	(27,000)	(32,402)	(7,636)	(6,287)
Total Capital Expenditure *	56,678	54,596	55,725	67,576	82,961
Financed by:					
Capital Receipts *	3,901	3,179	2,103	2,770	20,737
Capital Grants & Contributions	39,273	33,941	31,318	30,122	22,694
Revenue Provisions	2,082	201	86	58	36
Net financing need for the year	**11,422**	**17,274**	**22,217**	**34,625**	**39,494**

* Currently excludes finance leases will be amended to include them

The total anticipated resourcing of the capital programme after allowing for slippage is summarised in the following table:-

	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Grant & Contributions *	33,941	31,318	30,121	22,694
Council Funding	20,654	24,406	37,453	60,267
Total	**54,596**	**55,725**	**67,574**	**82,960**

* This table shows the grants and contributions applied to fund the programme after allowing for slippage.

Impact of the Capital Programme on Revenue

The capital strategy recognises that the prudential framework provides the council with flexibility, subject to the constraints of the council's revenue budget. This flexible ability to borrow, either from internal cash resources or by external borrowing, coupled with the revised treatment of finance leases with effect from 1 April 2010 and 1 April 2024, means that prudential borrowing is used for the acquisition of equipment, where it is prudent, affordable and sustainable. Since 2006/07 it has been possible to borrow from internal cash resources rather than external borrowing and it is forecast that this will continue to be the case until 2028/29.

The revenue effects of the capital programme are from capital financing charges and from additional revenue costs such as annual maintenance charges. The capital financing charges are made up of interest payable on loans to finance the expenditure and of principal repayments on those loans. The principal repayments commence in the year after the expenditure is incurred and are calculated by the application of the statutory Minimum Revenue Provision. The interest commences immediately the expenditure is incurred. The revenue effects of the capital programme are fully taken account of in the MTFS, with appropriate adjustments for slippage, timing of capital payments and the use of internal investment funds.

Annual Minimum Revenue Provision (MRP) Statement

Under guidance from the Department for Communities and Local Government, authorities are required to prepare an annual statement on their policy on making MRP. This mirrors the existing requirements to report to the council on the Prudential borrowing limit and investment policy. The statement is set out in Section 2.7 of the TMSS.

The revenue effects of the capital programme are built into the MTFS and are summarised below:

MTFS March 2025	**2025/26 £000s**	**2026/27 £000s**	**2027/28 £000s**	**2028/29 £000s**	**2029/30 £000s**
MRP	5,085	6,066	6,860	8,534	9,681
Interest on Borrowing	2,553	2,553	2,365	2,245	2,663
Total Borrowing Costs	**7,638**	**8,619**	**9,225**	**10,779**	**12,344**
Interest on Investments	(8,686)	(8,586)	(8,575)	(8,575)	0
CCLA Investment Two Loans @ £10m	(323)	(323)	(323)	(323)	(323)
Total Borrowing Costs Net of Investment interest	**(1,371)**	**(290)**	**327**	**1,881**	**12,021**

Proposed Programme Business Plan 2025-30	**2025/26 £000s**	**2026/27 £000s**	**2027/28 £000s**	**2028/29 £000s**	**2029/30 £000s**
MRP	4,705	5,614	6,912	8,535	10,018
Interest on Borrowing	2,494	2,314	2,126	2,706	3,863
Total Borrowing Costs	**7,199**	**7,928**	**9,037**	**11,240**	**13,881**
Interest on Investments	(7,639)	(6,878)	(5,437)	(4,957)	(2,857)
CCLA Investment Two Loans @ £10m	(1,358)	(1,525)	(1,525)	(1,450)	(1,050)
Total Borrowing Costs Net of Investment interest	**(1,799)**	**(475)**	**2,075**	**4,833**	**9,973**

Movement in Projected Costs	2025/26 £000s	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
MRP	(379)	(452)	52	1	337
Interest on Borrowing	(60)	(240)	(240)	461	1,200
Total Borrowing Costs	**(439)**	**(691)**	**(188)**	**461**	**1,537**
Interest on Investments	1,047	1,708	3,138	3,618	(2,857)
CCLA Investment Two Loans @ £10m	(1,035)	(1,202)	(1,202)	(1,127)	(727)
Total Borrowing Costs Net of Investment interest	**(428)**	**(185)**	**1,748**	**2,952**	**(2,048)**

Debt repayment

The council has had a strategy to reduce its level of debt when opportunity arises in the market. The average interest payable on outstanding debt is 6.1%. For the period 2026-30, capital receipts may continue to be used to pay the premiums on the repayment of those authority debts which have high fixed interest charges, if the terms offered will result in appropriate revenue savings. Any decision to repay debt early will be considered alongside the funding however, this is unlikely to be the case in the short to medium term requirement of the programme.

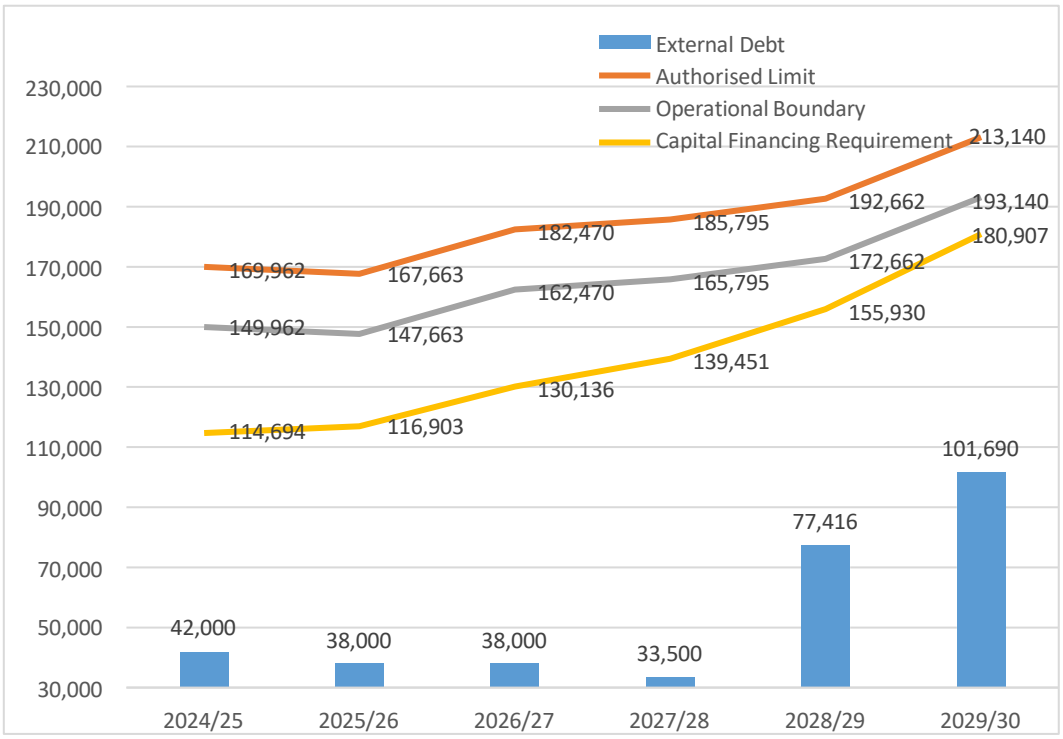
The Table below shows the maturity structure of current external debt

Maturity Structure of Borrowing December 2025		
Length of Time	**Actual %**	**Value £000**
less than 1 year	0%	0
1 to 2 years	11.84%	4,500
2 years to 5 years	0%	0
5 years to 10 years	5.26%	2,000
10 years to 20 years	43.42%	16,500
20 years to 30 years	0%	0
30 years to 40 years	39.48%	15,000
40 years to 50 years	0%	0
Total	**100.00%**	**38,000**

Internal borrowing to fund unsupported capital expenditure will reduce the balances available to invest under the TMSS. In contrast, external borrowing will provide additional balances to invest under the TMSS until utilised.

The chart below shows the debt related treasury activity limits discussed in detail in Section 3 of the TMSS and incorporates the proposed capital programme and funding strategy contained in this document.

Treasury Management Limits on Activity



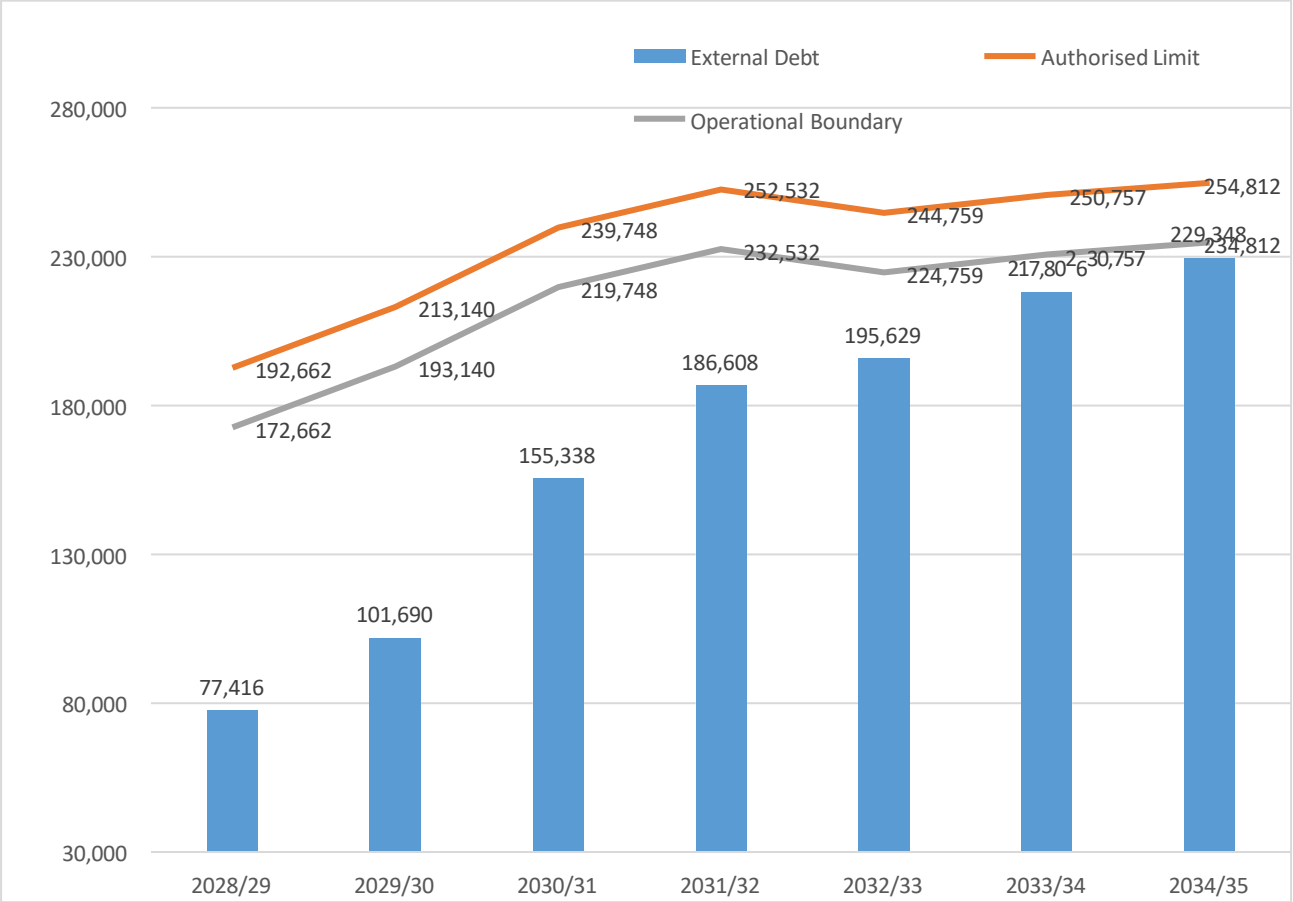
The Table below summarises the Indicative Capital Programme for 2030 to 2035. Additional detail is provided as Annex 5:

Department	Indicative Budget 2030-31 £000s	Indicative Budget 2031-32 £000s	Indicative Budget 2032-33 £000s	Indicative Budget 2033-34 £000s	Indicative Budget 2034-35 £000s
Finance & Digital	4,010	5,430	1,955	770	3,505
ASC, Integrated Care & Public Health	0	0	0	0	0
Children, Lifelong Learning & Families	2,500	2,500	2,500	2,500	2,500
Environment, Civic Pride & Climate	5,056	5,006	5,036	21,248	5,066
Innovation & Change	0	0	0	0	0
Housing & Sustainable Development	2,785	2,785	2,785	2,785	2,785
Total	**14,351**	**15,721**	**12,276**	**27,303**	**13,856**

Please note these figures do not include any allowance of grant funding or expenditure for Transport for London and Disabled Facilities.

For every £1 million capital expenditure that is funded by external borrowing it is estimated that there will be annual revenue debt charges of between £237k for assets with a life of 5 years to £57k for an asset life of 50 years.

The Table below shows the impact of the indicative programme 2028-35 on the Authority's debt:





Capital Investment Strategy for Non-Core Activity

This section of the strategy details the approach adopted in non-core investment activity and sets out how this will help the Authority to deliver its core functions. The definition of Investment covers all financial assets of a local authority as well as non-financial assets that the organisation holds primarily to generate financial returns, such as investment property portfolios.

During the period 2026-30 the Authority is planning the following investment activity:

i) The TMSS sets out the Authority's short to medium term Investment Strategy. This strategy focusses on short to medium term low risk investments.
ii) Having sold the financial interest in CHAS the Authority has utilised the capital receipt to undertake £51.7 million debt redemption, £55 million has been invested into long term gilts and the remaining £78.7 million has been earmarked for legacy investment schemes. Two legacy schemes have been identified £15m for the Merton Legacy Fund and £30m for Morden Regeneration. This leaves a remaining balance of £33.7m available for future legacy schemes.

From 1 April 2018 (financial year 2018/19) the International Financial Reporting Standard 9 (Financial Instruments) came into force. Its purpose was to make accounting for financial instruments more transparent.

Security - The activity in relation to non-core investment will result in:

i) Short to Medium Term investment of available cash resources in low risk low return investment.

Liquidity

i) Short to medium term cash investments can be liquidated easily and will boost the interest generated.
ii) Debt redemption will reduce the MRP annual charge and reduce the annual interest due on loans easing the financial pressure on revenue budgets:

The authority has also loaned money to Merton and Sutton Joint Cemtery and should the Authority need to liquidate this loan it could be sold.

Yield - Expected yield:

i) The TMSS details the yield expected from short to medium term cash investments

In assessing whether investment assets retain sufficient value to provide security of investment officers will be mindful of the fair value model in the International Accounting Standard 40: Investment Property.

Borrowing in Advance of Need

The TMSS details the current and future level of under borrowing by the Authority and sets out the Authority's borrowing strategy linked to this and internal borrowing.

Current indications are that interest rates will start to reduce. Consideration will be given to the timing of required borrowing to minimise the cost to the Authority and with regard to the current debt portfolio shown on Page 22.

Capacity, Skills and Culture

The Authority will where appropriate, buy in expertise to progress loan and investment activity. It is also appropriate in some cases to develop expertise internally.

Flexible Use of Capital Receipts Strategy

Capital receipts can only be used for specific purposes and these are set out in Regulation 23 of the Local Authorities (Capital Finance and Accounting) (England) Regulations 2003 made under section 11 of the Local Government Act 2003. The main permitted purpose is to fund capital expenditure. The use of capital receipts to support revenue expenditure is not permitted by the regulations.

However, the Secretary of State is empowered to issue Directions allowing expenditure incurred by local authorities to be treated as capital expenditure. Where such a Direction is made, the specified expenditure can then be funded from capital receipts under the Regulations.

The Secretary of State has in the past provided such an extension for the use of capital receipts. The Government have confirmed the extension of this power to 2030, this direction will allow the Authority to use the proceeds from asset sales to fund the revenue costs of projects that result in ongoing cost savings or improved efficiency. The government will also remove the restriction with respect to redundancy costs, imposed from April 2022, that limits the use of the flexibility to statutory redundancy costs only.

Examples of the projects to which the flexible use of capital receipts can be applied are:

- Sharing back-office and administrative services with one or more other council or public sector bodies;
- Invest in service reform feasibility work, e.g. setting up pilot schemes;
- Collaboration between local authorities and central government departments to free up land for economic use;
- Funding the cost of service reconfiguration, restructuring or rationalisation where this leads to ongoing efficiency savings or service transformation;
- Driving a digital approach to the delivery of more efficient public services and how the public interacts with constituent authorities where possible;
- Aggregating procurement on common goods and services where possible, either as part of local arrangements or using Crown Commercial Services or regional procurement hubs or Professional Buying Organisation;
- Improving systems and processess to tackle fraud and corruption in line with the Local Government Fraud and Corruption Strategy – this could include an element of staff training;
- Setting up commercial or alternative delivery models to deliver services more efficiently and bring in revenue (for example, through selling services to others);
- Integrating public facing services across two or more public bodies (for example children's social care or trading standards) to generate savings or to transform service delivery.
- All schemes should generate a revenue saving.

The Statutory Guidance issued by the Secretary of State requires authorities to prepare, publish and maintain a 'Flexible Use of Capital Receipts Strategy'. The guidance also requires that each authority should disclose the individual projects that will be funded or part funded through capital receipts flexibility to full Council or the equivalent - this requirement can be satisfied as part of the annual budget setting process

There is no prescribed format for the Strategy, the underlying principle is to support local authorities to deliver more efficient and sustainable services by extending the use of capital receipts to support the revenue costs of reform projects.
It is a required condition of the direction that authorities must send details setting out their planned use of the flexibility to the Secretary of State, in advance of its use for each financial year. This is to make sure that the government is adequately sighted on the use of the flexibility and can monitor how it is used - it is not a process of approval.

Flexible Use of Capital Receipts Strategy

Government has provided a definition of expenditure which qualifies to be funded from capital receipts. This is:

"Qualifying expenditure is expenditure on any project that is designed to generate ongoing revenue savings in the delivery of public services and/or transform service delivery to reduce costs and/or transform service delivery in a way that reduces costs or demand for services in future years for any of the public sector delivery partners. Within this definition, it is for individual local authorities to decide whether or not a project qualifies for the flexibility."

Project 1
It is proposed that the Flexible Use of Capital Receipts (FUCR) is used to implement Phase 1 of Developing the Authority's Digital Capabilities:

- Address critical project resource gaps in IT Service Delivery (ITSD) that present significant business risk (Engineers, Infrastructure Project Manager and IT Contracts Officer)
- Complete detailed current state assessments to provide a baseline for the Digital Transformation Programme (architecture, applications and process digitalisation)
- Recruit key resources and services to start developing the organisational capabilities required for digital transformation (Digital Delivery Manager, Digital Adoption & Enablement Manager, Enterprise Architecture Consultant, Solution Architect, Innovation Lead, PMO Analyst and Gartner licence)
- Restructure the Business Systems Team (BST) to create a new Digital Delivery function
- Start to show the 'new face of Digital' by delivering highly visible improvements that address user pain-points (Wi-Fi and site connectivity improvements, M365 adoption, Tech Bar and Windows 11)
- Conduct early Proof of Concept (POC) experiments with new technologies such as Artificial Intelligence (AI) and develop the governance framework required to conduct these experiments safely
- Develop the architecture and governance frameworks across the council that are required to manage digital projects and change effectively
- Engage with service areas to identify the Council's priorities for digital transformation
- Present a full Digital Transformation Programme proposal including a Digital Blueprint, a Digital Transformation Roadmap and delivery options for the future Digital service

Project 2
It is proposed that flexible use of capital receipts is used for the implementation of new systems and processes to reduce the cost of homelessness and temporary accommodation and to enable the management of the council's new housing stock. This will be delivered

through the HRA, Temporary Accommodation and Homelessness Cost Reduction and Unity projects. Where appropriate costs in relation to these projects will be formally capitalised.

Project 3
It is proposed that flexible use of capital receipts is used for the setting up of pilot schemes and compiling feasibility studies for new ways of working to support children's services/ children's social care to transform delivery and reduce the use of high-cost placements.

The following allowances have been built into the 2025-30 Capital Programme and its funding:

2025-26	£ 806k
2026-27	£ 879k
2027-28	£ 279k
Total	£1,964k

Aside from the CHAS Legacy capital receipt any in year capital receipts are utilised to fund the capital programme (the Table at the bottom of Page 20 demonstrates that capital receipts of up to £14.5m could be utilised for this purpose). The authority has already earmarked the disposal of capital receipts from land holdings to fund the housing delivery programme, this leave no further funding available for the Flexible use of Capital Receipts.

Capital Planning Process

Capital Bids and Prioritisation Criteria

The authority has an annual bidding process for capital resources, in keeping with corporate priorities and identified service priorities. Submitted bids are reviewed and challenged as part of the process. Proposed capital bids are subject to scrutiny in the autumn and January. There was no bidding process during 2025-26. The table below summarises the movement in the capital programme since the approval of last year's MTFS (detail in Annex 4):

Department	Revised Budget 2025-26 £000's	Revised Budget 2026-27 £000's	Revised Budget 2027-28 £000's	Revised Budget 2028-29 £000's	Revised Budget 2029-30 £000's
Finance & Digital	20,503	8,905	9,898	12,790	24,809
ASC, Integrated Care & Public Health	0	0	0	0	0
Children, Lifelong Learning & Families	(941)	(1,195)	7,204	74	2,500
Environment, Civic Pride & Climate	1,779	2,752	10,203	14,440	12,167
Innovation & Change	0	0	0	0	0
Housing & Sustainable Development	11,919	2,511	12,621	17,347	49,772
Total	**33,260**	**12,972**	**39,927**	**44,651**	**89,248**

Given the scarcity of financial resources the Authority has ceased running and annual bidding process and regularly reviews the approved programme for the application of CIL/S106 funding.

Corporate Governance

Accounting Definitions and Practices

The council's approach to Capital Accounting follows the Code of Practice on Local Authority Accounting, which itself is based on the International Financial Reporting Standards (IFRS) and guidance issued by CIPFA and professional accounting networks.

As in previous years, there has been continual review of the Capital Programme to ensure that expenditure meets the strict definition of capital expenditure and to identify any items which would be more appropriate to be charged to revenue. This has not resulted in any major changes to the future programme.

The de-minimis level of capital expenditure for the authority is set at £10,000 per project. This applies to all schemes within our capital programme, however, in exceptional circumstances thresholds below this may be considered where specific items of expenditure are below this de-minimis level but meet proper accounting definitions of capital expenditure.

Individual schools may choose to adopt the above de-minimis limit or use the limit of £2,000 as mentioned in some Department for Education and HMRC guidance for various types of school.

IFRS 9 requires that investment in risk capital will need to be valued annually at fair value with any loss or gain being written through the profit and loss account in the year it occurs.

IFRS 16 will require all but short-term de-minimis leasing rental/leasing arrangements appear on the Authority's balance sheet from the financial year 2024/25.

Capital Programme Board

Merton's Capital Strategy is coordinated by the Capital Programme Board. The board, is effectively a sub-group of the Corporate Leadership Team (CLT). It comprises the Executive Directors of Environment, Civic Pride and Climate, Housing and Sustainable Development and Finance and Digital with selected key managers from each service department.

The Terms of Reference of the Board are:

- Lead on the development and maintenance of the capital investment strategy and ensure it is consistent with the council's strategic objectives and service plans.
- Ensure that the capital investment strategy informs and is informed by the asset management plan.
- Ensure there is a transparent and clearly communicated process for allocation of capital funds with clear and well documented criteria and decision making process.
- Monitor progress of capital funded schemes and any other critical schemes as determined by CLT. Receive joint reports from Finance/departmental staff on progress against deliverables, milestones and budget forecasts.
- In conjunction with other governing bodies, consider/approve business cases that involve capital investment.
- Monitor issues arising as a result of changes in accounting treatment of capital expenditure and ensure the organisation responds accordingly.
- Assess capital schemes in the context of the Medium Term Financial Strategy to ensure they are affordable in revenue terms.
- Receive reports from the Property Management and Review Manager relating to capital funds coming from the disposal of property, in collaboration with the Property and Asset Management Board.

- Receive benefits reports from Programme/Project Managers when capital projects/programmes are closed. Monitor key benefits to ensure they are realised for large capital schemes.

The role of the Board is to:

- Set framework and guidelines for capital bids;
- Draft the capital programme for consideration by CLT and Cabinet;
- Review capital bids and prioritise in accordance with the council's strategic objectives;
- Identify and allocate capital funds;
- Monitor progress of capital programmes/projects and key variances between plans and performance;
- Monitor budgets of capital programmes/projects against forecasts;
- Monitor benefits and ensure they are realised. Monitor capital receipts
- Develop and share good practice

The Board is accountable to the Corporate Leadership Team who will receive reports and escalated matters from the Board on a regular basis. CLT will set the strategy and direction, the Capital Programme Board will operationalise this and escalate concerns and ideas. The Board will refer to, and take advice from, the Procurement Board on any proposals and/or decisions that have a procurement dimension. The Board will work closely with the Property and Asset Management Board on any property/asset related proposals.

The Board will make agendas and meeting notes available to the other Governance Boards within 5 working days of the meeting.

During the budget process the Executive Director Finance and Digital recommends to Cabinet an initial view as to how the Capital Programme should be funded. However, this recommendation will be informed by the Capital Programme Board's consideration of the capital receipts available and the forecast of future property disposals and the final funding during the closure of accounts will depend on the precise financial position. At this stage it is intended to utilise internal borrowing, capital grant, direct revenue financing, capital receipts and earmarked reserves. Any capital loans given out by the authority, dependent on the size, will normally be funded from capital receipts as the repayments will be received as capital receipts. It will be reported to Members in advance when it is proposed to use external borrowing.

The council has had a robust policy for many years of reviewing its property holding and disposing of surplus property, this is detailed in the Asset Management Plan/Strategy (AMP/S) which also includes policy and procedures for land and property acquisition. All capital receipts are pooled, unless earmarked by Cabinet, and are used either to finance further capital investment or for the payment of premiums on repayment of higher interest loans.

Capital Programme Approval and Amendment

The Capital Programme is approved by Council each year. Any change which substantially alters the programme (and therefore the Prudential Indicators) requires full Council approval. Rules for changes to the Capital Programme are detailed in the council's Constitution within Financial Regulations and Financial Procedures and the key points are summarised here.

For virements which do not substantially alter the programme the below approval limits apply:

- Virements up to £5k can be signed off by the budget manager and the Chief Financial Officer (CFO) is informed of these changes as part of the monthly financial monitoring

- Virements £5k up to £100k must be approved by the Chief Officer of the area or areas affected along with the Chief Financial Officer, typically this will be as part of the monthly financial monitoring report to CLT however approval can be sought from these officers at any time if necessary
- Virements £100k and upwards go to Cabinet for approval
- Any virement which diverts resources from a scheme not started, resulting in a delay to that scheme, will be reported to Cabinet
  (Please note virement rules are cumulative i.e. two virements of £5,000 from one project; the latter would require the approval of Chief Officers)

For increases to the programme for existing schemes up to £100,000 must be approved by the Executive Director Finance and Digital. Increases above this threshold must be approved by Cabinet. In accordance with the Prudential Code if the increase in the Capital Programme will substantially change prudential indicators it must be approved by Council.

For new schemes, the source of funding and any other financial or non-financial impacts must be reported and the limits below apply:

- Budgets of up to £50k can be approved by the Chief Financial Officer in consultation with the relevant Chief Officer
- Budgets of £50k up £500k will be submitted to Cabinet for approval
- Budgets over £500k will be submitted to full Council for approval

Approval thresholds are kept under review.

Capital Monitoring

The Council approves the four-year Capital Programme in March each financial year. Amendments to the programme are approved appropriately by CLT, Cabinet and Council. Budget managers are required to monitor their budget monthly, key reviews are undertaken in September and November. November monitoring provides the final opportunity for budget managers to re-profile budgets into future financial years and January monitoring provides the final opportunity for budget managers to vire their budgets within the current financial year.

December monitoring information feeds into the Authority's Medium Term Financial Strategy (MTFS) and is used to assess the revenue impact over the period of the strategy with minor amendments in the later months. November monitoring is also used to measure the accuracy of year-end projections.

Councillors receive regular monitoring reports on the overall position of capital expenditure in relation to the budget. They also receive separate progress reports on key spend areas.

Capacity, Skills and Culture

Team planning and staff appraisals highlight staff developmental requirements and monitor their progression. Qualified financial staff meet the continual professional development requirements of their relevant CCAB organisation.

Member induction and development is led corporately by the Authority's Human Resources division, this is supplemented, where appropriate, with additional financial briefings.

Risk Management and Assessment

The management of risk is strategically driven by the Corporate Risk Management group. The group collates on a quarterly basis the headline departmental risks and planned mitigation activity from each department, project and partnership. From this information a Key Strategic Risk Register is compiled and presented to CLT quarterly for discussion and onto Cabinet and Standards and General Purposes Committee annually. The Authority's Risk Management Strategy is reviewed and updated annually and presented to CLT, Cabinet and Council.

Risk Appetite - The council recognises that its risk appetite to achieve the corporate priorities identified within its corporate plan could be described in general as an "informed and cautious" approach. Where significant risk arises, we will take effective control action to reduce these risks to an acceptable level.

It is also recognised that a higher level of risk may need to be accepted, for example, to generate higher returns from loans and investment. To offset this there are areas where the council will maintain a very cautious approach for example in matters of compliance with the law, and public confidence in the council, supporting the overall "informed and cautious" position on risk.

Within its portfolio of risk Merton is developing a balance between financial and non-financial investments



Capital Investment Programme - Schemes for Approval 2025-30

Department	Revised Budget 2025-26 £000's	Revised Budget 2026-27 £000's	Revised Budget 2027-28 £000's	Revised Budget 2028-29 £000's	Revised Budget 2029-30 £000's
Finance & Digital					
Digital	2,419	4,830	1,198	88	1,050
Information Technology	1,701	820	1,005	770	1,405
Resources	0	0	0	0	775
Corporate Budgets	20,330	12,084	9,225	17,133	21,579
Total Finance & Digital	**24,451**	**17,734**	**11,428**	**17,991**	**24,809**
ASC, Integrated Care & Public Health					
Adult Social Care	0	0	0	0	0
Total ASC, Integrated Care & Public Health	**0**	**0**	**0**	**0**	**0**
Children, Lifelong Learning & Families					
Primary School	2,820	2,852	2,500	2,500	2,500
Secondary Schools	387	0	0	0	0
SEN Schools and ARPs	6,203	2,052	7,131	0	0
Other	719	338	73	74	0
Total Children, Lifelong Learning & Families	**10,129**	**5,241**	**9,704**	**2,574**	**2,500**
Environmental, Civic Pride & Climate					
Regulatory Services	33	90	0	0	0
Libraries, Sport and Culture	3,812	6,235	2,069	15,360	4,650
Climate Change	96	100	0	0	0
Public Realm	11,308	16,725	24,830	6,816	7,467
Community Safety	790	0	0	0	50
Total Environmental, Civic Pride & Climate	**16,041**	**23,150**	**26,899**	**22,176**	**12,167**
Innovation and Change					
Governance	0	0	0	0	0
Total Innovation and Change	**0**	**0**	**0**	**0**	**0**
Housing & Sustainable Development					
Housing	27,832	31,754	37,175	27,150	18,762
Regeneration	1,981	2,116	1,870	4,370	30,060
Facilities Management	4,958	1,600	1,050	950	950
Total Housing & Sustainable Development	**34,771**	**35,470**	**40,095**	**32,470**	**49,772**
Total Capital	**85,391**	**81,596**	**88,126**	**75,211**	**89,248**

Please Note:

1. Excludes budget relating to future year announcements of Better Care Fund
2. Excludes indicative budgets relating to future year announcements for Transport for London and Schools Condition Grant

OSC = Overview and Scrutiny, CYP = Children and Young People, HCOP = Healthier Communities and Older People and SC - Sustainable Communities

FUNDING THE CAPITAL PROGRAMME 2025-30

Merton	Capital Programme £000s	Funded by Merton £000s	Funded by grant and capital contributions £000s
2025/26 Current Budget	**85,391**	**34,394**	**50,997**
Potential Slippage b/f	0	0	0
2025/26 Revised Budget	**85,391**	**34,394**	**50,997**
Potential Slippage c/f	(26,946)	(15,381)	(11,565)
Potential Underspend not slipped into next year	(1,767)	(1,609)	(159)
Total Spend 2025/26	**56,678**	**17,405**	**39,273**
2026/27 Current Budget	**81,596**	**48,581**	**33,015**
Potential Slippage b/f	26,946	15,381	11,565
2026/27 Revised Budget	**108,542**	**63,962**	**44,580**
Potential Slippage c/f	(47,038)	(37,991)	(9,045)
Potential Underspend not slipped into next year	(6,909)	(5,315)	(1,594)
Total Spend 2026/27	**54,596**	**20,654**	**33,941**
2027/28 Current Budget	**88,126**	**39,329**	**48,798**
Potential Slippage b/f	47,038	37,991	9,045
2027/28 Revised Budget	**135,164**	**77,321**	**57,843**
Potential Slippage c/f	(73,635)	(48,834)	(24,801)
Potential Underspend not slipped into next year	(5,805)	(4,080)	(1,725)
Total Spend 2027/28	**55,725**	**24,406**	**31,318**
2028/29 Current Budget	**75,211**	**59,155**	**16,057**
Potential Slippage b/f	73,635	48,834	24,801
2028/29 Revised Budget	**148,846**	**107,990**	**40,857**
Potential Slippage c/f	(75,935)	(66,875)	(9,060)
Potential Underspend not slipped into next year	(5,335)	(3,660)	(1,675)
Total Spend 2028/29	**67,576**	**37,454**	**30,122**
2029/30 Current Budget	**89,248**	**63,829**	**25,419**
Potential Slippage b/f	75,935	66,875	9,060
2029/30 Revised Budget	**165,183**	**130,704**	**34,479**
Potential Slippage c/f	(77,077)	(66,791)	(10,285)
Potential Underspend not slipped into next year	(5,145)	(3,645)	(1,500)
Total Spend 2029/30	**82,961**	**60,267**	**22,694**

Detailed Capital Programme 2026-30 - Approved Schemes

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Revised Budget 2026-27 £000s	Revised Budget 2027-28 £000s	Revised Budget 2028-29 £000s	Indicative Budget 2029-30 £000s	Brief Description
Digital								
Customer Contact Programm	Complaints System	4	OSC	47	0	0	0	Merton funded IT developments of IT Systems
Customer Contact Programm	CRM&TK Amendments	4	OSC	183	0	0	0	
Customer Contact Programm	Members Enquiries Solution	4	OSC	51	0	0	0	
Customer Contact Programm	M365 Tools - Power Automate	4	OSC	18	0	0	0	
Customer Contact Programm	Waste & Cleansing Services	4	OSC	79	0	0	0	
Customer Contact Programm	Virtual Desktop	4	OSC	20	0	0	0	
Customer Contact Programm	Network Reconfiguration	4	OSC	14	0	0	0	
Customer Contact Programm	Wireless Microphones & Hybrid	4	OSC	2	0	0	0	
Customer Contact Programm	Imp of Windows 11	4	OSC	2,500	0	0	0	Merton funded scheme to implement Windows 11
Business Systems	Ancillary System	4	OSC	78	0	0	50	Merton funded schemes for the re-tendering and implementation of business systems at the cessation of existing contractual arrangements
Business Systems	Payroll System	4	OSC	160	0	0	0	
Business Systems	Payments project	4	OSC	75	75	0	0	
Business Systems	GIS Mapping (Spectrum Spatial Analyst Replacement)	4	OSC	200	300	0	0	
Business Systems	LLPG&LSG System ((Gazetteer Management System	4	OSC	0	100	0	0	
Business Systems	Safer Merton Case Management	4	OSC	0	60	0	0	
Replacement SC System	Replacement SC System	4	OSC	400	330	88	1,000	Merton funded schemes for the re-tendering and implementation of business systems at the cessation of existing contractual arrangements
Replacement SC System	SEN Case Management	4	OSC	124	54	0	0	
Digtal Strategy	Develop Digital Capabilities	4	OSC	600	0	0	0	Merton funded scheme delivering key foundational projects and developing digital capabilities and a digital blueprint and roadmap for the Council
Digtal Strategy	Building our Digital Foundation	4	OSC	279	279	0	0	Second phase of the Merton funded scheme to delivering key foundational projects and developing digital capabilities and a digital blueprint and roadmap for the Council
Information Technology								
Planned Replacement Progra	Project General	4	OSC	820	1,005	770	1,405	Merton funded recurring scheme for the replacement of existing IT Hardware and Software Quinquennially
Resources								
Financial Systems	Implementing New Financial System	4	OSC	0	0	0	775	Merton funded scheme - Current contractual arrangements have been extended to 6 February 2029 (five years plus two years) budget is for capital spend in relation to system developments.
Corporate Budgets								
Acquisitions Budget	Acquisitions Budget	5	OSC	0	0	0	1,359	Merton funded corporate contingency to facilitate the acquisition of property
Capital Bidding Fund	Capital Bidding Fund	5	OSC	0	0	0	660	Merton funded corporate Contingency to provide match funding for bidding for additional resources
Capital Bidding Fund	Merton Legacy Fund	5	OSC	3,000	3,000	3,000	6,000	£15m set aside from the CHAS Capital Receipt to fund Legacy schemes
Corporate Capital Contingen	Corporate Capital Contingency	5	OSC	0	0	0	1,142	Merton funded corporate Capital Contingency
Compulsory Purchase Order	Clarion - CPO	2	OSC	0	0	0	6,754	A scheme for compulsory purchases on behalf of Clarion Hosing Association which will be reimbused by Clarion
Total Finance & Digital				**8,650**	**5,203**	**3,858**	**19,145**	

Detailed Capital Programme 2026-30 – Approved Schemes - continued…… **Annex 3**

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Revised Budget 2026-27 £000s	Revised Budget 2027-28 £000s	Revised Budget 2028-29 £000s	Indicative Budget 2029-30 £000s	Brief Description
Primary Schools								
Hollymount	School Capital Maintenance	1	CYP	10	0	0	0	DfE grant funded programme for the capital maintenance of school buildings, this has included LED lighting schemes. The in-year budget will include contributions from schools towards individual schemes.(Note (a))
West Wimbledon	School Capital Maintenance	1	CYP	27	0	0	0	
Hillcross School	School Capital Maintenance	1	CYP	10	0	0	0	
Joseph Hood School	School Capital Maintenance	1	CYP	10	0	0	0	
Dundonald School	School Capital Maintenance	1	CYP	32	0	0	0	
Garfield	School Capital Maintenance	1	CYP	2	0	0	0	
Merton Abbey	School Capital Maintenance	1	CYP	53	0	0	0	
Merton Park	School Capital Maintenance	1	CYP	5	0	0	0	
Poplar School	School Capital Maintenance	1	CYP	35	0	0	0	
Wimbledon Chase	School Capital Maintenance	1	CYP	98	0	0	0	
Wimbledom Park	School Capital Maintenance	1	CYP	4	0	0	0	
Abbotsbury	School Capital Maintenance	1	CYP	76	0	0	0	
Morden	School Capital Maintenance	1	CYP	5	0	0	0	
Bond	School Capital Maintenance	1	CYP	3	0	0	0	
Gorringe Park	School Capital Maintenance	1	CYP	27	0	0	0	
Haslemere	School Capital Maintenance	1	CYP	7	0	0	0	
Links	School Capital Maintenance	1	CYP	6	0	0	0	
Singlegate School	School Capital Maintenance	1	CYP	9	0	0	0	
William Morris School	School Capital Maintenance	1	CYP	4	0	0	0	
Unlocated Primary School Proj.	School Capital Maintenance	1	CYP	2,430	2,500	2,500	2,500	
Special Schools								
Whatley Avenue	School Capital Maintenance	1	CYP	49	0	0	0	
Melrose	School Capital Maintenance	1	CYP	3	0	0	0	
Mainstream SEN (ARP)	Further Primary School ARP expansion	1	CYP	68	273	0	0	The special provision expansion plan was approved by the DfE in summer 2022 as part of our safety valve agreement, with the projects approved by the DfE for grant funding through a mixture of special capital grant and formulaic capital grant. The council has also needed to provided an additional resourced provision at Liberty School to replace the provision at the closing Stanford School. This project started in summer 2024 and delivering slightly more places than at Stanford. (Note b)
Mainstream SEN (ARP)	Raynes Park school ARP expansion 1	1	CYP	276	1,103	0	0	
Mainstream SEN (ARP)	Secondary School ARP Expansion 2	1	CYP	113	450	0	0	
Mainstream SEN (ARP)	Secondary School ARP Expansion 3	1	CYP	342	1,367	0	0	
Mainstream SEN (ARP)	Secondary School ARP Expansion 4	1	CYP	196	783	0	0	
Mainstream SEN (ARP)	Safety Valve - New ARP	1	CYP	789	3,155	0	0	
Mainstream School Inclusion	Garfield	1	CYP	10	0	0	0	
Mainstream School Inclusion	Melrose	1	CYP	24	0	0	0	
Mainstream School Inclusion	Raynes Park	1	CYP	40	0	0	0	
Mainstream School Inclusion	Rutlish	1	CYP	30	0	0	0	
Perseid Lower School	School Capital Maintenance	1	CYP	13	0	0	0	See Note a above
Perseid Lower School	Perseid School Expansion	1	CYP	100	0	0	0	
Other								
Children's Centres	Family Hubs	1	CYP	71	73	74	0	Grant from the DfE for the development of Family Hubs
Childcare	Childcare Expansion	1	CYP	266	0	0	0	Capital grant from DfE for the expansion of childcare services to meet the new requirement to provide 30 hours of free childcare for children over the age of nine months
Total Children, Lifelong Learning & Families				**5,241**	**9,704**	**2,574**	**2,500**	

Detailed Capital Programme 2026-30 – Approved Schemes - continued……

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Revised Budget 2026-27 £000s	Revised Budget 2027-28 £000s	Revised Budget 2028-29 £000s	Indicative Budget 2029-30 £000s	Brief Description
Regulatory Services								
Mortuary Provision	Project General	2	SC	90	0	0	0	A Merton funded scheme to enable the Coroner to fulfil their statutory duty in relation to deaths in the community. The current mortuary provision based at St George's Hospital, is co-procured by Merton in partnership with LB Wandsworth and St Georges NHS Trust. The age and condition of equipment means that replacement will be necessary within the immediate future to avoid equipment failure and subsequently a reduction in mortuary and PM capacity.
Libraries, Sport and Culture								
Sports Facilities	Leisure Centre Plant & Machine	3	SC	730	280	300	300	Annual allocation funded by Merton to undertake capital maintenance and replace equipment, linked to the GLL contract.
Borough of Sport	Sir Joeseph Hood Artificial Pitch	3	SC	1,353	0	0	0	Sir Joseph Hood Recreation Ground is one of the borough's premium sports sites and hosts a range of sports including football, Australian rules football and tennis. The introduction of an AGP at Sir Joseph Hood would enable existing sports clubs to enhance their offer on the site with no reductions of the current offer. The scheme bid is dependent on the approval of flood lights as these are essential to the viability of the scheme as this will enable the facility to be utilised week day evenings.
Borough of Sport	Borough of Sport Infrastructure Fund	3	SC	341	0	0	0	Delivering borough of Sport Infrastructure - reviewed regularly for application of SCIL, NCIL,S106, Reserves and external funding
Borough of Sport	Play Zones	3	SC	1,032	493	0	0	
Borough of Sport	Joeseph Hood New Pavillion	3	SC	100	936	0	0	
Borough of Sport	Raynes Park HS Comm Artif Pitch	3	SC	1,200	0	0	0	
Borough of Sport	Wimb Comm Ext Fac Imps & CP Exp	3	SC	450	0	0	0	
Libraries IT	Library Management System	2	SC	140	0	0	140	Merton Funded scheme for essential reoccuring IT infrastructure project to replace customer and stock database along with front facing web applications. Existing system procurred as part of a consortium with 20 other authorities.
Libraries IT	Library Self Service	2	SC	0	0	0	350	Merton Funded scheme for essential reoccuring IT infrastructure project that replaces Self-Service Kiosks and Libraries Plus technology when at end of life
Libraries IT	Connecting Merton	2	SC	36	0	0	0	NCIL Funded. Replacement of Merton Libraries lending scheme laptops and tablets and now obsolete to empower those who have lacked the means to participate fully in the digital world bridging the technology gap and addressing cost of living challenges.
Street Trees	Street Tree Programme	2	SC	60	60	60	60	Merton funded scheme for the replacement of diseased and dead street trees
Street Trees	Street Treet- Add Leader Pledge	2	SC	100	0	0	0	SCIL Funded Scheme for new street trees
Parks Investment	Parks Investment	3	SC	279	300	300	300	Merton Funded Annual Allocation for Capital Maintenance Works, includes some small contributions for specific projects
Parks Investment	Fishpond Wood access pathway	3	SC	70	0	0	0	NCIL Funded - A new path will be installed, which will enable access to the nature reserve all year round and protect the English bluebells and other flora.
Parks Investment	Morden Park Paddling Pool	3	SC	83	0	0	0	NCIL Funded - Morden Park paddling pool complete refurbishment and minor works to adjacent playground to address ponding of run-off water.
Parks Investment	Greening Streets	3	SC	150	0	0	0	Planting and enhancement in town and district centres funded by revenue reserves
Parks Investment	Improving Morden Rec	3	SC	58	0	0	0	NCIL Funded Scheme
Parks Investment	Cottenham Park Allotments	3	SC	17	0	0	0	NCIL/Climate Funded Scheme
Parks Investment	Haydons Rd Rec – Outdoor Gym	3	SC	36	0	0	0	NCIL/Merton Funded Scheme

Detailed Capital Programme 2026-30 – Approved Schemes - continued……

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Revised Budget 2026-27 £000s	Revised Budget 2027-28 £000s	Revised Budget 2028-29 £000s	Indicative Budget 2029-30 £000s	Brief Description
Climate Change								
Climate Change	Business Retrofit Support Scheme	2	SC	100	0	0	0	Funded by the climate change revenue reserve - capital grants to businesses for retrofitting after free survey
Public Realm								
Waste SLWP	Waste Bins	2	SC	1,461	300	300	300	Merton Funded scheme £50k per annum for replacement bins, £1.25m for change in recycling legislation.
Recycling and Reuse	Bins	2	SC	111	0	0	0	£110,620 DfT Recycling Grant for the Change in Legislation
Recycling and Reuse	Replacement of Fleet Vehicles	2	SC	205	0	0	0	DfT Recycling Grant for the Change in Legislation
Highways & Footways	Street Lighting Replacement Pr	1	SC	360	360	330	330	Merton funded scheme for a programme of replacement of lighting column upgrades and LED latern upgrades - allows for £30k pa to 2028-29 SCIL for LED Replacements
Highways & Footways	Traffic Schemes	1	SC	180	150	150	150	Merton funded investment in safety schemes and traffic calming measures etc.
Highways & Footways	Repairs to Footways	1	SC	1,000	1,300	1,300	1,300	Merton Funded Scheme for footway schemes throughout the Borough
Highways & Footways	Borough Roads Maintenance	1	SC	1,600	1,600	1,800	1,800	Merton funded scheme for capital works throughout the Borough, does not include parks structures
Highways & Footways	Highways bridges & structures	1	SC	547	260	260	260	Merton funded scheme for capital works - does not include strucrures in parks
Highways & Footways	Haydons Road Access for All	2	SC	100	0	0	0	SCIL Funded Scheme led by another agency to provide stap free access to transport facilities
Highways & Footways	Various Culverts Strengthening & Upgrade	2	SC	265	0	0	0	Culverts are enclosed watercourses, which can be subterranean and quite large, that are used to divert or drain water from land above it. This SCIL funded scheme is to provide a programme of works which require reports and sign off by a number of external agencies.
Highways & Footways	ANPR Cameras Supporting Enforcement of School Str	1	SC	100	0	0	0	Merton funded scheme to extend the current scheme to more schools within the Borough.
Highways & Footways	Raynes Park Station Step Free Access	2	SC	0	0	500	0	SCIL contribution towards step free access at Raynes Park Station, scheme being led by and external organisation.
Highways & Footways	DFT Network North Funding	1	SC	1,544	1,660	1,776	2,037	DfT Grant for capital works
Highways & Footways	Walking & Cycling Strategy Delivery Programme	2	SC	700	700	400	0	This Merton funded scheme will be for the delivery of capital items identified in the strategy. Once items are identified they will be reviewed for suitability as SCIL funded.
Community Safety	**Community Safety**							
CCTV Investment	Rapid deployment cameras	1	SC	0	0	0	50	Merton funded scheme to procure cameras to provide CCTV coverage for problem areas throughout the borough. 12 deployable cameras were purchased. This funding was assigned to purchase additional cameras however being reprofiled to Waste Enforcement cameras
Total Environment, Civic Pride & Climate				**14,597**	**8,399**	**7,476**	**7,377**	

Detailed Capital Programme 2026-30 – Approved Schemes - continued……

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Revised Budge t 2026-27 £000s	Revised Budge t 2027-28 £000s	Revised Budge t 2028-29 £000s	Indicative Budget 2029-30 £000s	Brief Description
Housing								
Disabled Facilities Grant	Disabled Facilities Grant	2	SC/HCOP	1,000	1,000	1,000	1,000	Grant funded scheme to provide for adaptations for individuals to remain in their own homes
Disabled Facilities Grant	Disabled Facilities Grant - Minor Works	2	SC/HCOP	400	400	400	400	
Major Projects Affordable Housin	Affordable Housing Fund	2	SC/HCOP	22,857	17,143	2,187	0	For all phases of the housing delivery programme
Major Projects Affordable Housin	Mitcham Gas Works	2	SC/HCOP	1,353	10,811	17,187	16,987	Purchase of 146 units of affordable housing funded £26m Merton and £34m Grant
Major Projects Affordable Housin	Empty Homes Strategy	2	SC/HCOP	375	375	375	375	Merton funded grants to bring back into use empty homes
Major Projects Social Care H	Riverside including Learning Disability Housing	2	SC/HCOP	5,768	7,446	6,001	0	Scheme for Day Centre and LD Dwellings attracting SCIL, S106 and GLA Grant, with Merton contributing just under £8m
Regeneration								
Mitcham Area Regeneration	Rowan Park Community Facility Match Funding	1	SC	0	0	150	0	SCIL funded scheme driven by the NHS to which Merton is a contributor.
Mitcham Area Regeneration	Pollards Hill Bus Shelter/Toilets Refurbishment Schem	1	SC	100	350	0	0	SCIL £300k and NCIL £150k to convert a run down building that was originally built in the mid 20th century (circa 1950s) to provide a bus shelter and toilet facilities, to form a modern community hub with a community space/space for a cafe and landscaping in the outside spaces.
Mitcham Area Regeneration	Chapter House	1	SC	33	0	0	0	NCIL funded scheme to equip Chapter House Youth Theatre with lighting, sound, film projection and security for youth productions.
Mitcham Area Regeneration	St Mark's Church N&C Gdns	1	SC	17	0	0	0	NCIL Funded Scheme
Mitcham Area Regeneration	The Lavender Café	1	SC	31	0	0	0	NCIL Funded Scheme
Wimbledon Area Regenerati	Wimbledon Public Realm Implementation	1	SC	147	100	0	0	SCIL funded public realm improvements to deliver schemes identified in Wimbledon Masterplan. Wimbledon Hill works and rain garden delivered.
Wimbledon Area Regenerati	Wimbledon Village - Heritage Led Public Realm Enhancement	1	SC	257	200	0	0	SCIL funded streetscape improvements to Wimbledon Village High Street. Heritage lighting installed. Initial design for heritage paving has been drafted for consultation and delivery 2025 onwards.
Borough Regeneration	Surface Water Drainage	1	SC	60	60	60	60	Merton funded scheme enhancing drainage throughout the Borough.
Borough Regeneration	Lost Rivers Repairs	2	SC	75	0	0	0	SCIL funding to allieviate flooding , restore lost rivers or fix substantially broken underground structures.
Borough Regeneration	Civic Pride Public Realm Improvements	1	SC	670	660	660	0	Reviewed regularly to maximise SCIL Funding
Borough Regeneration	Shopping Parade Improvements	1	SC	715	0	0	0	Merton funded scheme to fund shoping parade improvements throughout the Borough
Borough Regeneration	Merton Garden Streets	2	SC	12	0	0	0	NCIL/Climate Funded cross borough scheme
Facilities Management								
Works to Other Buildings	Repair and Maintenance	2	SC	650	650	650	650	Merton funded ongoing budget for the capital maintenance of all non schools buildings.
Civic Centre	Civic Centre Boilers	2	SC	200	0	0	0	Merton funded scheme to complte the repacement of the Civic Centre Boilers
Civic Centre	Workplace Design	2	SC	350	0	0	0	Merton funded scheme to undertake the remodelling of the ground floor of the Civic Centre
Invest to Save	Project General	2	SC	400	400	300	300	The Merton Funded scheme covers Civic Centre LED Lights, Street Lighting LEDs and PV systems.
Total Housing & Sustainable Development				**35,470**	**39,595**	**28,970**	**19,772**	
Total Capital - Approved Schemes				**63,958**	**62,901**	**42,878**	**48,794**	

Detailed Capital Programme 2026-30 - Schemes Requiring Business Case/Funding Approval

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Revised Budget 2026-27 £000s	Revised Budget 2027-28 £000s	Revised Budget 2028-29 £000s	Indicative Budget 2029-30 £000s	Brief Description
Finance and Digital								
Acquisitions Budget	Temporary Accommodation	5	OSC	9,084	6,225	14,133	5,664	Scheme to acquire temporary Accommodation utilising the LAHF Grant, funded £20.088m by Merton and £15.018m Grant. It is envisaged that the scheme will provide revenue savings and reduce the forecast annual revenue overspend on this revenue budget.
Environment, Civic Pride & Climate								
Wimbledon Park	New Wimbledon Park lakeview building - including Watersport Centre	3	SC	0	0	0	3,500	SCIL Funded Scheme to replace the Watersports Building with upgraded facilities
Off Street Parking - P&D	Peel House Car Park	4	SC	550	0	0	0	Merton funded health and safety scheme to meet lease dilapidation obligations for the carpark
Borough of Sport	New Sports Hall	3	SC	0	0	14,700	0	Part of the Playing Pitch and Facility Strategy
Fleet Vehicles	Replacement of Fleet Vehicles	2	SC	3,674	0	0	0	Merton funded budget for the reprovision of vehicles as they come to the end of their useful life
Waste SLWP	Replacement of Fleet Vehicles	2	SC	1,630	10,500	0	1,290	Merton funded provision for the decarbonisation of the waste and street cleansing fleet.
Waste SLWP	Amenity Way including Waste Transfer Station	1	SC	2,700	8,000	0	0	£11.1m scheme to upgrade the borough waste and recycling centre funded £9.95m SCIL and £1.15m Merton.
Housing & Sustainable Development								
Morden Area Regeneration	Morden TC Regen Match Funding	2	SC	0	500	3,500	30,000	This Merton funded scheme is to provide match funding to lever in external funding from the Morden Regeneration project.
Total Capital - Schemes Requiring Business Case/Funding Approval				**17,638**	**25,225**	**32,333**	**40,454**	
Total Overall Programme				**81,596**	**88,126**	**75,211**	**89,248**	

Detailed Capital Programme 2024-28 continued……

Priority

1. Nurturing Civic Pride – is about the relationship that people and communities have with a place this includes their physical surroundings and feelings of identity and belonging.
2. Building a Sustainable Future - Working towards a greener, more sustainable, and resilient future for the borough means better housing, action on climate change and supporting the health and wellbeing of our local communities.
3. Creating a Borough of Sport - From internationally renowned organisations like the All-England Club to grassroots clubs and organisations like Tooting and Mitcham FC, we want to strengthen our partnerships with sports clubs, organisations and businesses across the borough and promote increased participation in sports and activity.
4. Corporate Change Programme - comprising Customer and Digital (including the Digital Strategy), Financial Sustainability, People and Culture and Story and Reputation.
5. Corporate Budgets

Please Note:

1. Excludes budget relating to future year announcements of Better Care Fund
2. Excludes indicative budgets relating to future year announcements for Transport for London and Schools Condition Grant

OSC = Overview and Scrutiny, CYP = Children and Young People, HCOP = Healthier Communities and Older People and SC - Sustainable Communities

Growth/(Reductions) proposed Programme 2025-30 Compared to March 2024 MTFS

Department	Revised Budget 2025-26 £000's	Revised Budget 2026-27 £000's	Revised Budget 2027-28 £000's	Revised Budget 2028-29 £000's	Revised Budget 2029-30 £000's
Finance & Digital					
Business Improvement	489	3,650	673	(1,162)	1,050
Information Technology	283	0	0	0	1,405
Resources	0	(75)	0	0	775
Corporate Budgets	19,730	5,330	9,225	13,952	21,579
Total Finance & Digital	**20,503**	**8,905**	**9,898**	**12,790**	**24,809**
ASC, Integrated Care & Public Health					
Adult Social Care	0	0	0	0	0
Total ASC, Integrated Care & Public Health	**0**	**0**	**0**	**0**	**0**
Children, Lifelong Learning & Families					
Primary School	(434)	352	0	0	2,500
Secondary Schools	(94)	0	0	0	0
SEN Schools and ARPs	(782)	(1,885)	7,131	0	0
Other	368	338	73	74	0
Total Children, Lifelong Learning & Families	**(941)**	**(1,195)**	**7,204**	**74**	**2,500**
Environmental, Civic Pride & Climate					
Regulatory Services	33	0	0	0	0
Libraries, Sport and Culture	2,352	4,555	1,039	12,560	4,650
Climate Change	16	20	0	0	0
Public Realm	(1,102)	(1,778)	9,164	1,880	7,467
Community Safety	479	(45)	0	0	50
Total Environmental, Civic Pride & Climate	**1,779**	**2,752**	**10,203**	**14,440**	**12,167**
Innovation and Change					
Governance	0	0	0	0	0
Total Innovation and Change	**0**	**0**	**0**	**0**	**0**
Housing & Sustainable Development					
Housing	13,652	2,564	10,811	17,187	18,762
Regeneration	(1,230)	6	1,810	160	30,060
Property Management	0	0	0	0	0
Facilities Management	(503)	(60)	0	0	950
Total Housing & Sustainable Development	**11,919**	**2,511**	**12,621**	**17,347**	**49,772**
Total Capital	**33,260**	**12,972**	**39,927**	**44,651**	**89,248**

Indicative Capital Programme 2030-35

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Indicative Budget 2030-31 £000s	Indicative Budget 2031-32 £000s	Indicative Budget 2032-33 £000s	Indicative Budget 2033-34 £000s	Indicative Budget 2034-35 £000s
Digital	**Digital**							
Customer Contact Programm	Customer Contact Programme	4	OSC	1,000	1,000	0	0	0
Customer Contact Programm	Transport Management System	4	OSC	0	150	0	0	0
Customer Contact Programm	Imp of Windows 11	4	OSC	0	2,500	0	0	0
Business Systems	Ancillary System	4	OSC	0	0	50	0	0
Business Systems	Parking System	4	OSC	600	0	0	0	0
Business Systems	Payroll System	4	OSC	0	160	0	0	0
Business Systems	Invoice Scanning SCIS/FIS	4	OSC	0	150	0	0	0
Business Systems	Environmental Asset Management	4	OSC	0	500	0	0	0
Business Systems	Revenue & Benefits	4	OSC	750	0	0	0	0
Business Systems	Payments project	4	OSC	0	0	200	0	0
Business Systems	Planning & Public Protection System	4	OSC	0	0	550	0	0
Business Systems	E Form Replacement	4	OSC	0	0	150	0	0
Replacement SC System	Replacement SC System	4	OSC	0	0	0	0	2,100
Information Technology	**Information Technology**							
Planned Replacement Progra	Project General	4	OSC	1,060	970	1,005	770	1,405
Corporate Budgets	**Corporate Budgets**							
Multi-Functioning Device (M	Multi-Functioning Device (MFD) - Finance Lease	5	OSC	600	0	0	0	0
Total Finance & Digital	**Total Finance & Digital**			**4,010**	**5,430**	**1,955**	**770**	**3,505**

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Indicative Budget 2030-31 £000s	Indicative Budget 2031-32 £000s	Indicative Budget 2032-33 £000s	Indicative Budget 2033-34 £000s	Indicative Budget 2034-35 £000s
Total ASC, Integrated Care	**Total ASC, Integrated Care & Public Health**			**0**	**0**	**0**	**0**	**0**

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Indicative Budget 2030-31 £000s	Indicative Budget 2031-32 £000s	Indicative Budget 2032-33 £000s	Indicative Budget 2033-34 £000s	Indicative Budget 2034-35 £000s
Primary Schools	**Primary Schools**							
Unlocated Primary School Pr	School Capital Maintenance	1	CYP	2,500	2,500	2,500	2,500	2,500
Total Children, Lifelong L	**Total Children, Lifelong Learning & Families**			**2,500**	**2,500**	**2,500**	**2,500**	**2,500**

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Indicative Budget 2030-31 £000s	Indicative Budget 2031-32 £000s	Indicative Budget 2032-33 £000s	Indicative Budget 2033-34 £000s	Indicative Budget 2034-35 £000s
Libraries, Sport and Cultu	**Libraries, Sport and Culture**							
Sports Facilities	Leisure Centre Plant & Machine	3	SC	320	320	350	350	350
Street Trees	Street Tree Programme	2	SC	60	60	60	60	60
Parks Investment	Parks Investment	3	SC	300	300	300	300	300
Public Realm	**Public Realm**							
Fleet Vehicles	Replacement of Fleet Vehicles	2	SC	0	0	0	1,212	0
Waste SLWP	Waste Bins	2	SC	300	300	300	300	300
Waste SLWP	Replacement of Fleet Vehicles	2	SC	0	0	0	15,000	0
Highways & Footways	Street Lighting Replacement Programme	1	SC	330	330	330	330	300
Highways & Footways	Traffic Schemes	1	SC	150	150	150	150	150
Highways & Footways	Repairs to Footways	1	SC	1,300	1,300	1,300	1,300	1,300
Highways & Footways	Borough Roads Maintenance	1	SC	1,800	1,800	1,800	1,800	1,800
Highways & Footways	Highways bridges & structures	1	SC	260	260	260	260	260
Highways & Footways	DFT Network North Funding	1	SC	186	186	186	186	186
Community Safety	**Community Safety**							
CCTV Investment	Rapid deployment cameras	1	SC	50	0	0	0	0
Total Environment, Civic P	**Total Environment, Civic Pride & Climate**			**5,056**	**5,006**	**5,036**	**21,248**	**5,066**

Indicative Capital Programme 2030-35 continued….

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Indicative Budget 2030-31 £000s	Indicative Budget 2031-32 £000s	Indicative Budget 2032-33 £000s	Indicative Budget 2033-34 £000s	Indicative Budget 2034-35 £000s
	Governance							
Total Innovation & Change	**Total Innovation & Change**			**0**	**0**	**0**	**0**	**0**

Cost Centre Narrative	Project Narrative	Priority	Scrutiny	Indicative Budget 2030-31 £000s	Indicative Budget 2031-32 £000s	Indicative Budget 2032-33 £000s	Indicative Budget 2033-34 £000s	Indicative Budget 2034-35 £000s
Housing	**Housing**							
Disabled Facilities Grant	Disabled Facilities Grant	2	SC/HCOP	1,000	1,000	1,000	1,000	1,000
Disabled Facilities Grant	Disabled Facilities Grant - Minor Works	2	SC/HCOP	400	400	400	400	400
Major Projects Affordable H	Empty Homes Strategy	2	SC/HCOP	375	375	375	375	375
Regeneration	**Regeneration**							
Borough Regeneration	Surface Water Drainage	1	SC	60	60	60	60	60
Facilities Management	**Facilities Management**							
Works to Other Buildings	Repair and Maintenance	2	SC	650	650	650	650	650
Invest to Save	Project General	2	SC	300	300	300	300	300
Total Housing & Sustainab	**Total Housing & Sustainable Development**			**2,785**	**2,785**	**2,785**	**2,785**	**2,785**

Total Capital	**Total Capital**			**14,351**	**15,721**	**12,276**	**27,303**	**13,856**

Priority

1. Nurturing Civic Pride – is about the relationship that people and communities have with a place this includes their physical surroundings and feelings of identity and belonging.
2. Building a Sustainable Future - Working towards a greener, more sustainable, and resilient future for the borough means better housing, action on climate change and supporting the health and wellbeing of our local communities.
3. Creating a Borough of Sport - From internationally renowned organisations like the All-England Club to grassroots clubs and organisations like Tooting and Mitcham FC, we want to strengthen our partnerships with sports clubs, organisations and businesses across the borough and promote increased participation in sports and activity.
4. Corporate Change Programme - comprising Customer and Digital (including the Digital Strategy), Financial Sustainability, People and Culture and Story and Reputation.
5. Corporate Budgets

Please Note:

1. Excludes budget relating to future year announcements of Better Care Fund
2. Excludes indicative budgets relating to future year announcements for Transport for London and Schools Condition Grant

OSC = Overview and Scrutiny, CYP = Children and Young People, HCOP = Healthier Communities and Older People and SC - Sustainable Communities

LONDON BOUROUGH OF MERTON

TREASURY MANAGEMENT STRATEGY – 2026-27

1.1 BACKGROUND

The Authority is required to operate a balanced revenue budget, which broadly means that cash raised during the year will meet cash expenditure. Part of the treasury management operation is to ensure that this cash flow is adequately planned, with cash being available when it is needed. Surplus monies are invested in low-risk counterparties or instruments commensurate with the Authority's low risk appetite, providing adequate liquidity initially before considering investment return.

The second main function of the treasury management service is the funding of the Authority's capital plans. These capital plans provide a guide to the borrowing need of the Authority, essentially the longer-term cash flow planning, to ensure that it can meet its capital spending obligations. This management of longer-term cash may involve arranging long or short-term loans or using longer-term cash flow surpluses. On occasion, when it is prudent and economic, any debt previously drawn may be restructured to meet risk or cost objectives.

The contribution the treasury management function makes to the Authority is critical, as the balance of debt and investment operations ensure liquidity or the ability to meet spending commitments as they fall due, either on day-to-day revenue or for larger capital projects. The treasury operations will see a balance of the interest costs of debt and the investment income arising from cash deposits affecting the available budget. Since cash balances generally result from reserves and balances, it is paramount to ensure adequate security of the sums invested, as a loss of principal will in effect result in a loss to the General Fund Balance.

CIPFA defines treasury management as:

"The management of the local authority's borrowing, investments and cash flows, including its banking, money market and capital market transactions; the effective control of the risks associated with those activities; and the pursuit of optimum performance consistent with those risks."

Whilst any commercial initiatives or loans to third parties will impact on the treasury function, these activities are generally classed as non-treasury activities, (arising usually from capital expenditure), and are separate from the day-to-day treasury management activities.

1.2 Reporting Requirements

1.2.1 Capital Strategy

The CIPFA 2021 Prudential and Treasury Management Codes require all local authorities to prepare a Capital Strategy report which will provide the following: -

- a high-level long-term overview of how capital expenditure, capital financing and treasury management activity contribute to the provision of services
- an overview of how the associated risk is managed
- the implications for future financial sustainability

The aim of the strategy is to ensure that all the Authority's elected members fully understand the overall long-term policy objectives and resulting Capital Strategy requirements, governance procedures and risk appetite.

1.2.2 Treasury Management Reporting

The Authority is currently required to receive and approve, as a minimum, three main treasury reports each year, which incorporate a variety of policies, estimates and actuals.

a. **Prudential and treasury indicators and treasury strategy** (this report) - The first, and most important report is forward looking and covers: -

- the capital plans, (including prudential indicators)
- a minimum revenue provision (MRP) policy, (how residual capital expenditure is charged to revenue over time)
- the Treasury Management Strategy, (how the investments and borrowings are to be organised), including treasury indicators; and
- an Annual Investment Strategy, (the parameters on how investments are to be managed)

b. **A mid-year treasury management report** – This is primarily a progress report and will update members on the capital position, amending prudential indicators as necessary, and whether any policies require revision. In addition, this Authority will receive quarterly update reports.

c. **An annual treasury report** – This is a backward-looking review document and provides details of a selection of actual prudential and treasury indicators and actual treasury operations compared to the estimates within the strategy.

Scrutiny
The above reports are required to be adequately scrutinised before being recommended to the Full Council. This role is undertaken by the Strategic Leadership Group and then Cabinet.

Quarterly reports – In addition to the three major reports detailed above, from 2023/24 quarterly reporting (end of June/end of December) has also been required. However, these additional reports do not have to be reported to Full Council/Board but do require to be adequately scrutinised and are related to the Prudential & treasury indicators. The Authority reports internally on a monthly basis which is shared with the S151 officer and the deputy 151 officer.

1.3 Treasury Management Strategy for 2026/27

The strategy for 2026/27 covers two main areas:

Capital issues

- the capital expenditure plans and the associated prudential indicators
- the minimum revenue provision (MRP) policy

Treasury management issues

- the current treasury position
- treasury indicators which limit the treasury risk and activities of the Authority
- prospects for interest rates
- the borrowing strategy
- policy on borrowing in advance of need
- debt rescheduling
- the investment strategy
- creditworthiness policy; and
- the policy on use of external service providers

These elements cover the requirements of the Local Government Act 2003, MHCLG Investment Guidance, MHCLG MRP Guidance, the CIPFA Prudential Code and the CIPFA Treasury Management Code.

1.4 Training

The CIPFA Treasury Management Code requires the responsible officer to ensure that members with responsibility for treasury management receive adequate training in treasury management. This especially applies to members responsible for scrutiny.

Furthermore, pages 47 and 48 of the Code state that they expect "all organisations to have a formal and comprehensive knowledge and skills or training policy for the effective acquisition and retention of treasury management knowledge and skills for those responsible for management, delivery, governance and decision making.

The scale and nature of this will depend on the size and complexity of the organisation's treasury management needs. Organisations should consider how to assess whether treasury management staff and board/ council members have the required knowledge and skills to undertake their roles and whether they have been able to maintain those skills and keep them up to date.

1.5 Treasury Management Consultants

The Authority's current treasury advisers are MUFG (formerly Link Group). Following the completion of a competitive procurement exercise, Arlingclose Limited has been appointed as the Authority's treasury management consultants with effect from February 2026.

The Authority recognises that responsibility for treasury management decisions always remains with the organisation and will ensure that undue reliance is not placed upon the services of our external service providers. All decisions will be undertaken with regards to all available information, including, but not solely, our treasury advisers.

It also recognises that there is value in employing external providers of treasury management services to acquire access to specialist skills and resources. The Authority will ensure that the terms of their appointment and the methods by which their value will be assessed are properly agreed and documented and subjected to regular review.

2. THE CAPITAL PRUDENTIAL INDICATORS 2026/27 – 2029/30

The Authority's capital expenditure plans are the key driver of treasury management activity. The output of the capital expenditure plans is reflected in the prudential indicators, which are designed to assist members' overview and confirm capital expenditure plans are prudent, affordable and sustainable.

2.1 Capital Expenditure and Financing

This prudential indicator is a summary of the Authority's capital expenditure plans, both those agreed previously, and those forming part of this budget cycle. Members are asked to approve the capital expenditure forecasts: -

Capital Expenditure Outturn Forecast	2024/25 Actual £'000	2025/26 Estimate £'000	2026/27 Estimate £'000	2027/28 Estimate £'000	2028/29 Estimate £'000	2029/30 Estimate £'000
Finance & Digital	3,015	24,451	17,734	11,428	17,991	24,809
ASC, Integrated Care & Public Health	0	0	0	0	0	0
Children, Lifelong Learning & Families	8,765	10,129	5,241	9,704	2,574	2,500
Environment, Civic Pride & Climate	10,572	16,041	23,150	26,899	22,176	12,167
Innovation & Change	0	0	0	0	0	0
Housing & Sustainable Development	12,225	34,771	35,470	40,095	32,470	49,772
Budget/Actual	**34,577**	**85,391**	**81,596**	**88,126**	**75,211**	**89,248**
Anticipated Slippage	0	(28,713)	(27,000)	(32,402)	(7,636)	(6,287)
Leasing Budgets in Programme after Slippage	0	0	0	0	0	0
Total Forecast Outturn for Capital Expenditure	**34,577**	**56,678**	**54,596**	**55,724**	**67,576**	**82,961**

Other long-term liabilities - the above financing need excludes other long-term liabilities, such as PFI and leasing arrangements that already include borrowing instruments.

There are no new PFI schemes, the Authority has recast its accounting for existing PFI schemes under the requirements of IFRS 16.

The table below summarises the planned capital expenditures and the sources of funding, whether from capital or revenue resources. Any shortfall in these resources will result in a borrowing requirement.

Capital Forecast Outturn Financing	2024/25 Actual £'000	2025/26 Estimate £'000	2026/27 Estimate £'000	2027/28 Estimate £'000	2028/29 Estimate £'000	2029/30 Estimate £'000
Capital Receipts	2,970	3,901	3,179	2,103	2,770	20,737
Capital Grants & Contributions	25,067	39,273	33,941	31,318	30,122	22,694
Capital Reserves	0	0	0	0	0	0
Revenue Provisions	550	2,082	201	86	58	36
Other Financing Sources	0	0	0	0	0	0
Net financing need for the year (a)*	**5,989**	**11,422**	**17,274**	**22,217**	**34,625**	**39,494**

* Excludes the estimated cost of new leases in the capital programme

2.2 The Authority's Borrowing Need (the Capital Financing Requirement)

The second prudential indicator is the Authority's Capital Financing Requirement (CFR). The CFR is simply the total historic outstanding capital expenditure which has not yet been paid for from either revenue or capital resources. It is essentially a measure of the Authority's indebtedness and so its underlying borrowing need. Any capital expenditure above, which has not immediately been paid for through a revenue or capital resource, will increase the CFR.

The CFR does not increase indefinitely, as the minimum revenue provision (MRP) is a statutory annual revenue charge which broadly reduces the indebtedness in line with each asset's life, and so charges the economic consumption of capital assets as they are used.

The CFR includes any other long-term liabilities (e.g., PFI schemes, finance leases). Whilst these increase the CFR, and therefore the Authority's borrowing requirement, these types of schemes include a borrowing facility by the PFI, PPP lease provider and so the Authority is not required to separately borrow for these schemes. As at 31 March 2026 the Authority has £23.9m of such schemes within the CFR.

The Authority is asked to approve the CFR projections below:

	2024/25 Actual £'000	2025/26 Estimate £'000	2026/27 Estimate £'000	2027/28 Estimate £'000	2028/29 Estimate £'000	2029/30 Estimate £'000
Capital Financing Requirement						
CFR b/f	106,299	114,694	116,903	130,136	139,451	155,930
Total CFR c/f	**114,694**	**116,903**	**130,136**	**139,451**	**155,930**	**180,907**
Movement in CFR	**8,395**	**2,209**	**13,234**	**9,315**	**16,479**	**24,977**
Movement in CFR represented by						
Net financing need for the year (above)	5,989	11,422	17,274	22,217	34,625	39,494
Less Capital MRP/VRP (b)	(4,275)	(4,705)	(5,614)	(6,912)	(8,535)	(10,018)
Less Other MRP/VRP - leasing and PFI	(3,811)	(3,537)	(3,081)	(4,256)	(6,751)	(2,465)
Less Other MRP/VRP - PFI - Termination	(1,159)	(928)	(1,181)	(1,663)	(2,421)	(2,095)
Less Other financing movements						
Less Early Redemption of CFR						
Adjustment of PFI Liability IFRS16	10,713					
Adjustment of Leasing Liability	938	(43)	5,836	(71)	(440)	61
Adjustment of MRP						
Movement in CFR	**8,395**	**2,209**	**13,234**	**9,315**	**16,479**	**24,977**

The Table below shows the level of internal borrowing over the planning period:

FUNDING (after slippage)	**2025/26**	**2026/27**	**2027/28**	**2028/29**	**2029/30**
	£000s	**£000s**	**£000s**	**£000s**	**£000s**
Internal Borrowing *	11,422	17,274	22,217	5,419	0
External Borrowing *	0	0	0	29,207	39,494
Total	**11,422**	**17,274**	**22,217**	**34,626**	**39,494**

* Figures include the cost of new leases from items in the capital programme

Based on forecast expenditure it is estimated that the Authority will need to start externally borrowing from 2028/29.

2.3 Actual and estimates of the ratio of financing costs to net revenue stream.

This indicator identifies the trend in the cost of capital (borrowing and other long-term obligation costs net of investment income) against the net revenue stream. The indicator shows the proportion of the income received from Council tax, Revenue Support Grant (RSG) and National Non- Domestic Rate (NNDR) and some specific grants that are spent on paying the borrowing associated with delivery of capital investment (interest charges of long-term borrowing).
The table below shows the monetary values, ratio and includes leasing costs.

	2024/25 Actual £'000	2025/26 Estimate £'000	2026/27 Estimate £'000	2027/28 Estimate £'000	2028/29 Estimate £'000	2029/30 Estimate £'000
Net Revenue Financing Costs	**(13,085)**	**(14,039)**	**(8,879)**	**(16,123)**	**(20,351)**	**(13,943)**
Net Financing Stream	173,240	182,296	163,227	170,206	177,132	183,492
Ratio of Financing Costs to Net Revenue Stream (Non HRA)	(7.6%)	(7.7%)	(5.4%)	(9.5%)	(11.5%)	(7.6%)

Please note the authority has not included the "Net income from service and commercial investment as % of net revenue stream" as the Authority places no reliance on non-treasury income to support revenue, eg. Commercial Investments

2.4 Estimates of the incremental impact of capital investment decisions on council tax

The table below shows the incremental impact of changes in the capital programme (incorporating the effects of changes in treasury forecasts and investment decisions) on the Band D council tax.

Actual	2024/25 Actual	2025/26 Estimate	2026/27 Estimate	2027/28 Estimate	2028/29 Estimate	2029/30 Estimate
Incremental Change in Net Revenue Financing Costs (£000)	2,667.62	(954.04)	5,159.52	(7,243.61)	(4,227.89)	6,407.96
Council Tax Base	78,257.80	79,031.80	80,770.10	81,375.60	81,986.10	82,601.00
Incremental Impact on Council Tax - Band D (£)	**34.09**	**(12.07)**	**63.88**	**(89.01)**	**(51.57)**	**77.58**
Council Tax - Band D (£)	1,521.98	1,598.05	1,630.01	1,695.21	1,763.02	1,833.54

2.5 Liability Benchmark

The Authority is required to estimate and measure the Liability Benchmark (LB) for the forthcoming financial year and the following two financial years, as a minimum.

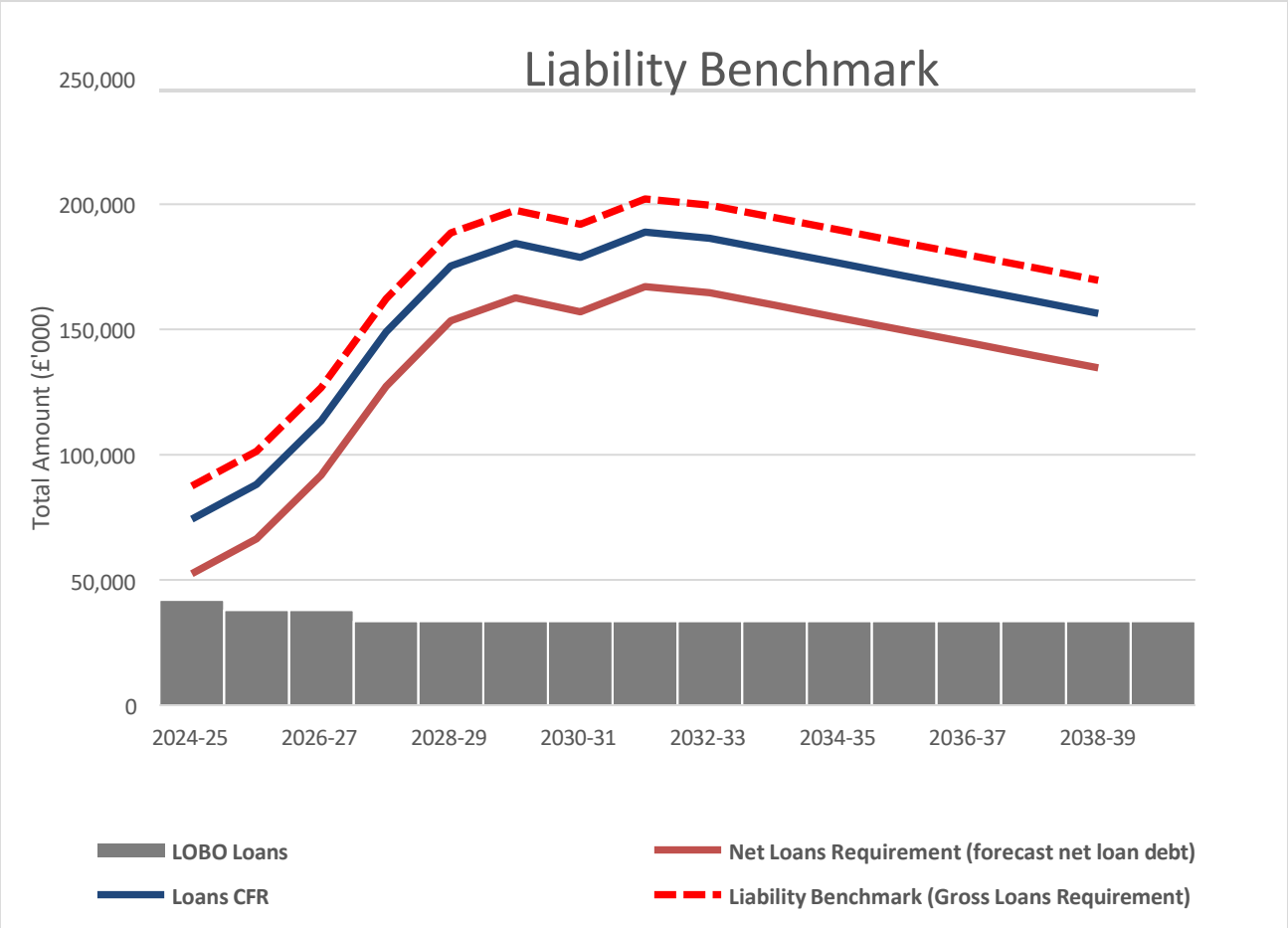
There are four components to the LB: -

1. **Existing loan debt outstanding**: the Authority's existing loans that are still outstanding in future years.
2. **Loans CFR**: this is calculated in accordance with the loans CFR definition in the Prudential Code and projected into the future based on approved prudential borrowing and planned MRP. (this figure is the Capital Financing Requirement less any Private Finance Initiative/Finance Lease liabilities).
3. **Net loans requirement**: this will show the Authority's gross loan debt less treasury management investments at the last financial year-end, projected into the future and based on its approved prudential borrowing, planned MRP and any other major cash flows forecast.
4. **Liability benchmark** (or gross loans requirement): this equals net loans requirement plus short-term liquidity allowance.

In its simplest form the liability benchmark is calculated by deducting the amount of investable resources available on the balance sheet (reserves, cash flow balances) from the amount of outstanding external debt and then adding the minimum level of investments required to manage day-to-day cash flow.

CIPFA recommends that the optimum position for external borrowing should be at the level of the liability benchmark (i.e., all balance sheet resources should be used to maximise internal borrowing to the extent that the authority retains sufficient liquidity for treasury management). If the outputs show future periods where external loans are less than the liability benchmark, then this indicates a borrowing requirement to sustain treasury investments at the level of liquidity allowance.

Conversely, where external loans exceed the liability benchmark then this will highlight an overborrowed position relative to the benchmark and cash balances over the £30m liquidity allowance requiring investment. The chart below shows the position in respect of Merton, over the funding period, with the proposed capital programme Merton will increase its level of internal borrowing.



2.6 Core Funds and Expected Investment Balances

The application of resources (capital receipts, reserves etc.) to either finance capital expenditure or other budget decisions to support the revenue budget will have an ongoing impact on investments unless resources are supplemented each year from new sources (asset sales etc.). Detailed below are estimates of the year-end balances for each resource and anticipated working capital balances.

Year End Resources	2025/26 Estimate £000s	2026/27 Estimate £000s	2027/28 Estimate £000s	2028/29 Estimate £000s	2029/30 Estimate £000s
Fund Balances/Reserves	150,438	131,001	97,465	79,128	56,780
Capital Receipts	133,745	130,866	127,866	124,866	88,866
Provisions	6,254	6,254	6,254	6,254	6,254
Total Core Funds	**290,437**	**268,121**	**231,585**	**210,248**	**151,900**
Working Capital*	13,158	13,158	13,158	13,158	13,158
Under/ Over Borrowing	(53,141)	(64,802)	(84,104)	(66,280)	(71,481)
Expected Investments	250,454	216,477	160,639	157,126	93,577

*Working capital balances shown are estimated year-end; these may be higher mid-year

2.7 Minimum Revenue Provision (MRP) Policy Statement

Under Regulation 27 of the Local Authorities (Capital Finance and Accounting) (England) Regulations 2003, where the Authority has financed capital expenditure by borrowing it is required to make a provision each year through a revenue charge (MRP). The 2003 Regulations have been further amended with full effect from April 2025 to expressly provide that in determining a prudent provision local authorities cannot exclude any amount of CFR from its calculation, unless by an exception set out in statute. The Authority has no exceptions to this rule.

The Authority is required to calculate a prudent provision of MRP which ensures that the outstanding debt liability is repaid over a period that is reasonably commensurate with that over which the capital expenditure provides benefits. The MRP Guidance (2024) provides four ready-made options for calculating MRP. An authority can use a mix of these options if it considers it appropriate to do so.

The Government considers that the methods of making prudent provision include the options set out in the statutory guidance. The Authority considers that utilising estimated asset life is the most appropriate method to calculate MRP.

From 1 April 2008 for all unsupported borrowing (including PFI and finance leases) the MRP policy will be based on the asset life Method – CLG regulations (option 3). This option will be applied for any expenditure capitalised under a capitalisation direction. This option reduces the borrowing need over the approximate life of the asset.

The table below details the basis of the MRP calculation for all unfinanced capital expenditure incurred on or after 1 April 2008.

Assets valued over £1m	**(Years)**
Buildings	50
Mechanical & Electrical and External	20
Assets valued under £1m	
Buildings	40
Infrastructure (roads etc)	25
15 Year Asset	15
10 Year Asset	10
Large vehicles – e.g. buses, RCVs	7
Small vehicles – e.g. cars, vans	5
Computer software, Computer hardware and Other equipment etc.* e.g. CCTV	3,4 and 5

MRP years where there is no depreciation equivalent	
Land	50
Revenue Expenditure Funded by capital Under Statute e.g. Redundancy costs	20

* In exceptional circumstances the Authority may consider it prudent to write off assets over two years.

To minimise unsupported borrowing the Authority will maximise its use of grants, contributions and capital receipts. In addition, the Authority may repay supported borrowing to reduce the level of the Capital Financing Requirement by the use of capital receipts.

In accordance with regulation 27(3) the authority to charge MRP in the financial year following the one in which capital expenditure finance by debt was incurred. Capital expenditure financed by borrowing in 2025/26 will not be subject to an MRP charge until 2026/27, or in the financial year following the one which the asset first becomes available for use.

The Authority will apply the asset life method for any expenditure capitalised under a Capitalisation Direction.

Leases/PFI

The adoption of International Financial Reporting Standard 16 has introduced a single lessee accounting model and requires a lessee to recognise assets and liabilities for all leases with a term of more than 12 months unless the underlying asset is low value.
When such lease contracts and the related assets and liabilities are brought onto the balance sheet, a local authority will increase its long-term liabilities and as a result this will increase the debt liability.

Generally accepted accounting practice requires these changes to be accounted for retrospectively, with the result that an element of the rental or service charge payable in previous years (and previously charged to revenue accounts) will be taken to the balance sheet to reduce the liability. On its own, this change in the accounting arrangements would result in a one-off increase to the CFR and an equal increase in revenue account balances.

This is not seen as a prudent course of action and the guidance aims to ensure local authorities are in the same position as if the change had not occurred. It does this by recommending the inclusion in the annual MRP charge of an amount equal to the amount that has been taken to the balance sheet to reduce the liability, including the retrospective element in the first year.

Regarding MRP in respect of assets acquired either under leases where a right-of-use asset is on the balance sheet or where on-balance sheet PFI contracts are in place, the prudent charge to revenue can be measured as being equal to the element of the rent/charge that goes to write down the balance sheet liability.

Where a lease (or part of a lease) or PFI contract is brought onto the balance sheet, having previously been accounted for off-balance sheet, the MRP requirement is regarded as having been met by the inclusion in the charge for the year in which the restatement occurs, of an amount equal to the write-down for that year plus retrospective writing down of the balance sheet liability that arises from the restatement.

Capital loans

The Authority will make prudent MRP payments in respect of loans to third parties.
When issuing a capital loan to a third party, the value of the loan will be classified as capital expenditure and will be financed from a permissible source of funding e.g. capital receipts, revenue financing, grant or borrowing. If the loan is financed by borrowing, the Authority will make a Minimum Revenue Provision (MRP) in year in respect of the loan. This will be over the term of the loan.

At the point the third-party loan is repaid, the principal repayments will be classed as capital receipts and will be available for financing capital schemes.

BORROWING & INVESTING

The capital expenditure plans set out in Section 2 provide details of the service activity of the Authority. The treasury management function ensures that the Authority's cash is organised in accordance with the relevant professional codes, so that sufficient cash is available to meet this service activity and the Authority's Capital Strategy. This will involve both the organisation of the cash flow and, where capital plans require, the organisation of appropriate borrowing facilities. The strategy covers the relevant treasury / prudential indicators, the current and projected debt positions, and the Annual Investment Strategy.

3.1 Current Portfolio Position

The overall treasury management portfolio as at 31/03/25 and for the position as at 31/12/2025 are shown below for both borrowing and investments.

Treasury Portfolio				
	Actual 31/03/2025	**Actual 31/03/2025**	**Current 31/12/2025**	**Current 31/12/2025**
Treasury Investments	£000	%	£000	%
Banks	79,700	35%	56,000	27%
Local Authorities	0	0%	30,000	14%
Money Market Funds	43,446	19%	12,822	6%
Total Managed Internally	**123,146**	**54%**	**98,822**	**47%**
Bonds	94,831	42%	94,831	45%
Property Funds	10,000	4%	16,700	8%
Total Managed Externally	**104,831**	**46%**	**111,531**	**53%**
Total Treasury Investments	**227,977**	**100%**	**210,353**	**100%**
Treasury External Borrowing				
LOBOs	42,000	100%	38,000	100%
Total External Borrowing	**42,000**	**100%**	**38,000**	**100%**
Net Treasury Investments / (Borrowing)	**185,977**		**172,353**	

The Authority's forward projections for borrowing are summarised below. The table shows the actual external debt, against the underlying capital borrowing need, (the Capital Financing Requirement - CFR), highlighting any over or under borrowing.

Narrative	2024/25 Actual £000s	2025/26 Estimate £000s	2026/27 Estimate £000s	2027/28 Estimate £000s	2028/29 Estimate £000s	2029/30 Estimate £000s
External Debt at 1 April	42,000	42,000	38,000	38,000	33,500	77,416
Expected change in Debt (repayment and new debt)	0	(4,000)	0	(4,500)	43,916	24,275
Closing External Debt	42,000	38,000	38,000	33,500	77,416	101,690
Closing Balance PFI	20,091	16,554	13,472	9,216	2,465	0
Closing Partial termination Balance PFI	8,288	7,361	6,179	4,517	2,095	0
Total PFI	28,379	23,914	19,652	13,733	4,561	1
Closing Balance Finance Leases	1,889	1,846	7,682	7,611	7,171	7,232
Closing Balance Salix	0	0	0	0	0	0
Actual Gross Debt at 31 March	72,268	63,760	65,334	54,844	89,148	108,923
Capital Financing Requirement (CFR)	114,694	116,903	130,136	139,451	155,930	180,907
(Under)/over Borrowing	(42,426)	(53,142)	(64,802)	(84,608)	(66,783)	(71,984)

Within the range of prudential indicators there are several key indicators to ensure that the Authority operates its activities within well-defined limits. One of these is that the Authority needs to ensure that its gross debt does not, except in the short-term, exceed the total of the CFR in the preceding year plus the estimates of any additional CFR for 2026/27 and the following two financial years. This allows some flexibility for limited early borrowing for future years but ensures that borrowing is not undertaken for revenue or speculative purposes.

The Executive Director of Finance and Digital reports that the Authority complied with this prudential indicator in the current year and does not envisage difficulties for the future. This view takes account of current commitments, existing plans and the proposals in this budget report.

3.2 Treasury Indicators: Limits to Borrowing Activity

The Operational Boundary. This is the limit beyond which external debt is not normally expected to exceed. In most cases, this would be a similar figure to the CFR, but may be lower or higher depending on the levels of actual debt and the ability to fund under-borrowing by other cash resources.

Operational Boundary	2025/26 Estimate £000s	2026/27 Estimate £000s	2027/28 Estimate £000s	2028/29 Estimate £000s	2029/30 Estimate £000s
Debt(CFR)	114,694	116,903	130,136	139,451	155,930
Other Long Term Liabilities	35,268	30,760	32,334	26,344	16,732
Total	149,962	147,663	162,470	165,795	172,662

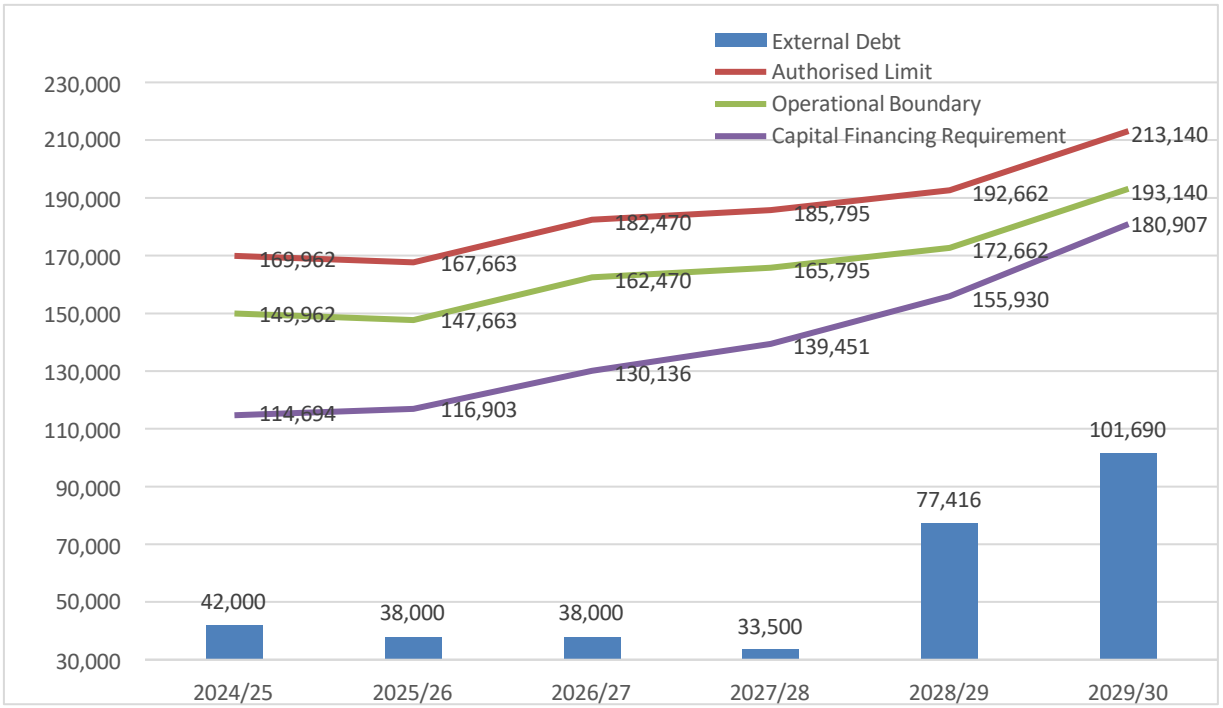
The Authorised Limit for external debt. This is a key prudential indicator and represents a control on the maximum level of borrowing. This represents a legal limit beyond which external debt is prohibited, and this limit needs to be set or revised by the Full Council. It reflects the

level of external debt which, while not desired, could be afforded in the short-term, but is not sustainable in the longer-term.

- This is the statutory limit determined under section 3 (1) of the Local Government Act 2003. The Government retains an option to control either the total of all local authority plans, or those of a specific authority, although this power has not yet been exercised.
- The Authority is asked to approve the following Authorised Limit:

	2025/26 Estimate £000s	2026/27 Estimate £000s	2027/28 Estimate £000s	2028/29 Estimate £000s	2029/30 Estimate £000s
Debt (CFR)	114,694	116,903	130,136	139,451	155,930
Other Long Term Liabilities	55,268	50,760	52,334	46,344	36,732
Total	169,962	167,663	182,470	185,795	192,662

Capital Financing Requirement (including Private Finance Initiatives and Finance Leases



Economic background:

The most significant impacts on the Authority's treasury management strategy for 2026/27 are expected to include: the influence of the government's 2025 Autumn Budget, lower short-term interest rates alongside higher medium- and longer-term rates, slower economic growth, together with ongoing uncertainties around the global economy, stock market sentiment, and geopolitical issues.

The Bank of England's Monetary Policy Committee (MPC) cut Bank Rate to 3.75% in December 2025, as expected. The vote to cut was 5-4, with the minority instead favouring holding rates at 4.0%. Those members wanting a cut judged that disinflation was established while those preferring to hold Bank Rate argued that inflation risks remained sufficiently material to leave rates untouched at this stage.

Figures from the Office for National Statistics showed that the UK economy expanded by 0.1% in the third quarter of the calendar year, this was unrevised from the initial estimate. The most recent Monetary Policy Report (November) projected modest economic growth, with GDP expected to rise by 0.2% in the final calendar quarter of 2025. Annual growth is forecast to ease from 1.4% before improving again later, reflecting the delayed effects of lower interest rates, looser monetary conditions, stronger global activity, and higher consumer spending. The view of modest economic growth going forward was echoed by the Office for Budget Responsibility in its Economic and fiscal outlook published in line with the Autumn Statement which revised down its estimate of annual real GDP to around 1.5% on average between 2025 and 2030.

CPI inflation was 3.2% in November 2025, down from 3.6% in the previous month and below the 3.5% expected. Core CPI eased to 3.2% from 3.4%, contrary to forecasts of remaining at 3.6%. Looking forward, the MPC continues to expect inflation to fall, to around 3% in calendar Q1 2026, before steadily returning to the 2% target by late 2026 or early 2027.

The labour market continues to ease with rising unemployment, falling vacancies and flat inactivity. In the three months to October 2025, the unemployment rate increased to 5.1%, higher than the level previously expected by the BoE, while the employment rate slipped to 74.9%. Pay growth for the same period eased modestly, with total earnings (including bonuses) growth at 4.7% and while regular pay was 4.6%.

The US Federal Reserve also continued to cut rates, including reducing the target range for the Federal Funds Rate by 0.25% at its December 2025 meeting, to 3.50%-3.75%, in line with expectations. The minutes of the meeting noted that most Fed policymakers judged that further rate cuts would be likely in 2026 if inflation continues to ease, however they were still divided in their assessment of the risks between inflation and unemployment.

The European Central Bank (ECB) kept its key interest rates unchanged in December for a fourth consecutive meeting, maintaining the deposit rate at 2.0% and the main refinancing rate at 2.15%. The ECB maintained that future policy decisions will remain data-dependent, that inflation is close to its 2% target and that the euro area economy continues to expand despite a challenging global environment, including heightened geopolitical risks and trade tensions.

Credit outlook: Credit Default Swap (CDS) prices, which spiked in April 2025 following President Trump's 'Liberation Day' tariff announcements, have since trended lower, returning to levels broadly consistent with their 2024 averages. Although CDS prices rose modestly during October and November, the overall credit outlook remains stable, and credit conditions are expected to remain close to the range seen over the past two years.

While lower interest rates may weigh on banks' profitability, strong capital positions, easing inflation, steady economic growth, low unemployment, and reduced borrowing costs for households and businesses all support a favourable outlook for the creditworthiness of institutions on (the authority's treasury management advisor-from Feb 2026) Arlingclose's counterparty list. Arlingclose's advice on approved counterparties and recommended investment durations is kept under continuous review and will continue to reflect prevailing economic and credit conditions.

Interest rate forecast (22nd December 2025): Arlingclose, the Authority's treasury management adviser, currently forecasts that the Bank of England's Monetary Policy

Committee will continue to reduce Bank Rate in 2026, reaching around 3.25%. This forecast reflects amendments made following the Autumn Budget and an assessment of the fiscal measures and their market implications, and following the BoE MPC meeting held on 18th December.

Long-term gilt yields, and therefore interest rates payable on long-term borrowing, are expected to remain broadly stable on average, though with continued volatility, and to end the forecast period marginally lower than current levels. Yields are likely to stay higher than in the pre-quantitative tightening era, reflecting ongoing balance sheet reduction and elevated bond issuance. Short-term fluctuations are expected to persist in response to economic data releases and geopolitical developments.

Underlying assumptions:

The Bank of England duly delivered on expectations for a December rate cut, but, despite softer economic data over the past two weeks, the minutes highlighted increased caution surrounding both the inflation outlook and the speed of future easing. With a close vote of 5-4 in favour of a rate reduction, this suggests that the bar for further monetary easing may be higher than previously thought despite the possibility of the CPI rate falling to target in 2026.

Budget policies and base effects will mechanically reduce the CPI rate in 2026, on top of the downward pressure arising from soft economic growth and the looser labour market. However, many policymakers appear concerned that household and business inflation and pricing expectations are proving sticky following recent bouts of high price and wage growth, which may allow underlying inflationary pressure to remain elevated. While, the Bank's measure of household expectations ticked lower in December, it remains above levels consistent with the 2% target at 3.5%.

While policymakers hold valid concerns, these appear somewhat out of line with current conditions; CPI inflation fell to 3.2% in November, private sector wage growth continued to ease amid the highest unemployment rate since the pandemic, and the economy contracted in October after barely growing in Q3. Business surveys pointed to marginally stronger activity and pricing intentions in December but also suggested that the pre-Budget malaise was not temporary. These data are the latest in a trend suggesting challenging economic conditions are feeding into price and wage setting.

Risks to the growth and inflation outlook lie to the downside, which may ultimately deliver lower Bank Rate than our central case. However, the minutes suggest that the bar to further rate cuts beyond 3.25% is higher and the near-term upside risks to our Bank Rate forecast have increased. Having said that, we believe inflation expectations will naturally decline alongside headline inflation rates.

Investors appear to have given the UK government some breathing space following the Budget, with long-term yields continuing to trade at slightly lower levels than in late summer/early autumn. Even so, sustained heavy borrowing across advanced economies, the DMO's move towards issuing more short-dated gilts and lingering doubts about the government's fiscal plans will keep short to medium yields above the levels implied by interest rate expectations alone.

Forecast:

In line with our long-held forecast, Bank Rate was cut to 3.75% in December 2025 Continuing disinflation, rising unemployment, softening wage growth and low confidence suggests that monetary policy will continue to be loosened.

Arlingclose expects Bank Rate to be cut to 3.25% by middle of 2026. However, near-term upside risks to the forecast have increased.

Medium and long-term gilt yields continue to incorporate premia for UK government credibility, global uncertainty and significant issuance. These issues may not be resolved quickly and we expect yields to remain higher

	Current	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Official Bank Rate													
Upside risk	0.00	0.25	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50
Central Case	3.75	3.50	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25
Downside risk	0.00	0.00	-0.25	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50
3-month money market rate													
Upside risk	0.00	0.25	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50
Central Case	3.82	3.55	3.30	3.30	3.30	3.30	3.30	3.30	3.30	3.30	3.35	3.35	3.35
Downside risk	0.00	0.00	-0.25	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50	-0.50
5yr gilt yield													
Upside risk	0.00	0.40	0.45	0.50	0.55	0.60	0.65	0.70	0.70	0.70	0.70	0.70	0.70
Central Case	3.96	3.85	3.80	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.80	3.80	3.80
Downside risk	0.00	-0.50	-0.60	-0.70	-0.80	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85
10yr gilt yield													
Upside risk	0.00	0.40	0.45	0.50	0.55	0.60	0.65	0.70	0.70	0.70	0.70	0.70	0.70
Central Case	4.52	4.40	4.35	4.30	4.30	4.30	4.30	4.30	4.30	4.30	4.35	4.35	4.35
Downside risk	0.00	-0.50	-0.60	-0.70	-0.80	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85
20yr gilt yield													
Upside risk	0.00	0.40	0.45	0.50	0.55	0.60	0.65	0.70	0.70	0.70	0.70	0.70	0.70
Central Case	5.16	5.00	4.95	4.90	4.90	4.90	4.90	4.90	4.90	4.90	4.95	4.95	4.95
Downside risk	0.00	-0.50	-0.60	-0.70	-0.80	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85
50yr gilt yield													
Upside risk	0.00	0.40	0.45	0.50	0.55	0.60	0.65	0.70	0.70	0.70	0.70	0.70	0.70
Central Case	4.74	4.65	4.60	4.60	4.60	4.60	4.60	4.60	4.60	4.60	4.65	4.65	4.65
Downside risk	0.00	-0.50	-0.60	-0.70	-0.80	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85	-0.85

PWLB Standard Rate = Gilt yield + 1.00%
PWLB Certainty Rate = Gilt yield + 0.80%
PWLB HRA Rate = Gilt yield + 0.40%
National Wealth Fund (NWF) Rate = Gilt yield + 0.40%

3.3 Borrowing Strategy

The Authority is currently maintaining an under-borrowed position. This means that the capital borrowing need, (the Capital Financing Requirement), has not been fully funded with loan debt as cash supporting the Authority's reserves, balances and cash flow has been used as a temporary measure. This strategy is prudent as medium and longer dated borrowing rates are expected to fall from their current levels, albeit only once prevailing inflation concerns are addressed by restrictive near-term monetary policy. That is, Bank Rate remains relatively elevated in 2025 even if some rate cuts arise.

Against this background and the risks within the economic forecast, caution will be adopted with the 2026/27 treasury operations. The Executive Director of Finance will monitor interest rates in financial markets and adopt a pragmatic approach to changing circumstances:

- *Expectations of a significant decline in borrowing rates will lead to a delay of borrowing.*

- *If it is perceived that there is a significant risk of a much sharper rise in borrowing rates than currently forecast, fixed-rate funding will be secured while interest rates remain lower than those projected for the coming years.*

Any decisions will be reported to the appropriate decision-making body at the next available opportunity.

3.4 Policy on Borrowing in Advance of Need

The Authority will not borrow more than or in advance of its needs purely in order to profit from the investment of the extra sums borrowed. Any decision to borrow in advance will be within forward approved Capital Financing Requirement estimates and will be considered carefully to ensure that value for money can be demonstrated and that the Authority can ensure the security of such funds.

At the moment there are no requirements to borrow in advance of need.

3.5 Rescheduling

Rescheduling of current borrowing in our debt portfolio may be considered whilst premature redemption rates remain elevated but only if there is surplus cash available to facilitate any repayment, or rebalancing of the portfolio to provide more certainty is considered appropriate. If rescheduling is to be undertaken, it will be reported to the *Council* at the earliest meeting following its action. It is important to note the council repaid its PWLB loans and two of the LOBO loans in the last financial year. These were not replaced by any new loans.

3.6 New Financial Institutions as a Source of Borrowing and / or Types of Borrowing

Currently the PWLB Certainty Rate is set at gilts + 80 basis points. However, consideration may still need to be given to sourcing funding from the following sources for the following reasons:

- Local authorities (primarily shorter dated maturities out to 3 years or so – generally still cheaper than the Certainty Rate).
- Financial institutions (primarily insurance companies and pension funds but also some banks, out of forward dates where the objective is to avoid a “cost of carry” or to achieve refinancing certainty over the next few years).
- UK Municipal Bonds Agency
- UK National Wealth Fund

Our advisors will keep us informed as to the relative merits of each of these alternative funding sources although at the moment there is no expectation that the Authority will need to borrow throughout 2026/27, and it is expected that council may start to borrow in 2028/29.

3.7 Approved Sources of Long and Short-term Borrowing

On Balance Sheet	Fixed	Variable
PWLB	●	●
UK Municipal Bond Agency	●	●
Local Authorities	●	●
Banks	●	●
Pension Funds	●	●
Insurance Companies	●	●
UK National Wealth Fund	●	●
Market (long-term)	●	●
Market (temporary)	●	●
Market (LOBOs)	●	●
Stock Issues	●	●
Local Temporary	●	●
Local Bonds	●	
Local Authority Bills	●	●
Overdraft		●
Negotiable Bonds	●	●
Internal (capital receipts & revenue balances)	●	●
Commercial Paper	●	
Medium Term Notes	●	
Finance Leases	●	●

4 ANNUAL INVESTMENT STRATEGY

4.1 Investment Policy – Management of Risk

The Ministry of Housing, Communities and Local Government (MHCLG)) and CIPFA have extended the meaning of 'investments' to include both financial and non-financial investments. This report deals solely with treasury (financial) investments, (as managed by the treasury management team). Non-financial investments, essentially the purchase of income yielding assets and service investments, are covered in the Capital Strategy, (a separate report).

The Authority's investment policy has regard to the following: -

- MHCLG's Guidance on Local Government Investments ("the Guidance")
- CIPFA Treasury Management in Public Services Code of Practice and Cross Sectoral Guidance Notes 2021 ("the Code")
- CIPFA Treasury Management Guidance Notes 2021

The Authority's investment priorities will be security first, portfolio liquidity second and then yield (return). The Authority will aim to achieve the optimum return (yield) on its investments commensurate with proper levels of security and liquidity and with regard to the Authority's risk appetite.

In the current economic climate, it is considered appropriate to maintain a degree of liquidity to cover cash flow needs but to also consider "laddering" investments for periods up to 12 months with high credit rated financial institutions, whilst investment rates remain elevated, as well as wider range fund options.

The above guidance from MHCLG and CIPFA places a high priority on the management of risk. This Authority has adopted a prudent approach to managing risk and defines its risk appetite by the following means: -

1. Minimum acceptable **credit criteria** are applied in order to generate a list of highly creditworthy counterparties. This also enables diversification and thus avoidance of concentration risk. The key ratings used to monitor counterparties are the short-term and long-term ratings.

2. **Other information:** ratings will not be the sole determinant of the quality of an institution; it is important to continually assess and monitor the financial sector on both a micro and macro basis and in relation to the economic and political environments in which institutions operate. The assessment will also take account of information that reflects the opinion of the markets. To achieve this consideration the Authority will engage with its advisors to maintain a monitor on market pricing such as **"credit default swaps"** and overlay that information on top of the credit ratings.

3. **Other information sources** used will include the financial press, share price and other such information pertaining to the financial sector in order to establish the most robust scrutiny process on the suitability of potential investment counterparties.

4. This Authority has defined the list of **types of investment instruments** that the treasury management team are authorised to use. There are two lists in Appendix 5.4 under the categories of 'specified' and 'non-specified' investments.

   Specified investments are those with a high level of credit quality and subject to a maturity limit of one year or have less than a year left to run to maturity, if originally they

were classified as being non-specified investments solely due to the maturity period exceeding one year.

Non-specified investments are those with less high credit quality, may be for periods in excess of one year, and/or are more complex instruments which require greater consideration by members and officers before being authorised for use.

5. **Non-specified and loan investment limits.** The Authority has determined that it will set a limit to the maximum exposure of the total treasury management investment portfolio to non-specified treasury management investments of 41%.

6. **Lending limits**, (amounts and maturity), for each counterparty will be set through applying the matrix table in paragraph 4.2.

7. **Transaction limits** are set for each type of investment in 4.2.

8. This Authority will set a limit for its investments which are invested for **longer than 365 days**, (see paragraph 4.4).

9. Investments will only be placed with counterparties from countries with a specified minimum **sovereign rating**, (see paragraph 4.3).

10. This Authority has engaged **external consultants**, (see paragraph 1.5), to provide expert advice on how to optimise an appropriate balance of security, liquidity and yield, given the risk appetite of this Authority in the context of the expected level of cash balances and need for liquidity throughout the year.

11. All investments will be denominated in **sterling**.
    As a result of the change in accounting standards for 2023/24 under IFRS 9, this Authority will consider the implications of investment instruments which could result in an adverse movement in the value of the amount invested and resultant charges at the end of the year to the General Fund. (In November 2018, the MHCLG, concluded a consultation for a temporary override to allow English local authorities time to adjust their portfolio of pooled investments by announcing a statutory override to delay implementation of IFRS 9 for five years ending 31.3.23. The Government has signalled its view not to extend the statutory override in a recent consultation, section 9 Consultation: provisional local government finance settlement 2025 to 26 - GOV.UK This will have implications for the CCLA property fund.

12. The authority will assess all new investment ESG criteria and the net zero commitment to make sure it is in line with the authority's aim to meet the net zero by 2030.

13. Furthermore, page 50 of the Treasury Management Code states "ESG issues are increasingly significant for investors and investment managers. This is better developed in equity and bond markets than for short-term cash deposits, and there is a diversity of market approaches to ESG classification and analysis. This means that a consistent and developed approach to ESG for public service organisations is currently difficult. Organisations are therefore recommended to consider their credit and counterparty policies in light of ESG information and develop their own ESG investment policies and treasury management practices consistent with their organisation's own relevant policies, such as environmental and climate change policies."

However, this Authority will also pursue **value for money** in treasury management and will monitor the yield from investment income against appropriate benchmarks for investment performance, (see paragraph 4.5). Regular monitoring of investment performance will be carried out during the year.

4.2 Creditworthiness Policy

As mentioned in paragraph 1.5, the treasury department has secured services from a new treasury advisor, Arlingclose. The contract will start from February 2026. As such we will have a new credit rating model, adopting the approach from our new advisors. The following table summarises our counterparty limits.

Sector	Time limit †	Counterparty limit	Sector limit
The UK Government	50 years	Unlimited	n/a
Local authorities & other government entities	25 years	£5m per LA	50%
Banks (unsecured)	13 months	£25m	Unlimited
Money market funds	n/a	£40m per fund	Unlimited
Strategic pooled funds	n/a	£20m	**30%**
Other investments	1 year	£5m per deposit	20%

UK Government: Sterling-denominated investments with or explicitly guaranteed by the UK Government, including the Debt Management Account Deposit Facility, treasury bills and gilts. These are deemed to be zero credit risk due to the government's ability to create additional currency and therefore may be made in unlimited amounts for up to 50 years.

Local authorities and other government entities: Loans to, and bonds and bills issued or guaranteed by, other national governments, regional and local authorities and multilateral development banks. These investments are not subject to bail-in, and there is generally a lower risk of insolvency, although they are not zero risk.

Secured investments: Investments secured on the borrower's assets, which limits the potential losses in the event of insolvency. The amount and quality of the security will be a key factor in the investment decision. Covered bonds, secured deposits and reverse repurchase agreements with banks and building societies are exempt from bail-in. Where there is no investment specific credit rating, but the collateral upon which the investment is secured has a credit rating, the higher of the collateral credit rating and the counterparty credit rating will be used. The combined secured and unsecured investments with any one counterparty will not exceed the cash limit for secured investments. A higher limit applies for investments fully secured on UK or other government collateral.

Banks and building societies (unsecured): Accounts, deposits, certificates of deposit and senior unsecured bonds with banks and building societies, other than multilateral development banks. These investments are subject to the risk of credit loss via a bail-in should the regulator determine that the bank is failing or likely to fail.

Registered providers (unsecured): Loans to, and bonds issued or guaranteed by, registered providers of social housing or registered social landlords, formerly known as housing associations. These bodies are regulated by the Regulator of Social Housing (in England), the Scottish Housing Regulator, the Welsh Government and the Department for Communities (in Northern Ireland). As providers of public services, they retain the likelihood of receiving government support if needed.

Money market funds: Pooled funds that offer same-day or short notice liquidity and very low or no price volatility by investing in short-term money markets. They have the advantage over bank accounts of providing wide diversification of investment risks, coupled with the services of a professional fund manager in return for a small fee. Although no sector limit applies to money market funds, the Authority will take care to diversify its liquid investments over a variety of providers to ensure access to cash at all times.

Strategic pooled funds: Bond, equity and property funds, including exchange traded funds, that offer enhanced returns over the longer term but are more volatile in the short term. These allow the Authority to diversify into asset classes other than cash without the need to own and manage the underlying investments. Because these funds have no defined maturity date, but can be either withdrawn after a notice period or sold on an exchange, their performance and continued suitability in meeting the Authority's investment objectives will be monitored regularly.

Real estate investment trusts: Shares in companies that invest mainly in real estate and pay the majority of their rental income to investors in a similar manner to pooled property funds. As with property funds, REITs offer enhanced returns over the longer term, but are more volatile especially as the share price reflects changing demand for the shares as well as changes in the value of the underlying properties.

Other investments: This category covers treasury investments not listed above, for example unsecured corporate bonds and unsecured loans to companies and universities. Non-bank companies cannot be bailed-in but can become insolvent placing the Authority's investment at risk.

Risk assessment and credit ratings: Credit ratings are obtained and monitored by the Authority's treasury advisers, who will notify changes in ratings as they occur. The credit rating agencies in current use are listed in the Treasury Management Practices document. Where an entity has its credit rating downgraded so that it fails to meet the approved investment criteria then:

- no new investments will be made,
- any existing investments that can be recalled or sold at no cost will be, and
- full consideration will be given to the recall or sale of all other existing investments with the affected counterparty.

Where a credit rating agency announces that a credit rating is on review for possible downgrade (also known as "negative watch") so that it may fall below the approved rating criteria, then only investments that can be withdrawn [on the next working day] will be made with that organisation until the outcome of the review is announced. This policy will not apply to negative outlooks, which indicate a long-term direction of travel rather than an imminent change of rating.

Other information on the security of investments: The Authority understands that credit ratings are good, but not perfect, predictors of investment default. Full regard will therefore be given to other available information on the credit quality of the organisations in which it invests, including credit default swap prices, financial statements, information on potential government support, reports in the quality financial press and analysis and advice from the Authority's treasury management adviser. No investments will be made with an organisation if there are substantive doubts about its credit quality, even though it may otherwise meet the above criteria.

Reputational aspects: The Authority is aware that investment with certain counterparties, while considered secure from a purely financial perspective, may leave it open to criticism, valid or otherwise, that may affect its public reputation, and this risk will therefore be taken into account when making investment decisions.

When deteriorating financial market conditions affect the creditworthiness of all organisations, as happened in 2008, 2020 and 2022, this is not generally reflected in credit ratings, but can be seen in other market measures. In these circumstances, the Authority will restrict its investments to those organisations of higher credit quality and reduce the maximum duration of its investments to maintain the required level of security. The extent of these restrictions will be in line with prevailing financial market conditions. If these restrictions mean that insufficient commercial organisations of high credit quality are available to invest the Authority's cash balances, then the surplus will be deposited with the UK Government or other local authorities. This will cause investment returns to fall but will protect the principal sum invested.

The Authority will spread its liquid cash over at least four providers (e.g. bank accounts and money market funds), of which at least two will be UK domiciled, to ensure that access to cash is maintained in the event of operational difficulties at any one provider.

Related Matters

The CIPFA Code requires the Authority to include the following in its treasury management strategy.

Financial derivatives: Local authorities have previously made use of financial derivatives embedded into loans and investments both to reduce interest rate risk (e.g. interest rate collars and forward deals) and to reduce costs or increase income at the expense of greater risk (e.g. LOBO loans and callable deposits). The general power of competence in section 1 of the *Localism Act 2011* removes much of the uncertainty over local authorities' use of standalone financial derivatives (i.e. those that are not embedded into a loan or investment).

The Authority will only use standalone financial derivatives (such as swaps, forwards, futures and options) where they can be clearly demonstrated to reduce the overall level of the financial risks that the Authority is exposed to. Additional risks presented, such as credit exposure to derivative counterparties, will be taken into account when determining the overall level of risk. Embedded derivatives, including those present in pooled funds and forward starting transactions, will not be subject to this policy, although the risks they present will be managed in line with the overall treasury risk management strategy.

Financial derivative transactions may be arranged with any organisation that meets the approved investment criteria, assessed using the appropriate credit rating for derivative exposures. An allowance for credit risk calculated using the methodology in the Treasury Management Practices document will count against the counterparty credit limit and the relevant foreign country limit.
In line with the CIPFA Code, the Authority will seek external advice and will consider that advice before entering into financial derivatives to ensure that it fully understands the implications.

Changes of investment strategy

- **Pooled Property Funds**

In 2025/26 the authority is committed to invest in a social impact investment via treasury management Portfolio. This pooled property investment will provide dual benefit of reduction in the Temporary accommodation cost and providing a yield on the investment.
The risk associated with this investment is if the authority decided to exit before maturity may get less than invested cash. The expectation is on maturity at the end of 10 years the value of the properties purchased via this investment in the Merton / neighbouring boroughs would have increased in value plus the saving on temporary accommodation.

Investment treasury indicator and limit - total principal funds invested for greater than 365 days. These limits are set with regard to the Authority's liquidity requirements and to reduce the need for early sale of an investment and are based on the availability of funds after each year-end.

The Authority is asked to approve the following treasury indicator and limit: -

Upper limit for principal sums invested for longer than 365 days			
	2026/27	**2027/28**	**2028/29**
Principal sums invested for longer than 365 days	£117.035m	£117.035m	£117.035m
Current investments as at 31/12/2025 in excess of 1 year maturing in each year	£15m	£15m	0

4.3 Investment Performance / Risk Benchmarking

These benchmarks are simple guides to maximum risk, so they may be breached from time to time, depending on movements in interest rates and counterparty criteria. The purpose of the benchmark is that officers will monitor the current and trend position and amend the operational strategy to manage risk as conditions change. Any breach of the benchmarks will be reported, with supporting reasons in the mid-year or Annual Report.

- ✓ **Security** - The Authority's maximum security risk benchmark for the current portfolio, when compared to these historic default tables, is:
  - 0.075% (Excluding Gilts 0.013%) historic risk of default when compared to the whole portfolio.
- ✓ **Liquidity** – in respect of this area the Authority seeks to maintain: -
  - Bank overdraft - £1m

- Liquid short-term deposits of at least £30m with immediate access.
- Weighted average life benchmark is expected to be 7 years, this is due to the long-term gilts (total £97m) being held with a maximum of 23 years.

✓ **Yield** - local measures of yield benchmarks are

- Investments – internal returns above the 7-day SONIA compounded rate

4.4 End of Year Investment Report

At the end of the financial year, the Authority will report on its investment activity as part of its Annual Treasury Report.

4.5 External Fund Managers

£20m of the Authority's funds is externally managed (£16.7m invested) on a discretionary / pooled basis by
CCLA and Resonance Limited.

These risk metrics are outlined below: -
The Authority fully appreciates the importance of monitoring the activity and resultant performance of its appointed external fund manager. In order to aid this assessment, the Authority is provided with a suite of regular reporting from its manager. This includes: -
include monthly factsheets, quarterly / semi-annual and annual reports, statements, access to online fund reporting sites etc.

In addition to formal reports, the Authority also meets with representatives of the fund manager on a quarterly basis. These meetings allow for additional scrutiny of the manager's activity as well as discussions on the outlook for the fund as well as wider markets.

5 APPENDICES

(These can be appended to the report or omitted as required)

5.1 Capital prudential and treasury indicators 2026-27-2028-29

5.2 Treasury management scheme of delegation

5.3 Treasury management Principles

5.1 THE CAPITAL PRUDENTIAL AND TREASURY INDICATORS 2026/27 – 2029/30

The Authority's capital expenditure plans are the key driver of treasury management activity. The output of the capital expenditure plans is reflected in the prudential indicators, which are designed to assist members' overview and confirm capital expenditure plans.

5.1.1 Capital Expenditure

Capital Expenditure Outturn Forecast	2024/25 Actual £'000	2025/26 Estimate £'000	2026/27 Estimate £'000	2027/28 Estimate £'000	2028/29 Estimate £'000	2029/30 Estimate £'000
Finance & Digital	3,015	24,451	17,734	11,428	17,991	24,809
ASC, Integrated Care & Public Health	0	0	0	0	0	0
Children, Lifelong Learning & Families	8,765	10,129	5,241	9,704	2,574	2,500
Environment, Civic Pride & Climate	10,572	16,041	23,150	26,899	22,176	12,167
Innovation & Change	0	0	0	0	0	0
Housing & Sustainable Development	12,225	34,771	35,470	40,095	32,470	49,772
Budget/Actual	**34,577**	**85,391**	**81,596**	**88,126**	**75,211**	**89,248**
Anticipated Slippage	0	(28,713)	(27,000)	(32,402)	(7,636)	(6,287)
Leasing Budgets in Programme after Slippage	0	0	0	0	0	0
Total Forecast Outturn for Capital Expenditure	**34,577**	**56,678**	**54,596**	**55,724**	**67,576**	**82,961**

5.1.2 Affordability Prudential Indicators

The previous sections cover the overall capital and control of borrowing prudential indicators, but within this framework prudential indicators are required to assess the affordability of the capital investment plans. These provide an indication of the impact of the capital investment plans on the Authority's overall finances. The Authority is asked to approve the following indicators: -

Ratio of Financing Costs to Net Revenue Stream

This indicator identifies the trend in the cost of capital, (borrowing and other long-term obligation costs), against the net revenue stream.

	2024/25 Actual £'000	2025/26 Estimate £'000	2026/27 Estimate £'000	2027/28 Estimate £'000	2028/29 Estimate £'000	2029/30 Estimate £'000
Ratio of Financing Costs to Net Revenue Stream (Non HRA)	(7.6%)	(7.7%)	(5.4%)	(9.5%)	(11.5%)	*(7.6%)*

The estimates of financing costs include current commitments and the proposals in this budget report

5.1.3 Maturity Structure of Borrowing

Maturity structure of borrowing. These gross limits are set to reduce the Authority's exposure to large, fixed rate sums falling due for refinancing, and are required for upper and lower limits.

The Authority is asked to approve the following treasury indicators and limits: -

Maturity Structure of borrowing January 2026				
	Actual %	**Value £000**	**Upper**	**Lower**
less than 1 year	0%	0	60%	0%
1 to 2 years	11.84%	4,500	60%	0%
2 years to 5 years	0%	0	60%	0%
5 years to 10 years	5.26%	2,000	80%	0%
10 years to 20 years	43.42%	16,500	100%	0%
20 years to 30 years	0%	0	100%	0%
30 years to 40 years	39.48%	15,000	100%	0%
40 years to 50 years	0%	0	100%	0%
Total	**100.00%**	**38,000**		

5.2 TREASURY MANAGEMENT SCHEME OF DELEGATION

(i) Full Council

- receiving and reviewing reports on treasury management policies, practices and activities;
- approval of annual strategy.
- approval of/amendments to the organisation's adopted clauses, treasury management policy statement and treasury management practices.
- budget consideration and approval;
- approval of the division of responsibilities.
- Receiving and reviewing regular monitoring and acting on recommendation

(ii) The S151 (responsible) officer

- recommending clauses, treasury management policy/practices for approval, reviewing the same regularly, and monitoring compliance.
- submitting regular treasury management policy reports.
- submitting budgets and budgets variations;
- receiving and reviewing management information reports;
- reviewing the performance of the treasury management function;
- ensuring the adequacy of treasury management resources and skills, and the effective division of responsibilities within the treasury management function;
- ensure all relevant officers and the decision making committees receive adequate and regular training to make informed decisions.
- ensuring the adequacy of internal audit, and liaising with external audit;
- recommending the appointment of external service providers.
- preparation of a Capital Strategy to include capital expenditure, capital financing, non-financial investments and treasury management, with a long-term timeframe *(say 20+ years – to be determined in accordance with local priorities.)*

- ensuring that the Capital Strategy is prudent, sustainable, affordable and prudent in the long term and provides value for money
- ensuring that due diligence has been carried out on all treasury and non-financial investments and is in accordance with the risk appetite of the authority
- ensure that the Authority has appropriate legal powers to undertake expenditure on non-financial assets and their financing
- ensuring the proportionality of all investments so that the Authority does not undertake a level of investing which exposes the Authority to an excessive level of risk compared to its financial resources
- ensuring that an adequate governance process is in place for the approval, monitoring and ongoing risk management of all non-financial investments and long-term liabilities
- provision to members of a schedule of all non-treasury investments including material investments in subsidiaries, joint ventures, loans and financial guarantees
- ensuring that members are adequately informed and understand the risk exposures taken on by the Authority
- ensuring that the Authority has adequate expertise, either in house or externally provided, to carry out the above
- creation of Treasury Management Practices which specifically deal with how non treasury investments will be carried out and managed, to include the following .
- Risk management (TMP1 and schedules), including investment and risk management criteria for any material non-treasury investment portfolios;
- Performance measurement and management (TMP2 and schedules), including methodology and criteria for assessing the performance and success of non-treasury investments.
- Decision making, governance and organisation (TMP5 and schedules), including a statement of the governance requirements for decision making in relation to non-treasury investments; and arrangements to ensure that appropriate professional due diligence is carried out to support decision making.

5.3 LONDON BOROUGH OF MERTON TREASURY MANAGEMENT PRACTICES 2026/27

TMP 1: RISK MANAGEMENT

The Executive Direct of Finance and Digital– the responsible officer will implement and monitor all arrangements for the identification, management and control of treasury management risk, will report at least annually on the adequacy / suitability thereof, and will report, as a matter of urgency, the circumstances of any actual or likely difficulty in achieving the organisation's objectives in this respect, all in accordance with the procedures set out in TMP6 Reporting requirements and management information arrangements. In respect of each of the following risks, the arrangements which seek to ensure compliance with these objectives are set out in the schedule to this document.

1.1 Credit and Counterparty Risk Management

The Council regards a key objective of its treasury management activities to be the security of the principal sums it invests. Accordingly, it will ensure that its counterparty lists and limits reflect a prudent attitude towards organisations with which funds may be deposited, and will limit its investment activities to the instruments, methods and techniques referred to in TMP4 Approved Instruments Methods and Techniques and listed in the schedule to this document. It also recognises the need to have, and will therefore maintain, a formal counterparty policy in respect of those organisations from which it may borrow, or with whom it may enter into other financing or derivative arrangements.

Policy on the use of credit risk analysis techniques

- The Council will use credit criteria in order to select creditworthy counterparties for placing investments with.
- Credit ratings will be used as supplied from all three rating agencies - Fitch, Moody's and Standard & Poor's.
- Treasury management consultants will provide regular updates of changes to all ratings relevant to the Council.
- The treasury manager will formulate suitable criteria for assessing and monitoring the credit risk of investment counterparties and shall construct a lending list comprising maturity periods, type, group, sector, country and counterparty limits.

1.2 Liquidity Risk Management

The Council will ensure it has adequate, though not excessive cash resources, borrowing arrangements, overdraft or standby facilities to enable it, at all times, to have the level of funds available to it which are necessary for the achievement of its business/service objectives. The Council will only borrow in advance of need where there is a clear business case for doing so and will only do so for the current capital programme or to finance future debt maturities.

The treasury management team shall seek to minimise the balance held in the Council's main bank accounts at the close of each working day. Borrowing or lending shall be arranged in order to achieve this aim. At the end of each financial day any unexpected surplus funds are transferred to the main bank account.

Bank overdraft arrangements – A £1 million net overdraft at 2% over base rate on debit balances has been agreed as part of the banking services contract. The overdraft is

assessed on a group basis for the Council's accounts. Separate facilities are available for the Pension Fund bank account.

a. **Short-term borrowing facilities**
The Council accesses temporary loans through approved brokers on the London money market.

b. **Special payments**
Where an urgent clearing house automated payment system (CHAPS) payment is required, a CHAPS payment request form must be completed and forwarded to the Head of Transactional Services who then checks for correct required signatures and supporting paperwork. Further guidance can be found on the Council's intranet.

c. **Inter account transfer**
From time to time, transactions occur between the Pension Fund and the Council. Reimbursement where necessary is by inter-account transfers between both bank accounts.

1.3 <u>Interest Rate Risk Management and use of Derivatives</u>

The Council will manage its exposure to fluctuations in interest rates with a view to containing its interest costs, or securing its interest revenues, in accordance with the amounts provided in its budgetary arrangements as amended in accordance with TMP6 Reporting requirements and management information arrangements. It will achieve this by the prudent use of its approved financing and investment instruments, methods and techniques, primarily to create stability and certainty of costs and revenues, but at the same time retaining a sufficient degree of flexibility to take advantage of unexpected, potentially advantageous changes in the level or structure of interest rates. This should be the subject to the consideration and, if required, approval of any policy or budgetary implications.

The Council does not use derivatives, the Council's S151 Officer will ensure that any hedging tools such as derivatives are only used for the management of risk and the prudent management of financial affairs and that the policy for the use of derivatives when used will be clearly stated to members. The treasury management strategy has full details of interest rate exposure limits.

Policies concerning the use of instruments for interest rate management.

- **Forward Dealing**
Consideration will be given to dealing for forward periods depending on market conditions. When forward dealing is more than a 365-day period forward, the approval of the Executive Director of Finance and Digital is required.

- **Callable Deposits**
The Council may use callable deposits as part as of its Annual Investment Strategy (AIS). The credit criteria and maximum periods are set out in the Schedule of Specified and Non- Specified Investments appended to the AIS.

- **Policy on Use of Lender's Option Borrower's Option (LOBO) Loans**

  LOBOs give the lender the option to propose an increase in the interest rate at pre-determined dates, and the borrower, the option to accept the new rate **or** redeem the loan without penalty.

  Use of LOBOs is considered as part of the Council's annual borrowing strategy. All long-term borrowing must be approved by the S151 Officer.

1.4 Exchange Rate Risk Management

Occasionally, the Council has to make foreign exchange payments, the Council will manage its exposure to fluctuations in exchange rates so as to minimise any detrimental impact on its budgeted income/expenditure.

1.5 Refinancing Risk Management

The Council will ensure that its borrowing, private financing and partnership arrangements are negotiated, structured and documented, and the maturity profile of the monies raised are managed, with a view to obtaining offer terms at renewal or refinancing, if required, which are competitive and as favourable to the organisation as can reasonably be achieved in the light of market conditions prevailing at the time.

The Council will actively manage the relationships with counterparties in such a manner as to secure the above objective and will avoid overreliance on any one source of funding if this might jeopardise achievement of the above.

The Council will establish through its Prudential and Treasury Indicators the amount of debt maturing in any year. Any debt rescheduling will be considered when the difference between the refinancing rate and the redemption rate is most advantageous, and the situation will be continually monitored in order to take advantage of any perceived anomalies in the yield curve. The reasons for rescheduling include:

a) to generate cash savings at minimum risk;
b) to reduce the average interest rate; and
c) to amend the maturity profile and/or the balance of volatility of the debt portfolio

Any rescheduling will be reported to the Council at the meeting immediately following the action.

1.6 Legal and Regulatory Risk Management

The Council will ensure that all of its treasury management activities comply with its statutory powers and regulatory requirements. It will demonstrate such compliance, if required to do so, to all parties with whom it deals in such activities. In framing its credit and counterparty policy under

TMP1 1.1 Credit and Counterparty Risk Management, it will ensure that there is evidence of counterparties powers, authority and compliance in respect of the transactions they may affect with the organisation, particularly with regard to duty of care and fees charged.
The Council recognises that future legislative or regulatory changes may impact on its treasury management activities and, so far as it is reasonably able to do so, will seek to minimise the risk of these impacting adversely on the organisation.

The Council will ensure that its treasury management activities comply fully with legal statute, guidance, Codes of Practice and the regulations of the Council.

The Council's powers to borrow and invest are contained in the Local Government Act 2003, section 12 and Local Government Act 2003, section 1. The treasury management

scheme of delegation is contained in the Corporate Services Scheme of Delegation. This document contains the officers who are authorised signatories. The Council's monitoring officer is the Assistant Director Corporate Governance while the S151 Officer is the Executive Director of Finance and Digital.

1.7 Fraud, Error and Corruption, and Contingency Management

Treasury tasks are segregated, and adequate internal checks have been implemented to minimise risks and fraud. Procedures are documented and staff will not be allowed to take up treasury management activities until they have had proper training and are subject to an adequate and appropriate level of supervision.

Records will be maintained of all treasury management transactions so that there is a full audit trail and evidence of the appropriate checks being carried out. Periodic backups will be made to ensure contingency of systems is available.

Details of Systems and Procedures to be Followed, Including Internet Services

The Council uses Logotech Treasury systems as its treasury management recording tool.

- The Corporate Services Scheme of Delegation sets out the delegation of duties to officers and the Council's constitution details delegated authority of treasury management to the Section 151 Officer.
- All loans and investments are negotiated by the Treasury Manager or other authorised persons.
- All long-term loans must be authorised by the Section 151 Officer.

1.8 Market Risk Management

The Council will seek to ensure that its stated treasury management policies and objectives will not be compromised by adverse market fluctuations in the value of the principal sums it invests and will accordingly seek to protect it from the effects of such fluctuations. This is controlled mainly by setting limits on investment instruments where the principal value can fluctuate. The limits are detailed in the Treasury Management Strategy. ESG is now a consideration due to the 2021 TM Code so Councils are mindful to pursue deposits that have ESG credentials.

TMP 2: PERFORMANCE MEASUREMENT

2.1 Evaluation and Review of Treasury Management Decisions Periodic Review During the

Financial Year

New treasury advisors set to start in February 2026 where regular meetings will take place. In addition to this the Executive Director of Finance and Digital will hold treasury management review meetings with the Treasury team, periodically or as required to review actual activity against the Treasury Management Strategy Statement (TMSS) and cash flow forecasts.

Annual Review After the end of the Financial Year

Annual Treasury Report will be submitted to the Full Council each year after the close of the financial year.

2.2 Benchmarks and Calculation Methodology

2.2.1 Debt management

- Average rate on all external debt
- Average rate on external debt borrowed in previous financial year
- Average period to maturity of external debt
- Average period to maturity of new loans in previous year

2.2.2 Investment

The performance of investment earnings will be measured against any of the following benchmarks: In-house benchmark and when necessary other benchmarks such as Bank of England base rate, Sterling Overnight Index Average based on actual transactions, SONIA

Performance will also be measured against other local authority funds with similar benchmark and parameters managed by other fund managers using the CIPFA treasury management benchmark service.

2.3 Policy Concerning Methods for Testing Value-for-money in Treasury Management

The process for advertising and awarding contracts will be in-line with the Council's Contract Standing Orders and procurement guidelines.

2.3.1 Money-broking Services

From time to time, the Council will use money-broking services in order to make deposits or to borrow and will establish charges for all services prior to using them. An approved list of firm of brokers is maintained by the Treasury Manager. The list takes account of both prices and quality of service. No firm of brokers will be given undue preference.

2.3.2 Consultants / Advisers Services

The Council's treasury management adviser is MUFG Corporate Markets (formally known as Link Group). **Due to change in February 2026 to Arlingclose Limited.**

TMP 3: DECISION-MAKING AND ANALYSIS

3.1 Funding, Borrowing, Lending, and New Instruments/Techniques

3.1.1 Records to be kept

The following records will be retained:

- Daily cash balance forecasts for the day and previous day
- Money market deal booking and deal approval confirmation emails
- Dealing slips for all investment and borrowing transactions
- Brokers' confirmations for all investment and temporary borrowing transactions made through brokers

- Confirmations from borrowing / lending institutions including money market fund portals
- PWLB loan confirmations (applies to new borrowing)
- PWLB interest due schedule (applies to new borrowing)
- Certificates for market loans, local bonds and other loans
- Deal confirmation letters for deals over one month
- Treasury Management contracts (Investment consultant and Logotech)

3.1.2 Processes to be pursued

- Cashflow analysis
- Debt and investment maturity analysis
- Ledger/Logotech reconciliations
- Review of counterparty limits in addition to monitoring of counterparties
- Review of opportunities for debt restructuring
- Review of borrowing requirement to finance capital expenditure (and other forms of financing where those offer value for money)
- Performance information (e.g. monitoring of actuals against budget for debt charges, interest earned, debt management; also monitoring of average pool rate, investment returns, etc)
- Treasury contracts management

3.1.3 Issues to be addressed

3.1.3.1 In respect of all treasury management decisions made the Council will:

a) Above all be clear about the nature and extent of the risks to which the Council may become exposed
b) Be certain about the legality of the decision reached and the nature of the transaction, and that all authorities to proceed have been obtained
c) Be content that the documentation is adequate both to deliver the Council's objectives and protect the Council's interests, and to deliver good housekeeping
d) Ensure that third parties are judged satisfactory in the context of the council's creditworthiness policies, and that limits have not been exceeded
e) Be content that the terms of any transactions have been fully checked against the market, and have been found to be competitive; and
f) Ensure that adequate investigation on security of the Council's funds has been conducted

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3.1.3.2 In respect of borrowing and other funding decisions, the Council will:

a) Consider the ongoing revenue liabilities created, and the implications for the organisation's future plans and budgets
b) Evaluate the economic and market factors that might influence the manner and timing of any decision to fund
c) Consider the merits and demerits of alternative forms of funding, including funding from revenue, use of reserves, leasing and private partnerships; and
d) Consider the alternative interest rate bases available, the most appropriate periods to fund and repayment profiles to use.

3.1.3.3 In respect of investment decisions, the Council will:

a) Consider the optimum period, in the light of cash flow availability and prevailing market conditions; and
b) Consider the alternative investment products and techniques available, especially the implications of using any which may expose the Council to changes in the value of its capital

TMP 4: APPROVED INSTRUMENTS, METHODS AND TECHNIQUES

4.1 Approved Activities of the Treasury Management Operation

- Borrowing;
- Lending;
- Debt repayment and rescheduling;
- Consideration, approval and use of new financial instruments and treasury management techniques;
- Managing the underlying risk associated with the Council's capital financing and surplus funds activities;
- Managing cash flow;
- Banking activities;
- Use of external fund managers (other than Pension Fund)

4.2 Approved Techniques

- Forward dealing
- LOBOs – Lender's Option, Borrower's Option borrowing instrument
- Structured products such as callable deposits

4.3 Approved Methods and Sources of Raising Capital Finance

Finance will only be raised in accordance with the Local Government Act 2003 and within this limit the Council has a number of approved methods and sources of raising capital finance. The approved sources are listed as part of the main report.

Borrowing will only be done in British Pound Sterling. All forms of funding will be considered dependent on the prevailing economic climate, regulations and local considerations. The Executive Director of Finance and Digital has delegated powers in accordance with Financial Regulations, Standing Orders and Scheme of Delegation to Officers to take the most appropriate form of borrowing from the approved sources.

4.4 Investment Limits

The Annual Investment Strategy sets out the limits and the guidelines for use of each type of investment instrument.

4.5 Borrowing Limits

The Treasury Management Strategy Statement and Prudential and Treasury Indicators state all appropriate limits.

TMP 5: ORGANISATION, CLARITY AND SEGREGATION OF RESPONSIBILITIES, AND DEALING ARRANGEMENTS

5.1 Allocation of Responsibilities

(i) Council (Budget)

- Receiving and reviewing reports on treasury management policy, practice and activity; and
- Approval of annual strategy.

(ii) <u>Cabinet</u>

- Approval of/amendments to the Council's adopted clauses, treasury management policy statement and treasury management practice;
- Budget consideration and approval;
- Approval of the division of responsibilities; and
- Receiving and reviewing regular monitoring reports and acting on recommendations.

(iii) <u>Overview and Scrutiny Commission (Financial Monitoring Task Group)</u>

- Reviewing all treasury management reports and making recommendations to the Cabinet

5.2 <u>Statement of the Treasury Management Duties/Responsibilities of Each Treasury Post</u>

5.2.1 Responsible Officer

The Responsible Officer is the person charged with professional responsibility for the treasury management function and in this Council it is the Executive Director of Finance and Digital and is also the S151 Officer This person or delegated persons will carry out the following duties: -

a) Recommending clauses, treasury management policy / practices for approval, reviewing the same regularly, and monitoring compliance
b) Submitting regular treasury management policy reports
c) Submitting budgets and budget variations
d) Receiving and reviewing management information reports
e) Reviewing the performance of the treasury management function

f) Ensuring the adequacy of treasury management resources and skills, and the effective division of responsibilities within the treasury management function
g) Ensuring the adequacy of internal audit, and liaising with external audit
h) Recommending the appointment of external service providers.
i) The Responsible Officer has delegated powers through this policy to take the most appropriate form of borrowing from the approved sources, and to make the most appropriate form of investments in approved instruments.

j) The Responsible Officer may delegate her power to borrow and invest to members of her staff, The Treasury Manager and the fund officer. Treasury management team staff must conduct all dealing transactions, or staff authorised by the responsible officer to act as temporary cover for leave / sickness.

k) The Responsible Officer will ensure that Treasury Management Policy is adhered to, and if not will bring the matter to the attention of elected members as soon as possible.

l) Prior to entering into any capital financing, lending or investment transaction, it is the responsibility of the responsible officer to be satisfied, by reference to the Council's legal department and external advisors as appropriate, that the proposed transaction does not breach any statute, external regulation or the Council's Financial Regulations.

m) It is also the responsibility of the responsible officer to ensure that the Council complies with the requirements of The Non-Investment Products Code (formerly known as The London Code of Conduct) for principals and broking firms in the wholesale markets.

5.2.2 Treasury Manager

The responsibilities of this post will be: -

a) Drafting the treasury management strategy and annual report
b) Adherence to agreed policies and practices on a day-to-day basis
c) Maintaining relationships with counterparties and external service providers
d) Supervising treasury management staff
e) Monitoring performance on a day-to-day basis
f) Submitting management information reports to the Responsible Officer; and
g) Identifying and recommending opportunities for improved practices

5.2.3 Head of the Paid Service – the Chief Executive

The responsibilities of this post will be: -

a) Ensuring that the system is specified and implemented; and
b) Ensuring that the Responsible Officer reports regularly to the full Council / Cabinet or General Purpose Committee on treasury policy, activity and performance.

5.2.4 Monitoring Officer

The responsibilities of this post will be: -

a) Ensuring compliance by the Responsible Officer with the treasury management policy statement and treasury management practice and that they comply with the law
b) Being satisfied that any proposal to vary treasury policy or practice complies with law or any code of practice; and
c) Giving advice to the Responsible Officer when advice is sought

5.2.5 Internal Audit

The responsibilities of Internal Audit will be: -

a) Reviewing compliance with approved policy and treasury management practice
b) Reviewing division of duties and operational practice
c) Assessing value for money from treasury activity; and
d) Undertaking probity audit of the treasury function

5.2.6 Treasury Accountant

a) Carryout the daily dealing
b) Responsible for the sufficient cash balances in the bank to meet the council payments
c) Liaise with the bank, brokers and counterparties as required
d) Responsible for the treasury activities accounts and reconciliation
e) Carry necessary year end accounting and liaise with the external auditors on treasury management activities.

5.3 Absence Cover Arrangements

Cover for treasury management staff will be to specific delegated staff.

5.4 List of Approved Brokers

The Treasury team uses a list of reputable market lead brokers a record of all transactions conducted with them can be obtained from Logotech. Where possible the deals are directly agreed with the counter parties.It is the Council's policy to rotate business between brokers.

5.5 Policy on Taping of Conversations

The Council currently does not tape conversations with brokers **but** ensures that confirmations are received from counterparties.

5.6 Direct Dealing Practices

The Council will deal direct with counterparties if it is appropriate and the Council believes that better terms will be available. There are certain types of accounts and facilities, however, where direct dealing is required, as follows;

a) Business Reserve Accounts
b) Call Accounts
c) Money Market Funds
d) Gilt/CD purchase via custodian; and
e) Fixed period account e.g. 15-day fixed period account

5.7 Settlement Transmission Procedures

A confirmation letter signed by an authorised signatory per the Council's bank mandate must be sent to the counterparty if the deal period exceeds one month.
For payments, any transfer to be made via Lloyds link CHAPS system must be completed by 2p.m. on the same day to ensure it is authorised.
Money market funds may have earlier cut-off time/deadlines.

5.8 Documentation Requirements

For each deal undertaken, a record should be prepared giving details of dealer, amount, period, counterparty, interest rate, dealing date, payment date(s), broker and confirmation fax, email or letter.

5.9 Arrangements Concerning the Management of Third-Party Funds.

The Council holds a number of trust funds, appointeeship and custody bank accounts. The cash in respect of these funds is held in the Council's bank account but transactions are separately coded.

TMP 6: REPORTING REQUIREMENTS AND MANAGEMENT INFORMATION ARRANGEMENTS

6.1 Annual Treasury Management Strategy Statement

1. The Treasury Management Strategy Statement sets out the specific expected treasury activities for the forthcoming financial year. This strategy will be submitted to the cabinet and then to the Council (budget) for approval before the commencement of each financial year.
2. The formulation of the annual Treasury Management Strategy Statement involves determining the appropriate borrowing and investment decisions in the light of the anticipated movement in both fixed and shorter-term variable interest rates. For instance, this Council may decide to postpone borrowing if fixed interest rates are expected to fall, or borrow early if fixed interest rates are expected to rise.

3. The Treasury Management Strategy Statement is concerned with the following elements:
   a) Prudential and Treasury IndicatorsCurrent Treasury portfolio position
   b) Borrowing requirement
   c) Prospects for interest rates
   d) Borrowing strategy
   e) Policy on borrowing in advance of need
   f) Debt rescheduling
   g) Investment strategy
   h) Creditworthiness policy
   i) Policy on the use of external service providers
   j) Any extraordinary treasury issue
   k) MRP strategy

4. The Treasury Management Strategy Statement will establish the expected move in interest rates against alternatives.

5. There is also a requirement for the Council to carry out a mid-year report. The purpose of this report is to provide a mid-year review on progress/performance throughout the year against targets set.

6.2 Annual Investment Strategy Statement

At the same time as the Council receives the Treasury Management Strategy Statement it will also receive a report on the Annual Investment Strategy which will set out the following: -

   a) The Council's risk appetite in respect of security, liquidity and optimum performance
   b) Which specified and non specified instruments the Council will use
   c) The Council's policy on the use of credit ratings and other credit risk analysis techniques to determine creditworthy counterparties for its approved lending list
   d) Which credit rating agencies the Council will use
   e) How the Council will deal with changes in ratings, rating watches and rating outlooks
   f) Limits for individual counterparties and group limits
   g) Country limits
   h) Levels of cash balances
   i) Interest rate outlook
   j) Budget for investment earnings
   k) Policy on the use of external service providers

6.3 Annual Minimum Revenue Provision Statement

This statement sets out how the Council will make revenue provision for repayment of its borrowing using the four options for so doing and will be submitted at the same time as the Annual Treasury Management Strategy Statement.

6.4 Policy on Prudential and Treasury Indicators

a) The Council approves before the beginning of each financial year a number of treasury limits which are set through Prudential and Treasury Indicators.

b) The Responsible Officer is responsible for incorporating these limits into the Annual Treasury Management Strategy Statement, and for ensuring compliance with the limits. Should it prove necessary to amend these limits, the Responsible Officer shall submit the changes for approval to the full Council.

6.5 Other Reporting

- Annual report on treasury management activity
- Mid-year report

TMP 7: BUDGETING, ACCOUNTING AND AUDIT ARRANGEMENTS

7.1 Statutory / Regulatory Requirements

The accounts are drawn up in accordance with IFRS. The Council has adopted in full the principles set out in CIPFA's 'Treasury Management in the Public Services - Code of Practice' (the 'CIPFA Code'), together with those of its specific recommendations that are relevant to the Council's treasury management activity.

TMP 8: CASH AND CASHFLOW MANAGEMENT

8.1 Arrangements for Preparing Cashflow

Cashflow projections are prepared annually, monthly and daily. The annual and monthly cash flow projections are prepared from the previous year's cashflow records, adjusted for known changes in levels of income and expenditure, new grant allocations and changes in payments and receipts dates. These details are supplemented on an ongoing basis by information received of new or revised amounts to be paid or received as and when they are known.

TMP 9: MONEY LAUNDERING

9.1 Proceeds of Crime Act 2002 and Amendments

See Council's website and intranet for money laundering process and associated policies http://intranet/anti_money_laundering_policy.pdf

9.2 The Terrorism Act 2000 and Amendment order

See Council's website and staff intranet on policy. Staff should note that all individuals and businesses in the UK have an obligation to report knowledge, reasonable grounds for belief or suspicion about the proceeds from, or finance likely to be used for, terrorism or its laundering, where it relates to information that comes to them in the course of their business or employment.

9.3 The Money Laundering Regulations 2007 and Updates

The Council's money laundering officer is the Head of Audit. See Council's website)

Treasury management and banking staff are required to familiarise themselves with all money laundering regulations.

9.4 Procedures for Establishing Identity / Authenticity of Lenders

It is not a requirement under Proceeds of Crime Act (POCA) for local authorities to require identification from every person or organisation it deals with. However, in respect of treasury

management transactions, the Council does not accept loans from individuals except during a bond issue.

All loans are obtained from the PWLB, other local authorities or from authorised institutions under the Financial Services and Markets Act 2000. This register can be accessed through the FCA website on **www.fca.gov.uk**.

9.5 Methodologies for identifying Deposit Takers

Other than those organisations mentioned in para section 6.10 and Appendix 2 of the treasury strategy, in the course of its Treasury activities, the Council will only lend money to or invest with those counterparties that are on its approved lending list. These will be local authorities, the PWLB, Bank of England and authorised deposit takers under the Financial Services and Markets Act 2000. The FCA Register can be accessed through their website on www.fca.gov.uk.

All transactions will be carried out by CHAPS, faster payments or BACS for making deposits or repaying loans.

TMP 10: TRAINING AND QUALIFICATIONS

The Council recognises that relevant individuals will need appropriate levels of training in treasury management due to its increasing complexity.

All treasury management staff and members tasked with financial scrutiny should receive appropriate training relevant to the requirements of their duties at the appropriate time.

The officers meet with other treasury officers in London quarterly for training and operational needs. There is also opportunity to attend training provided by the Council's treasury management consultants, CIPFA, bank and brokers.
As ongoing development, we recruited two graduate trainee accountants to develop skill and expertise within the team. These trainees will study for their CIPFA qualification while learning on the job.

TMP 11: USE OF EXTERNAL SERVICE PROVIDERS

11.1 Details of Contracts with Service Providers, Including Bankers, Brokers, Custodian Banks, Consultants, Advisers

This Council may employ the services of other organisations to assist it in the field of treasury management. However, it will ensure that it fully understands what services are being provided and that they meet the needs of the Council, especially in terms of being objective and free from conflicts of interest.

11.2 Banking Services

The Council's supplier of banking services is Lloyds Bank. The bank is an authorised banking institution authorised to undertake banking activities in the UK by the FCA
The branch address is:
Lloyds Banking Group,25 Gresham Street, London.EC2V 7HN

11.3 Money-Broking Services

The Council will use money brokers for temporary borrowing and investment and long-term borrowing. It will seek to give an even spread of business amongst the approved brokers.

Consultants'/Advisers' services Treasury Consultancy Services
The Council receives mail shots on credit ratings, economic market data and borrowing data. In addition, interest rate forecasts, annual treasury management strategy templates, and from time to time, the Council may receive advice on the timing of borrowing, lending and debt rescheduling. The performance of consultants will be reviewed by the treasury manager to check whether performance has met expectations.

11.4 Custodian Banks
The Council custodian is Northern Trust and this is mainly to administer and monitor the council bond investments.

11.5 Credit Rating Information
The Council receives notifications of credit ratings from Link Asset Services.

11.6 Procedures and Frequency for Tendering Services
See TMP2

TMP 12: CORPORATE GOVERNANCE

12.1 List of Documents to be Made Available for Public Inspection

a) The Council is committed to the principle of openness and transparency in its treasury management function and in all of its functions.

b) The Council has adopted the CIPFA Code of Practice on Treasury Management and implemented key recommendations on developing Treasury Management Practices, formulating a Treasury Management Policy Statement and implementing the other principles of the Code.

TMP 13: CASHFLOW STATEMENT

LONDON BOROUGH OF MERTON - CASHFLOW PROJECTION

2024/25 (£'000)	2025/26 (£'000)		2026/27 (£'000)	2027/28 (£'000)	2028/29 (£'000)	2029/30 (£'000)
		CAPITAL FINANCING REQUIREMENT				
114,694	114,692	CFR	130,136	138,949	155,428	180,405
(28,380)	(23,916)	PFI Liabilities	(19,652)	(13,733)	(4,561)	(1)
(1,889)	(1,538)	Finance Lease Liabilities	(7,682)	(7,611)	(7,171)	(7,232)
84,425	89,238	Underlying Borrowing Requirement/Loans CFR	102,802	117,605	143,696	173,172
(42,000)	(42,000)	External Borrowing c/fwd	(38,000)	(38,000)	(33,500)	(77,416)
	4,000	Loan Maturities	-	4,500	-	-
-	-	New Loans	-	-	(43,916)	(24,275)
(42,000)	(38,000)	External Borrowing	(38,000)	(33,500)	(77,416)	(101,690)
42,425	51,238	Under / (Over) Borrowing	64,802	84,105	66,280	71,482
50%	57%	Underborrowing as a % of Underlying Borrowing Requirement	63%	72%	46%	41%
		RESERVES / BALANCES, INVESTMENTS & WORKING CAPITAL (£'000)				
14,000	14,000	General Fund Balance	14,000	14,000	14,000	14,000
471	494	Collection Fund Adjustment Account	494	494	494	494
121,893	123,297	Earmarked reserves (excl. Schools)	123,297	123,297	123,297	123,297
7,242	5,445	Schools (excl. DSG)	5,445	5,445	5,445	5,445
(53,566)	(62,532)	Schools - DSG (future yrs drawn early)	(74,066)	(90,073)	(110,521)	(133,321)
133,866	133,866	Capital Receipts Reserve	133,866	130,866	127,866	91,866
6,565	7,094	Provisions (exc. any accumulating absences)	7,094	7,094	7,094	7,094
45,269	39,857	Capital Grants Unapplied	37,801	30,666	22,442	23,005
26,135	26,135	Capital Grants Receipts In Advance	26,135	26,135	26,135	26,135
301,875	287,656	Amount Available for Investment	274,066	247,924	216,252	158,015
(76,141)	(95,036)	Debtors	(95,036)	(95,036)	(95,036)	(95,036)
91,750	102,918	Creditors	102,918	102,918	102,918	102,918
-	-	Stock / WIP	-	-	-	-
(7,788)	(10,366)	Balance LT Debtors	(10,366)	(10,366)	(10,366)	(10,366)
-	-	Balance of LT Liabilities	-	-	-	-
5,337	5,318	Deferred credits / receipts (non-capital)	5,318	5,318	5,318	5,318
13,158	2,834	Working Capital (Deficit) / Surplus	2,834	2,834	2,834	2,834
(42,425)	(51,238)	(Under) / Over Borrowing	(64,802)	(84,105)	(66,280)	(71,482)
272,608	239,252	External Investments/(Borrowing Requirement)	212,097	166,652	152,805	89,367
(94,821)	(94,821)	Strategic LT Investments (eg Property Funds & Gilts)	(79,821)	(64,821)	(64,821)	(54,821)
177,787	144,431	Adjusted External Investments/(Borrowing Requirement)	132,276	101,831	87,984	34,546

Section B

Revenue Estimates 2026/27

SUMMARY

FULL TIME EQUIVALENTS	2025/26	2026/27
Total FTE Staff	2,245.3	2,327.1

SERVICE AREA ANALYSIS	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Original Estimate £000
Innovation and Change	7,683	494	(5,902)	2,276
Finance and Digital	18,102	330	(4,360)	14,072
Housing and Sustainable Development	9,741	424	3,726	13,890
Environment, Civic Pride and Climate	37,139	1,831	5,786	44,756
Children, Lifelong Learning, and Families	79,149	2,192	(1,715)	79,626
Adult Social Care, Integrated Care excluding Public Health	86,026	2,089	3,739	91,854
Public Health	0	0	0	0
Impact of employer's NI increase on council costs	3,300	0	(2,000)	1,300
London Living Wage - Contract reletting	194	0	(166)	28
Pay Award not allocated yet	4,551	0	(378)	4,173
TOTAL NET SERVICE EXPENDITURE	**245,885**	**7,360**	**(1,271)**	**251,975**
Corporate Provisions/Appropriations	**(24,635)**	**0**	**(2,572)**	**(27,207)**
NET EXPENDITURE	**221,250**	**7,360**	**(3,843)**	**224,768**
Funded by:				
FAIR FUNDING				
Revenue Support Grant	(28,826)	0	(15,379)	(44,205)
NNDR:				
Baseline Funding Level	(47,753)	0	16,116	(31,637)
Local Authority Better Care Grant	(6,181)	0	1	(6,180)
FAIR FUNDING ALLOCATION	**(82,760)**	**0**	**738**	**(82,022)**
CONSOLIDATED GRANTS ASSUMED IN CORPORATE FUNDING				
Homelessness, Rough Sleeping, Domestic Abuse Grant	(1,785)	0	(818)	(2,603)
Children's Social Care Prevention Grant	(723)	0	723	0
Other Corporate grants:				
PFI Grant	(4,797)	0	0	(4,797)
Extended Producer Responsibility Scheme	(2,951)	0	(301)	(3,252)
Council Tax and Collection Fund:				
Council Tax	(126,297)	0	(5,359)	(131,656)
WPCC Levy	(474)	0	(30)	(504)
Collection Fund – (Surplus)/Deficit	(1,463)		1,529	66
Total Funding:	**(221,250)**	**0**	**(3,517)**	**(224,768)**
NET	**(0)**	**7,360**	**(7,360)**	**(0)**
NB				
Public Health	**0**	**0**	**0**	**0**

Other Variations: Contingency/Other

Major Items: Corporate Provisions	£000	fte
Corporate borrowing and Investment	(1,610)	0.0
Pension Fund	(72)	0.0
Contingency and centrally held provisions	(4,302)	0.0
Appropriation to/from Reserves	2,719	0.0
Depreciation and impairment	0	0.0
Change in levies	43	0.0
Elections	650	0.0
TOTAL	**(2,572)**	**0**

SUMMARY - SUBJECTIVE ANALYSIS

FULL TIME EQUIVALENTS	2025/26	2026/27
Total FTE Staff	2,245.3	2,327.1

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Original Estimate £000
Expenditure				
Employees	146,915	2,312	2,015	151,241
Premises	11,022	285	78	11,385
Transport	12,268	365	(324)	12,310
Supplies and Services	279,109	1,611	(46,134)	234,587
Third Party Payments	113,681	2,744	10,380	126,805
Transfer Payments	66,013	35	36,813	102,861
Support Services	27,059	0	5,448	32,507
Depreciation and Impairment Losses	29,782	6	0	29,788
GROSS EXPENDITURE	**685,848**	**7,358**	**8,276**	**701,481**
Income				
Government Grants	(304,838)	4	4,868	(299,966)
Other Reimbursements and Contributions	(32,989)	0	(3,134)	(36,124)
Customer and Client Receipts	(75,407)	(2)	(5,992)	(81,401)
Interest	0	0	0	0
Recharges	(27,046)	0	(6,922)	(33,968)
Reserves	317	0	1,635	1,951
GROSS INCOME	**(439,964)**	**2**	**(9,546)**	**(449,509)**
NET EXPENDITURE	**245,885**	**7,360**	**(1,270)**	**251,974**
Corporate Provisions	(24,635)	0	(2,572)	(27,207)
NET EXPENDITURE	**221,251**	**7,360**	**(3,843)**	**224,766**
Funded by:				
FAIR FUNDING				
Revenue Support Grant	(28,826)	0	(15,379)	(44,205)
NNDR:				
Baseline Funding Level	(47,753)	0	16,116	(31,637)
Local Authority Better Care Grant	(6,181)	0	1	(6,180)
FAIR FUNDING ALLOCATION	**(82,760)**	**0**	**738**	**(82,022)**
CONSOLIDATED GRANTS ASSUMED IN CORPORATE FUNDING				
Homelessness, Rough Sleeping, Domestic Abuse Grant	(1,785)	0	(818)	(2,603)
Children's Social Care Prevention Grant	(723)	0	723	0
Other Corporate grants:				
PFI Grant	(4,797)	0	0	(4,797)
Extended Producer Responsibility Scheme	(2,951)	0	(301)	(3,252)
Council Tax and Collection Fund:				
Council Tax	(126,297)	0	(5,359)	(131,656)
WPCC Levy	(474)	0	(30)	(504)
Collection Fund – (Surplus)/Deficit	(1,463)	0	1,529	66
Total Funding:	**(221,250)**	**0**	**(3,517)**	**(224,768)**
NET	**- 0**	**7,360**	**(7,362)**	**0**

Other Variations: Contingency/Other

Major Items: Corporate Provisions	£000	fte
Corporate borrowing and Investment	(1,610)	0.0
Pension Fund	(72)	0.0
Contingency and centrally held provisions	(4,302)	0.0
Appropriation to/from Reserves	2,719	0.0
Depreciation and impairment	0	0.0
Change in levies	43	0.0
Contribution to Climate Change Reserve	650	0.0
TOTAL	**(2,572)**	**0**

CORPORATE ITEMS ANALYSIS

	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Original Estimate £000
Expenditure				
Cost of Borrowing including Minimum Revenue Provision	7,638	0	290	7,928
Pension Fund	72	0	(72)	0
Provision for excess inflation	3,100	0	(1,742)	1,358
Bad Debt Provision	500	0	250	750
Redundancy/Pension Strain	750	0	0	750
Contingency	1,000	0	500	1,500
Apprenticeship Levy	450	0	0	450
Loss of HB Admin. Grant	46	0	(46)	0
Provision against service shortfalls	5,055	0	(3,244)	1,811
Internal Review	20	0	(20)	0
Elections	0	0	650	650
Levies:-				
Lee Valley	206	0	7	213
London Pensions Fund	24	0	0	25
Environment Agency	189	0	6	195
WPCC	474	0	30	504
GROSS EXPENDITURE	**19,524**	**0**	**(3,391)**	**16,133**
Income				
Investment Income	(9,009)	0	(1,900)	(10,909)
Depreciation & Impairment	(29,784)	0	0	(29,784)
Appropriations to/from reserves (excluding Public Health)	(5,366)	0	2,719	(2,648)
GROSS INCOME	**(44,159)**	**0**	**819**	**(43,341)**
NET EXPENDITURE	**(24,635)**	**0**	**(2,572)**	**(27,207)**

2026/27 Budget Book

Innovation and Change

SUMMARY: INNOVATION & CHANGE

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	303.0	297.4
Number of FTE DSG staff		
Number of FTE TUPE staff		
Number of Fixed Term Contract	28.0	31.8
	331.0	329.2

SERVICE AREA ANALYSIS	CHANGE BETWEEN YEARS			
	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Senior Management	(346)	24	227	(96)
Policy, Strategy & Innovation	3,047	145	(1,300)	1,892
Post & Print	1,944	52	(1,996)	0
Communications & Engagement	639	98	(702)	36
Corporate Governance	1,124	131	(757)	497
Human Resources	1,275	45	(1,373)	(53)
NET EXPENDITURE	**7,683**	**494**	**(5,902)**	**2,276**

INNOVATION & CHANGE

The Departments includes: Senior Management, Policy, Strategy and Innovation, Communication and Engagement, Post and Print, Human Resources and Corporate Governance services

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	302.96	297.37
Number of FTE DSG staff		
Number of FTE TUPE staff		
Number of Fixed Term Contract	28.00	31.80
Total FTE	**330.96**	**329.17**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	21,665	334	(1,207)	20,793
Premises	3,063	23	(2,698)	389
Transport	66	1	(14)	52
Supplies and Services	7,502	114	(2,154)	5,462
Third Party Payments	536	18	68	622
Transfer Payments	0	0	0	0
Support Services	(5,190)	0	(4,296)	(9,487)
Depreciation and Impairment Losses	744	0	(736)	8
GROSS EXPENDITURE	**28,386**	**491**	**(11,037)**	**17,839**
Income				
Government Grants	(5)	4	6	5
Other Reimbursements and Contributions	(459)	0	260	(200)
Customer and Client Receipts	(15,287)	0	(390)	(15,677)
Interest	0	0	0	0
Recharges	(4,950)	0	4,416	(534)
Reserves	0	0	844	844
GROSS INCOME	**(20,702)**	**4**	**5,135**	**(15,563)**
NET EXPENDITURE	**7,683**	**494**	**(5,902)**	**2,276**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	(1,207)	
Savings	(273)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	(2,693)	
Depreciation & NNDR adjustments	(736)	
Rebasing of Income	0	
Technical adjustments- e.g.	1,759	25.41
Transfers between departments/Service	(2,492)	
Grants	0	
Other Income	(1,104)	
Use of Reserves	844	
TOTAL	**(5,902)**	**25.41**

INNOVATION & CHANGE

Senior Management consists of the department's Executive Director's budget

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	2.00	1.00
Number of FTE TUPE staff		
Number of Fixed Term Contract		1.00
Total FTE	**2.00**	**2.00**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	0	0	(375)	(375)
Premises	(354)	20	595	261
Transport	0	0	0	0
Supplies and Services	0	0	0	0
Third Party Payments	0	0	0	0
Transfer Payments	0	0	0	0
Support Services	0	0	0	0
Depreciation and Impairment Losses	0	0	0	0
GROSS EXPENDITURE	**(354)**	**20**	**220**	**(114)**
Income				
Government Grants	8	4	6	18
Other Reimbursements and Contributions	0	0	0	0
Customer and Client Receipts	0	0	0	0
Interest	0	0	0	0
Recharges	0	0	0	0
Reserves	0	0	0	0
GROSS INCOME	**8**	**4**	**6**	**18**
NET EXPENDITURE	**(346)**	**24**	**227**	**(96)**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	(375)	
Savings	0	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	0	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	601	0.00
Transfers between departments/Service	0	
Grants	0	
Other Income	0	
Use of Reserves	0	
TOTAL	**227**	**0.00**

INNOVATION & CHANGE

The Policy, Strategy and Innovation Division consists of: Merton Link (including the Cash Office, Translation Services and Contact Centre), Registrars, Corporate Policy and Strategy,Complaints, Leader's office, Household support fund and cost of living

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	51.87	61.87
Number of FTE TUPE staff		
Number of Fixed Term Contract	4.00	8.80
Total FTE	**55.87**	**70.67**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	3,337	122	(24)	3,435
Premises	108	3	4	116
Transport	2	0	0	2
Supplies and Services	3,274	20	(1,775)	1,519
Third Party Payments	21	0	(21)	0
Transfer Payments	0	0	0	0
Support Services	(1,406)	0	(1,208)	(2,614)
Depreciation and Impairment Losses	0	0	0	0
GROSS EXPENDITURE	**5,336**	**145**	**(3,023)**	**2,458**
Income				
Government Grants	0	0	0	0
Other Reimbursements and Contributions	(3)	0	(17)	(21)
Customer and Client Receipts	(1,148)	0	(50)	(1,198)
Interest	0	0	0	0
Recharges	(1,138)	0	1,138	0
Reserves	0	0	653	653
GROSS INCOME	**(2,289)**	**0**	**1,723**	**(565)**
NET EXPENDITURE	**3,047**	**145**	**(1,300)**	**1,892**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	(24)	
Savings	(89)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	0	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	(1,134)	14.80
Transfers between departments/Service	(638)	
Grants	0	
Other Income	(67)	
Use of Reserves	653	
TOTAL	**(1,300)**	**14.80**

INNOVATION & CHANGE

Post & Print Division consists of Post & Printing Service and manages the production and distribution of printed materials and mail across council services.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	31.63	5.43
Number of FTE TUPE staff		
Number of Fixed Term Contract	1.00	
Total FTE	**32.63**	**5.43**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	1,506	21	(1,218)	310
Premises	3,293	0	(3,293)	0
Transport	18	0	(12)	6
Supplies and Services	1,681	31	(656)	1,056
Third Party Payments	114	0	(114)	0
Transfer Payments	0	0	0	0
Support Services	7	0	(396)	(389)
Depreciation and Impairment Losses	741	0	(736)	5
GROSS EXPENDITURE	**7,360**	**52**	**(6,424)**	**988**
Income				
Government Grants	0	0	0	0
Other Reimbursements and Contributions	(147)	0	147	0
Customer and Client Receipts	(1,457)	0	973	(484)
Interest	0	0	0	0
Recharges	(3,812)	0	3,308	(504)
Reserves	0	0	0	0
GROSS INCOME	**(5,416)**	**0**	**4,428**	**(988)**
NET EXPENDITURE	**1,944**	**52**	**(1,996)**	**0**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	(1,218)	
Savings	(5)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	0	
Depreciation & NNDR adjustments	(736)	
Rebasing of Income	0	
Technical adjustments- e.g.	1669	
Transfers between departments/Service	(1,854)	(27.20)
Grants	0	
Other Income	147	
Use of Reserves	0	
TOTAL	**(1,996)**	**(27.20)**

INNOVATION & CHANGE

The Communications and engagement team protect and promote the council's reputation, connect Merton Council with the community, communicate its services, activities and events to residents and customers.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	14.00	14.50
Number of FTE TUPE staff		
Number of Fixed Term Contract		2.00
Total FTE	**14.00**	**16.50**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	971	62	44	1,077
Premises	3	0	0	3
Transport	0	0	0	0
Supplies and Services	242	32	2	277
Third Party Payments	118	4	0	121
Transfer Payments	0	0	0	0
Support Services	(667)	0	(738)	(1,405)
Depreciation and Impairment Losses	0	0	0	0
GROSS EXPENDITURE	**668**	**98**	**(692)**	**74**
Income				
Government Grants	0	0	0	0
Other Reimbursements and Contributions	0	0	0	0
Customer and Client Receipts	(28)	0	0	(28)
Interest	0	0	0	0
Recharges	0	0	(30)	(30)
Reserves	0	0	20	20
GROSS INCOME	**(28)**	**0**	**(10)**	**(38)**
NET EXPENDITURE	**639**	**98**	**(702)**	**36**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	44	
Savings	(41)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	(738)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	14	2.50
Transfers between departments/Service	0	
Grants	0	
Other Income	0	
Use of Reserves	20	
TOTAL	**(702)**	**2.50**

INNOVATION & CHANGE

The Corporate Governance Division consists of Democracy Services, Members Allowances, Information governance, Electoral Services, LBM Legal services and SLLp (South London Legal Partnership)

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	167.91	178.70
Number of FTE TUPE staff		
Number of Fixed Term Contract	8.00	10.00
Total FTE	**175.91**	**188.70**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	12,485	122	819	13,426
Premises	5	0	4	9
Transport	43	0	(1)	42
Supplies and Services	2,158	8	245	2,411
Third Party Payments	0	0	0	0
Transfer Payments	0	0	0	0
Support Services	(1,162)	0	(661)	(1,822)
Depreciation and Impairment Losses	3	0	0	3
GROSS EXPENDITURE	**13,532**	**131**	**406**	**14,069**
Income				
Government Grants	(13)	0	0	(13)
Other Reimbursements and Contributions	(130)	0	130	0
Customer and Client Receipts	(12,265)	0	(1,293)	(13,559)
Interest	0	0	0	0
Recharges	0	0	0	0
Reserves	0	0	0	0
GROSS INCOME	**(12,408)**	**0**	**(1,163)**	**(13,572)**
NET EXPENDITURE	**1,124**	**131**	**(757)**	**497**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	819	
Savings	(66)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	(661)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	313	12.79
Transfers between departments/Service	0	
Grants	0	
Other Income	(1,163)	
Use of Reserves	0	
TOTAL	**(757)**	**12.79**

INNOVATION & CHANGE

The HR division consists of: Strategic HR, Business Partnerships, Corporate Learning & Development, Diversity, iTrent Client team, Recruitment & Resourcing, Central Operations Team. The function also interfaces with Staff Side.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	35.55	35.87
Number of FTE TUPE staff		
Number of Fixed Term Contract	15.00	10.00
Total FTE	**50.55**	**45.87**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	3,365	7	(453)	2,919
Premises	8	0	(8)	0
Transport	3	0	(1)	2
Supplies and Services	147	23	29	199
Third Party Payments	283	15	204	501
Transfer Payments	0	0	0	0
Support Services	(1,962)	0	(1,294)	(3,257)
Depreciation and Impairment Losses	0	0	0	0
GROSS EXPENDITURE	**1,843**	**45**	**(1,524)**	**364**
Income				
Government Grants	0	0	0	0
Other Reimbursements and Contributions	(179)	0	0	(179)
Customer and Client Receipts	(389)	0	(20)	(409)
Interest	0	0	0	0
Recharges	0	0	0	0
Reserves	0	0	171	171
GROSS INCOME	**(568)**	**0**	**151**	**(417)**
NET EXPENDITURE	**1,275**	**45**	**(1,373)**	**(53)**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	(453)	
Savings	(72)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	(1,294)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	296	(4.68)
Transfers between departments/Service	0	
Grants	0	
Other Income	(20)	
Use of Reserves	171	
TOTAL	**(1,373)**	**(4.68)**

LONDON BOROUGH OF MERTON

2026/27 Budget Book

Finance & Digital Department

SUMMARY: Finance & Digital Department

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	204.0	233.0
Number of FTE DSG staff		
Number of FTE TUPE staff	0.0	0.0
Number of Fixed Term Contract	21.0	0.0
	225.0	233.0

SERVICE AREA ANALYSIS	CHANGE BETWEEN YEARS			
	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Digital Innovation	3,258	136	(3,846)	(452)
Resources	5,883	111	(1,886)	4,108
Corporate Items	8,101	82	2,254	10,437
Commercialisation	860	1	(882)	(22)
NET EXPENDITURE	**18,102**	**330**	**(4,360)**	**14,072**

Finance & Digital Department

Finance & Digital Department consists of three main divisions being Digital, Resources, Commercialisation, plus Corporate items.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	204.01	233.02
Number of FTE DSG staff	0.00	0.00
Number of FTE TUPE staff	0.00	0.00
Number of Fixed Term Contract	21.00	0.00
Total FTE	**225.01**	**233.02**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	15,816	28	820	16,664
Premises	34	1	0	35
Transport	150	5	0	155
Supplies and Services	9,017	273	1,608	10,899
Third Party Payments	779	23	118	921
Transfer Payments	55,609	0	0	53,131
Support Services	9,267	0	(1,978)	9,768
Depreciation and Impairment Losses	2,494	0	0	2,494
GROSS EXPENDITURE	**93,167**	**330**	**569**	**94,067**
Income				
Government Grants	(56,916)	0	2,478	(54,437)
Other Reimbursements and Contributions	(1,251)	0	(1)	(1,252)
Customer and Client Receipts	(3,487)	0	(505)	(3,992)
Interest	0	0	0	0
Recharges	(14,091)	0	(6,782)	(20,873)
Reserves	680	0	(120)	560
GROSS INCOME	**(75,065)**	**0**	**(4,929)**	**(79,994)**
NET EXPENDITURE	**18,102**	**330**	**(4,360)**	**14,073**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	570	8
Savings	(327)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	524	
Overheads adjustments	(5,510)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g. Budget realignment	(125)	
Transfers between departments/Service	429	
Grants	0	
Other Income	0	
Use of Reserves	(120)	
TOTAL	**(4,560)**	**8.01**

Digital Innovation

Digital Innovation Division consists of IT Service Delivery, Digital & Products including Web Team and Customer Contact.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	38.60	67.60
Number of FTE TUPE staff		
Number of Fixed Term Contract	20.00	
Total FTE	**58.60**	**67.60**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	4,281		833	5,114
Premises	32	1	0	33
Transport	6	0	0	7
Supplies and Services	3,890	135	1,650	5,675
Third Party Payments	0		0	0
Transfer Payments	0		0	0
Support Services	803		(803)	0
Depreciation and Impairment Losses	2,494		0	2,494
GROSS EXPENDITURE	**11,507**	**136**	**1,680**	**13,322**
Income				
Government Grants	0		0	0
Other Reimbursements and Contributions	(35)		0	(35)
Customer and Client Receipts	(109)		0	(109)
Interest	0		0	0
Recharges	(8,104)		(5,526)	(13,630)
Reserves	0		0	0
GROSS INCOME	**(8,248)**	**0**	**(5,526)**	**(13,774)**
NET EXPENDITURE	**3,258**	**136**	**(3,846)**	**(452)**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	265	9.00
Savings	(76)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	524	
Overheads adjustments	(5,214)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g. budget realignment	16	
Transfers between departments/Service - Customer Contact & Web team	638	
Grants	0	
Other Income	0	
Use of Reserves	0	
TOTAL	**(3,846)**	**9.00**

Resources

The Resources Division consists of Accountancy, Insurance, Treasury, Local Taxation, Bailiffs, Benefits Administration and Support team.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	143.11	142.11
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**143.11**	**142.11**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	8,754	0	(63)	8,690
Premises	2	0	0	3
Transport	144	4	(0)	148
Supplies and Services	3,400	83	440	3,924
Third Party Payments	779	23	118	921
Transfer Payments	0		0	0
Support Services	2,049		(465)	1,584
Depreciation and Impairment Losses	0		0	0
GROSS EXPENDITURE	**15,128**	**111**	**30**	**15,269**
Income				
Government Grants	(1,039)		0	(1,039)
Other Reimbursements and Contributions	(1,216)		(1)	(1,217)
Customer and Client Receipts	(2,336)		100	(2,236)
Interest	0		0	0
Recharges	(5,214)		(2,015)	(7,229)
Reserves	560		0	560
GROSS INCOME	**(9,245)**	**0**	**(1,916)**	**(11,161)**
NET EXPENDITURE	**5,883**	**111**	**(1,886)**	**4,108**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	297	(1.00)
Savings	(170)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	(2,480)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g. budget realignment	368	
Transfers between departments/Service	(102)	
Grants	0	
Other Income	0	
Use of Reserves	0	
TOTAL	**(2,086)**	**(1.00)**

Commercialisation

Commercialisation Division is composed of Commercial Services/Procurement and Transactional Services.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	22.30	23.31
Number of FTE TUPE staff		
Number of Fixed Term Contract	1.00	
Total FTE	**23.30**	**23.31**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	1,554		53	1,607
Premises	0	0	(0)	0
Transport	0	0	0	0
Supplies and Services	17	0	(0)	17
Third Party Payments	0		(0)	0
Transfer Payments	0		0	0
Support Services	210		(210)	0
Depreciation and Impairment Losses	0		0	0
GROSS EXPENDITURE	**1,782**	**1**	**(157)**	**1,625**
Income				
Government Grants	0		0	0
Other Reimbursements and Contributions	0		0	0
Customer and Client Receipts	(1,042)		(605)	(1,647)
Interest	0		0	0
Recharges	0		0	0
Reserves	120		(120)	0
GROSS INCOME	**(922)**	**0**	**(725)**	**(1,647)**
NET EXPENDITURE	**860**	**1**	**(882)**	**(22)**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	8	0.01
Savings	(22)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	(815)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g. budget realignment	66	
Transfers between departments/Service	0	
Grants	0	
Other Income	0	
Use of Reserves	(120)	
TOTAL	**(882)**	**0.01**

Corporate Items

Corporate Management is composed of Housing Benefit subsidy payments and entitlements, Democratic Representation & Management, Coroners Court and Severance payments.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff		
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**0.00**	**0.00**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	1,227	28	(3)	1,252
Premises	0		0	0
Transport	0		0	0
Supplies and Services	1,710	54	(481)	1,283
Third Party Payments	0		0	0
Transfer Payments	55,609		0	53,131
Support Services	6,204		(499)	8,184
Depreciation and Impairment Losses	0		0	0
GROSS EXPENDITURE	**64,751**	**82**	**(983)**	**63,850**
Income				
Government Grants	(55,877)		2,478	(53,399)
Other Reimbursements and Contributions	0		0	0
Customer and Client Receipts	0		0	0
Interest	0		0	0
Recharges	(772)		758	(14)
Reserves	0		0	0
GROSS INCOME	**(56,649)**	**0**	**3,237**	**(53,413)**
NET EXPENDITURE	**8,101**	**82**	**2,254**	**10,437**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	0	0.00
Savings	(60)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	2,999	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g. Budget Realignment for Legal, Printing	(578)	
Transfers between departments/Service	(107)	
Grants	0	
Other Income	0	
Use of Reserves	0	
TOTAL	**2,254**	**0.00**

LONDON BOROUGH OF MERTON

2026/27 Budget Book

Housing & Sustainable Development

SUMMARY: Housing & Sustainable Development

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	150.7	145.2
Number of FTE DSG staff	0.0	0.0
Number of FTE TUPE staff	0.0	0.0
Number of Fixed Term Contract	0.0	0.0
	150.7	145.2

SERVICE AREA ANALYSIS	CHANGE BETWEEN YEARS			
	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Housing	8,290	260	3,878	12,428
Planning & Regeneration	3,271	24	(943)	2,352
Property & Major Projects	(1,820)	139	(246)	(1,927)
Senior Management and Support	0	1	1,036	1,038
TOTAL EXPENDITURE	**9,741**	**424**	**3,726**	**13,890**

Housing & Sustainable Development

Housing & Sustainable Development Department has three main divisions consiting of: Housing, Planning & Regeneration, Property & Major Projects, plus senior management.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	150.7	145.2
Number of FTE DSG staff		
Number of FTE TUPE staff	0.0	0.0
Number of Fixed Term Contract	0.0	0.0
Total FTE	150.70	145.21

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	8,263	36	1,964	10,263
Premises	836	89	3,245	4,170
Transport	50	2	12	63
Supplies and Services	1,056	47	701	1,804
Third Party Payments	7,515	219	2,307	10,041
Transfer Payments	544	33	571	1,149
Support Services	2,325	0	1,044	3,369
Depreciation and Impairment Losses	2,759	0	736	3,495
GROSS EXPENDITURE	**23,348**	**426**	**10,580**	**34,354**
Income				
Government Grants	(180)	0	180	0
Other Reimbursements and Contributions	(2,597)	0	(386)	(2,982)
Customer and Client Receipts	(9,714)	(2)	(1,487)	(11,203)
Interest	0	0	0	0
Recharges	(1,176)	0	(5,103)	(6,278)
Reserves	60	0	(60)	0
GROSS INCOME	**(13,607)**	**(2)**	**(6,855)**	**(20,463)**
NET EXPENDITURE	**9,741**	**424**	**3,726**	**13,890**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	67	(5.49)
Savings	(807)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	4,238	
Overheads adjustments	(1,108)	
Depreciation & NNDR adjustments	107	
Rebasing of Income	(417)	
Technical adjustments- e.g.	792	
Transfers between departments/Service	(420)	
Grants	0	
Other Income	0	
Use of Reserves	(381)	
TOTAL	**2,072**	**(5.49)**

Housing General Fund

Housing General Fund is a division within the Housing and Sustainable Development Department. This Division provides statutory housing functions which includes prevention, relief of homelessness, enforcement of regulations for the private rented sector and the provision of mandatory grant assistance for improvements and adaptations via the Disabled Facilities Grant. These services are grouped within the housing divisions of Strategy Systems and Contracts, Housing Needs & Homelessness and Housing Regulation.

FULL TIME EQUIVALENTS	**2025/26**	**2026/27**
Number of FTE Staff	53.00	54.86
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**53.00**	**54.86**

SUBJECTIVE ANALYSIS OF ESTIMATES	**2025/26 Original Estimate £000**	**Inflation £000**	**Other Variations £000**	**2026/27 Estimate £000**
Expenditure				
Employees	2,718	1	363	3,082
Premises	70	2	0	72
Transport	24	1	0	25
Supplies and Services	223	8	88	319
Third Party Payments	7,496	215	2,194	9,905
Transfer Payments	544	33	571	1,149
Support Services	369	0	844	1,213
Depreciation and Impairment Losses	79	0	0	79
GROSS EXPENDITURE	**11,524**	**260**	**4,060**	**15,844**
Income				
Government Grants	(180)		180	0
Other Reimbursements and Contributions	(2,108)		(0)	(2,108)
Customer and Client Receipts	(1,006)		(301)	(1,307)
Interest	0		0	0
Recharges	0		0	0
Reserves	60		(60)	0
GROSS INCOME	**(3,234)**	**0**	**(182)**	**(3,416)**
NET EXPENDITURE	**8,290**	**260**	**3,878**	**12,428**

Other Variations are analysed as follows:

Major Items	**£000**	**fte**
Salaries	17	1.86
Savings	(36)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	3,000	
Overheads adjustments	844	
Depreciation & NNDR adjustments	0	
Rebasing of Income	(232)	
Technical adjustments- e.g. Budget realignment	392	
Transfers between departments/Service	(46)	
Grants	0	
Other Income	0	
Use of Reserves	(60)	
TOTAL	**3,878**	**1.86**

Planning & Regeneration

Planning & Regeneration is a division within Housing & Sustainable Development Department. This division's services cover Development Management & Building Control, Planning Policy & Land Charges, Regeneration & Economy and Development.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	62.40	57.01
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**62.40**	**57.01**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	4,217	0	(426)	3,791
Premises	182	5	(0)	187
Transport	24	1	(0)	24
Supplies and Services	786	19	(34)	771
Third Party Payments	19	1	(1)	19
Transfer Payments	0	0	0	0
Support Services	1,338	0	(78)	1,260
Depreciation and Impairment Losses	7	0	(0)	7
GROSS EXPENDITURE	**6,572**	**26**	**(539)**	**6,059**
Income				
Government Grants	0		0	0
Other Reimbursements and Contributions	(489)		(273)	(762)
Customer and Client Receipts	(2,813)	(2)	(131)	(2,946)
Interest	0		0	
Recharges	0		0	
Reserves	0		0	
GROSS INCOME	**(3,301)**	**(2)**	**(404)**	**(3,707)**
NET EXPENDITURE	**3,271**	**24**	**(943)**	**2,352**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	21	(5.39)
Savings	(506)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	(78)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	(184)	
Technical adjustments- e.g. Budget realignment	177	
Transfers between departments/Service	(374)	
Grants	0	
Other Income	0	
Use of Reserves	0	
TOTAL	**(943)**	**(5.39)**

Property & Major Projects

Property and Major Projects is a new division within Housing & Sustainable Development Department. Service within this division includes Property Strategy & Estates, Repairs Maintenance & Facilities Management and Major Projects.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	32.30	29.34
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**32.30**	**29.34**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	835	34	841	1,710
Premises	584	81	3,245	3,910
Transport	1	0	12	14
Supplies and Services	0	19	647	667
Third Party Payments	(0)	3	114	117
Transfer Payments	0	0	0	0
Support Services	618	0	211	829
Depreciation and Impairment Losses	2,673	0	736	3,409
GROSS EXPENDITURE	**4,712**	**139**	**5,806**	**10,657**
Income				
Government Grants	0		0	0
Other Reimbursements and Contributions	0		(113)	(113)
Customer and Client Receipts	(5,896)		(1,054)	(6,949)
Interest	0		0	0
Recharges	(637)		(4,886)	(5,523)
Reserves	0		0	0
GROSS INCOME	**(6,533)**	**0**	**(6,052)**	**(12,585)**
NET EXPENDITURE	**(1,820)**	**139**	**(246)**	**(1,927)**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	24	(2.96)
Savings	(256)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	(1,725)	
Depreciation & NNDR adjustments	107	
Rebasing of Income	0	
Technical adjustments- e.g. Budget Realignment	70	
Transfers between departments/Service	0	
Grants	0	
Other Income	0	
Use of Reserves	(321)	
TOTAL	**(2,100)**	**(2.96)**

Housing & Sustainable Development Senior Management

The Department's senior management consists of the Executive Director and Directors for each division.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	3.00	4.00
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**3.00**	**4.00**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	493		1,186	1,679
Premises	0		(0)	0
Transport	0		(0)	0
Supplies and Services	46	1	0	47
Third Party Payments	0		(0)	0
Transfer Payments	0		0	0
Support Services	0		67	67
Depreciation and Impairment Losses	0		0	0
GROSS EXPENDITURE	**539**	**1**	**1,253**	**1,794**
Income				
Government Grants	0		0	0
Other Reimbursements and Contributions	0		0	0
Customer and Client Receipts	0		0	0
Interest	0		0	0
Recharges	(539)		(217)	(756)
Reserves	0		0	
GROSS INCOME	**(539)**	**0**	**(217)**	**(756)**
NET EXPENDITURE	**0**	**1**	**1,036**	**1,038**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	6	1.00
Savings	(10)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	1,238	
Overheads adjustments	(150)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g. Budget realignment	151	
Transfers between departments/Service	0	
Grants	0	
Other Income	0	
Use of Reserves	0	
TOTAL	**1,236**	**1.00**

LONDON BOROUGH OF MERTON

2026/27 Budget Book

Environment, Civic Pride and Climate

SUMMARY: ENVIRONMENT, CIVIC PRIDE & CLIMATE DEPARTMENT

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	522.1	570.9
Number of FTE DSG staff		
Number of FTE TUPE staff		
Number of Fixed Term Contract	0.0	49.8
	522.1	620.7

SERVICE AREA ANALYSIS	CHANGE BETWEEN YEARS			
	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Public Realm	21,928	1,288	3,550	26,766
Regulatory Services	2,139	58	2,112	4,309
Safer Merton	3,064	156	258	3,478
Library, Events and Heritage Services	8,806	303	1,094	10,202
Senior Management and Support	1,201	27	(1,228)	(0)
NET EXPENDITURE	**37,139**	**1,831**	**5,786**	**44,756**

ENVIRONMENT, CIVIC PRIDE & CLIMATE DEPARTMENT

The Environment, Civic Pride and Climate Department includes Senior Management, Public Realm, Libraries, Culture and Leisure, Safer Merton, Safer Streets and Emergency Services, Regulatory Services, and Climate and Civic Pride services.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	522.06	570.93
Number of FTE DSG staff		
Number of FTE TUPE staff		
Number of Fixed Term Contract	0.00	49.80
Total FTE	**522.06**	**620.73**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	29,237	850	2,896	32,983
Premises	5,185	118	(380)	4,922
Transport	2,035	61	24	2,121
Supplies and Services	23,182	675	2,279	26,136
Third Party Payments	4,456	127	21	4,604
Transfer Payments	0	0	0	0
Support Services	5,799	0	4,395	10,194
Depreciation and Impairment Losses	11,828	0	0	11,828
GROSS EXPENDITURE	**81,722**	**1,831**	**9,235**	**92,788**
Income				
Government Grants	(49)	0	8	(41)
Other Reimbursements and Contributions	(9,033)	0	(1,768)	(10,801)
Customer and Client Receipts	(34,576)	0	(3,278)	(37,854)
Interest	0	0	0	0
Recharges	(925)	0	345	(580)
Reserves	0	0	1,244	1,244
GROSS INCOME	**(44,583)**	**0**	**(3,449)**	**(48,032)**
NET EXPENDITURE	**37,139**	**1,831**	**5,786**	**44,756**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	2,896	29.80
Savings	(1,397)	0.00
Growth- Social Care Funding, Market Sustainability, Social Care Precept	1,505	0.00
Overheads adjustments	279	0.00
Depreciation & NNDR adjustments	0	0.00
Rebasing of Income	0	0.00
Technical adjustments- e.g.	6,061	32.07
Transfers between departments/Service	236	0.00
Grants	8	0.00
Other Income	(5,045)	0.00
Use of Reserves	1,244	1.00
TOTAL	**5,786**	**62.87**

ENVIRONMENT, CIVIC PRIDE & CLIMATE DEPARTMENT

Public Realm:
Parking Services, Waste Management and Operations, Transport Fleet, Passenger Transport, Sustainable Transport & Highways, Performance and Management, Climate Change and Civic Pride

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	279.28	298.35
Number of FTE TUPE staff		
Number of Fixed Term Contract	0.00	13.00
Total FTE	**279.28**	**311.35**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	15,301	542	786	16,629
Premises	2,234	42	(448)	1,829
Transport	1,945	58	9	2,013
Supplies and Services	19,837	594	3,044	23,475
Third Party Payments	1,858	52	(348)	1,561
Transfer Payments	0	0	0	0
Support Services	3,237	0	2,540	5,777
Depreciation and Impairment Losses	9,287	0	0	9,287
GROSS EXPENDITURE	**53,698**	**1,288**	**5,584**	**60,570**
Income				
Government Grants	(41)	0	0	(41)
Other Reimbursements and Contributions	(1,756)	0	198	(1,558)
Customer and Client Receipts	(29,606)	0	(2,790)	(32,396)
Interest	0	0	0	0
Recharges	(367)	0	210	(157)
Reserves	0	0	348	348
GROSS INCOME	**(31,770)**	**0**	**(2,034)**	**(33,804)**
NET EXPENDITURE	**21,928**	**1,288**	**3,550**	**26,766**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	786	
Savings	(983)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	1,285	
Overheads adjustments	934	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	3,562	32.07
Transfers between departments/Service	210	
Grants	0	
Other Income	(2,592)	
Use of Reserves	348	
TOTAL	**3,550**	**32.07**

ENVIRONMENT, CIVIC PRIDE & CLIMATE DEPARTMENT

Public Protection/ Regulatory Services: Serving the London Boroughs of Merton, Richmond upon Thames and Wandsworth provides Commercial services, Food & Safety, Trading Standards, Licensing, Residential & Pollution services, Air Quality, Private sector Housing (not Merton), Noise & Nuisance and Operational & technical support.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	141.71	172.21
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**141.71**	**172.21**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	7,972	45	1,808	9,825
Premises	5	0	0	6
Transport	52	2	19	73
Supplies and Services	243	10	85	337
Third Party Payments	107	0	(11)	97
Transfer Payments	0	0	0	0
Support Services	1,397	0	1,713	3,110
Depreciation and Impairment Losses	23	0	0	23
GROSS EXPENDITURE	**9,799**	**58**	**3,614**	**13,470**
Income				
Government Grants	0	0	0	0
Other Reimbursements and Contributions	(6,802)	0	(1,821)	(8,623)
Customer and Client Receipts	(857)	0	320	(538)
Interest	0	0	0	0
Recharges	0	0	0	0
Reserves	0	0	0	0
GROSS INCOME	**(7,659)**	**0**	**(1,501)**	**(9,161)**
NET EXPENDITURE	**2,139**	**58**	**2,112**	**4,309**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	1,808	30.50
Savings	(8)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	32	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	1,782	
Transfers between departments/Service	0	
Grants	0	
Other Income	(1,501)	
Use of Reserves	0	
TOTAL	**2,112**	**30.50**

ENVIRONMENT, CIVIC PRIDE & CLIMATE DEPARTMENT

Libraries, Culture, Sport & Green Spaces: The service manages and maintains parks and green spaces across the borough, including arboriculture services (highways and open spaces) and the management of cemeteries, burials and cremations. Library services are delivered through three main town centre libraries at Mitcham, Morden and Wimbledon, and four neighbourhood libraries at Colliers Wood, Pollards Hill, Raynes Park and West Barnes, with additional home visit provision and a Heritage Service based at Morden Library. The service also includes the management and maintenance of leisure premises and land, events management, and the administration of bookings.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	58.27	61.57
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**58.27**	**61.57**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	3,119	111	377	3,607
Premises	2,941	75	69	3,085
Transport	26	1	(6)	21
Supplies and Services	1,255	42	329	1,625
Third Party Payments	2,491	75	380	2,946
Transfer Payments	0	0	0	0
Support Services	1,010	0	39	1,048
Depreciation and Impairment Losses	2,331	0	0	2,331
GROSS EXPENDITURE	**13,172**	**303**	**1,188**	**14,662**
Income				
Government Grants	(8)	0	8	0
Other Reimbursements and Contributions	(401)	0	(145)	(546)
Customer and Client Receipts	(4,108)	0	(807)	(4,915)
Interest	0	0	0	0
Recharges	150	0	26	176
Reserves	0	0	824	824
GROSS INCOME	**(4,366)**	**0**	**(94)**	**(4,460)**
NET EXPENDITURE	**8,806**	**303**	**1,094**	**10,202**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	377	3.30
Savings	(374)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	100	
Overheads adjustments	82	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	1004	
Transfers between departments/Service	26	
Grants	8	
Other Income	(952)	
Use of Reserves	824	
TOTAL	**1,094**	**3.30**

ENVIRONMENT, CIVIC PRIDE & CLIMATE DEPARTMENT

Safer Merton, CCTV & H&S: Provision of community safety, emergency planning, business continuity and public space CCTV services, including responsibilities for crime reduction, serious violence, anti-social behaviour, violence against women and girls, hate crime, counter-terrorism and reducing reoffending. The service leads on major incidents, providing strategic and operational guidance, and commissions and manages services to deliver Community Safety Partnership priorities, corporate KPIs and health and safety functions.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	39.80	36.80
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**39.80**	**36.80**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	2,480	144	(18)	2,605
Premises	3	0	(1)	1
Transport	5	0	2	6
Supplies and Services	395	12	21	428
Third Party Payments	0	0	(0)	0
Transfer Payments	0	0	0	0
Support Services	36	0	190	226
Depreciation and Impairment Losses	187	0	0	187
GROSS EXPENDITURE	**3,105**	**156**	**193**	**3,454**
Income				
Government Grants	0	0	0	0
Other Reimbursements and Contributions	(75)	0	0	(75)
Customer and Client Receipts	(6)	0	(0)	(6)
Interest	0	0	0	0
Recharges	40	0	(7)	33
Reserves	0	0	72	72
GROSS INCOME	**(40)**	**0**	**65**	**25**
NET EXPENDITURE	**3,064**	**156**	**258**	**3,478**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	(18)	(3.00)
Savings	(27)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	120	
Overheads adjustments	43	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	69	
Transfers between departments/Service	0	
Grants	0	
Other Income	(0)	
Use of Reserves	72	1.00
TOTAL	**258**	**(2.00)**

ENVIRONMENT, CIVIC PRIDE & CLIMATE DEPARTMENT

Senior Management and Support: The Department's Exceutive Director of Environment, Civic Pride & Climate and Business Performance.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	3.00	2.00
Number of FTE TUPE staff		
Number of Fixed Term Contract		
Total FTE	**3.00**	**2.00**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	365	9	(57)	317
Premises	2	0	0	2
Transport	8	0	0	8
Supplies and Services	1,453	18	(1,199)	271
Third Party Payments	0	0	0	0
Transfer Payments	0	0	0	0
Support Services	120	0	(87)	34
Depreciation and Impairment Losses	0	0	0	0
GROSS EXPENDITURE	**1,948**	**27**	**(1,343)**	**632**
Income				
Government Grants	0	0	0	0
Other Reimbursements and Contributions	0	0	0	0
Customer and Client Receipts	0	0	0	0
Interest	0	0	0	0
Recharges	(747)	0	115	(632)
Reserves	0	0	0	0
GROSS INCOME	**(747)**	**0**	**115**	**(632)**
NET EXPENDITURE	**1,201**	**27**	**(1,228)**	**(0)**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	(57)	(1.00)
Savings	(4)	
Growth- Social Care Funding, Market Sustainability, Social Care Precept	0	
Overheads adjustments	(811)	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.	(355)	
Transfers between departments/Service	0	
Grants	0	
Other Income	0	
Use of Reserves	0	
TOTAL	**(1,228)**	**(1.00)**

LONDON BOROUGH OF MERTON

2026/2027 ESTIMATES

CHILDREN, LIFELONG LEARNING AND FAMILIES DEPARTMENT

CHILDREN, LIFELONG LEARNING AND FAMILIES DEPARTMENT

This Page contains the Budget for the whole Children, Lifelong Learning and Families Department including funding provided directly to Merton's Schools

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of Permanent Staff	489.3	476.3
Number of DSG Staff	90.0	90.0
Number of Fixed term contracts	0.0	0.0
Total FTE	578.3	566.3

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000	2026/27 DSG Estimate £000	2026/27 LA Estimate £000
Expenditure						
Employees	38,017	1,055	(1,240)	37,832	8,071	29,762
Premises	1,593	45	(89)	1,549	164	1,385
Transport	8,458	252	(257)	8,453	52	8,400
Supplies and Services	223,892	358	(42,386)	181,864	156,474	25,388
Third Party Payments	34,209	481	1,147	35,837	19,367	16,470
Transfer Payments	0	0	35,861	35,861	35,861	0
Support Services	5,492	0	2,728	8,220	0	8,221
Depreciation and Impairment Losses	11,762	0	0	11,762	0	11,762
GROSS EXPENDITURE	**323,423**	**2,191**	**(4,236)**	**321,378**	**219,989**	**101,388**
Income						
Government Grants	(233,918)	0	3,122	(230,796)	(216,766)	(14,029)
Other Reimbursements and Contributions	(8,068)	0	(640)	(8,708)	(2,920)	(5,788)
Customer and Client Receipts	(2,304)	0	100	(2,204)	(307)	(1,897)
Interest	0	0	0	0	0	0
Recharges	(46)	0	0	(46)	0	(46)
Reserves	65	0	(65)	0	0	0
GROSS INCOME	**(244,271)**	**0**	**2,517**	**(241,754)**	**(219,993)**	**(21,760)**
NET EXPENDITURE	**79,152**	**2,191**	**(1,719)**	**79,624**	**(4)**	**79,628**

Other Variations are analysed as follows:

Major Items	£000	fte
Savings	(3,945)	(13.0)
Growth	0	0
Overhead adjustments	2,688	0
Depreciation adjustments	0	0
Transfer between departments	49	0
Use of Reserves adjustment	(65)	0
NNDR Adjustments	(27)	0
Technical adjustments	(418)	0
TOTAL	**(1,718)**	**(13)**

SUMMARY: CHILDREN, LIFELONG LEARNING AND FAMILIES DEPARTMENT

SERVICE AREA ANALYSIS	2025/26 Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000	2026/27 DSG Estimate £000	2026/27 LA Estimate £000
Senior Management	3,990	314	(316)	3,988	0	3,988
Childrens Social Care	28,793	859	(1,876)	27,776	0	27,776
Education	45,947	859	3,768	50,574	26,240	24,334
Schools	(12,017)	0	(2,986)	(15,003)	(26,244)	11,241
Other Childrens, Lifelong Learning and Families	12,439	159	(309)	12,289	0	12,289
TOTAL NET EXPENDITURE	**79,152**	**2,191**	**(1,719)**	**79,624**	**(4)**	**79,628**

CHILDREN, LIFELONG LEARNING AND FAMILIES DEPARTMENT

Senior Management

This budget contains provision for the Senior Management of Children, Lifelong Learning and Families department

FULL TIME EQUIVALENTS	**2025/26**	**2026/27**
Number of Permanent Staff	7.0	6.0
Number of DSG Staff	0.0	0.0
Number of Fixed term contracts	0.0	0.0
Total FTE	7.0	6.0

SUBJECTIVE ANALYSIS OF ESTIMATES

	2025/26 Estimate £000	**Inflation £000**	**Other Variations £000**	**2026/27 Estimate £000**	**2026/27 DSG Estimate £000**	**2026/27 LA Estimate £000**
Expenditure						
Employees	1,163	26	7	1,196	0	1,196
Premises	0	0	0	0	0	0
Transport	4	0	0	4	0	4
Supplies and Services	2,788	288	-391	2,685	0	2,684
Third Party Payments	3	0	0	3	0	3
Transfer Payments	0	0	0	0	0	0
Support Services	32	0	68	100	0	101
Depreciation and Impairment Losses	0	0	0	0	0	0
GROSS EXPENDITURE	**3,990**	**314**	**(316)**	**3,988**	**0**	**3,988**
Income						
Government Grants	0	0	0	0	0	0
Other Reimbursements and Contributions	0	0	0	0	0	0
Customer and Client Receipts	0	0	0	0	0	0
Interest	0	0	0	0	0	0
Recharges	0	0	0	0	0	0
Reserves	0	0	0	0	0	0
GROSS INCOME	**0**	**0**	**0**	**0**	**0**	**0**
NET EXPENDITURE	**3,990**	**314**	**(316)**	**3,988**	**0**	**3,988**

Other Variations are analysed as follows:

Major Items	**£000**	**fte**
Savings	-50	-1
Growth	0	0
Overhead adjustments	68	0
Transfer between departments	382	0
NNDR Adjustments	0	0
Technical adjustments	-716	0
TOTAL	**(316)**	**0.0**

CHILDREN, LIFELONG LEARNING AND FAMILIES DEPARTMENT

Children's Social Care

This budget contains the funding for central social work; family and adolescent service; corporate parenting; permanency, placements and looked after children; as well as safeguarding, standards and training.

FULL TIME EQUIVALENTS	**2025/26**	**2026/27**
Number of Permanent Staff	221.5	219.0
Number of DSG Staff	0.0	0.0
Number of Fixed term contracts		0.0
Total FTE	221.5	219.0

SUBJECTIVE ANALYSIS OF ESTIMATES	**2025/26 Estimate £000**	**Inflation £000**	**Other Variations £000**	**2026/27 Estimate £000**	**2026/27 DSG Estimate £000**	**2026/27 LA Estimate £000**
Expenditure						
Employees	13,811	486	-1,830	12,467	0	12,468
Premises	11	2	0	13	0	13
Transport	205	6	0	211	0	211
Supplies and Services	350	10	-640	(280)	0	-281
Third Party Payments	11,844	355	-55	12,144	0	12,144
Transfer Payments	0	0	0	0	0	0
Support Services	3,105	0	714	3,819	0	3,819
Depreciation and Impairment Losses	0	0	0	0	0	0
GROSS EXPENDITURE	**29,326**	**859**	**(1,811)**	**28,374**	**0**	**28,374**
Income						
Government Grants	-381	0	0	(381)	0	-381
Other Reimbursements and Contributions	-96	0	0	(96)	0	-96
Customer and Client Receipts	-121	0	0	(121)	0	-121
Interest	0	0	0	0	0	0
Recharges	0	0	0	0	0	0
Reserves	65	0	-65	0	0	0
GROSS INCOME	**(533)**	**0**	**(65)**	**(598)**	**0**	**(598)**
NET EXPENDITURE	**28,793**	**859**	**(1,876)**	**27,776**	**0**	**27,776**

Other Variations are analysed as follows:

Major Items	**£000**	**fte**
Savings	-2,648	-2.5
Growth	0	0
Transfer between departments	-34	0
Overhead adjustments	714	0
Depreciation adjustments	0	0
Use of Reserves adjustment	-65	0
Technical adjustments	157	0
TOTAL	**(1,876)**	**(2.5)**

CHILDREN, LIFELONG LEARNING AND FAMILIES DEPARTMENT

Education

This page contains the budgets for school improvement; early years and children's centres; education inclusion; merton adult learning; as well as special educational needs and disability integrated service.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of Permanent Staff	242.3	232.8
Number of DSG Staff	89.0	89.0
Number of Fixed term contracts	0.0	0.0
Total FTE	331.3	321.8

SUBJECTIVE ANALYSIS OF ESTIMATES

	2025/26 Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000	2026/27 DSG Estimate £000	2026/27 LA Estimate £000
Expenditure						
Employees	19,923	488	-553	19,858	5,941	13,917
Premises	745	22	-61	706	17	689
Transport	8,246	246	-257	8,235	52	8,182
Supplies and Services	7,491	50	-1,606	5,935	4,246	1,689
Third Party Payments	16,219	53	4,770	21,042	19,211	1,832
Transfer Payments	0	0	0	0	0	0
Support Services	2,026	0	2,015	4,041	0	4,041
Depreciation and Impairment Losses	521	0	0	521	0	521
GROSS EXPENDITURE	**55,171**	**859**	**4,308**	**60,338**	**29,467**	**30,871**
Income						
Government Grants	-2,543	0	0	(2,543)	0	-2,543
Other Reimbursements and Contributions	-4,564	0	-640	(5,204)	-2,920	-2,284
Customer and Client Receipts	-2,117	0	100	(2,017)	-307	-1,710
Interest	0	0	0	0	0	0
Recharges	0	0	0	0	0	0
Reserves	0	0	0	0	0	0
GROSS INCOME	**(9,224)**	**0**	**(540)**	**(9,764)**	**(3,227)**	**(6,537)**
NET EXPENDITURE	**45,947**	**859**	**3,768**	**50,574**	**26,240**	**24,334**

Other Variations are analysed as follows:

Major Items	£000	fte
Savings	-1,231	-9.5
Growth	0	0
Overhead adjustments	2,015	0
Transfer between departments	-60	0
Use of Reserves adjustment	0	0
NNDR Adjustments	1	0
Depreciation adjustments	0	0
Technical adjustments	3,044	0
TOTAL	**3,769**	**(9.5)**

CHILDREN, LIFELONG LEARNING AND FAMILIES DEPARTMENT

Schools

This budget covers schools funding as well as some centrally retained DSG to support the schools function.

FULL TIME EQUIVALENTS	**2025/26**	**2026/27**
Number of Permanent Staff	0.0	0.0
Number of DSG Staff	1.0	1.0
Number of Fixed term contracts	0.0	0.0
Total FTE	1.0	1.0

SUBJECTIVE ANALYSIS OF ESTIMATES

	2025/26 Estimate £000	**Inflation £000**	**Other Variations £000**	**2026/27 Estimate £000**	**2026/27 DSG Estimate £000**	**2026/27 LA Estimate £000**
Expenditure						
Employees	824	0	1,307	2,131	2,130	0
Premises	147	0	0	147	147	0
Transport	0	0	0	0	0	0
Supplies and Services	201,841	0	-39,708	162,133	152,228	9,905
Third Party Payments	3,724	0	-3,568	156	156	0
Transfer Payments	0	0	35,861	35,861	35,861	0
Support Services	0	0	0	0	0	0
Depreciation and Impairment Losses	11,241	0	0	11,241	0	11,241
GROSS EXPENDITURE	**217,777**	**0**	**(6,108)**	**211,669**	**190,522**	**21,146**
Income						
Government Grants	(229,794)	0	3,122	(226,672)	(216,766)	(9,905)
Other Reimbursements and Contributions	0	0	0	0	0	0
Customer and Client Receipts	0	0	0	0	0	0
Interest	0	0	0	0	0	0
Recharges	0	0	0	0	0	0
Reserves	0	0	0	0	0	0
GROSS INCOME	**(229,794)**	**0**	**3,122**	**(226,672)**	**(216,766)**	**(9,905)**
NET EXPENDITURE	**(12,017)**	**0**	**(2,986)**	**(15,003)**	**(26,244)**	**11,241**

Other Variations are analysed as follows:

Major Items	**£000**	**fte**
Depreciation adjustments	0	0
Use of Reserves adjustment	0	0
NNDR Adjustments	0	0
Technical adjustments	(2,985)	0
TOTAL	**(2,985)**	**0.0**

CHILDREN, LIFELONG LEARNING AND FAMILIES DEPARTMENT

Other Children, Lifelong Learning and Families

This budget covers asylum seeker costs, past and present pension and redundancy costs, DSG contributions to retained schools services, commissioning, central administration and PFI unitary charges.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of Permanent Staff	18.5	18.5
Number of DSG Staff	0.0	0.0
Number of Fixed term contracts	0.0	0.0
Total FTE	18.5	18.5

SUBJECTIVE ANALYSIS OF ESTIMATES

	2025/26 Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000	2026/27 DSG Estimate £000	2026/27 LA Estimate £000
Expenditure						
Employees	2,296	55	-171	2,180	0	2,181
Premises	690	21	-28	683	0	683
Transport	3	0	0	3	0	3
Supplies and Services	11,422	10	-41	11,391	0	11,391
Third Party Payments	2,419	73	0	2,492	0	2,491
Transfer Payments	0	0	0	0	0	0
Support Services	329	0	-69	260	0	260
Depreciation and Impairment Losses	0	0	0	0	0	0
GROSS EXPENDITURE	**17,159**	**159**	**(309)**	**17,009**	**0**	**17,009**
Income						
Government Grants	-1,200	0	0	(1,200)	0	-1,200
Other Reimbursements and Contributions	-3,408	0	0	(3,408)	0	-3,408
Customer and Client Receipts	-66	0	0	(66)	0	-66
Interest	0	0	0	0	0	0
Recharges	-46	0	0	(46)	0	-46
Reserves	0	0	0	0	0	0
GROSS INCOME	**(4,720)**	**0**	**0**	**(4,720)**	**0**	**(4,720)**
NET EXPENDITURE	**12,439**	**159**	**(309)**	**12,289**	**0**	**12,289**

Other Variations are analysed as follows:

Major Items	£000	fte
Savings	-16	0
Growth	0	0
Transfer between departments	-239	0
Overhead adjustments	-109	0
NNDR Adjustments	-28	0
Technical adjustments	82	0
TOTAL	**(310)**	**0.0**



2026/27 ESTIMATES

ADULT SOCIAL CARE, INTEGRATED CARE AND PUBLIC HEALTH

Adult Social Care, Integrated Care and Public Health

	2025/26	2026/27
Number of FTE Staff	417.28	391.87
Number of FTE DSG staff	0.00	0.00
Number of FTE TUPE staff	5.68	7.00
Number of Fixed Term Contract	15.29	33.79
Total FTE	438.25	432.66

SERVICE AREA ANALYSIS	**2025/26 Original Estimate £000**	**Inflation £000**	**Other Variations £000**	**2026/27 Original Estimate £000**
Adult Social Care	86,026	2,089	3,739	91,854
Public Health*	0	0	0	0
NET EXPENDITURE	**86,026**	**2,089**	**3,739**	**91,854**

*- Funded by the Public Health Grant

Adult Social Care, Integrated Care and Public Health

Adult Social Care is divided into three areas:- 1) Access & Assessment includes the following services:- older people, mental health, learning & physical disability, concessionary, reablement, equipment and safeguarding services. 2) Commissioning which includes:- Contracts, brokerage and voluntary organisation. 3) Direct Provision which includes all in-house provisions. Public Health services comprise of Mandatory Services: Sexual health, NHS health checks, National Child Measurement Programme, Commissioning Support to the ICB and the council, Health Protection Oversight and Health Intelligence including JSNA; Universal Services: Smoking Cessation, Drugs and Alcohol, Obesity and Health Visiting Services, Improving Health and Wellbeing.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	417.28	391.87
Number of FTE DSG staff	0.00	0.00
Number of FTE TUPE staff	5.68	7.00
Number of Fixed Term Contract	15.29	33.79
Total FTE	**438.25**	**432.66**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	25,871	8	658	26,537
Premises	312	9	0	321
Transport	1,509	45	(89)	1,465
Supplies and Services	14,460	143	(5,515)	9,088
Third Party Payments	66,187	1,876	6,718	74,781
Transfer Payments	9,860	1	381	10,242
Support Services	9,367	0	3,554	12,921
Depreciation and Impairment Losses	196	6	0	201
GROSS EXPENDITURE	**127,761**	**2,089**	**5,707**	**135,556**
Income				
Government Grants	(13,770)	0	(927)	(14,697)
Other Reimbursements and Contributions	(11,581)	0	(600)	(12,181)
Customer and Client Receipts	(10,038)	0	(433)	(10,471)
Interest	0	0	0	0
Recharges	(5,858)	0	200	(5,658)
Reserves	(488)	0	(208)	(696)
GROSS INCOME	**(41,735)**	**0**	**(1,968)**	**(43,702)**
NET EXPENDITURE	**86,026**	**2,089**	**3,739**	**91,854**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	658	2.31
Savings	(4,365)	
Growth, Social Care Precept	2,545	
Overheads adjustments	3,541	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- e.g.Concessionary Fares & In year Adj	3,329	
Transfers between departments/Service	0	
Grants	(932)	
Other Income	(828)	
Use of Reserves	(208)	
TOTAL	**3,739**	**2.31**

Adult Social Care

Adult Social Care is divided into three areas:- 1) Access & Assessment includes the following services:- older people, mental health, learning & physical disability, concessionary, reablement, equipment and safeguarding services. 2) Commissioning which includes:- Contracts, brokerage and voluntary organisation. 3) Direct Provision which includes all in-house provisions.

FULL TIME EQUIVALENTS	2025/26	2026/27
Number of FTE Staff	399.86	371.74
Number of FTE TUPE staff	5.68	7.00
Number of Fixed Term Contract	7.61	26.51
Total FTE	**413.15**	**405.25**

SUBJECTIVE ANALYSIS OF ESTIMATES	2025/26 Original Estimate £000	Inflation £000	Other Variations £000	2026/27 Estimate £000
Expenditure				
Employees	23,917	8	368	24,293
Premises	309	9	1	319
Transport	1,505	45	(86)	1,464
Supplies and Services	11,989	143	(5,998)	6,134
Third Party Payments	57,033	1,876	6,199	65,109
Transfer Payments	9,860	1	381	10,242
Support Services	9,202	0	3,541	12,743
Depreciation and Impairment Losses	196	6	0	201
GROSS EXPENDITURE	**114,011**	**2,089**	**4,406**	**120,505**
Income				
Government Grants	(843)	0	161	(682)
Other Reimbursements and Contributions	(11,246)	0	(594)	(11,840)
Customer and Client Receipts	(10,038)	0	(433)	(10,471)
Interest	0	0	0	0
Recharges	(5,858)	0	200	(5,658)
Reserves	0	0	0	0
GROSS INCOME	**(27,985)**	**0**	**(666)**	**(28,651)**
NET EXPENDITURE	**86,026**	**2,089**	**3,739**	**91,854**

Other Variations are analysed as follows:

Major Items	£000	fte
Salaries	368	
Savings	(4,365)	
Growth, Social Care Precept	2,545	
Overheads adjustments	3,541	
Depreciation & NNDR adjustments	0	
Rebasing of Income	0	
Technical adjustments- Concessionary Fares & In year Adj	2,317	
Transfers between departments/Service	0	
Grants	161	
Other Income	(828)	
TOTAL	**3,739**	**0.00**

Public Health

Public Health services comprise of • Mandatory Services : Sexual health, NHS health checks, National Child Measurement Programme, Commissioning Support to the ICB and the council, Health Protection Oversight and Health Intelligence including JSNA.• Universal Services : Smoking Cessation, Drugs and Alcohol, Obesity and Health Visiting Services, Improving Health and Wellbeing.

FULL TIME EQUIVALENTS	**2025/26**	**2026/27**
Number of FTE Staff	17.42	20.13
Number of FTE TUPE staff	0.00	0.00
Number of Fixed Term Contracts	7.68	7.28
Total FTE	**25.10**	**27.41**

SUBJECTIVE ANALYSIS OF ESTIMATES	**2025/26 Original Estimate £000**	**Inflation £000**	**Other Variations £000**	**2026/27 Original Estimate £000**
Expenditure				
Employees	1,954	0	289	2,243
Premises	2	0	(1)	2
Transport	4	0	(3)	1
Supplies and Services	2,471	0	484	2,954
Third Party Payments	9,154	0	519	9,673
Transfer Payments	0	0	0	0
Support Services	165	0	14	178
Depreciation and Impairment Losses	0	0	0	0
GROSS EXPENDITURE	**13,750**	**0**	**1,301**	**15,051**
Income				
Government Grants	(12,927)	0	(1,088)	(14,014)
Other Reimbursements and Contributions	(335)	0	(6)	(341)
Customer and Client Receipts	0	0	0	0
Interest	0	0	0	0
Recharges	0	0	0	0
Reserves	(488)	0	(208)	(696)
GROSS INCOME	**(13,750)**	**0**	**(1,301)**	**(15,051)**
NET EXPENDITURE	**0**	**0**	**0**	**0**

Other Variations are analysed as follows:

Major Items	**£000**	**fte**
Salary	289	2.31
Savings	0	
Growth	0	
Overheads adjustments	0	
Depreciation adjustments	0	
Rebasing of Income	0	
Technical adjustments	1,012	
Transfers between departments	0	
Grants Reduction/(Increase)	(1,093)	
Other Income/ Reserves	(208)	
TOTAL	**0**	**2.31**

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Savings Proposals: Cabinet Oct. 2025 + Cabinet Jan. 2026 + Cabinet Feb. 2026	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Council - wide	1,550	0	0	0	**1,550**
Innovation and Change	132	0	0	0	**132**
Finance and Digital	2,060	0	0	0	**2,060**
Housing and Sustainable Development	289	205	0	0	**494**
Environment, Civic Pride and Climate	1,100	350	250	200	**1,900**
Children, Lifelong Learning, and Families	2,990	70	0	0	**3,060**
Adult Social Care, Integrated Care, and Public Health	2,281	0	0	0	**2,281**
Total Savings 2026-30	**10,402**	**625**	**250**	**200**	**11,477**
Cumulative Total	**10,402**	**11,027**	**11,277**	**11,477**	

Savings Proposals: Cabinet 20 October 2025	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Innovation and Change	0	0	0	0	**0**
Finance and Digital	2,030	0	0	0	**2,030**
Housing and Sustainable Development	239	205	0	0	**444**
Environment, Civic Pride and Climate	550	300	250	200	**1,300**
Children, Lifelong Learning, and Families	1,313	0	0	0	**1,313**
Adult Social Care, Integrated Care, and Public Health	2,000	0	0	0	**2,000**
Total Savings 2026-30	**6,132**	**505**	**250**	**200**	**7,087**
Cumulative Total	**6,132**	**6,637**	**6,887**	**7,087**	

Savings Proposals: Cabinet January 2026	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Innovation and Change	132	0	0	0	**132**
Finance and Digital	30	0	0	0	**30**
Housing and Sustainable Development	50	0	0	0	**50**
Environment, Civic Pride and Climate	550	50	0	0	**600**
Children, Lifelong Learning, and Families	97	70	0	0	**167**
Adult Social Care, Integrated Care, and Public Health	281	0	0	0	**281**
Total Savings 2026-30	**1,140**	**120**	**0**	**0**	**1,260**
Cumulative Total	**1,140**	**1,260**	**1,260**	**1,260**	

Savings Proposals: Cabinet February 2026	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Council - wide	1,550	0	0	0	**1,550**
Innovation and Change	0	0	0	0	**0**
Finance and Digital	0	0	0	0	**0**
Housing and Sustainable Development	0	0	0	0	**0**
Environment, Civic Pride and Climate	0	0	0	0	**0**
Children, Lifelong Learning, and Families	1,580	0	0	0	**1,580**
Adult Social Care, Integrated Care, and Public Health	0	0	0	0	**0**
Total Savings 2026-30	**3,130**	**0**	**0**	**0**	**3,130**
Cumulative Total	**3,130**	**3,130**	**3,130**	**3,130**	

Section C

Savings in MTFS 2026/27

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Savings/Fees and Charges Proposals 2026-30: Cabinet 20 October 2025

Savings Proposals: Cabinet 20 October 2025	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Innovation and Change	0	0	0	0	**0**
Finance and Digital	2,030	0	0	0	**2,030**
Housing and Sustainable Development	239	205	0	0	**444**
Environment, Civic Pride and Climate	550	300	250	200	**1,300**
Children, Lifelong Learning, and Families	1,313	0	0	0	**1,313**
Adult Social Care, Integrated Care, and Public Health	2,000	0	0	0	**2,000**
Total Savings 2026-30	**6,132**	**505**	**250**	**200**	**7,087**
Cumulative Total	**6,132**	**6,637**	**6,887**	**7,087**	

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Finance & Digital Savings/Fees and Charges Proposals 2026-30: October Cabinet

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Treasury Management - Additional interest on revenue balances	2,000	0	0	0	2,000
Resources - Miscellaneous savings in Supplies and Services	30	0	0	0	30
Total Savings 2026-30	**2,030**	**0**	**0**	**0**	**2,030**
Cumulative Total	**2,030**	**2,030**	**2,030**	**2,030**	

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: Finance & Digital

Panel	Ref		Description of Saving	Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
	2026-27 F&D S01	**Service/Section**	**Treasury Management**	(9,009)	2,000	0	0	0	M	M	SI1	N	N/A
		Description	Additional interest on revenue balances - extensive work on market opportunities to increase returns (e.g. lending to other local authorities)										
		Service Implication	None										
		Staffing Implications	None										
		Strategic Priorities implications	None										
		Impact on other departments	None										
		Equalities Implications	None										
	2026-27 F&D S02	**Service/Section**	**Resources - Miscellaneous savings in Supplies and Services**	9,017	30	0	0	0	L	L	SP1	N	N/A
		Description	Cross cutting savings in miscellaneous Supplies and Services budgets made possible by driving efficiencies.										
		Service Implication	None										
		Staffing Implications	None										
		Strategic Priorities implications	None										
		Impact on other departments	None										
		Equalities Implications	None										
Total Savings Proposals 2026-30					2,030	0	0	0					

Type of Saving

SI1 Income: increase in current level of charges
SI2 Income: increase arising from expansion of existing service/new service
SS1 Staffing: reduction in costs due to efficiency
SS2 Staffing: reduction in costs due to deletion/reduction in service
SNS1 Non - Staffing: reduction in costs due to efficiency
SNS2 Non - Staffing: reduction in costs due to deletion/reduction in service
SP1 Procurement / Third Party arrangements - efficiency
SP2 Procurement / Third Party arrangements - deletion/reduction in service
SG1 Grants: Existing service funded by new grant
SG2 Grants: Improved Efficiency of existing service currently funded by unringfenced grant
SPROP Reduction in Property related costs

Risk

Low
Medium
High

Panel

C&YP Children & Young People
OSC Overview and Scrutiny
HC&OP Healthier Communities & Older People
SC Sustainable Communities

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Housing and Sustainable Development Savings/Fees and Charges Proposals 2026-30: October Cabinet

Savings Proposals	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**	**Total £000**
Building Control reduced agency staff	46	0	0	0	46
Development Management and Building Control - Service restructure	70	130	0	0	200
Local fee setting (subject to government implementation of proposals)	23	0	0	0	23
Increased income from Rent reviews and lease renewals	100	0	0	0	100
Administration of new Affordable Housing Policy income stream	0	75	0	0	75
Total Savings 2026-30	**239**	**205**	**0**	**0**	**444**
Cumulative Total	**239**	**444**	**444**	**444**	

PROPOSED SAVINGS 2026-30: October Cabinet

DEPARTMENT: Housing & Sustainable Development

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
SC	HSD2627-S01	**Service/Section**	**Building Control**	260	46	0	0	0	Low	Low	SS1	N	N/A
		Description	Building Control reduced agency staff										
		Service Implication	Need to share service with neighbouring borough. The Head of Development Management is working up a commercialisation plan for the Director of Housing and Sustainable Development during October and further details regarding this will be shared in the next update.										
		Staffing Implications	Reduction in costs due to efficiency										
		Strategic Priorities implications	None										
		Impact on other departments	None										
		Equalities Implications	None										
SC	HSD2627-S02	**Service/Section**	**Development Management & Building Control**	1,521	70	130	0	0	Medium	Low	SS1	N	N/A
		Description	Development Management and Building Control - Service restructure										
		Service Implication	Validation service transferred to admin officers; creation of a new strategic developments team										
		Staffing Implications	Staffing - Reduction in costs due to efficiency										
		Strategic Priorities implications	Improved service										
		Impact on other departments	None										
		Equalities Implications	None										
SC	HSD2627-S03	**Service/Section**	**Development Management**	(1,070)	23	0	0	0	Low	Low	SI1	N	N/A
		Description	Local fee setting (subject to government implementation of proposals)										
		Service Implication	Planning application fees are currently set nationally and are intended to cover the cost to a Local Planning Authority (LPA) of processing and determining a planning application under the development management service. There is an estimated annual funding shortfall for LPA development management services of £362 million, based on the most recent local government spending data for 2023-24. Additionally, nationally set planning fees do not account for local variations in the costs of running development management services across different LPAs in England. Central Government has therefore introduced the Planning and Infrastructure Bill which will allow LPAs to set their own planning fees.										
		Staffing Implications	None, although any surplus can potentially fund additional staff										
		Strategic Priorities implications	Income to fund additional staff										
		Impact on other departments	None										
		Equalities Implications	None										

PROPOSED SAVINGS 2026-30: October Cabinet

DEPARTMENT: Housing & Sustainable Development

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
SC	HSD2627-S04	**Service/Section**	**Property Management**	(120)	100	0	0	0	Medium	Low	SI1	N	N/A
		Description	Increased income from Rent reviews and lease renewals										
		Service Implication	Implement / accelerate rent reviews and lease renewals on non-operational property portfolio to generate additional income										
		Staffing Implications	An additional agency surveyor has already been appointed										
		Strategic Priorities implications	Additional income to fund strategic priorities										
		Impact on other departments	None										
		Equalities Implications	None										
SC	HSD2627-S05	**Service/Section**	**Administration of new Affordable Housing Policy income stream**	(52)	0	75	0	0	Low	Low	SI2	N	N/A
		Description	Increased income arising from the implementation and monitoring of new income for planning applications on 2-9 units which will attract commuted sums for affordable housing.										
		Service Implication	This is a new income stream generated from the new Local Plan policy which attracts commuted sum payments in lieu of affordable housing on small-sites. An admin fee for administering the scheme will fund staff resources in the team; delivering the anticipated savings from 2027/28 (saving achievable in 2027/28 as the income is received upon starts-on-sites).										
		Staffing Implications	None										
		Strategic Priorities implications	None										
		Impact on other departments	Delivery of the new income stream will require close working with Development Management on relevant planning applications.										
		Equalities Implications	None										
Total Savings Proposals 2026-30					**239**	**205**	**0**	**0**					

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Environment, Civic Pride and Climate Savings/Fees and Charges Proposals 2026-30: October Cabinet

Savings Proposals	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**	**Total £000**
Fees and charges inflationary uplift	550	300	250	200	1,300
Total Savings 2026-30	**550**	**300**	**250**	200	**1,300**
Cumulative Total	**550**	**850**	**1,100**	**1,300**	

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: ECPC

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
SC	2026-27 ECPC 01	**Service/Section**	**Whole Department**	31,490	550	300	250	200	Low	Low	SI1	N	N/A
		Description	Fees and charges inflationary uplift at CPI plus 1% for discretionary services where fees are not set by regulation.										
		Service Implication	None										
		Staffing Implications	None										
		Strategic Priorities implications	Alongside a standard inflationary increase to all fees and charges that are not determined by regulation, the fees and charges will be reviewed to determine whether there is full cost recovery for discretionary services. Where that is not the case the increase may be greater to achieve full cost recovery within three years.										
		Impact on other departments	None										
		Equalities Implications	None identified but this will be kept under review'										
Total Savings Proposals 2026-30					**550**	**300**	**250**	**200**					

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Children, Lifelong Learning and Families Savings/Fees and Charges Proposals 2026-30: October Cabinet

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Education and Early Help - Participation and engagement	63	0	0	0	**63**
SEN Transport Team - Transport efficiencies for children with SEND and Adults	250	0	0	0	**250**
Joint Commissioning ICB & CLLF	165	0	0	0	**165**
Strategic Redesign of My Futures Service: Enhancing Post-16 Transitions and Service Efficiency	74	0	0	0	**74**
Education and Early Help services	195	0	0	0	**195**
Children's Social Care & Family Well Being Teams	533	0	0	0	**533**
Education, School Improvement and Adult Learning	33	0	0	0	**33**
Total Savings 2026-30	**1,313**	**0**	**0**	**0**	**1,313**
Cumulative Total	**1,313**	**1,313**	**1,313**	**1,313**	

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: Children, Lifelong Learning and Families

Panel	Ref		Description of Saving	Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
C&YP	CLLF 2026/27/001	Service/ Section	**Education and Early Help - Participation and engagement**	195	63	0	0	0	LOW	LOW	SS2 and SNS2	Yes	Staff
		Description	This proposal outlines a new approach to delivering the valued work of the Participation Team and Voice of Young People function in CLLF. It aims to balance financial efficiency with the statutory and moral imperative to uphold children's rights to participation. The proposed changes seek to streamline operations, lever digital engagement, and embed participation across services while maintaining the quality and impact of youth voice activities, under the new reforms more broadly across the agency systems. Participation is a cornerstone of effective children's services, contributing to improved service design, safeguarding, and trust-building with young people. This proposal aligns statutory duties under the Children Act 1989, UNCRC Article 12, and Ofsted expectations, ensuring that youth voice remains integral to service delivery. The Proposed changes will · r□estructure the current participation team to focus on the priority areas under the new reforms and create multi-functional roles combining participation with other engagement functions. · □shift to digital engagement using online platforms for surveys, and other sectors led forums such as the voluntary sector and community groups. This will include partnering with schools for engagement sessions, driving access to micro-grants to support school-based youth-led initiatives. · □embed participation responsibilities into frontline roles, delivery through the MSCP partnership training to existing staff to facilitate youth voice activities, utilising the Lundy Model. · r□educe frequency but increase impact and reduce monthly forums to quarterly strategic consultations on priorities areas to be agreed by the MSCP focus on co-production for key service redesigns. · □maintain a youth advisory board and publish 'You Said, We Did' reports. The proposed changes are expected to yield significant savings through reduced staffing costs, lower venue and travel expenses, and more efficient use of resources. A detailed financial breakdown will be provided, comparing current expenditure with projected costs post-implementation. Key performance indicators will include the number of young people engaged, diversity of voices represented, and demonstrable impact on service design. Monitoring will be conducted using established evaluation frameworks such as the YoungMinds toolkit and Save the Children's participation evaluation. Young people will be actively involved in shaping this proposal through feedback from youth forums and advisory groups. Their insights will inform the proposed changes, ensuring that the voice of young people remains central to service transformation and as part of this we will work with the MET and ICB to further strengthen the partners ability to progress the Child First principles.										
		Service Implication	This proposal would involve a reduction in the amount of participation work being undertaken by the team. The team would focus on some more significant, and statutory, work (for example, consultation and leadership of the Children and Young People's Plan, our Children in Care Council, and the SEND Youth Advisory Forum).										
		Staffing Implications	We anticipate there may be some staffing implications, but we will ensure these are minimised.										
		Strategic Priorities implications	The work of the Participation Team contributes to the Civic Pride priority.										
		Impact on other depts	The Council would be more reliant on central mechanisms to hear the voice of CYP, eg through the residents' survey, takeover days and utilising the schools commitment to Civic pride and encouraging debates and rxpressions on critical issues.										
		Equalities Implications	This proposed saving would impact on young people, including those employed as young inspectors. The majority of those employed in this service are of global majority heritage.										

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: Children, Lifelong Learning and Families

Panel	Ref		Description of Saving	Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
C&YP	CLLF 2026/27/002	Service/ Section	**SEN Transport Team - Transport efficiencies for children with SEND and Adults**	8,429	250	0	0	0	LOW	LOW	SNS1	No	N/A
		Description	This proposal outlines saving target for home to school/college transport for children and adults with Special Educational Needs (SEN) and for transportation of adults to day centres and other community settings. The objective is to deliver statutory transport duties more efficiently while maintaining safe and appropriate services for eligible children and adults. The proposal targets savings of £210,000 in the 2026/27 financial year for CLLF and £40,000 for ASC through a combination of independent travel training, personal travel budgets, and route optimisation. For 2027-2029, a full cost-benefit analysis model is under development to assess long-term financial impact and inform future whole council of redesigning. CLLF, ASC and Environment, Civic Pride & Climate departments have committed to conduct an all age transport fleet review by March 2026 to inform further efficiencies for 2026 in year and savings for 2027- 2029. This will include a policy review for discretionary transport policies, particularly for post-16 and post-19 provision, to align with statutory thresholds. Local authorities are required to provide transport for eligible children under the Education Act 1996 and Children and Families Act 2014. The number of Education, Health and Care Plans (EHCPs) in Merton has increased significantly, leading to rising demand and cost pressures in SEN transport for CLLF (up to age 19) and ASC (over 19). The following interventions have already achieved savings and efficiencies in year and these proposals for 2026-27 will build on the approach focusing on: • Independent Travel Training (ITT): Expand ITT for pupils who can safely travel independently, reducing reliance on commissioned transport. • Personal Travel Budgets (PTBs): Offer PTBs to families as a flexible and cost-effective alternative to traditional transport services. • Route Optimisation and Commissioning Review: Reconfigure transport routes to reduce single-passenger taxis and improve scheduling efficiency. • Local Provision Strategy: Increase local SEND capacity to reduce out-of-area placements and associated transport costs. The accumulated estimated savings for 2026/27 for each of the above measures will be £210, 000 from CLLF and £40,000 for ASC.										
		Service Implication	The service would increase the frequency of route optimisation exercises										
		Staffing Implications	No changes to staffing										
		Strategic Priorities implications	Civic Pride - fantastic education provision and support gives children the best start and equips residents of all ages with the skills and qualifications to succeed										
		Impact on other depts	Service would continue to work closely with transport around routes and fleet										
		Equalities Implications	The service would continue to support children with Special Educational Needs with no change to the SEN transport policy										

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: Children, Lifelong Learning and Families

Panel	Ref		Description of Saving	Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
C&YP	CLLF 2026/27/003	Service/ Section	**Joint Commissioning ICB & CLLF**	337	165	0	0	0	MEDIUM	MEDIUM	SI1	Yes	With partners
		Description	This proposal concerns the renewal of the CAMHS (Child and Adolescent Mental Health Services) Support to Children's Social Care contract. The service provides clinical supervision and support to social care staff and foster carers, as well as direct therapeutic input for children and families known to Children's Social Care. The Integrated Care Board (ICB) holds commissioning responsibility for children's mental health services, including treatment for child and adolescent mental health. Following a review of the current contract, it is proposed that the ICB co-funds the service by meeting 50% of the clinical treatment element costs. This would reduce the contribution from the Council without impacting service delivery or outcomes. The council currently funds the full cost of this contract including health-related clinical elements. This arrangement extends beyond the council's statutory responsibilities, and this proposal will resolve this issue. The proposal aligns with the council's commitment to sustaining service quality while delivering financial efficiency. Integrated Care Boards (ICBs) have statutory duties under the Health and Care Act 2022, Children Act 2004 and NHS Act 2006 to commission comprehensive health services for children, including child and adolescent mental health provision. They must work in partnership with local authorities to promote integration, safeguard and promote the welfare of children, and reduce inequalities in access and outcomes. The service will continue to embed mental health expertise within social care practice and ensuring early identification and intervention for vulnerable children. Through joint funding, the ICB and Council can maintain seamless pathways between social care and specialist CAMHS, reducing duplication, improving outcomes, and delivering parity of access for children in need and those in care. The proposal notes that the grant attributed to the treatment element is not affected by the current ICB savings targets.										
		Service Implication	Once implemented the service would stay the same and there will be no service implications. If the ICB does not contribute to the contract, children's social care will work closely with the community CAMHS service to ensure that the mental health needs of children open to social care are still assessed, identified and met through community CAMHS and will explore prioritisation of these children for assessment and treatment.										
		Staffing Implications	Once implemented there would be no staff reduction. If the ICB does not co fund then the number of staff in the social care CAMHS service would reduce. Work will take place ahead of any staff reduction to ensure that there are effective assessment and treatment pathways into community CAMHS for any children with CAMHS needs supported through the contract or identified by social care, and that staff delivering through the contract support these pathways.										
		Strategic Priorities implications	Civic pride – this service is part of the enhanced support for children in need and children in care that supports the council to maintain its 'outstanding' children social care rating										
		Impact on other depts	None.										
		Equalities Implications	The service supports looked after children who are a protected characteristic										

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: Children, Lifelong Learning and Families

Panel	Ref		Description of Saving	Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
C&YP	CLLF 2026/27/004	Service/ Section	**Education and Early Help**	474	74	0	0	0	LOW	MEDIUM	SS2	Yes	Staff
		Description	Strategic Redesign of My Futures Service: Enhancing Post-16 Transitions and Service Efficiency										
		Service Implication	This proposal outlines a strategic redesign of the My Futures Service to improve post-16 transitions for young people while achieving a staffing-related saving of £74k per annum. The redesign will: ·Focus resources on targeted transition pathways for vulnerable young people over the age of 16, including those with special educational needs and disabilities (SEND), care experience, and mental health challenges. ·Reduce duplication across services supporting NEET prevention and re-engagement. NEET refers to young people who are Not in Education, Employment, or Training, a critical focus group for transition services. ·Align service delivery with statutory duties under the Raising the Participation Age (RPA) and the Education and Skills Act 2008. The My Futures Team currently supports young people aged 14–19 who are NEET or at risk of becoming NEET through: - School-based mentoring and group work. - Community-based re-engagement support. - CV, application, and work experience coaching. - Counselling and holiday programmes. - Tracking and statutory destination monitoring. Demand for post-16 support is increasing, particularly for young people with SEND, care experience, or mental health needs. Despite good attainment levels the post 16-year-olds nationally are recorded to be struggling to secure employment, training and access to further education. With this dedicated focus on 16plus linked to Pathways to Adulthood and Merton's Inclusion Strategy – the redesigned service will continue to maintain Merton's position as one of the higher performing LA's nationally. In addition, the current model is resource-intensive and overlaps with other services (e.g. Youth Justice, secondary schools' duty and Merton Employ). This redesign will be part of the new Reforms under the Family First Partnership and re tilt the system at the point of most need. The proposed changes will be part of the Newton priority service review and refocus delivery on post-16 transitions, with a streamlined offer for 14–16s via schools. Integrate tracking and re-engagement functions with the SEND Transitions and Youth Services teams; Develop a digital transitions pathway to support self-referral, progress tracking, and multi-agency coordination. Schools in England have statutory duties to support young people into work experience, further education, and employment, primarily through careers guidance and provider access. These duties are set out in legislation and reinforced by Department for Education (DfE) guidance. Under Section 42A of the Education Act 1997, schools must: provide independent careers guidance to pupils from Year 7 to Year 13; ensure guidance is impartial, includes information on the full range of education and training options, and is appropriately tailored to the individual; deliver careers education that aligns with the Gatsby Benchmarks, including allowing a range of education and training providers access to pupils to inform them about technical education and apprenticeships; publishing a provider access policy on their website; ensuring pupils have meaningful encounters with providers of approved qualifications; and identifying and supporting young people at risk of becoming NEET (Not in Education, Employment or Training). Schools must ensure careers guidance is accessible to children with SEND needs.										
		Staffing Implications	We anticipate there may be some staffing implications, but we will ensure these are minimised as far as possible.										
		Strategic Priorities implications	Civic Pride										
		Impact on other depts	The potential increase of NEET young people could impact on needs as these young people turn 18 and they become adults. Schools would need to address their needs without the targeted support of the team.										
		Equalities Implications	Young people who are at risk of becoming NEET often come from households with low income. The characteristics of the workforce would need to be analysed to understand any particular impact arising from the redundancy of posts.										
C&YP	CLLF 2026/27/005	Service/Section	Education and Early Help services	611	195	0	0	0	LOW	LOW	SG1	No	N/A
		Description	Following changes to government grants, including the increase in the Early Years Dedicated Schools Grant (DSG), the aims of the proposal are to: ·□Realign spend from the General Fund to the DSG ensuring the continued delivery of a range of duties/functions. ·□Streamline the volume and range of parenting programmes offered, maximising the use of digitally available parenting support programmes, and those that families can access independently from the LA, via other organisations and partners such as schools, health, voluntary and community sector. Currently there are 3.8 FTE staff who deliver the services own Evidence Based Parenting Interventions for families with children aged 5 – 16, with coordination of some online programmes for families with children from the age of 5										
		Service Implication	Impact will be minimised as per above										
		Staffing Implications	We anticipate there may be staffing implications, but we will ensure these are minimised through possible grant funding opportunities, and prioritising the removal of vacant posts.										
		Strategic Priorities implications	Civic Pride										
		Impact on other depts	None										
		Equalities Implications	The characteristics of the workforce would need to be analysed to understand any particular impact arising from the redundancy of posts.										

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: Children, Lifelong Learning and Families

Panel	Ref		Description of Saving	Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
C&YP	CLLF 2026/27/006	Service/ Section	Children's Social Care & Family Well Being Teams	10,659	533	0	0	0	LOW	LOW	SS2 AND SNS2	Yes	staff
		Description	The Families First Partnership (FFP) Programme represents a transformative opportunity to reshape children's services through early intervention, multi-agency collaboration, and family-led decision-making. The programme is aligned with the national Stable Homes Built on Love strategy and Merton is supported by a one off £830k Section 31 grant from the Department for Education to rebalance ensuring more children and their parents are supported earlier at home. CLLF leading with other safeguarding partners have examined the strategic benefits and the initial financial modelling indicates that the programme could deliver an additional £533k, in the 26/27 financial year, (this complements the reframe work already underway that will release £210K savings in the 26/27 year proposing a total 2026/27 saving of £743k), primarily through: · □Safe reduction in children entering care · Increased use of family networks, rebuilding for children a sense of community and belonging with at home timed support packages · □Streamlined service delivery through integrated Family Help Teams These savings are expected to arise from: · □Reduced placement costs · □Lower demand for statutory interventions · Improved workforce efficiency and reduced duplication										
		Service Implication	These includes the use of grant funding to: · □Establish multi-agency Family Help Teams co-located with Family Hubs · □Expand Family Group Conferences and Family Network Meetings · □Develop a Family Service for out-of-hours crisis support · □Recruit & Retrain specialist practitioners (e.g. mental health, social work assistants, domestic abuse support) and reduce the reliance on qualified social workers and CP chairs.										
		Staffing Implications	Highlighted in the EQIA										
		Strategic Priorities implications	Civic pride – encourages shared responsibility for children's safety and the new reforms reconnects communities.										
		Impact on other depts	No direct impact outside of HR.										
		Equalities Implications	CSC&YI in one of the most diverse directorates within Merton.										
C&YP	CLLF 2026/27/007	Service/Section	Education, School Improvement and Adult Learning	53	33	0	0	0	LOW	MEDIUM	SS2 and SNS2	Yes	Staff
		Description	To ensure the delivery of school improvement support and governor services to LA maintained schools funded by DSG and schools buy back. All schools would continue to receive support, though there may be a reduction in the scope.										
		Service Implication	In order to achieve this proposal a (currently vacant) apprentice post would need to be removed from the structure, which has supported the delivery of the CPD offer to schools and the support for the schools' partnership, Attain. The structure of the Governors' services team will need to be reviewed.										
		Staffing Implications	As noted above										
		Strategic Priorities implications	Civic Pride										
		Impact on other depts	None										
		Equalities Implications	As detailed in the EIA										
Total Savings Proposals 2026-30				**20,758**	**1,313**	**0**	**0**	**0**					

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Adult Social Care, Integrated Care and Public Health Savings/Fees and Charges Proposals 2026-30: October Cabinet

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Adult Social Care, Integrated Care and Public Health					
Maximising Independence by adopting a strategic approach to Supported Living	215	0	0	0	**215**
Using predictive technology to maximise independence, manage demand and fulfil our statutory duties	500	0	0	0	**500**
A review of residents receiving Section 117 aftercare	435	0	0	0	**435**
Streamling Financial Assessment Processes	275	0	0	0	**275**
Transforming commissioning in Adult Social Care to deliver better outcomes for residents	325	0	0	0	**325**
Empowering Residents through Self Directed Support (Direct Payments)	250	0	0	0	**250**
Total Savings 2026-30	**2,000**	**0**	**0**	0	**2,000**
Cumulative Total	**2,000**	**2,000**	**2,000**	**2,000**	

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: ASC, IC and PH

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
	ASCIC&PH 137	Service/Section	**Maximising Independence by adopting a strategic approach to Supported Living**	60,134	215	0	0	0	Low	Low	SP1	N	N/A
		Description	This proposal aims to expand opportunities for independent living and reduce reliance on residential and institutional care by better aligning our existing supported accommodation with the changing needs of people with learning disabilities (LD), mental health conditions (MH), and older adults. Our focus is on increasing independence by enabling people to live as independently as possible, for as long as possible, within their own communities. We will review and compare the evolving needs of our residents against the current accommodation and support offer to identify gaps and opportunities. This will inform future commissioning plans and support social work teams to promote greater choice, control, and personalised care. By doing so, we can reduce admissions to long-term institutional settings and support people to remain in more appropriate, community-based environments. This approach supports the NHS 10-Year Plan's ambition to shift care from hospitals into the community and aligns with the opportunities presented by the proposed Integrated Neighbourhood Teams (INTs) in working closer to health colleagues. This proposal aims to increase opportunities for independent living, maximising independence and reduce residential placements by aligining our existing accommodation with support services to meet the changing needs of people with LD, MH and older people.									
		Service Implication	Continue to ensure the efficient use of accommodation with support services										
		Staffing Implications	None										
		Strategic Priorities implications	Sustainability, better use of resources										
		Impact on other depts	None										
		Equalities Implications	None										
	ASCIC&PH 138	Service/Section	**Using predictive technology to maximise independence, manage demand and fulfil our statutory duties (ASCIPPH 128 Extension)**	60,134	500	0	0	0	Low	Low	SP1	N	N/A
		Description	Artificial Intelligence (AI), particularly predictive AI, is advancing at an unprecedented pace. Improvements in data processing, machine learning algorithms, and real-time analytics are enabling AI to make increasingly accurate predictions about health and behavior. These rapid developments mean AI tools are becoming more reliable and accessible, offering powerful new ways to support early intervention, personalized care, and better decision-making in health and social care settings.This proposal outlines our proactive approach to managing increasing and more complex demand on Adult Social Care. By integrating smart technology and predictive artificial intelligence, we aim to support people to live independently for longer, reduce avoidable hospital admissions, and deliver more targeted, preventative care. This aligns with the NHS 10-Year Plan, the development of Integrated Neighbourhood Teams (INT), and supports the broader shift toward community-based, digitally enabled health and care services. Adult Social care is experiencing an increase of demand to its front door which includes a higher number of cases which are more complex. This is not only due to an ageing population, but people are living longer and therefore their needs are becoming more complex. With this increase in demand within Adult Social Care, it is critical that this is managed effectively. Not only to ensure we undertake our statutory duties to give the support to those most vulnerable residents and their carers, but also to ensure our resources and budget are used effectively and equitably. We have been working on increasing the use of smart technology to keep people independent and at home for longer for some time now which has proven successful. Therefore, we aim to extend this by using a newly commissioned Artificial Intelligence (AI) tool which can predict changes in behaviours to identify risk. Identifying risks such as falls or UTI's will allow us to implement targeted prevention support to residents to mitigate the risks and delay the need for long term care and support from both health and social care. Implementing this predictive technology will enable the council to undertake our Adult Social care statutory duties and prevent, reduce and delay need for our residents. This strategy aligns to the NHS 10-year plan and the proposed development of Integrated Neighbourhood Teams (INT) and closer working with health partners. It supports the shift from hospital to community as well as the NHS digital transformation.									
		Service Implication	We are supporting this by implementing a targeted review team within the service.										
		Staffing Implications	None										
		Strategic Priorities implications	Sustainability, better use of resources										
		Impact on other depts	None										
		Equalities Implications	None										

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: ASC, IC and PH

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
	ASCIC&PH 139	Service/Section	**A review of residents receiving Section 117 aftercare to determine current needs, ongoing eligibility, and whether the support in place remains appropriate and proportionate in line with legistlation.**	60,134	435	0	0	0	Low	Low	SP1	N	N/A
		Description	People who have been sectioned under the Mental Health Act 1983, often face complex and ongoing vulnerabilities when leaving hospital, including mental health challenges and difficulties reintegrating into the community. Regularly reviewing their aftercare under Section 117 is crucial to ensure they continue to receive the right level of support tailored to their changing needs. These reviews provide an opportunity to promote greater independence, helping individuals regain control over their lives, reduce reliance on institutional care, and improve their overall wellbeing. Section 117 of the Mental Health Act means that when someone has been detained in hospital for treatment under certain sections (like section 3), they are entitled to free aftercare once they leave hospital. This includes things like help with housing, healthcare, or social support, and it is provided by both the NHS and local authorities. Targeted reviews with people in receipt of S117 will be undertaken to determine continued eligibility for S117 services and ensure they receive the right support plan. A review of the existing funding split with health will also be undertaken to include potential eligibility for Continuing Health Care (CHC), and opportunities to further promote the person's independence. Targeted S117 reviews will take place with the person and undertaken jointly with health. The ending of the S75 agreement in October 2024 and the return of the MH social work service to ASC enables us to focus on conducting S117 reviews in a more timely way and to use a strengths based approach in doing so to promote a person's independence.									
		Service Implication	To scope the number of targetted reviews and provide SW capacity to undertake these as a priority to work with health professionals involved in these joint reviews. To ensure that the S117 protocol for SWL that is being refined will support the aims and objectives of these reviews.										
		Staffing Implications	Identify dedicated Social Work capacity to undertake this work.										
		Strategic Priorities implications	This supports the Council's priority on Sustainable Communites.										
		Impact on other depts	Reviews may identify need for supported housing										
		Equalities Implications	EIA to be completed, but no immediate equalities implications due to the individual strength based approach to be used.										
	ASCIC&PH 140	Service/Section	**Streamling Financial Assessment Processes**	(8,424)	275	0	0	0	Medium	Medium	SP1	Y	Service Users
		Description	Under the Care Act 2014, local authorities are permitted to charge individuals for the care and support they receive, subject to a financial assessment. However, delays in completing these assessments often result in a gap between the start of services and the issuing of accurate charges. This can lead to lost or delayed income, increased debt, and confusion or dissatisfaction for residents. Timely and accurate financial assessments are essential to ensure Adult Social Care (ASC) services are appropriately funded and that residents contribute fairly to their care costs. To address these challenges, we propose streamlining the financial assessment process. This includes introducing digital self-assessment tools, automating workflows, and improving early engagement with residents to set clear expectations around charging. Better integration between care management and finance teams will ensure assessments are initiated promptly, while enhanced debt recovery processes will support earlier intervention and clearer communication. These changes are expected to accelerate income collection, reduce outstanding debt, and improve resident experience										
		Service Implication	We aim to improve the financial assessment process in Adult Social Care by streamlining workflows, introducing digital tools, and enhancing early engagement with residents — enabling faster income collection, reducing debt, and improving overall efficiency and resident experience.										
		Staffing Implications	None										
		Strategic Priorities implications	Building a Suatainable Future										
		Impact on other depts	None										
		Equalities Implications	Yes										

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: ASC, IC and PH

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
	ASCIC&PH 141	Service/Section	Transforming commissioning in Adult Social Care to deliver better outcomes for residents	60,134	325	0	0	0	Low	Low	SP1	N	N/A
		Description	Adult social care commissioning is the process by which local authorities plan, purchase, and oversee care and support services to meet the needs of residents. It involves assessing local demand, selecting and working with providers, managing contracts, and ensuring services are high quality, cost-effective, and promote independence and wellbeing. Under the Care Act 2014, local authorities have a legal duty to commission services that: Promote individual wellbeing Prevent or delay the development of care needs Provide accessible information and advice Shape a diverse, sustainable care market that offers choice and quality In Merton, we are transforming our commissioning approach to better reflect these duties and respond to the changing landscape of health and care. This includes aligning with the NHS Long Term Plan and the evolving role of Integrated Care Boards (ICBs). Key elements of our transformation include: Adopting data-led, place-based approaches to better understand and respond to local needs Strengthening partnerships across health, care, and the voluntary sector to deliver integrated, person-centred support Reviewing existing contracts to ensure they remain fit for purpose and deliver value for money Introducing more flexible commissioning models that support innovation, responsiveness, and sustainability. This shift will enable us to commission services that are not only more efficient but also more personalised — supporting residents to live well, with greater choice and control over their care.										
		Service Implication	Under the Care Act 2014, all local authorities have key duties around market management that guide commissioning activity										
		Staffing Implications	None										
		Strategic Priorities implications	Building a Sustainable Future										
		Impact on other depts	None										
		Equalities Implications	None at this stage, EIAs will be undertaken for each piece if commissioning activity.										

PROPOSED SAVINGS 2026-30: October Cabinet
DEPARTMENT: ASC, IC and PH

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
	ASCIC&PH 142	Service/Section	**Empowering Residents through Self Directed Support (Direct Payments)**	60,134	250	0	0	0	Low	Low	SP1	N	N/A
		Description	Direct Payments under the Care Act 2014 are a vital mechanism for enabling personalised care and promoting individual autonomy. They empower residents to make choices about how their care is delivered — selecting providers, negotiating terms, and tailoring support to meet their unique needs. This flexibility often leads to higher satisfaction and better outcomes, as care is shaped around the person rather than a standardised service model. Direct Payments also open up access to a wider range of support options, including community-based services, assistive technology, and the employment of personal assistants. Carers can benefit too, receiving Direct Payments to support their role, which can help reduce stress and improve overall wellbeing. Importantly, individuals can manage their allocated budget more flexibly — spending in ways that suit their circumstances or saving for future needs. This aligns closely with the Care Act's emphasis on wellbeing, prevention, and empowerment. Currently, Merton is in line with the national average for Direct Payment uptake. However, increasing their use presents a clear opportunity to maximise value for money in Adult Social Care as well as maximising indepence for residents. Expanding the use of Direct Payments will help us move away from a one-size-fits-all model and towards a more responsive, person-centred care system — one that delivers better outcomes and makes the most of our resources.									
		Service Implication	Direct Payments offer greater control to Individuals as they can choose their care provider, negotiate terms, and change arrangements without going through a third party. This will mean a focus on that the councils market management duties to ensure a viable market for resisdnets to purchase from.										
		Staffing Implications	None										
		Strategic Priorities implications	Building a Suatainable Future										
		Impact on other depts	None										
		Equalities Implications	None										
Total Savings Proposals 2026-30					**2,000**	**0**	**0**	**0**					

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Savings/Fees and Charges Proposals 2026-30: January 2026

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Innovation and Change	132	0	0	0	**132**
Finance and Digital	30	0	0	0	**30**
Housing and Sustainable Development	50	0	0	0	**50**
Environment, Civic Pride and Climate	550	50	0	0	**600**
Children, Lifelong Learning, and Families	97	70	0	0	**167**
Adult Social Care, Integrated Care, and Public Health	281	0	0	0	**281**
Total Savings 2026-30	**1,140**	**120**	**0**	**0**	**1,260**
Cumulative Total	**1,140**	**1,260**	**1,260**	**1,260**	

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Innovation and Change: Savings/Fees and Charges Proposals 2026-30: Cabinet January

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Marketing and Communications - Salary base budget reduction	30	0	0	0	30
Policy, Strategy and Innovation; Registrar's Service - Increasing income	50	0	0	0	50
Merging of Complaints and Information Governance teams into a single structure	52	0	0	0	52
Total Savings 2026-30	**132**	**0**	**0**	0	**132**
Cumulative Total	**132**	**132**	**132**	**132**	

PROPOSED SAVINGS 2026-30: Cabinet January
DEPARTMENT: IC Innovation and Change

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
	IC 2026-27 01	**Service/Section**	**Marketing and Communications**	862	30				Low	Low	SS1	N	Staff
		Description	Salary base budget reduction: This reflects 35% of the base salaries for Design Studio staff, funded through existing internal recharges, with no impact on other Council budgets. Additional cost avoidance has been achieved by replacing external design services with in-house staff.										
		Service Implication	The Design Studio will continue to provide a full creative and design service to internal clients, with a stronger focus on income generation and cost recovery. Service levels will be maintained, and the internal recharging model will promote better visibility of costs and more efficient use of internal design resources. There is no reduction in capacity or output anticipated.										
		Staffing Implications	There are no redundancies or changes to staffing levels as part of this proposal. The existing team will continue to operate under current terms and conditions. Staff will, however, work to a more commercially focused model, with an emphasis on client service and internal chargeback processes to recover costs. The change supports financial sustainability while maintaining job security.										
		Strategic Priorities implications	This proposal supports the Council Plan priority Building a Sustainable Future by ensuring that internal services operate efficiently and contribute to the council's wider financial resilience. It aligns with the Communications and Engagement Strategy's aim to modernise operations, promote creative excellence, and provide best value for residents through reduced reliance on external suppliers.										
		Impact on other departments	There is no direct financial impact on other departments. Internal recharging already forms part of existing practice and will continue under transparent arrangements. Departments will retain access to high-quality in-house design support, benefiting from a consistent corporate brand and reduced external procurement costs.										
		Equalities Implications	An Equality Impact Assessment has been completed and found no negative impact on staff or service users. No posts are being removed, and there are no changes to employment conditions or access to services. The proposal supports equality by maintaining stable employment and developing commercial and creative skills within the existing workforce.										
OSC	IC 2026-27 02	**Service/Section**	**Policy, Strategy and Innovation; Registrar's Service**	465	50				Low	Low	SI2	N	N/A
		Description	Increasing income through better utilisation of available capacity at Morden Park House, broadening the uses for this capacity and increasing discretionary income for beverages by using technology to support dynamic pricing. This pricing model is in line with approaches taken by commercial providers with whom the service is in competition.										
		Service Implication	There will be no impact on statutory registration functions, prices for which are set by Government. Currently the use of the room and marquee capacity at Morden Park House is concentrated in the summer months (weddings) but the service is developing a broader offer that will increase utilisation at currently quieter times, to include, for example, events following Citizenship Ceremonies. There is also scope to increase turnover in the marquee by the use of an app to determine optimum beverage prices.										
		Staffing Implications	The existing staffing establishment has the capacity to deliver the increased utilisation.										
		Strategic Priorities implications	Positive impact on Nurturing Civic Pride as it will deliver an enhanced offer to residents at key life stages.										
		Impact on other departments	None										
		Equalities Implications	The enhanced utilisation and improved beverage pricing both relate to functions that are delivered in a competitive market place and there are no identified equalities implications.										

PROPOSED SAVINGS 2026-30: Cabinet January

DEPARTMENT: IC Innovation and Change

Panel	Ref		Description of Saving	Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
OSC	IC 2026-27 03	**Service/Section**	**Policy, Strategy and Innovation & Governance and Civic Services**	537	52				Low	Low	SS1	Yes	Staff
		Description	Merging of Complaints and Information Governance teams into a single structure										
		Service Implication	No material implications - the number of roles available to manage the processing of complaints, comments, Member and MP enquiries, Freedom of Information Requests, Data Protection Impact Assessments and Subject Access Requests will not change. The introduction of new digital solutions for Member Enquiries, which will help reduce associated digital costs and increase efficiency within the team, FoIs and SARs as well as improvements to the existing Complaints system will enable the single team to better manage demand.										
		Staffing Implications	Deletion of 2 Team Manager roles to be replaced by a single Service Manager. One Complaints Officer role replaced with a Senior Complaints Officer role. Change will be managed under the Council's Organisational Change procedure.										
		Strategic Priorities implications	No material impacts on the Council's strategic priorities.										
		Impact on other departments	The two existing teams have oversight of a number of processes which are governed by legislative timescales.These processes are managed on behalf of the whole organisation. There is not expected to be any detrimental impact on timescales as a result of the proposed reorganisation.										
		Equalities Implications	Any equalities implications will be addressed as part of the Organisational Change process.										
Total Savings Proposals 2026-30					132	0	0	0					

SI1 Income: increase in current level of charges
SI2 Income: increase arising from expansion of existing service/new service
SS1 Staffing: reduction in costs due to efficiency
SS2 Staffing: reduction in costs due to deletion/reduction in service
SNS1 Non - Staffing: reduction in costs due to efficiency
SNS2 Non - Staffing: reduction in costs due to deletion/reduction in service
SP1 Procurement / Third Party arrangements - efficiency
SP2 Procurement / Third Party arrangements - deletion/reduction in service
SG1 Grants: Existing service funded by new grant
SG2 Grants: Improved Efficiency of existing service currently funded by unringfenced grant
SPROP Reduction in Property related costs

C&YP Children & Young People
OSC Overview and Scrutiny
HC&OP Healthier Communities & Older People
SC Sustainable Communities

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Finance & Digital Savings/Fees and Charges Proposals 2026-30

Savings Proposals	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**	**Total £000**
Increase to previously agreed savings: Resources - Miscellaneous savings in Supplies and Services **(2026-27 F&D S02)**	30				30
Total Savings 2026-30	**30**	**0**	**0**	**0**	**30**
Cumulative Total	**30**	**30**	**30**	**30**	

PROPOSED SAVINGS 2026-30

DEPARTMENT: Finance & Digital

Panel	Ref		Description of Saving	Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
	2026-27 F&D S02	**Service/Section**	**Resources - Miscellaneous savings in Supplies and Services**		30				L	L	SP1	N	N/A
		Description	Cross cutting savings in miscellaneous Supplies and Services budgets made possible by driving out efficiencies										
		Service Implication	None										
		Staffing Implications	None										
		Strategic Priorities implications	None										
		Impact on other departments	None										
		Equalities Implications	None										
Total Savings Proposals 2026-30					30	0	0	0					

Type of Saving

SI1 Income: increase in current level of charges
SI2 Income: increase arising from expansion of existing service/new service
SS1 Staffing: reduction in costs due to efficiency
SS2 Staffing: reduction in costs due to deletion/reduction in service
SNS1 Non - Staffing: reduction in costs due to efficiency
SNS2 Non - Staffing: reduction in costs due to deletion/reduction in service
SP1 Procurement / Third Party arrangements - efficiency
SP2 Procurement / Third Party arrangements - deletion/reduction in service
SG1 Grants: Existing service funded by new grant
SG2 Grants: Improved Efficiency of existing service currently funded by unringfenced grant
SPROP Reduction in Property related costs

Risk

Low
Medium
High

Panel

C&YP Children & Young People
OSC Overview and Scrutiny
HC&OP Healthier Communities & Older People
SC Sustainable Communities

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Housing & Sustainable Development Savings - January Cabinet

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Planning and performance agreements for minor applications	50	0	0	0	50
Total Savings 2026-30	**50**	**0**	**0**	0	**50**
Cumulative Total	**50**	**50**	**50**	**50**	

PROPOSED SAVINGS 2026-30
DEPARTMENT: H&SD

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
	H&SD2627 S07	**Service/Section**	**Development Management & Regeneration and Planning Policy**	(410)	50				Low	Low	SI1	N	N/a
		Description	Planning Performance Agreements - Developers are willing to pay for an enhanced planning service which, currently has been for major developments. However, the Council is going to seek these for all minor applications except for those from householders. This includes those for new residential developments up to 9 units, for smaller scale non-residential developments under 1000 square metres of floorspace, and for discharge of conditions.										
		Service Implication	Increased revenue and fewer delays but more pressure on staff for delivery. Greater certainty in the process for developers.										
		Staffing Implications	If income is not realised, there would be an impact on revenue to cover existing posts.										
		Strategic Priorities implications	To encourage economic growth and building a sustainable future.										
		Impact on other departments	A requirement for strengthened collaboration with internal consultees on minor planning applications between Regeneration and Development Management.										
		Equalities Implications	Fees are charged to applicants as a paid for service which would have no adverse implications on the Council's equalities duties to residents.										
Total Savings Proposals 2026-30					**50**	**0**	**0**	**0**					

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Environment, Civic Pride and Climate Savings/Fees and Charges Proposals 2026-30: Cabinet January

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
VAT treatment of leisure services management contract	50	50	0	0	100
Enhancing the council's statutory Network Management duties	500	0	0	0	500
Total Savings 2026-30	**550**	**50**	**0**	0	**600**
Cumulative Total	**550**	**600**	**600**	**600**	

PROPOSED SAVINGS 2026-30: Cabinet January
DEPARTMENT: ECPC

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
	2026-27 ECPC 02	**Service/Section**	**Culture, Sports and Leisure/Leisure**		50	50	0	0	Medium	Low	SP1	N	N/A
		Description	VAT treatment of leisure services management contract. An increasing number of local authorities are signing up to this. Investigative works continue and report could be put through to Cabinet in spring 2026.										
		Service Implication	none										
		Staffing Implications	none										
		Strategic Priorities implications	none										
		Impact on other departments	Proposal will require input from legal, finance and procurement										
		Equalities Implications	none										
	2026-27 ECPC 03	**Service/Section**	**Public Realm**	2,544	500				Low	Medium	SI2	NO	N/A
		Description	Enhancing the council's statutory Network Management duties to keep traffic moving, reduce emissions and to improve road safety by enforcing existing traffic regulations more effectively.										
		Service Implication	The council has statutory Network Management duties to keep traffic moving, therefore reducing journey times and emissions, as well as improving road safety. The existing camera infrastructure will be reviewed so that operational cameras that have resulted in changed driver behaviour at some locations can be redeployed to locations where enforcement is currently not active. Following traffic surveys, it is likely that that the number of active cameras will increase to improve compliance with existing traffic regulations in a number of locations across the borough. Any contraventions at these locations will be captured by the cameras and will result in a penalty charge notice being issued to the registered driver of the vehicle. Delivery of this saving is to be supported by investment in enforcement infrastructure, to be managed through the Council's capital programme.										
		Staffing Implications	There are likely to be greater numbers of penalty charge notices generated and this will place some pressure on parking service staffing but this will be closely managed. Additional specialist resource will be employed for short period to complete regulatory and technical requirements.										
		Strategic Priorities implications	None										
		Impact on other departments	None										
		Equalities Implications	There are no implications for equalities. All drivers are required to adhere to highways legislation and the rules that have been set out in the Traffic Signs Regulations 2016										
Total Savings Proposals 2026-30					**550**	**50**	**0**	**0**					

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Children, Lifelong Learning and Families Savings/Fees and Charges Proposals 2026-30: Cabinet January

Savings Proposals	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**	**Total £000**
Education and Early Help/ School Improvement and Adult Learning - Virtual School Reorganisation	97	70	0	0	**167**
Total Savings 2026-30	**97**	**70**	**0**	**0**	**167**
Cumulative Total	**97**	**167**	**167**	**167**	

PROPOSED SAVINGS 2026-30: Cabinet January
DEPARTMENT:

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
C&YP	CLLF 2026/27/008	**Service/Section**	**Education and Early Help/ School Improvement and Adult Learning**	63	9	7			Low	Medium	SS1	Yes	Staffing
		Description	This proposed reorganisation has been developed to deliver improved value for money while safeguarding statutory responsibilities and maintaining compliance with Department for Education guidance. The savings to be achieved in 2026/27 is £97,000										
		Service Implication	This proposal will reorganise the Virtual School, ensuring that the statutory responsibilities of the Virtual School Headteacher are maintained, including promoting the education of looked-after and previously looked-after children to ensure they have the opportunity to reach their educational potential. This includes providing advice and information to parents and carers of children in kinship arrangements or those living in care.										
		Staffing Implications	The reorganisation is likely to affect staff within the Virtual School but we would seek to minimise this as far as possible.										
		Strategic Priorities implications	Civic Pride										
		Impact on other departments	No direct impact on other department. Whilst the Virtual School works collaboratively with all agencies, their work specifically sits in Children's Lifelong Learning & Families.										
		Equalities Implications	The Virtual School supports vulnerable children, in care, and care leavers, where there is an over representation of children with additional needs, and children from families living in poverty. The workforce of the Virtual School is all female, and so any activity that results in reduced staffing will disproportionately affect women.										
Total Savings Proposals 2026-30					**97**	**70**	**0**	**0**					

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Adult Social Care, Integrated Care and Public Health Savings/Fees and Charges Proposals 2026-30

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Increases to previously agreed savings:					
Maximising Independence by adopting a strategic approach to Supported Living (ASCIC&PH 137)	5				
A review of residents receiving Section 117 aftercare (ASCIC&PC 139)	7				
Streamlining Financial Assessment Processes (ASCIC&PH140)	10				
Transforming commissioning in Adult Social Care to deliver better outcomes for residents (ASCIC&PH 141)	11				
Empowering Residents through Self Directed Support (Direct Payments) (ASCIC&PH142)	10				
Strengthening Market Sustainability Through Data-Led Inflation Modelling	238	0	0	0	**238**
Total Savings 2026-30	**281**	**0**	**0**	0	**238**
Cumulative Total	**281**	**281**	**281**	**281**	

PROPOSED SAVINGS 2026-30: Cabinet January

DEPARTMENT: **ASC, IC and PH**

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
HC&OP	ASCIC&PH143	**Service/Section**	**Strengthening Market Sustainability Through Data-Led Inflation Modelling**	60,134	238	0	0	0	Low	Low	SP1	N	N/A
		Description	This proposal introduces an evidence-led framework for setting annual inflation uplifts for residential, nursing, and supported living care providers. In 2025/26, we invested £1 million in inflationary uplifts (excluding home care), recognising the financial pressures faced by providers operating within tight margins. The majority of care in Merton is delivered by independent and private sector organisations, and it is essential that they remain commercially viable to continue delivering safe, high-quality care. The Council has a duty under the Care Act 2014 to balance the fair cost of care with providers' legitimate need to operate sustainably, ensuring the market remains resilient, diverse, and capable of meeting the evolving needs of vulnerable adults. Our approach for 2026/27 will draw on verified data sources—including the Consumer Prices Index (CPI), Adult Social Care (ASC) cost data such as the DHSC Market Sustainability and Improvement Fund, and recognised tools like CareCubed—to ensure that fee uplifts are fair, transparent, and responsive to local market conditions. This proposal strengthens the Council's Care Act duties, particularly its responsibility to promote a diverse and sustainable care market and ensure fair payment for services. We will work closely with co-commissioners, including other South West London local authorities and the South West London Integrated Care Board (SWL ICB), to ensure consistency and alignment across the sub-region. This approach ensures that inflationary decisions are grounded in robust data and market intelligence, safeguarding continuity of care while maintaining financial sustainability and equitable commissioning. It also ensures that financial resources are targeted effectively to meet both statutory duties and long-term market sustainability objectives.									
		Service Implication	Providers will continue to receive inflationary uplifts, but these will be based on verified evidence and local market conditions rather than an across-the-board percentage. The new model strengthens transparency and accountability in fee setting, enabling sustainable inflation management without reducing service quality or access. It directly supports the Council's duty to shape and maintain a stable, diverse, and sustainable care market capable of meeting the needs of all adults in need of care and support.									
		Staffing Implications	No direct staffing reductions. Analytical and modelling work will be delivered within existing commissioning and finance teams, supported by enhanced use of market and cost data.									
		Strategic Priorities implications	Sustainability, better use of resources									
		Impact on other departments	The Finance and Procurement teams will support implementation and contract modelling. Legal Services may review terms related to fee uplift methodology. No adverse impact on operational services.									
		Equalities Implications	None									
Total Savings Proposals 2026-30					238	0	0	0					

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Savings/Fees and Charges Proposals 2026-30

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Council - wide	1,550	0	0	0	**1,550**
Children, Lifelong Learning, and Families	1,580	0	0	0	**1,580**
Total Savings 2026-30	**3,130**	**0**	**0**	**0**	**3,130**
Cumulative Total	**3,130**	**3,130**	**3,130**	**3,130**	

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Council wide - All departments: Savings/Fees and Charges Proposals 2026-30: Cabinet February

Savings Proposals	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Vacancy Factor @1.5%	1,250	0	0	0	1,250
Vacancies - Delete 1 vacant post from each department	300	0	0	0	300
					0
Total Savings 2026-30	**1,550**	**0**	**0**	0	**1,550**
Cumulative Total	**1,550**	**1,550**	**1,550**	**1,550**	

PROPOSED SAVINGS 2026-30
DEPARTMENT: Council-wide - All departments

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
OSC	CW202627-S01	**Service/Section**	**Council-wide**	85,739	1,250				Medium	Low	SS1	N	N/A
		Description	Applying a managed vacancy factor percentage to pay budgets (excluding budgets funded by grants, trading accounts or other contributions). The allocation is based on 1.5% of original pay budgets										
		Service Implication	This saving will require services to actively manage their pay budgets based on a reduced allocation by applying a target vacancy percentage to pay budgets of 1% applied across all directorates pay budgets. Based on analysis of current and previous years' outturn of spend against pay budgets as well as sector vacancy data, this is a target that should be achievable through normal turnover of staff throughout the year, natural post-reductions from service redesigns and other measures such as recruitment lags, further management of agency and overtime costs, phased recruitments and careful review and management of the need to recruit to vacant posts. The average rate will account from the variations of vacancy rates in different departments and staffing professions.										
		Staffing Implications	Some posts may remain unfilled for part of the year through natural turnover and phased recruitments										
		Strategic Priorities implications	Building Sustainable Future – Ensuring the best use of resources, obtaining value for money and ensuring the best performance and outcomes										
		Impact on other departments	All departments will be affected except where posts are funded by grants and contributions.										
		Equalities Implications	None										
OSC	CW202627-S02	**Service/Section**	**Council-wide**	85,739	300				Low	Low	SS1	N	N/A
		Description	Review of vacant posts across the council to delete a funded post from each department										
		Service Implication	There are a number of funded but vacant posts across the council. This process will identify a vacant post from each of the Council's 6 departments that can be deleted from the establishment, with a resulting saving. There may be service implications, but it is anticipated that the impact can be managed. No services will cease or be significantly reduced as a result. The EIA will be reviewed and updated once the posts are identified.										
		Staffing Implications	No direct implications on staff, as these will be unfilled posts. However the impact of deleting posts on teams will need to be managed carefully										
		Strategic Priorities implications	Building Sustainable Future – Ensuring the best use of resources, obtaining value for money and ensuring the best performance and outcomes										
		Impact on other departments	All departments will be affected as a vacant post will be deleted from all 6 Directorates										
		Equalities Implications	None										
Total Savings Proposals 2026-30					1,550	0	0	0					

SI1 Income: increase in current level of charges
SI2 Income: increase arising from expansion of existing service/new service
SS1 Staffing: reduction in costs due to efficiency
SS2 Staffing: reduction in costs due to deletion/reduction in service
SNS1 Non - Staffing: reduction in costs due to efficiency
SNS2 Non - Staffing: reduction in costs due to deletion/reduction in service
SP1 Procurement / Third Party arrangements - efficiency
SP2 Procurement / Third Party arrangements - deletion/reduction in service
SG1 Grants: Existing service funded by new grant
SG2 Grants: Improved Efficiency of existing service currently funded by unringfenced grant
SPROP Reduction in Property related costs

C&YP Children & Young People
OSC Overview and Scrutiny
HC&OP Healthier Communities & Older People
SC Sustainable Communities

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Children, Lifelong Learning and Families Savings/Fees and Charges Proposals 2026-30: Cabinet February

Savings Proposals	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**	**Total £000**
Strategic joint commissioning & service delivery for vulnerable children	1,580	0	0	0	**1,580**
Total Savings 2026-30	**1,580**	**0**	**0**	**0**	**1,580**
Cumulative Total	**1,580**	**1,580**	**1,580**	**1,580**	

PROPOSED SAVINGS 2026-30: Cabinet Febfuary
DEPARTMENT: CLLF

Panel	Ref	Description of Saving		Baseline Budget 25/26 £000	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Risk Analysis Deliverability	Risk Analysis Reputational Impact	Type of Saving (see key)	Consultation YES (Y) / NO (N)	Type of consultation
C&YP	CLLF 2026/27/009	**Service/Section**	**Strategic joint commissioning & service delivery for vulnerable children**	27,260	1,580				Med	Low	SI1	NO	N/A
		Description	At the core of this proposal is the Merton partnerships attempt to achieve a strategic balance between the cost of service delivery and maintaining outcomes by building on the joint responsibilities of Education , Adult Social Care specific to transitions , the ICB, Public Health and other Health Providers with the specialist support from Channel 3 to implement a transformation programme across CLLF. For the first stage of the transformation, a high-level review has been completed on the Children's social care placement budget. Children and young people in Merton's care access a variety of different types of care placements according to their assessed needs and their age. As part of this proposal CLLF will continue to work with partners to re-baseline the budgets associated with all placements and packages of care for children and young people, to ensure more holistic support is tailored across the system. This will include :- - Work with Riverside to support the joint efforts to meet the needs of children with CHC needs. - Returning in house fostering to a growth model modernizing the recruitment and retention of in-house foster carers and build our current Merton fostering community. - Securing local preferred provider commissioning relationships with good and outstanding residential providers with a target to 'soft block' 4 beds ring fenced to Merton including a step down from Tier 4 or transition into adulthood from the soft block service level agreement. - With Housing continue to drive the implementation of Merton's Homes Project which will support young people to develop their independent skills and remain in Merton. This will further strengthen the joint working between Adults Social care, ICB and CLLF to ensure effective transition for young people and their families from Children's Services to Adult Services and preparation for adulthood, supporting young people to develop the necessary skills for independent living, employment, good health and becoming an active member of the local community without an over reliance on statutory services. This will also include maximising Housing benefits.									
		Service Implication	This will further strengthen the joint working between Adults Social care, ICB and CLLF to ensure effective transition for young people and their families from Children's Services to Adult Services and preparation for adulthood, supporting young people to develop the necessary skills for independent living, employment, good health and becoming an active member of the local community without an over reliance on statutory services.									
		Staffing Implications	Council staff delivering this support will be positively affected through the training and development programme that will underpin the proposed changes.									
		Strategic Priorities implications	Civic Pride									
		Impact on other departments	Health partners and internal colleagues including social care and education need to work together.									
		Equalities Implications	None									
Total Savings Proposals 2026-30					**1,580**	**0**	**0**	**0**					

MEDIUM TERM FINANCIAL STRATEGY 2026-30

Growth/Additional Pressures 2026-30

Additional Pressures - Cabinet February 2026	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Innovation and Change	0	0	0	0	0
Finance and Digital	524	378	0	0	902
Housing and Sustainable Development	4,238	0	0	0	4,238
Environment, Civic Pride and Climate	305	295	0	0	600
Children, Lifelong Learning, and Families	0	0	0	0	0
Adult Social Care, Integrated Care, and Public Health	0	0	0	0	0
Total Additional Pressures 2026-30	**5,067**	**673**	**0**	**0**	**5,740**
Cumulative Total	**5,067**	**5,740**	**5,740**	**5,740**	

Section D

Growth Proposals 2026/27

DEPARTMENT: Finance & Digital

Panel	Ref	Description of growth		2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Type of Growth (see key)
		Service/Section	**Digital Innovation**	**524**	**378**	**0**	**0**	**GS1**
		Description	Investment to support the delivery of the Council's digital objectives					
		Service Implication	Increased capacity and skills to deliver key agreed strategic priorities for the Council. Enhancing the Council's cyber resilience resources and strengthening the security of our systems and services in an environment with ever increasing global threats. Developing residents' digital customer experience utilising emerging technologies such as Artificial Intelligence and better use of data to allow data-driven decision making. Supporting the Council's housing ambition. These resources will also serve to support the delivery of key priority projects and allow the Council to build in-house skills and capacity, thus reducing the future need for agency resources.					
		Staffing Implications	Permanent increase in staff capacity staged over 2 years, replacing some agency posts.					
		Strategic Priorities implications	This additional funding supports the Council's commitment to delivering on key priorities to continue the journey of Building a Better Merton Together by building more capacity and skills to design, develop and support digital services across the Council. The additional staffing will contribute towards Building A Sustainable Future more specifically by providing the capacity and skills to introduce and develop the digital systems required to effectively manage the affordable housing that the Council will be building.					
		Impact on other departments	No specific implications at this stage.					
		Equalities Implications	No specific implications at this stage.					
		Total		**524**	**378**	**0**	**0**	

Type of Growth Key

GI1	Income: Decrease due to fall in demand for service
GI2	Income: Decrease due to reduction/deletion of service
GS1	Staffing: increase in level of service
GS2	Staffing: New service
GNS1	Non - Staffing: increase in level of service
GNS2	Non - Staffing: New service
GP1	Addition to Procurement / Third Party arrangements
GPROP	Increase in Property Related costs

Panel

C&YP	Children & Young People
HC&OP	Healthier Communities & Older People
SC	Sustainable Communities
OSC	Overview and Scrutiny Commission

GROWTH/ADDITIONAL PRESSURES: BUDGET PROPOSALS 2026-30
DEPARTMENT: Housing and Sustainable Development

Panel	Ref	Description of growth		2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Type of Growth (see key)
		Service/Section	**Temporary Accommodation**	3,000				GP1
		Description	London continues to face intense housing pressure driven by a combination of high demand, limited supply and rising costs. Merton, alongside other Councils across London and the Southeast, is facing significant financial pressures due to the rising costs of temporary accommodation.					
		Service Implication	This additional funding will help our mitigation efforts to address this significant budget pressure, alongside the actions around prevention and increasing the supply of housing. Measures wil be reviewed throughout the year as part of financial monitoring.					
		Staffing Implications	None					
		Strategic Priorities implications	Building a sustainable future					
		Impact on other departments	Minimal - some limited impact if households are moved back into the borough					
		Equalities Implications	None					
		Service/Section	**Housing & Sustainable Development Staffing and Temporary Accommodation (TA) support**	1,238				GS1
		Description	An ongoing budget of £1.238m per year is estimated to be required for H&SD as follows: 1. Creating senior management capacity to deliver the Council's priorities 2. Create additional capacity within the Housing Needs service to respond to the rise in demand with a focus on reducing the number of households in TA, increase the number of housing discharges into permanent accommodation, reduce the use of nightly paid TA, reduce the cost of TA and maximise the Housing Benefit recovered 3. Create additional capacity focusing on the compliance of the Council's property portfolio, develop an asset strategy and ensure the Council secures property income from its estate. 4. Create capacity to continue supporting Town Centres and businesses. 5. £0.2m of resources in Finance to increase capacity in the Housing Benefits team in order to maximise Housing Benefit income to offset temporary accommodation costs incurred by the council. In addition, a dedicated Finance Business Partner to the department to support on TA but also focus on the wider Housing and Regeneration programme, both capital and revenue and to prepare the Council for the creation of a new Housing Revenue Account (HRA). This will support the increasing workload in Housing and Regeneration and it is important to ensure a fully focussed finance resource to support these key Council priorities.					
		Service Implication	Fit for purpose structure to address both senior level and operational capacity to deliver key priorities as set out.					
		Staffing Implications	Additional staffing, with resources split as follows-: c. Permanent staffing (HSD) c. £200k for permanent staffing (F&D)					
		Strategic Priorities implications	Delivery of key priorities with appropriate Senior Management structure in place.					
		Impact on other departments	This is internal to HSD and will have a positive impact on other directorates enabling partnership working and delivering corporate / cross cutting priorities.					
		Equalities Implications	The reorganisation will be undertaken in accordance with the Council's policy and procedures.					
		Total		4,238	0	0	0	

Type of Growth Key

GI1	Income: Decrease due to fall in demand for service
GI2	Income: Decrease due to reduction/deletion of service
GS1	Staffing: increase in level of service
GS2	Staffing: New service
GNS1	Non - Staffing: increase in level of service
GNS2	Non - Staffing: New service
GP1	Addition to Procurement / Third Party arrangements
GPROP	Increase in Property Related costs

Panel

C&YP	Children & Young People
HC&OP	Healthier Communities & Older People
SC	Sustainable Communities
OSC	Overview and Scrutiny Commission

GROWTH/ADDITIONAL PRESSURES: BUDGET PROPOSALS 2026-30
DEPARTMENT: Environment, Civic Pride and Climate

Panel	Ref	Description of growth		2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Type of Growth (see key)
SC	2026-27 ECPC G1	**Service/Section**	**Community Safety/Safer Streets**	120	230			GS1
		Description	Funding to support four additional Safer Streets staff to strengthen visible presence, enforcement, and preventative activity across the borough. The growth reflects the positive impact of the new warden service.					
		Service Implication	Improved capacity to respond to anti-social behaviour, reassurance patrols, and enforcement activity including flytipping on private land.					
		Staffing Implications	Four additional posts and one co-ordinator					
		Strategic Priorities implications	Supports community safety, prevention, and safer neighbourhood priorities.					
		Impact on other departments	None identified					
		Equalities Implications	No negative impacts. This service supports all parts of the community.					
SC	2026-27 ECPC G2	**Service/Section**	**Environmental/Street Cleaning**	50	50			GNS1
		Description	Funding to establish a dedicated graffiti removal service to remove graffiti from business properties, with a focus on retail areas, to improve response times and address persistent issues affecting the appearance of streets and public spaces. The proposal supports a cleaner, well maintained public realm.					
		Service Implication	Enhanced town centre environment, supporting local businesses and regeneration ambitions.					
		Staffing Implications	None identified as the initial service will be provided by a contractor					
		Strategic Priorities implications	Supports the Council's priorities around cleaner streets, civic pride, and maintaining safe, attractive neighbourhoods across the borough.					
		Impact on other departments	None identified					
		Equalities Implications	No negative impacts. This service supports all parts of the community.					
SC	2026-27 ECPC G3	**Service/Section**	**Environmental/Street Cleaning**	35	15			GNS1
		Description	Targeted funding to deliver a deep clean programme including regular jet washing in town centres and high footfall areas. This will complement routine cleansing activity and respond to resident and Member concerns about cleanliness.					
		Service Implication	Improved cleanliness standards in priority areas					
		Staffing Implications	The service will be provided by the in-house team and the growth will fund additional staffing resource and consumables					
		Strategic Priorities implications	Supports the Council's priorities around cleaner streets and maintaining high environmental standards in neighbourhoods and town centres.					
		Impact on other departments	None identified					
		Equalities Implications	No negative impacts. This service supports all parts of the community.					

Panel	Ref	Description of growth		2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Type of Growth (see key)
SC	2026-27 ECPC G4	**Service/Section**	**Parks and Green Spaces**	100				GNS1
		Description	Funding of £100k per annum is sought to support the annual maintenance of planters and other green enhancements within Merton's town centres. The programme will deliver visible, low level public realm improvements that enhance the appearance of town centres, support civic pride, and contribute to a welcoming environment for residents, businesses, and visitors.					
		Service Implication	Enhancement to public realm. Additional maintenance works required to ensure that the planters and other green enhancements are well maintained. Maintenance reviews will be conducted as part of monthly reviews.					
		Staffing Implications	The service will be provided by the existing Greenspaces team and the council's horticulture contractor					
		Strategic Priorities implications	Supports the Council's priorities around improving the visitor experience to our town centres and in keeping with the Civic Pride strategic objective.					
		Impact on other departments	Close collaboration regarded with Highways and Street Cleansing colleagues to ensure that new street furniture is well maintained.					
		Equalities Implications	No negative impacts. This service supports all parts of the community.					
		Total		**305**	**295**	**0**	**0**	



Section E

Fees & Charges 2026/27

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Adult Social Care, Integrated Care and Public Health									
Care Act 2021 - Supported Accommodation (those assessed as able to make a contribution towards the cost of their care and support under the Care Act 2014)	Various rates depending on clients financial circumstance	Various rates depending on clients financial circumstance	£0.00	0%	Regulation requires full cost recovery	Regulation		ASCIC&PH	ASC- Access & Assessment
Care Act 2021 - Care Homes (those assessed as able to make a contribution towards the cost of their care and support under the Care Act 2014)	Various rates depending on clients financial circumstance	Various rates depending on clients financial circumstance	£0.00	0%	Regulation requires full cost recovery	Case by case basis		ASCIC&PH	ASC- Access & Assessment
3rd Party Top-up Reclaimed	varies case by case	varies case by case	£0.00	0%	Case by case basis	Case by case basis	Top-up costs of the placements because placement preferred is above LBM's placement weekly costs	ASCIC&PH	ASC- Access & Assessment
Direct Payment	Various rates depending on clients financial circumstance	Various rates depending on clients financial circumstance	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ASCIC&PH	ASC- Access & Assessment
Deferred Payment Scheme	Various rates depending on clients financial circumstance	Various rates depending on clients financial circumstance	£0.00	0%	Case by case basis	Case by case basis		ASCIC&PH	ASC- Access & Assessment
Care Act 20214 - Homecare rate charged (those assessed as able to make a contribution towards the cost of their care and support under the Care Act 2014)	Various rates depending on clients financial circumstance	Various rates depending on clients financial circumstance	£0.00	0%	Case by case basis	Case by case basis		ASCIC&PH	ASC- Access & Assessment
Care Act 20214 - other social care services (those assessed as able to make a contribution towards the cost of their care and support under the Care Act 2014)	Various rates depending on clients financial circumstance	Various rates depending on clients financial circumstance	£0.00	0%	Case by case basis	Case by case basis		ASCIC&PH	ASC- Access & Assessment
EASTWAY DAY CENTRE - Client attendance								ASCIC&PH	
Group support	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ASCIC&PH	ASC- Direct Provision-Day Centres
One to one support	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ASCIC&PH	ASC- Direct Provision-Day Centres
JMC - Client attendance								ASCIC&PH	
Watercress	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ASCIC&PH	ASC- Direct Provision-Day Centres
Special Care	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ASCIC&PH	ASC- Direct Provision-Day Centres
Willows	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ASCIC&PH	ASC- Direct Provision-Day Centres
One to one support	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ASCIC&PH	ASC- Direct Provision-Day Centres
LEYTON ROAD DAY CENTRE - Client attendance								ASCIC&PH	
Group support	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ASCIC&PH	ASC- Direct Provision-Day Centres
ALL SAINTS DAY CENTRE - Lettings								ASCIC&PH	
Monday - Friday								ASCIC&PH	
Main hall	£21.50	£22.50	£1.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision-Day Centres
Dining room	£21.50	£22.50	£1.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision-Day Centres

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Fabric room	£15.75	£16.50	£0.75	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
Physiotherapy room	£13.25	£13.85	£0.60	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
Meeting room	£13.25	£13.85	£0.60	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
ALL SAINTS DAY CENTRE - Lettings								ASCIC&PH	
Saturday & Sunday								ASCIC&PH	
Main hall	£26.25	£27.45	£1.20	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
Dining room	£26.25	£27.45	£1.20	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
Fabric room	£21.50	£22.50	£1.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
Physiotherapy room	£15.75	£16.45	£0.70	4%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
Meeting room	£15.75	£16.45	£0.70	4%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
LEYTON ROAD DAY CENTRE - Lettings								ASCIC&PH	
Monday - Friday								ASCIC&PH	
General room hire	£21.50	£22.50	£1.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
Saturday & Sunday								ASCIC&PH	
General room hire	£26.25	£27.45	£1.20	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Day Centres
MASCOT TELECARE								ASCIC&PH	
Merton resident								ASCIC&PH	
Full Visiting - Red - Monthly	£34.05	£35.62	£1.57	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Mascot Income
Full Visiting - Blue - Monthly	£40.77	£42.65	£1.88	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Mascot Income
Full Visiting - Purple - Monthly	£47.50	£49.69	£2.19	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Mascot Income
Monitor Only - Green - Monthly	£19.66	£20.56	£0.90	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Mascot Income
Monitor Only - Yellow - Monthly	£26.39	£27.60	£1.21	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Mascot Income
Monitor Only - Orange - Monthly	£33.12	£34.64	£1.52	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Mascot Income
Those on universal credit	£8.97	£9.38	£0.41	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Mascot Income
Out of borough								ASCIC&PH	ASC- Direct Provision- Mascot Income
Full Visiting - Red - Monthly	£36.95	£38.65	£1.70	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Mascot Income
Full Visiting - Blue - Monthly	£45.64	£47.74	£2.10	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision- Mascot Income

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Full Visiting - Purple - Monthly	£54.33	£56.83	£2.50	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision-Mascot Income
Monitor Only - Green - Monthly	£22.35	£23.38	£1.03	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision-Mascot Income
Monitor Only - Yellow - Monthly	£31.05	£32.48	£1.43	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision-Mascot Income
Monitor Only - Orange - Monthly	£39.74	£41.57	£1.83	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ASCIC&PH	ASC- Direct Provision-Mascot Income
Client Financial Affairs								ASCIC&PH	
Appointeeships	These charges are in line with those for deputyships issued by the Ministry of Justice	These charges are in line with those for deputyships issued by the Ministry of Justice	£0.00	0%	Fee set by Merton	Regulation		ASCIC&PH	CFA
Deputyships	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ASCIC&PH	CFA
Finance and Digital									
Street Naming and Numbering Service								F&D	Digital Innovation
New address (commercial)	£260.00	£270.00	£10.00	4%	Regulation requires full cost recovery			F&D	Digital Innovation
New address (residential)	£260.00	£270.00	£10.00	4%	Regulation requires full cost recovery			F&D	Digital Innovation
New building Name	£480.00	£505.00	£25.00	5%	Regulation requires full cost recovery			F&D	Digital Innovation
New street Name	£600.00	£630.00	£30.00	5%	Regulation requires full cost recovery			F&D	Digital Innovation
Re-naming a building	£900.00	£945.00	£45.00	5%	Regulation requires full cost recovery			F&D	Digital Innovation
Address Search Request	£37.50	£40.00	£2.50	7%	Regulation requires full cost recovery			F&D	Digital Innovation
Bailiffs/Enforcement Service								F&D	
Stage: Compliance (Administration fee)	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Enforcement*	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Enforcement*	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Sale or Disposal	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Sale or Disposal	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Where removal and sale takes place: Storage costs - Actual costs	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Locksmiths costs -actual costs	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Any relevant Court application fees - Actual costs	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Auctioneers costs where the sale is held at the Auctioneers premises								F&D	Resources
Auctioneer commission - not exceeding 15% of the sum realised	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Auctioneers costs out of pocket costs - Actual costs	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Reasonable advertising costs - Actual costs	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Auctioneers costs where the sale is held on other premises								F&D	Resources
Auctioneer commission - not exceeding 15% of the sum realised	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Auctioneers costs out of pocket costs - Actual costs	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Reasonable advertising costs - Actual costs	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
Internet auction costs- Actual costs	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
In some circumstances exceptional costs will apply- Agreed by Court	variable	variable	£0.00	0%	Fixed fee amount set by Regulation	Regulation		F&D	Resources
* in cases of vulnerability the enforcement fee (£235) cannot be charged								F&D	Resources
Innovation & Change									
Registrars Services								I&C	
Sheridan (30 guests)	Booking fee £75	Booking fee £75	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Sheridan (30 guests) Thursday	£325.00	£350.00	£25.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Sheridan (30 guests) Friday	£325.00	£350.00	£25.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Sheridan (30 guests) Saturday	£375.00	£425.00	£50.00	13%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Sheridan (30 guests) Sunday	£700.00	£750.00	£50.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Sheridan (30 guests) Selected Days* *Christmas Day, Good Friday, Easter Sunday, Easter Monday and Christmas Eve (where that day is a Saturday or Sunday) and New Years Eve (where that day is a Saturday or a Sunday) New Years Day	£2,000.00	£2,000.00	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Sheridan (30 guests)Ceremonies starting outside normal hours† † Normal hours for ceremonies are Monday - Friday 09:00-15:30 Saturday 09:00-17:30	£700.00	£750.00	£50.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Lord Nelson (40 guests)	Booking fee £75	Booking fee £75	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Lord Nelson (40 guests) Thursday	£350.00	£375.00	£25.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Lord Nelson (40 guests) Friday	£350.00	£375.00	£25.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Lord Nelson (40 guests) Saturday	£450.00	£500.00	£50.00	11%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Lord Nelson (40 guests) Sunday	£725.00	£775.00	£50.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Lord Nelson (40 guests) Selected Days* *Christmas Day, Good Friday, Easter Sunday, Easter Monday and Christmas Eve (where that day is a Saturday or Sunday) and New Years Eve (where that day is a Saturday or a Sunday) New Years Day	£2,000.00	£2,000.00	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Lord Nelson (40 guests)Ceremonies starting outside normal hours† † Normal hours for ceremonies are Monday - Friday 09:00-15:30 Saturday 09:00-17:30	£700.00	£775.00	£75.00	11%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Ewart Room (100 guests)	Booking fee £75	Booking fee £75	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Ewart Room (100 guests) Thursday	£625.00	£675.00	£50.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Ewart Room (100 guests) Friday	£625.00	£675.00	£50.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Ewart Room (100 guests) Saturday	£700.00	£750.00	£50.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Ewart Room (100 guests) Sunday	£800.00	£875.00	£75.00	9%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Ewart Room (100 guests)Selected Days* *Christmas Day, Good Friday, Easter Sunday, Easter Monday and Christmas Eve (where that day is a Saturday or Sunday) and New Years Eve (where that day is a Saturday or a Sunday) New Years Day	£2,000.00	£2,000.00	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Ewart Room (100 guests)Ceremonies starting outside normal hours† † Normal hours for ceremonies are Monday - Friday 09:00-15:30 Saturday 09:00-17:30	£825.00	£875.00	£50.00	6%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Court Yard (100 Guests)	Booking fee £75	Booking fee £75	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Court Yard (100 Guests) Thursday	£675.00	£725.00	£50.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Court Yard (100 Guests) Friday	£675.00	£725.00	£50.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Court Yard (100 Guests) Saturday	£825.00	£875.00	£50.00	6%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Court Yard (100 Guests) Sunday	£950.00	£975.00	£25.00	3%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Court Yard (100 Guests)Selected Days* *Christmas Day, Good Friday, Easter Sunday, Easter Monday and Christmas Eve (where that day is a Saturday or Sunday) and New Years Eve (where that day is a Saturday or a Sunday) New Years Day	£2,000.00	£2,000.00	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Court Yard (100 Guests)Ceremonies starting outside normal hours† † Normal hours for ceremonies are Monday - Friday 09:00-15:30 Saturday 09:00-17:30	£950.00	£975.00	£25.00	3%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Outside Venues	Booking fee £75	Booking fee £75	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Outside Venues Monday	£650.00	£700.00	£50.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Outside Venues Tuesday	£650.00	£700.00	£50.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Outside Venues Wednesday	£650.00	£700.00	£50.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Outside Venues Thursday	£650.00	£700.00	£50.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Outside Venues Friday	£650.00	£700.00	£50.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Outside Venues Saturday	£675.00	£725.00	£50.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Outside Venues Sunday	£750.00	£800.00	£50.00	7%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Outside Venues Selected Days* *Christmas Day, Good Friday, Easter Sunday, Easter Monday and Christmas Eve (where that day is a Saturday or Sunday) and New Years Eve (where that day is a Saturday or a Sunday) New Years Day	£2,000.00	£2,000.00	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Outside venues starting outside normal hours† † Normal hours for ceremonies are Monday - Friday 09:00-15:30 Saturday 09:00-17:30	£850.00	£900.00	£50.00	6%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Meeting the Registrar	£100.00	£120.00	£20.00	20%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Ceremony Rehearsal	£200.00	£200	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
A Toast in the Garden (Thurs- Fri)								I&C	Policy, Strategy & Innovation
Thursday - Friday up to 30 guests (Sheridan only)	£275	300.00	£25.00	9%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Thursday - Friday up to 40 guests (Lord Nelson only)	£325	350.00	£25.00	8%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Thursday - Friday up to 100 guests	£650	675.00	£25.00	4%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
A Toast in the Garden (Saturday)								I&C	Policy, Strategy & Innovation
Saturday up to 100 guests (May - Sep: Lord Nelson, Ewart and Gazebo only, Oct-Apr: all rooms)	775.00	800.00	£25.00	3%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
A Toast in the Garden (Sunday)								I&C	Policy, Strategy & Innovation
Sunday up to 100 guests	825.00	850.00	£25.00	3%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Marquee Receptions : Summer †	£75 booking fee	£75 booking fee	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Mon-Thurs	£3,500.00	£4,000.00	£500.00	14%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Friday	£4,000.00	£4,250.00	£250.00	6%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Saturday	£6,500.00	£6,500.00	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Sunday	£7,750.00	£7,750.00	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Marquee Receptions : Winter *	£75 booking fee	£75 booking fee	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Mon-Thurs	£3500	£4,000.00	£500.00	14%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Friday	£4000	£4,250.00	£250.00	6%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Saturday	£5500	£5,500.00	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
Sunday	£6750	£6,750.00	£0.00	0%	Fee set by Merton	Service review		I&C	Policy, Strategy & Innovation
† Summer - April/May/June/July/Aug/Sep/Oct								I&C	
* Winter - Jan/Feb/March/Nov/Dec								I&C	
Payroll Service								I&C	HR
Payroll Income - charity organisations	various depending on number of employees	various depending on number of employees	£0.00	0%	Fee set by Merton			I&C	HR
Communications								I&C	
Advertising rates for My Merton magazine Back Cover	£2,100.00	£2,100.00	£0.00	0%	Fee set by Merton	No change - Other publications lowering fees to attract custom		I&C	Policy, Strategy & Innovation
Advertising rates for My Merton magazine -Full page	£1,850.00	£1,850.00	£0.00	0%	Fee set by Merton	No change - Other publications lowering fees to attract custom		I&C	Policy, Strategy & Innovation
Advertising rates for My Merton magazine -Half page	£950.00	£950.00	£0.00	0%	Fee set by Merton	No change - Other publications lowering fees to attract custom		I&C	Policy, Strategy & Innovation
Advertising rates for My Merton magazine - Quarter page	£650	£650	£0.00	0%	Fee set by Merton	No change - Other publications lowering fees to attract custom		I&C	Policy, Strategy & Innovation
Commercial Property/ Developers Fees						Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Agreement for surrender of existing lease	£1,576.00	£1,652.00	£76.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Lease & grant of new lease	£788 to £1,891	£826 to £1982	£38 -£91	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Grant of new lease	£788 to £1,891	£826 to £1982	£38 -£91	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Lease & grant of new lease	£788 to £1,891	£826 to £1982	£38 -£91	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Grant of:								I&C	Legal Services
Commercial Leases	£788 to £2,942	£826 to £3083	£38 - £141	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
License to Occupy/Taw	£1,051.00	£1,101.00	£50.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Deeds of Surrender/Variation	£1,366.00	£1,432.00	£66.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Deed of Easement	£1,366.00	£1,432.00	£66.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
License to Assign and Aga	£1,313.00	£1,376.00	£63.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
License for Alterations	£1,839.00	£1,927.00	£88.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Other fees								I&C	Legal Services
Rent Deposit Deed	£788.00	£826.00	£38.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Lease Extension 1993 Act/Freehold Transfer 1967 Act	£1,051.00	£1,101.00	£50.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Notice	£79.00	£83.00	£4.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Post Rtb Sale								I&C	Legal Services
Notice of Transfer	£63.00	£66.00	£3.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Notice of Charge	£63.00	£66.00	£3.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Notice of Transfer and Charge	£126.00	£132.00	£6.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Certificate of Compliance	£197.00	£206.00	£9.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Home Improvements								I&C	Legal Services
Deed of Release (Legal Fee Only)	varies	varies	£0.00	0%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Deed of Covenant (All Types)	varies case by case	varies case by case	£0.00	0%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Deed of Rectification/Variation	Varies by type of variation	Varies by type of variation	£0.00	0%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
(Plus £130.00 with a plan)	N/A	N/A	£0.00	0%	Fee set by Merton			I&C	Legal Services
Enfranchisement								I&C	Legal Services
Legal Fee	£1,576.00	£1,652.00	£76.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Planning & Highways Agreements								I&C	Legal Services
S106	see Unilateral Undertaking below	see Unilateral Undertaking below	£0.00	0%	Fee set by Merton			I&C	Legal Services
S106 (Complex)	see Unilateral Undertaking below	see Unilateral Undertaking below	£0.00	0%	Fee set by Merton			I&C	Legal Services
S278 & S38	£2,627.00	£2,753.00	£126.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
S278	£2,627.00	£2,753.00	£126.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Unilateral Undertaking (Individual applicant)	£998.00	£1,046.00	£48.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Unilateral Undertaking (Commercial applicant)	£1,313.00	£1,376.00	£63.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Bilateral Agreements securing financial obligations (individual)	£1,313.00	£1,376.00	£63.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Bilateral Agreements securing financial obligations (Commercial)	£2101 minimum	£2202 minimum	£101.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Bilateral Agreements (as above) plus travel plans or affordable housing provisions	£2623 minimum	£2749 minimum	£126.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Bilateral Agreements (as above) plus viability reviews	£4465 minimum	£4679 minimum	£214.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Stopping Up Order	£4723 plus	£4950 plus	£227.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Licences	£1576 plus	£1652 plus	£76.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Additional work	£158.00	£166.00	£8.00	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		I&C	Legal Services
Environment, Civic Pride and Climate									
CCTV								ECPC	CCTV – Community Safety
Search fee (solicitors/public)	£100	£106	£6.00	6%	Fee set by Merton	**Inflationary rise**		ECPC	CCTV – Community Safety
Video release fee (solicitors/public)	£150	£158	£8.00	5%	Fee set by Merton	**Inflationary rise**		ECPC	CCTV – Community Safety
Court attendance (per officer, per day)	£250	£265	£15.00	6%	Fee set by Merton	**Inflationary rise**		ECPC	CCTV – Community Safety
Libraries and Heritage								ECPC	Libraries & Heritage
Overdue charges -Adult books	£0.28	£0.29	£0.01	4%	Fee set by Merton	Service Review	charge per day	ECPC	Libraries & Heritage
Overdue charges 3-week loan DVDs, videos	£0.28	£0.29	£0.01	4%	Fee set by Merton	Service Review	charge per day	ECPC	Libraries & Heritage
Overdue charges -Talking books (spoken word)	£0.28	£0.29	£0.01	4%	Fee set by Merton	Service Review	charge per day	ECPC	Libraries & Heritage
Overdue charges - Children's and teenage books / tapes (0-17)	N/A	N/A	£0.00	0%	Fee set by Merton		Children and teen fines were abolished at the June 2022 review	ECPC	Libraries & Heritage
Lost items - DVDs	Full rental charge	Full rental charge	£0.00	0%	Fee set by Merton			ECPC	Libraries & Heritage
Lost items - Lost ticket replacement	£3.20	£3.30	£0.10	3%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Lost items - Stock (in print)	RRP (plus 10% admin charge)	RRP (plus 10% admin charge)	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Lost items Stock (out of print)	RRP (plus 10% admin charge)	RRP (plus 10% admin charge)	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Reservations - Standard reservation (adults)	£0.62	£0.64	£0.02	3%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Reservations - Standard reservation (children and young people under the age of 18)	N/A	N/A	£0.00	0%	Fee set by Merton		No charge	ECPC	Libraries & Heritage
Peoples Network - Use of computers	N/A	N/A	£0.00	0%	Fee set by Merton		No charge	ECPC	Libraries & Heritage
Peoples Network - Computer Printouts (b/w A4)	£0.15	£0.20	£0.05	33%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Peoples Network - Computer Printouts (colour A4)	£0.60	£0.70	£0.10	17%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Peoples Network - Computer printouts (b/w A3)	£0.40	£0.50	£0.10	25%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Peoples Network - Computer printouts (colour A3)	£1.00	£1.10	£0.10	10%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Photocopying - A4 b/w	£0.15	£0.20	£0.05	33%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Photocopying - A3 b/w	£0.40	£0.50	£0.10	25%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Photocopying - A4 colour	£0.50	£0.60	£0.10	20%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Photocopying - A3 colour	£1.00	£1.20	£0.20	20%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Advertising - Via internal boards	£3.20	£3.29	£0.09	3%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Space hire - Libraries	£25 per hour (£35 out of hours, Sunday £44 per hour)	£26 per hour (£36 out of hours, Sunday £46 per hour)	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Space hire - Raynes Park	£32 per hour (£42 out of hours, Sundays £52 per hour)	£33 per hour (£43 out of hours, Sundays £54 per hour)	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Space hire - Colliers wood	Meeting Room1: £17 per hour (single room hire not available out of hours) Meeting Room 2: £17 per hour (single	Meeting Room1: £17 per hour (single room hire not available out of hours)	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Space hire - Merton Arts Spaces	available out of library opening hours): £84 per hour, £94 per hour on Sunday's	available out of library opening hours): £85 per hour, £95 per hour	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Caretaker charge to hirer	No additional charge. Charge incorporated within room hire costs.	Close £10 Open and close £20	£0.00	0%	Fee set by Merton	Service Review	New Fee	ECPC	Libraries & Heritage
Loan Charges - Projector hire	£15.00	£15.00	£0.00	0%	Fee set by Merton	Service Review	charge per session	ECPC	Libraries & Heritage
Loan Charges - Microphone / PA hire	£15.00	£15.00	£0.00	0%	Fee set by Merton	Service Review	charge per session	ECPC	Libraries & Heritage
Loan Charges - CDs	£1.50	£1.50	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Loan Charges - CD sets	£2.50	£2.50	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Loan Charges - Talking books (spoken word)	£1.55	£1.55	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Loan Charges - Language courses	£1.55	£1.55	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Loan Charges - Language courses (12 week loan)	£10.50	£10.50	£0.00	0%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ECPC	Libraries & Heritage
Loan Charges - DVDs	50p - £2.50	50p - £2.50	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Heritage and local studies charges - Enquiries under 15 minutes	N/A		£0.00	0%	Fee set by Merton	Service Review	No charge	ECPC	Libraries & Heritage
Heritage and local studies charges - Research per 30 minutes	£22.00	£23.00	£1.00	5%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Heritage and local studies charges - Photocopies	20p - 60p		£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Heritage and local studies charges - LSC photo scanning (sent as e-mail attachment)	£6.20 - £15.50 (depending on amount and size)	£6.20 - £15.50 (depending on amount and size)	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Heritage and local studies charges - Merton Memories website prints	£12.40 for 4"x6" print (plus £3.50 P&P). £15.50 for a 10"x8" print (plus £3.50	£12.40 for 4"x6" print (plus £3.50 P&P). £15.50 for a 10"x8" print (plus	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Other - Food waste bags	£3.10	£3.10	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Other - pencil	£0.10	£0.10	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Other - biro	£0.15	£0.15	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Other - A4 brown envelopes	£0.40	£0.40	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Other - A4 plain paper	10p	5p (or 20p for 5 sheets)	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Other - A4 plastic sleeve	£0.20	£0.20	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Other - A4 plastic sleeve with punched pocket	£0.20	£0.20	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Commercial services - Promotional space	£10.30-£52	£11-56	£0.00	0%	Fee set by Merton	Service Review		ECPC	Libraries & Heritage
Commercial services - Advertising on Merton Library Plasma screens	£10.50	£11.00	£0.50	5%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ECPC	Libraries & Heritage
Commercial services - Poster board and leaflet displays	£10.50	£10.60	£0.10	1%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ECPC	Libraries & Heritage
Waste Services								ECPC	

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Bulky Waste Collection (1-3 Items)	£37.75	£40.00	£2.25	6%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ECPC	Public Realm
Bulky Waste Collection (4-6 Items)	£62	£66.00	£4.00	6%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ECPC	Public Realm
Garden Waste Collection (per bin annual)	£95	£99.00	£4.00	4%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ECPC	Public Realm
Replacement residual waste bin delivery charge	£18.00	£19.00	£1.00	6%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ECPC	Public Realm
New garden waste wheeled bin delivery charge	£18.00	£19.00	£1.00	6%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ECPC	Public Realm
Replacement garden waste bin delivery charge	£18.00	£19.00	£1.00	6%	Fee set by Merton	Standard inflationary uplift applied (and rounded)		ECPC	Public Realm
Commercial Waste pre-paid sacks - Residual Waste	£2.50	TBC	£0.00	0%	Fee set by Merton	Regulation	Per unit price which includes collection and disposal	ECPC	Public Realm
Commercial Waste pre-paid sacks - Recycling	£2.00	TBC	£0.00	0%	Fee set by Merton	Regulation	Per unit price which includes collection and disposal	ECPC	Public Realm
Sports and Leisure services								ECPC	
Watersports Holiday Course (4 Full Days)	£288.00	£292.00	£4.00	1%	Fee set by Merton	Benchmarking		ECPC	Public Space
Watersports Holiday Course (5 Full Days)	£360.00	£365.00	£5.00	1%	Fee set by Merton	Benchmarking		ECPC	Public Space
Watersports Holiday Course High Performance (5 Full Days)	£385.00	£390.00	£5.00	1%	Fee set by Merton	Benchmarking		ECPC	Public Space
WP Admin Fee Half Day Course	£50.00	£50.00	£0.00	0%	Fee set by Merton	Benchmarking			
WP Admin Fee Full Day Course	£50.00	£50.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
Watersports Logbooks RYA Youth Sailing Scheme	£10.00	£10.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Powerboat Level 1 (8+ Years) (1 full day)	£185.00	£190.00	£5.00	3%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Powerboat Level 2 (12+ Years) (2 full days)	£365.00	£375.00	£10.00	3%	Fee set by Merton	Benchmarking		ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
RYA Powerboat Level 2, group of 3 (12+ Years)(2 full days)	£1,095.00	£1,125.00	£30.00	3%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Powerboat Safety Boat (16+ Years) (2 full days)	£365.00	£375.00	£10.00	3%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Adult Sailing Level 1 (16+ Years) (2 full days)	£290.00	£295.00	£5.00	2%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Adult Sailing Level 2 (16+ Years) (2 full days)	£290.00	£295.00	£5.00	2%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Adult Sailing Level 3 (16+ Years) (2 full days)	£290.00	£295.00	£5.00	2%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Specialist Short Course First Aid (14+ Years) (1 full day)	£125.00	£125.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Specialist Short Course Safe and Fun (16+ Years) (3 hrs)	N/A	N/A	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Coaching Pre-entry Assessment (16+ Years) (1 full day)	£110.00	£115.00	£5.00	5%	Fee set by Merton	Benchmarking		ECPC	Public Space
RYA Coaching Dinghy Instructor (16+ Years) (5 full days)	£400.00	£400.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
British Canoeing Discover (8+ Years) (1 full day)	£110.00	£110.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
British Canoeing Explore (12+ Years) (1 full day)	£110.00	£110.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
British Canoeing PSRC (14+ Years) (1 full day)	£110.00	£125.00	£15.00	14%	Fee set by Merton	Benchmarking		ECPC	Public Space
BCAB Paddleboard Instructor (2 full days)	£255.00	£260.00	£5.00	2%	Fee set by Merton	Benchmarking		ECPC	Public Space
BCAB SUP Instructor (2 full days)	£255.00	£260.00	£5.00	2%	Fee set by Merton	Benchmarking		ECPC	Public Space
ADULT Pay and play (Wed Morning Sailing) (2 hrs)	£35.00	£35.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
ADULT Pay and play (Tue Evening Sailing) (2 hrs)	£35.00	£35.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
Volunteering (15+ Years) (4 weeks)	£285.00	£300.00	£15.00	5%	Fee set by Merton	Benchmarking		ECPC	Public Space
Private 1:1 Tuition (Sailing) (90 min)	£99.00	£99.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
Private 1:1 Tuition (Paddling) (90 min)	£99.00	£99.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
Private 1:1 Tuition (Powerboat) (2 hrs)	£200.00	£200.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Public Space
Dragon Boating Event w/safety cover (4 hr)	£2,050.00	£2,100.00	£50.00	2%	Fee set by Merton	Benchmarking		ECPC	Public Space
Group Hourly Watersports (max 32)	£80.00	£82.00	£2.00	3%	Fee set by Merton	Benchmarking	Per 8 per hour	ECPC	Public Space
Group Hourly Sailing (min 12)	£90.00	£92.00	£2.00	2%	Fee set by Merton	Benchmarking	Per 6 per hour	ECPC	Public Space
Group Hourly Own Instructors Watersports (max 32)	£51.00	£60.00	£9.00	18%	Fee set by Merton	Benchmarking	Per 8 per hour	ECPC	Public Space
Group Hourly Own Instructors Sailing (min 12)	£61.00	£70.00	£9.00	15%	Fee set by Merton	Benchmarking	Per 6 per hour	ECPC	Public Space
Group Day Visit Watersports (min 16)	£56.00	£57.00	£1.00	2%	Fee set by Merton	Benchmarking	Per person (peak price £93)	ECPC	Public Space
Group Day Visit Sailing (min 12)	£56.00	£57.00	£1.00	2%	Fee set by Merton	Benchmarking	Per person (peak price £93)	ECPC	Public Space
Group Day Visit Own Instructors Watersports (min 16)	£40.00	£41.00	£1.00	3%	Fee set by Merton	Benchmarking	Per person (peak price £67)	ECPC	Public Space
Group Day Visit Own Instructors Sailing (min 12)	£40.00	£41.00	£1.00	3%	Fee set by Merton	Benchmarking	Per person (peak price £67)	ECPC	Public Space
Parties up to 16 (1 hr)	£228.00	£232.00	£4.00	2%	Fee set by Merton	Benchmarking		ECPC	Public Space
Parties up to 24 (1 hr)	£342.00	£348.00	£6.00	2%	Fee set by Merton	Benchmarking		ECPC	Public Space
Sailing Club Rent Per Week (2.5 hrs) up to 16 participants	£377.50	£405.00	£27.50	7%	Fee set by Merton	Benchmarking		ECPC	Public Space
Sailing Club Rent Per Week (2.5 hrs) up to 24 participants	£530.00	£580.00	£50.00	9%	Fee set by Merton	Benchmarking			
Sailing Club Rent Per Week (2.5 hrs) up to 32 participants	£682.50	£755.00	£72.50	11%	Fee set by Merton	Benchmarking			
Small Groups up to 5 (90 min)	£140.00	£145.00	£5.00	4%	Fee set by Merton	Benchmarking		ECPC	Public Space
GLL Wimbledon Gym Adult P&P	£10.20	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
GLL Wimbledon Gym Adult P&P Concession Peak	£10.20	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Gym Adult P&P Concession Off-Peak	£6.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Gym Basic Induction	£31.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Gym Junior Induction	£17.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Fitness Classes Adult Non-Member	£14.45	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Fitness Classes Adult P&P	£10.15	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Fitness Classes Adult P&P Concession Peak	£10.15	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Fitness Classes Adult P&P Concession Off-Peak	£5.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Swimming Adult Non-Member	£6.20	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Swimming Adult P&P	£4.40	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Swimming Adult P&P Concession	£4.40	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Swimming Adult P&P Concession Off-Peak	£2.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Swimming Junior Non-Member	£3.35	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Swimming Junior P&P	£2.55	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Wimbledon Birthday Parties Pool Party	£250.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
GLL Wimbledon Thermal Spa Session	£28.00	TBC	£0.00	0%			Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Gym Adult P&P	£10.20	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Gym Adult P&P Concession Peak	£10.20	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Gym Adult P&P Concession Off-Peak	£6.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Gym Basic Induction	£31.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Gym Junior Induction	£17.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Fitness Classes Adult Non-Member	£14.45	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Fitness Classes Adult P&P	£10.15	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Fitness Classes Adult P&P Concession Peak	£10.15	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Fitness Classes Adult P&P Concession Off-Peak	£5.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Swimming Adult Non-Member	£6.20	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Swimming Adult P&P	£4.40	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Swimming Adult P&P Concession	£4.40	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Swimming Adult P&P Concession Off-Peak	£2.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Swimming Junior Non-Member	£3.35	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
GLL Canons Swimming Junior P&P	£2.55	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Birthday Parties Soft Play Party	£200.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Birthday Parties Pool Party	£200.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Birthday Parties Multisports Party	£200.00	TBC					Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Squash Adult Non Member (40 mins)	£13.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Squash Adult P&P Peak (40 mins)	£9.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Squash Adult P&P Off Peak (40 mins)	£7.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Squash Junior Non-Member	£9.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Squash Junior P&P Peak (40 mins)	£9.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Squash Junior P&P Off Peak (40 mins)	£7.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Badminton Non-Member 40 mins (peak times)	£13.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Badminton Non-Member 60 mins (off peak)	£18.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Badminton Adult P&P 40 mins (peak)	£9.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Badminton Adult P&P 60 mins (off peak)	£13.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Badminton Junior 60 mins (off-peak only)	£7.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
GLL Canons Raquet Hire	£3.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Gymnastics (P&P only) Squad 1 Hour	£8.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Club Non-Member Activity Session	£5.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Club P&P Activity Session	£4.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Canons Toddlers World		TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Gym Adult P&P	£10.20	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Gym Adult P&P Concession	£10.20	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Gym Adult P&P Concession Off-Peak	£6.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Gym Basic Induction	£31.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Gym Junior Induction	£17.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Fitness Classes Adult Non-Member	£14.45	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Fitness Classes Adult P&P	£10.15	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Fitness Classes Adult P&P Concession Peak	£10.15	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Fitness Classes Adult P&P Concession Off-Peak	£5.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Swimming Adult Non-Member	£6.20	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
GLL Morden Swimming Adult P&P	£4.40	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Swimming Adult P&P Concession	£4.40	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Swimming Adult P&P Concession Off-Peak	£2.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Swimming Junior Non-Member	£3.35	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Swimming Junior P&P	£2.55	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Birthday Parties Pool Party	£250.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
GLL Morden Birthday Parties Inflatable Pool Party	£300.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider - LBM receive Guaranteed Income Model	ECPC	Public Space
Athletics track casual Adult	£7.50	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider	ECPC	Public Space
Athletics track casual Concession	£5.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider	ECPC	Public Space
Athletics track hire Weekdays 9am to 4pm hourly	£88.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider	ECPC	Public Space
Athletics track hire Evenings 4pm to 9pm per hour	£115.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider	ECPC	Public Space
Athletics track hire Weekends & Bank Holidays 9am to 6pm per hour	£115.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider	ECPC	Public Space
Athletics track hire Weekends & Bank Holidays after 6pm per hour	£115.00	TBC	£0.00	0%	Fees set by Provider		Fees set by Provider	ECPC	Public Space
Bowling Green Casual rate per session (to include woods if required)	£8.70	£9.15	£0.45	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Bowling Green Casual rate per session (Concession)	£6.95	£7.30	£0.35	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Bowling Green Club Matches per Person (Visitors Fee)	£4.60	£4.85	£0.25	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Bowling Green Club competition per person	£5.80	£6.10	£0.30	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Bowling Green Hire of Locker (per Season)	£15.10	£15.85	£0.75	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Bowling Green Season Tickets	£150.60	£158.15	£7.55	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Bowling Green Concession	£107.80	£113.20	£5.40	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Cricket Game (Casual)	£141.95	£149.05	£7.10	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Cricket Game (Casual) junior	£97.30	£102.15	£4.85	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Cricket Game (artificial pitch daytime session) adult	£107.80	£113.20	£5.40	5%	Fee set by Merton	Inflationary increase			
Cricket Game (artificial pitch daytime session) junior	£83.40	£87.55	£4.15	5%	Fee set by Merton	Inflationary increase			
Cricket Game (artificial pitch evening session) adult	£75.30	£79.05	£3.75	5%	Fee set by Merton	Inflationary increase			
Cricket Game (artificial pitch evening session) junior	£60.30	£63.30	£3.00	5%	Fee set by Merton	Inflationary increase			
Football Game (Casual) adult	£133.25	£139.90	£6.65	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Football Game (Casual) junior	£92.65	£97.30	£4.65	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Football Mini pitches	£55.60	£58.40	£2.80	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Football Aussie Rules (football during cricket season at Sir Joseph Hood)	£139.10	£146.05	£6.95	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Softball Game at Colliers Wood	Not offered	Not offered	£0.00	0%	Fee set by Merton			ECPC	Public Space
Lacrosse Adult game	£73.00	£76.65	£3.65	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Crazy Golf Wimbledon Park - Adults	£9.05	£9.50	£0.45	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Crazy Golf Wimbledon Park - Concession	£6.75	£7.10	£0.35	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Crazy Golf Wimbledon Park - Family	£14.65	£15.40	£0.75	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Rugby (Dressing room and hot water) One off Game (Casual)	£144.80	£152.05	£7.25	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Rugby (Dressing room and hot water) One off Game (Youth)	£103.10	£108.25	£5.15	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
EMMA WELLS Tennis general not Wimbledon court hire any time Adults - Evenings & Weekends	£0.00	TBC	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Space
EMMA WELLS Tennis general not Wimbledon court hire any time Concession	£0.00	TBC	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Space
EMMA WELLS Tennis general not Wimbledon court hire any time Commercial Rate per hour	£0.00	TBC	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Space
EMMA WELLS Tennis Wimbledon Park artificial grass courts Adults - Evenings & Weekends	£12.60	TBC	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Space
EMMA WELLS Tennis Wimbledon Park artificial grass courts Adults - Monday to Friday up to 5pm	£9.66	TBC	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Space
EMMA WELLS Tennis Wimbledon Park artificial grass courts Concession - Monday to Friday up to 5pm	£9.66	TBC	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Space
EMMA WELLS Tennis Wimbledon Park artificial grass courts Commercial Rate per hour	£9.66	TBC	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Space
EMMA WELLS Macadam courts Adults - Evenings & Weekends	tbc	tbc	£0.00	0%				ECPC	Public Space
EMMA WELLS Macadam courts Adults - Monday to Friday up to 5pm	tbc	tbc	£0.00	0%				ECPC	Public Space
EMMA WELLS Macadam courts Concession - Monday to Friday up to	tbc	tbc	£0.00	0%				ECPC	Public Space
EMMA WELLS Macadam courts Commercial Rate per hour	tbc	tbc	£0.00	0%				ECPC	Public Space
EMMA WELLS Macadam courts Commercial Rate (Concession) per	tbc	tbc	£0.00	0%				ECPC	Public Space
EMMA WELLS Macadam courts Netball (per hour, courts 11 -20)	tbc	tbc	£0.00	0%				ECPC	Public Space
IDV Beach Volleyball (Wimbledon Park) hourly rate per court	£20.85	£21.90	£1.05	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
IDV Training areas Haydons Road	Not offered	Not offered	£0.00	0%	Fee set by Merton			ECPC	Public Space
IDV Training areas Colliers Wood, Morden Recreation Ground & Raynes Park Sports Ground Hourly Rate (Adult)	£62.60	£65.75	£3.15	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
IDV Training areas Colliers Wood, Morden Recreation Ground & Raynes Park Sports Ground Hourly Rate (Junior)	£46.35	£48.65	£2.30	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
IDV Training areas Lavender Park Multisport - Adult	£76.45	£80.25	£3.80	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
IDV Training areas Lavender Park Multisport - Junior	£53.15	£55.80	£2.65	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
IDV Training areas Unmarked Pitch bookings 1 hour slot	£18.55	£19.45	£0.90	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
Allotment basic rate per rod (25 sq. m)	£24.27	£25.48	£1.21	5%	Fee set by Merton	Service Review		ECPC	Public Space
Allotment concession rate per rod (25 sq. m)	£17.10	£17.95	£0.85	5%	Fee set by Merton	Service Review		ECPC	Public Space
Allotment water rate per rod (25 sq. m)	£7.50	£9.98	£2.48	33%	Fee set by Merton	Service Review		ECPC	Public Space
Allotment basic rate per rod 1/2 size 5 rods	£121.34	£127.41	£6.07	5%	Fee set by Merton	Service Review		ECPC	Public Space
Allotment concession rate per rod 1/2 size 5 rods	£85.49	£89.76	£4.27	5%	Fee set by Merton	Service Review		ECPC	Public Space
Allotment water rate per rod 1/2 size 5 rods	£37.53	£49.91	£12.38	33%	Fee set by Merton	Service Review		ECPC	Public Space
Allotment basic rate per rod full plot 10 rods	£242.69	£254.82	£12.13	5%	Fee set by Merton	Service Review		ECPC	Public Space
Allotment concession rate per rod full plot 10 rods	£170.99	£179.54	£8.55	5%	Fee set by Merton	Service Review		ECPC	Public Space
Allotment water rate per rod full plot 10 rods	£75.05	£99.81	£24.76	33%	Fee set by Merton	Service Review		ECPC	Public Space
Standard Rate Small (up to 3 rods) Including Rent / Water	N/A	£100.00	N/A	N/A	Fee set by Merton	Service Review	All new allotment agreements will be based on this rate	ECPC	Public Space
Standard Rate Medium (4–7 rods) Including Rent / Water	N/A	£232.00	N/A	N/A	Fee set by Merton	Service Review	All new allotment agreements will be based on this rate	ECPC	Public Space
Standard Rate Large (8–10 rods) Including Rent / Water	N/A	£333.00	N/A	N/A	Fee set by Merton	Service Review	All new allotment agreements will be based on this rate	ECPC	Public Space
Concession Rate Small (up to 3 rods) Including Rent / Water	N/A	£79.03	N/A	N/A	Fee set by Merton	Service Review	All new allotment agreements will be based on this rate	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Concession Rate Medium (4–7 rods) Including Rent / Water	N/A	£183.26	N/A	N/A	Fee set by Merton	Service Review	All new allotment agreements will be based on this rate	ECPC	Public Space
Concession Rate Large (8–10 rods) Including Rent / Water	N/A	£263.29	N/A	N/A	Fee set by Merton	Service Review	All new allotment agreements will be based on this rate	ECPC	Public Space
Refundable Deposit for all NEW allotment tenancies	N/A	£150.00	N/A	N/A	Fee set by Merton	Service Review	New tenants must pay a £150 refundable deposit when their tenancy begins. The deposit will be	ECPC	Public Space
Allotment Key	N/A	£5.00	N/A	N/A	Fee set by Merton	Service Review	The cost of an allotment key is £5. This is a one-off charge and is not refundable.	ECPC	Public Space
MSJC Cemetery Lawn grave burial rights resident 50 year lease	£2,866.50	£2,865.00	-£1.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Lawn grave burial rights non resident 50 year lease	£5,029.50	£5,030.00	£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Lawn grave burial rights resident 75 year lease	£4,305.00	£4,300.00	-£5.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Lawn grave burial rights non resident 75 year lease	£7,544.25	£7,545.00	£0.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Lawn grave Interments resident 50 year lease	£1,785.00	£1,785.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Lawn grave Interments non resident 50 year lease	£3,139.50	£3,140.00	£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Lawn grave Interments resident 75 year lease	£1,785.00	£1,785.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Lawn grave Interments non resident 75 year lease	£3,139.50	£3,140.00	£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery child interments NVF under 24 weeks (4ft deep) Resident	£336.00	£336.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery child interments NVF under 24 weeks (4ft deep) Non Resident	£866.25	£866.00	-£0.25	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery child interments stillborn or up to 18 years(6'6") Resident	£1,312.50	£1,310.00	-£2.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery child interments stillborn or up to 18 years(6'6") Non Resident	£2,294.25	£2,300.00	£5.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Semi Lawn grave burial rights resident 50 year lease	£3,197.25	£3,200.00	£2.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Semi Lawn grave burial rights non resident 50 year lease	£5,628.00	£5,630.00	£2.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Semi Lawn grave burial rights resident 75 year lease	£4,798.50	£4,800.00	£1.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Semi Lawn grave burial rights non resident 75 year lease	£8,431.50	£8,430.00	-£1.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Semi Lawn grave Interments resident 50 year lease	£1,785.00	£1,785.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Semi Lawn grave Interments non resident 50 year lease	£3,139.50	£3,140.00	£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Semi Lawn grave Interments resident 75 year lease	£1,785.00	£1,785.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Semi Lawn grave Interments non resident 75 year lease	£3,139.50	£3,140.00	£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery coffins NVF under 24 weeks (4ft) Resident	£336.00	£336.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery coffins NVF under 24 weeks (4ft) non resident	£866.25	£866.00	-£0.25	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery coffins stillborn or child up to 18 years (4ft 6) Resident	£1,312.50	£1,310.00	-£2.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery coffins stillborn or child up to 18 years (4ft 6) Non Resident	£2,294.25	£2,300.00	£5.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cremation Remain Lawn grave burial rights resident 50 year lease	£1,207.50	£1,210.00	£2.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cremation Remain Lawn grave burial rights non resident 50 year lease	£2,189.25	£2,190.00	£0.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cremation Remain Lawn grave burial rights resident 75 year lease	£1,932.00	£1,930.00	-£2.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cremation Remain Lawn grave burial rights non resident 75 year lease	£3,507.00	£3,510.00	£3.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cremation Remain Lawn grave Interments resident 50 year lease	£495.60	£485.00	-£10.60	-2%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cremation Remain Lawn grave Interments non resident 50 year lease	£495.60	£485.00	-£10.60	-2%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cremation Remain Lawn grave Interments resident 75 year lease	£495.60	£485.00	-£10.60	-2%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
MSJC Cemetery Cremation Remain Lawn grave Interments non resident 75 year lease	£495.60	£485.00	-£10.60	-2%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery reduced interment for 40 plus years of residency	£1,785.00	£1,785.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Digging extra depth beyond 2 metres (6'6") - for 3 or 4 interments depending on location	£703.50	£705.00	£1.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Digging extra depth beyond 2 metres (6'6") English Casket & coffins 29'' and over (depending on location)	£749.70	£750.00	£0.30	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Coffins 29" and over extra charge maximum size is 30 inches in width	£352.80	£352.00	-£0.80	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Scattering Cremated Remains Over Graves under the turf	£142.80	£142.00	-£0.80	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Scattering Cremated Remains for a still born or up to 1 years old	£72.45	£72.00	-£0.45	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Each additional Interment of Cremated Remains is half price of the original fee	POA		£0.00	0%	Fees set by Provider		Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Transfer of Ownership of Grave	£136.50	£136.00	-£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Transfer of Ownership of Grave with Statutory Declaration	£189.00	£189.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Duplicate deed	£78.75	£78.00	-£0.75	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Exhumation of a body	£5,218.50	£5,220.00	£1.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Exhumation of a cremation remains	£745.50	£745.00	-£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Search fee for per burial	£71.40	£71.00	-£0.40	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery 11.00 am Saturday Funeral Service	£876.75	£876.00	-£0.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Shroud burial including formation of chamber	£469.35	£469.00	-£0.35	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cancellation (if a grave has already been prepared)	£1,785.00	£1,785.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cancellation (if a grave has already been prepared) for a coffin 29'' and over	£2,236.50	£2,236.00	-£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Cancellation of cremated remains interment (if a grave has already been prepared)	£498.75	£485.00	-£13.75	-3%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Service over run / late arrival of funeral per 30 mins	£388.50	£390.00	£1.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Refund Charge	£66.15	£66.00	-£0.15	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Levelling and seeding of a grave only undertaken between October and March	£178.50	£178.00	-£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Use of Chapel max 30 minutes	£68.25	£70.00	£1.75	3%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Bi degradable cremation remains container	£15.75	£15.00	-£0.75	-5%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Grave location map per grave via email	£7.35	£7.00	-£0.35	-5%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery For the right to erect a Lawn or Traditional memorial or Tablet over 3" x width 18" x depth 12"	£348.60	£345.00	-£3.60	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery To replace an existing memorial stone for a new memorial	£348.60	£345.00	-£3.60	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery To replace an existing memorial stone like for like for a new memorial	£348.60	£345.00	-£3.60	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Exceeding 4'6'' in height but not exceeding 5' in height from ground level	£750.75	£750.00	-£0.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery For the right to erect and place a vase, urn or other similar flower container maximum size of: height 7" x width 10" x depth 7"	£142.80	£142.00	-£0.80	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Additional Inscription and or repainting letters	£142.80	£142.00	-£0.80	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery For the right to install a tablet maximum size of height 3" x width 18" x depth 12"	£142.80	£142.00	-£0.80	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery To renovate or repair existing memorial and clean at the same time	£142.80	£142.00	-£0.80	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
MSJC Cemetery To renovate or repair existing memorial	£142.80	£142.00	-£0.80	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery To clean a memorial only	£142.80	£142.00	-£0.80	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery Where memorial has subsided - to reinstate and level - Full Memorial	£142.80	£142.00	-£0.80	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery forming/reforming garden area on single grave space	£100.80	£96.00	-£4.80	-5%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery planting a traditional or semi lawn with spring/summer flowers	£499.80	£495.00	-£4.80	-1%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
MSJC Cemetery planting a single lawn with spring/summer flowers	£249.90	£249.00	-£0.90	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery Coffin only Lawn grave burial rights resident 50 year lease	£2,866.50	£2,865.00	-£1.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery Coffin only Lawn grave burial rights non resident 50 year lease	£5,029.50	£5,030.00	£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery Coffin only Lawn grave burial rights resident 75 year lease	£4,305.00	£4,300.00	-£5.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery Coffin only Lawn grave burial rights non resident 75 year lease	£7,544.25	£7,545.00	£0.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery Coffin only Lawn grave Interments resident 50 year lease	£1,785.00	£1,785.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery Coffin only Lawn grave Interments non resident 50 year lease	£3,139.50	£3,140.00	£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery Coffin only Lawn grave Interments resident 75 year lease	£1,785.00	£1,785.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery Coffin only Lawn grave Interments non resident 75 year lease	£3,139.50	£3,140.00	£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery child interments NVF under 24 weeks (4ft deep) Resident	£341.25	£340.00	-£1.25	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery child interments NVF under 24 weeks (4ft deep) Non Resident	£866.25	£866.00	-£0.25	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery child interments stillborn or up to 18 years(6'6") Resident	£1,312.50	£1,310.00	-£2.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery child interments stillborn or up to 18 years(6'6") Non Resident	£2,294.25	£2,300.00	£5.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery American/Wooden Coffin only Lawn grave burial rights resident 50 year lease	£3,276.00	£3,275.00	-£1.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery American/Wooden Coffin only Lawn grave burial rights non resident 50 year lease	£5,733.00	£5,735.00	£2.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery American/Wooden Coffin only Lawn grave burial rights resident 75 year lease	£4,914.00	£4,915.00	£1.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery American/Wooden Coffin only Lawn grave burial rights non resident 75 year lease	£8,599.50	£8,600.00	£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery American/Wooden Coffin only Lawn grave Interments resident 50 year lease	£2,236.50	£2,236.00	-£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery American/Wooden Coffin only Lawn grave Interments non resident 50 year lease	£3,916.50	£3,915.00	-£1.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery American/Wooden Coffin only Lawn grave Interments resident 75 year lease	£2,236.50	£2,236.00	-£0.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery American/Wooden Coffin only Lawn grave Interments non resident 75 year lease	£3,906.00	£3,906.00	£0.00	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery common graves interments NVF under 24 weeks (4ft deep) Resident	£341.25	£336.00	-£5.25	-2%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery common graves interments NVF under 24 weeks (4ft deep) Non Resident	£866.25	£866.00	-£0.25	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery common graves interments stillborn or up to 18 years(6'6") Resident	£1,312.50	£1,310.00	-£2.50	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
London Road Cemetery common graves interments stillborn or up to 18 years(6'6") Non Resident	£2,294.25	£2,300.00	£5.75	0%	Fees set by Provider	Fees set by Provider	Fees set by Provider	ECPC	Public Realm
PS Events Community daily fee Up to 499	£200.00	£210.00	£10.00	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space
PS Events Community daily fee 500 to 999	£350.00	£367.50	£17.50	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space
PS Events Community daily fee 1,000 to 1,999	£1,000.00	£1,050.00	£50.00	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space
PS Events Community daily fee 2,000 to 2,999	£1,550.00	£1,627.50	£77.50	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
PS Events Community daily fee 3,000 to 3,999	£2,000.00	£2,100.00	£100.00	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space
PS Events Community daily fee 4,000 to 4,999	£2,750.00	£2,887.50	£137.50	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space
PS Events Community daily fee 5,000 to 9,999	£5,500.00	£5,775.00	£275.00	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space
PS Events Community daily fee More than 10,000	£7,500.00	£7,875.00	£375.00	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space
PS Events Morden Park bandstand daily fee up to 200 people	£400.00	£420.00	£20.00	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space
PS Events Morden Park bandstand daily fee 201-500 people	£700.00	£735.00	£35.00	5%	Fee set by Merton	Inflationary increase	50% of day hire fee (maximum of £500) for set up and breakdown fees	ECPC	Public Space
PS Events registered commercial charity daily fee Up to 499	80% of commercial rate	80% of commercial rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and breakdown days as per commercial set up/derig	ECPC	Public Space
PS Events registered commercial charity daily fee 500 to 1,999	80% of commercial rate	80% of commercial rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and breakdown days as per commercial set up/derig	ECPC	Public Space
PS Events registered commercial charity daily fee 2,000 to 2,999	80% of commercial rate	80% of commercial rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and breakdown days as per commercial set up/derig	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
PS Events registered commercial charity daily fee 3,000 to 3,999	80% of commercial rate	80% of commercial rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and breakdown days as per commercial set up/derig	ECPC	Public Space
PS Events registered commercial charity daily fee 4,000 to 4,999	80% of commercial rate	80% of commercial rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and breakdown days as per commercial set up/derig	ECPC	Public Space
PS Events registered commercial charity daily fee 5,000 to 9,999	80% of commercial rate	80% of commercial rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and breakdown days as per commercial set up/derig	ECPC	Public Space
PS Events registered commercial charity daily fee 10,000 to 19,999	80% of commercial rate	80% of commercial rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and breakdown days as per commercial set up/derig	ECPC	Public Space
PS Events registered commercial charity daily fee More than 20,000	80% of commercial rate	80% of commercial rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and breakdown days as per commercial set up/derig	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
PS Events Commercial daily fee Up to 500	£1,700.00	£1,785.00	£85.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 501-1000	£3,300.00	£3,465.00	£165.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 1001-5000	£14,000.00	£14,700.00	£700.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 5001-10,000	£27,000.00	£28,350.00	£1,350.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 10,001-20,000	£50,000 - £65,000	£50,000 - £65,000	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee Up to 40,000* (depends on numbers here, sliding scale over 20,000)	£140,000.00	£147,000.00	£7,000.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee Up to 500 extra day	£950.00	£997.50	£47.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 501-1000 extra day	£1,750.00	£1,837.50	£87.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 1001-5000 extra day	£6,300.00	£6,615.00	£315.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 5001-10,000 extra day	£12,500.00	£13,125.00	£625.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 10,001-20,000 extra day	50% of Day 1 fee	55% of Day 1 fee	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee Up to 40,000* (depends on numbers here, sliding scale over 20,000) extra day	50% of Day 1 fee	55% of Day 1 fee	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee Up to 500 Set and breakdown	£250.00	£262.50	£12.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 501-1000 Set and breakdown	£300.00	£315.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 1001-5000 Set and breakdown	£450.00	£472.50	£22.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 5001-10,000 Set and breakdown	£770.00	£808.50	£38.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee 10,001-20,000 Set and breakdown	£1,500.00	£1,575.00	£75.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Commercial daily fee Up to 40,000* (depends on numbers here, sliding scale over 20,000) Set and breakdown	£1,900.00	£1,995.00	£95.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Parks user groups daily fee up to 249	£20.00	£21.00	£1.00	5%	Fee set by Merton	Inflationary increase	Set up and breakdown days will cost the same - booking fee 10% of hire fee or £35 which ever is higher. Admin fee £20	ECPC	Public Space
PS Events Parks user groups daily fee 250 - 500	£20.00	£21.00	£1.00	5%	Fee set by Merton	Inflationary increase	Set up and breakdown days will cost the same - booking fee 10% of hire fee or £35 which ever is higher. Admin fee £20	ECPC	Public Space
PS Events Phot shoot (per hour)	£100.00	£105.00	£5.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
PS Events Family gatherings less than 49	£50.00	£52.50	£2.50	5%	Fee set by Merton	Inflationary increase	Less than 30 people is free	ECPC	Public Space
PS Events Family gatherings more than 50	as per community rates	as per community rates	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Wedding reception (Cannizaro park) less than 50	£1,700.00	£1,785.00	£85.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Wedding reception (Cannizaro park) 50 to 100	£2,400.00	£2,520.00	£120.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Wedding reception (Cannizaro park) 101 to 150	£2,850.00	£2,992.50	£142.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Wedding reception (Cannizaro park) Over 150	On application	On application	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Wedding reception (Morden Park) less than 50	£150.00	£157.50	£7.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Wedding reception (Morden Park) 50 to 100	£300.00	£315.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Wedding reception (Morden Park) 101 to 150	£570.00	£598.50	£28.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Wedding reception (Morden Park) Over 150	On application	On application	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Public (free) art installations/Performances 1 day	Community rate	Community rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and break down daily fee same as community rate	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
PS Events Public (free) art installations/Performances up to 28 days (per day)	Community rate	Community rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and break down daily fee same as community rate	ECPC	Public Space
PS Events Public (free) art installations/Performances more than 28 days	Community rate	Community rate	£0.00	0%	Fee set by Merton	Inflationary increase	Set up and break down daily fee same as community rate	ECPC	Public Space
PS Events Funfairs daily fee Small - up to 5 rides	£750.00	£787.50	£37.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Funfairs daily fee Medium - 6 to 10 rides	£1,200.00	£1,260.00	£60.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events funfairs daily fee Large - 11-19 rides	£1,700.00	£1,785.00	£85.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events funfairs daily fee X large - more than 20 rides	£2,300.00	£2,415.00	£115.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events funfairs daily fee Small - up to 5 rides set up and breakdown	£300.00	£315.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events funfairs daily fee Medium - 6 to 10 rides set up and breakdown	£450.00	£472.50	£22.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events funfairs daily fee Large - 11-19 rides set up and breakdown	£700.00	£735.00	£35.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events funfairs daily fee X large - more than 20 rides set up and breakdown	£1,000.00	£1,050.00	£50.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Circus daily fee Small - up to 500 seating capacity	As per funfair	As per funfair	£0.00	0%	Fee set by Merton	Inflationary increase	Set and breakdown days same as funfair	ECPC	Public Space
PS Events Circus daily fee Medium - 501 to 750 seating capacity	As per funfair	As per funfair	£0.00	0%	Fee set by Merton	Inflationary increase	Set and breakdown days same as funfair	ECPC	Public Space
PS Events Circus daily fee Large - 751 to 1000 seating capacity	As per funfair	As per funfair	£0.00	0%	Fee set by Merton	Inflationary increase	Set and breakdown days same as funfair	ECPC	Public Space
PS Events Circus daily fee X large - greater than 1000 seating capacity	As per funfair	As per funfair	£0.00	0%	Fee set by Merton	Inflationary increase	Set and breakdown days same as funfair	ECPC	Public Space
PS Events corporate Attendance/invitations up to 250 per day	£1,300.00	£1,365.00	£65.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events corporate Attendance/invitations up to 500 per day	£1,600.00	£1,680.00	£80.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events corporate Attendance/invitations up to 1000 per day	£2,300.00	£2,415.00	£115.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events corporate Attendance/invitations 1001-5000	£3,100.00	£3,255.00	£155.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events corporate Attendance/invitations 5001-10000	£6,200.00	£6,510.00	£310.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events corporate Attendance/invitations up to 250 per day non event day (set up and break down)	£250.00	£262.50	£12.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events corporate Attendance/invitations up to 500 per day non event day (set up and break down)	£300.00	£315.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
PS Events corporate Attendance/invitations up to 1000 per day non event day (set up and break down)	£300.00	£315.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events corporate Attendance/invitations 1001-5000 non event day (set up and break down)	£600.00	£630.00	£30.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events corporate Attendance/invitations 5001-10000 non event day (set up and break down)	£1,300.00	£1,365.00	£65.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Helicopter landing	£750.00	£780.00	£30.00	4%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Key deposit (Fully refundable)	£50.00	£55.00	£5.00	10%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Service charges Water/Power charges - a number of parks have water/power points the charge out rate for water is £25 per standpipe per day	£50.00	£55.00	£5.00	10%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Service charges Site clean up - charged at £xx per hour per staff member + materials - Price on a per hour basis w/ 1FTE - each event needs est. based on activity & est. of waste disposal @ £225/tonne	Service Provider Quote	Service Provider Quote	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Space
PS Events Service charges PRS & PPL royalty fees – Performing Right Society and Phonographic Performance Limited collect royalty fees for recorded piped music and live music respectively. Any event that involves the above will incur an additional charge over and above the standard. Up to 4999 people and or ticket price less than £10 - to be covered by event supplier	N/A	N/A	£0.00	0%	Fee set by Merton	Inflationary increase	10% of venue hire fee	ECPC	Public Space

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
PS Events Environmental Impact fee	10% of total fee	12% of total fee	£0.00	0%	Fee set by Merton	Inflationary increase	Estimated on event activity	ECPC	Public Space
PS Events waste deposit	N/A	N/A	£0.00	0%	Fee set by Merton	Inflationary increase	Estimated on event activity	ECPC	Public Space
PS Events damages Deposit	N/A	10- 25% of total hire fee POA	£0.00	0%	Fee set by Merton	Inflationary increase	Estimated on event activity	ECPC	Public Space
PS Events general Deposit	N/A	N/A	£0.00	0%	Fee set by Merton	Inflationary increase	Estimated on event activity	ECPC	Public Space
PS Events Application form	Application Fee (Max £250) - 10% of hire fee or £25 (whichever greater)	Application Fee (Max £300) - 10% of hire fee or £30 (whichever greater)	£0.00	0%	Fee set by Merton	Inflationary increase			
Public Space								ECPC	
Management Intervention Costs Business support officer hourly	£28.28	£29.64	£1.36	5%	Fee set by Merton	Service Review		ECPC	Public Realm
Management Intervention Costs Service manger hourly	£40.00	£41.92	£1.92	5%	Fee set by Merton	Service Review		ECPC	Public Realm
Management Intervention Costs Business support analyst hourly	£51.62	£54.10	£2.48	5%	Fee set by Merton	Service Review		ECPC	Public Realm
Management Intervention Costs Head of service/ Director hourly	£100.00	£104.80	£4.80	5%	Fee set by Merton	Service Review		ECPC	Public Realm
Offence of leaving litter.	£250	£250	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Unauthorised distribution of free printed matter on designated land.	£250	£250	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Dog Fouling	£250	£250	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Failure to comply with a street litter control notice.	£250	£250	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Failure to comply with a litter clearing notice.	£250	£250	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Failure to comply with waste receptacle notice - Residential	£150	£150	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Failure to produce authority (waste carrier's licence).	£300	£300	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Incorrect Waste Presentation – (Time Banded Waste)	£150	£150	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Failure to furnish written waste information.	£300	£300	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Unauthorised or harmful deposit, treatment or disposal etc. of waste (fly-tipping - Residents)	£1,000	£1,000	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Unauthorised or harmful deposit, treatment or disposal etc. of waste (fly-tipping - Commercial)	£1,000	£1,000	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Failure to comply with a waste receptacle notice	£400	£400	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Graffiti	£150	£150	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Public Realm
Parking								ECPC	
Resident Parking Permits - Zone MT	90.00	95.00	£5.00	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Resident Parking Permits - Zones CW3,FG1,GC,GC1-4,MTC1,MTC2,WB2	100.00	105.00	£5.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Resident Parking Permits - Zones FG2, LS,MTC,WB1	110.00	115.00	£5.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Resident Parking Permits - Zones CH,H3, RPC, RPC1,RPW,VQ,VSW1	125.00	130.00	£5.00	4%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Resident Parking Permits - Zones A1,CW,CW1,CW2,CW4,H1,H2,M1,M2,M3,M4,MP1,MP2,MP3,MP4 ,P1 ,P2,P2s,RP,RPE,RPN,RPS,S1,S2,S3,SW,SW1,VN,VNe,VNs,VSW,VSW2	135.00	145.00	£10.00	7%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Resident Parking Permits - Zones 2-5F, 3E,CW5,P3,VC,VOn,VOs,Vot, W1,W2,W5,W6.W7	145.00	155.00	£10.00	7%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Resident Parking Permits - Zones W3, W4	185.00	195.00	£10.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Resident electric vehicle permit	50.00	£70.00	£20.00	40%	Fee set by Merton	Service Review		ECPC	Public Realm
Resident Permit - Additional charge for Second Permit	50.00	£50.00	£0.00	0%	Fee set by Merton	No change		ECPC	Public Realm
Resident Permit - Additional charge for Third Permit	100.00	£100.00	£0.00	0%	Fee set by Merton	No change		ECPC	Public Realm
Visitor e-permit Half day	3.50	3.50	£0.00	0%	Fee set by Merton	No change		ECPC	Public Realm
Visitor e-permit Full day	5.25	5.25	£0.00	0%	Fee set by Merton	No change		ECPC	Public Realm
Visitor Scratchcard half day	3.50	3.50	£0.00	0%	Fee set by Merton	No change		ECPC	Public Protection, Parking Services
Visitor Scratchcard Full day	5.25	5.25	£0.00	0%	Fee set by Merton	No change		ECPC	Public Realm
Annual Visitor permit - Zone MTC1	235.00	£250.00	£15.00	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Annual Visitor Permit - Zones CW4,FG2,GC2,GC3,GC4,H1,H2,P1,P2	245.00	£260.00	£15.00	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Annual Visitor Permit - Zones GC,GC1,M2,MTC2	255.00	£270.00	£15.00	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Annual Visitor Permit - Zones CW,M1,RPE,RPN,S2,VSW1,W1	265.00	£280.00	£15.00	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Annual Visitor Permit - Zones CH ,CW1,CW2,CW3,CW5,H3,LS,M3,M4,MP1,MP2,MP3,MP4 ,MT,MTC, P2s,P3,RP,RPC1,RPS,RPW,S1,S3,SW,SW1,VC,VN,VNs,VOn,VOs,VSW2, W2	275.00	£290.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Annual Visitor Permit - Zones 2F,3E,3F,4F,5F,A1,FG1,RPC,VNe,VOt,VQ,VSW,W3,W4,W7,WB1,WB2	285.00	£300.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Annual Visitor Permit - Zones W5 and W6	325.00	£345.00	£20.00	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Mitcham - Standard Season Ticket - 12 months	577.50	£605.00	£27.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Mitcham - Standard Season Ticket - 6 months	330.00	£345.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Mitcham - Standard Season Ticket - 1 month	68.75	£72.00	£3.25	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Mitcham - Resident/worker Season Ticket - 12 months	330.00	£345.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Mitcham - Resident/worker Season Ticket - 6 months	247.50	£260.00	£12.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Mitcham - Resident/worker Season Ticket - 1 month	68.75	£72.00	£3.25	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden - Standard Season Ticket - 12 months	£1,347.50	£1,415.00	£67.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden - Standard Season Ticket - 6 months	£770.00	£810.00	£40.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden - Standard Season Ticket - 3 months	£433.25	£455.00	£21.75	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden - Resident/worker Season Ticket - 12 months	£770.00	£810.00	£40.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden - Resident/worker Season Ticket - 6 months	£577.50	£605.00	£27.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden - Resident/worker Season Ticket - 3 months	£385.00	£405.00	£20.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Wimbledon Queens Road car park - Standard Season Ticket - 6 months	660.00	£695.00	£35.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Wimbledon Queens Road car park - Standard Season Ticket - 3 months	330.00	£345.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Wimbledon Queens Road car park - Resident/worker Season Ticket - 6 months	550.00	£580.00	£30.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Wimbledon Queens Road car park - Resident/worker Season Ticket - 3 months	275.00	£290.00	£15.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Business Permit - 6 months	412.50	435.00	£22.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Business Permit -Diesel/High emissions supplement	75.00	80.00	£5.00	7%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Electric Vehicle - 7 days	50.00	52.50	£2.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Electric Vehicle - 1 month	150.00	160.00	£10.00	7%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Electric Vehicle - 3 months	375.00	395.00	£20.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Electric Vehicle - 6 months	580.00	610.00	£30.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Electric Vehicle - 1 year	860.00	905.00	£45.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Petrol Vehicle - 7 days	50.00	52.50	£2.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Petrol Vehicle - 1 month	150.00	160.00	£10.00	7%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Petrol Vehicle - 3 months	375.00	395.00	£20.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Petrol Vehicle - 6 months	600.00	630.00	£30.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Petrol Vehicle - 1 year	900.00	945.00	£45.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Diesel/High Emis Vehicle - 7 days	52.85	57.50	£4.65	9%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Diesel/High Emis Vehicle - 1 month	162.50	170.00	£7.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Diesel/High Emis Vehicle - 3 months	412.50	435.00	£22.50	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Diesel/High Emis Vehicle - 6 months	675.00	710.00	£35.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Trade Permit - Diesel/High Emis Vehicle - 1 year	1,050.00	1,100.00	£50.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Teacher permits - Full year - Petrol vehicle	235.00	245.00	£10.00	4%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Teacher permits - Full year - Diesel vehicle	385.00	405.00	£20.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Teacher permits - Full year - Petrol vehicle (CO_2 emission that emits 226g/km or more)	385.00	405.00	£20.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Teacher permits - Full year - Fully electric vehicle	195.00	205.00	£10.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Teacher permits - Single term - Petrol vehicle	78.00	82.00	£4.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Teacher permits - Single term - Diesel vehicle	128.00	135.00	£7.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Teacher permits - Single term - Petrol vehicle (CO_2 emission that emits 226g/km or more)	128.00	135.00	£7.00	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Bay Suspensions - Charge for 1 day suspension	£35	36.75	£1.75	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Bay Suspensions - Daily charge day 2 onwards	£35	40.00	£5.00	14%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Bay Suspensions - Administration fee	£35	36.75	£1.75	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Bay Suspensions - Amendment fee	£35	36.75	£1.75	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Yellow Line Dispensation - Per vehicle, per day	£35	£36.75	£1.75	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Pay and Display on street - Low tariff zones	£1.70	£1.80	£0.10	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Pay and Display on street - Mid tariff zones	£3.40	£3.60	£0.20	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Pay and Display on street - High tariff zones	£5.10	£5.40	£0.30	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Broadway Car Park - 30 mins	1.10	1.20	£0.10	9%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Broadway Car Park - 1hr	2.20	2.30	£0.10	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Broadway Car Park - Sunday Flat Fee	2.80	2.90	£0.10	4%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Coombe Lane Car Park - 1hr	0.30	1.40	£1.10	367%	Fee set by Merton	To align with York close		ECPC	Public Realm
Coombe Lane Car Park - 2hrs	0.60	2.80	£2.20	367%	Fee set by Merton	To align with market rates		ECPC	Public Realm
Coombe Lane Car Park - 3hrs	1.50	4.20	£2.70	180%	Fee set by Merton	To align with market rates		ECPC	Public Realm
Hartfield Road Car Park - 30 mins	1.10	1.20	£0.10	9%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Hartfield Road Car Park - 1hr	2.20	2.30	£0.10	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Hartfield Road Car Park - Sunday Flat Fee	2.80	2.90	£0.10	4%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Kenley Road Car Park - 1hr	0.60	1.40	£0.80	133%	Fee set by Merton	To align with York close		ECPC	Public Realm
Kenley Road Car Park - 2hrs	1.20	2.80	£1.60	133%	Fee set by Merton	To align with market rates		ECPC	Public Realm
Kenley Road Car Park - All Day Flat Fee	7.50	7.90	£0.40	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden Park Car Park - 1hr	0.60	0.70	£0.10	17%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden Park Car Park - 2hrs	1.20	1.30	£0.10	8%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden Park Car Park - 3hrs	1.80	1.90	£0.10	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden Park Car Park - 4hrs	2.40	2.50	£0.10	4%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Morden Park Car Park - All day	7.50	7.90	£0.40	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Peel House Lower Car Park - 1hr	0.60	1.40	£0.80	133%	Fee set by Merton	To align with York close		ECPC	Public Realm
Peel House Lower Car Park - 2hrs	1.20	2.80	£1.60	133%	Fee set by Merton	To align with market rates		ECPC	Public Realm
Queen's Road Car Park - 30 mins	0.80	0.90	£0.10	13%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Queen's Road Car Park - 1hr	1.60	1.70	£0.10	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Queen's Road Car Park - Evening Flat Fee	2.20	2.30	£0.10	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Queen's Road Car Park - All Day Flat Fee	2.80	2.90	£0.10	4%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Sibthorpe Road Car Park - 20 mins	0.30	0.40	£0.10	33%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Sibthorpe Road Car Park - 1hr	1.00	1.10	£0.10	10%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Sibthorpe Road Car Park - 2hrs	2.00	2.10	£0.10	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Sibthorpe Road Car Park - 3hrs	3.00	3.20	£0.20	7%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Sibthorpe Road Car Park - 4hrs	4.00	4.20	£0.20	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Sibthorpe Road Car Park - 5hrs	5.00	5.30	£0.30	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Sibthorpe Road Car Park - 5+hrs	5.50	5.80	£0.30	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
York Close Car Park - 1hr	1.30	1.40	£0.10	8%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
York Close Car Park - 2hrs	2.60	2.70	£0.10	4%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
York Close Car Park - All day	7.50	7.90	£0.40	5%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Parks - Car Parking Charges Abbey recreation ground per hour up to 8 hours	£3.40	£3.60	£0.20	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Parks - Car Parking Charges Abbey recreation ground Bank Holidays, Good Friday and Christmas Day	£0.00	£0.00	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Parks - Car Parking Charges Tamworth recreation ground per hour up to 8 hours	£1.70	£1.80	£0.10	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Parks - Car Parking Charges Tamworth recreation ground - Bank Holidays, Good Friday and Christmas Day	£0.00	£0.00	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Parks - Car Parking Charges Haydons road park rec per hour (up to 8 hours)	£3.40	£3.60	£0.20	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Parks - Car Parking Charges Haydons road park rec - Bank Holidays, Good Friday and Christmas Day	£0.00	£0.00	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Parks - Car Parking Charges Wimbledon Park per hour (up to 8 hours)	£3.40	£3.60	£0.20	6%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
Parks - Car Parking Charges Wimbledon Park - Bank Holidays, Good Friday and Christmas Day	£0.00	£0.00	£0.00	0%	Fee set by Merton	Inflationary increase		ECPC	Public Realm
RSP Fees set by statute (not expanded)								ECPC	
Licensing Act 2003 (various individual charges)	Fee Set by legislation	Fee Set by legislation	£0.00	0%	Fixed fee amount set by Regulation	Regulation	All LA03 fees set by statute	ECPC	RSP - Public Protection
Gambling Act 2005 (various individual charges)	Fee Set by legislation	Fee Set by legislation	£0.00	0%	Fixed fee amount set by Regulation	Regulation	All GA05 fees set by statute	ECPC	RSP - Public Protection
EPA Part B Permitted Processes (LAPPC)	Fee Set by legislation	Fee Set by legislation	£0.00	0%	Fixed fee amount set by Regulation	Regulation	All LAPPC fees set by statute	ECPC	RSP - Public Protection
Explosives (Fireworks) Licensing	Fee Set by legislation	Fee Set by legislation	£0.00	0%	Fixed fee amount set by Regulation	Regulation	All explosives fees set by statute	ECPC	RSP - Public Protection
Animal Licences								ECPC	
Reassessment of star rating	£295.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Replacement of documents	£110.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Animal Boarding (combined dog & cat boarding)								ECPC	
*New Application fee	£728.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*New compliance/enforcement fee	£392.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*Renewal application fee	£539.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*Renewal compliance/enforcement fee	£377.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*Variation of licence	£282.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Animal Boarding (Kennel or cattery)								ECPC	
*New application fee	£628.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*New compliance/enforcement fee	£375.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*Renewal application fee	£444.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*Renewal compliance/enforcement fee	£399.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*Variation of licence	£284.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Animal Boarding (Home Boarding >2 dogs & franchisees)								ECPC	
*New application fee	£417.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*New compliance/enforcement fee	£321.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*Renewal application fee	£346.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*Renewal compliance/enforcement fee	£321.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
*Variation of licence	£282.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
*for franchises, plus £120 for each hobby host assessment visit as required by the veterinary service	£244.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Animal Boarding (Home Boarder max 2 dogs)								ECPC	
New application fee	339.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal fee	£278.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation to board more than 2 dogs	Renewal fee for premises boarding more than two dogs	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation other	£282.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Dog Day Care								ECPC	
New application fee	£471.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New Compliance/enforcement fee	£193.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee	£363.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal Compliance/enforcement fee	£183.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation	£141.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Dog Breeding (domestic dwelling)								ECPC	
New application fee	£566.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New Compliance/enforcement fee	£346.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee	£422.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal Compliance/enforcement fee	£327.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation	£282.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Riding Establishments (*see note below)								ECPC	
New application fee	£873 plus £17 per horse for first 10 horses, £12 for 11-50 horses and £8 per horse thereafter	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New Compliance/enforcement fee	£285.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee	£680 plus £15 per horse for first 10 horses, £11 for 11-50 horses and £8 per horse thereafter	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal Compliance/enforcement fee	£470.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation	£109 plus vets fees	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
* Licensed riding establishments are required to be inspected by a veterinary officer every year irrespective of star rating during the term of the licence. The fees shown are for a one-year licence and incorporate one inspection fee. If a longer licence is granted (two or three year) veterinary officer inspection fees will be payable for each year in addition to the above fee.								ECPC	RSP - Public Protection
Pet Shops								ECPC	
New application fee	£501.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New Compliance/enforcement fee	£433.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee	£501.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal Compliance/enforcement fee	£433.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Variation	£282.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Animal for Exhibition								ECPC	
New application fee	£556.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New Compliance/enforcement fee	£262.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee	£434.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal Compliance/enforcement fee	£262.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation	£282.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Dangerous Wild Animals								ECPC	
New application fee	£664.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New Compliance/enforcement fee	£545.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee	£523.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal Compliance/enforcement fee	£575.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation	£202.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Zoo Licensing								ECPC	RSP - Public Protection
New application (4 years)	£1057 plus veterinary officers fees	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New Compliance/enforcement fee (4 years)	To be paid annually to reflect actual cost of administration plus veterinary officer fees	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee (6 years)	830 plus veterinary officers fees	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal Compliance/enforcement fee (6 years)	To be paid annually to reflect actual cost of administration plus veterinary officer fees	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation of licence	£230 plus veterinary officers fees	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Transfer of licence	£381.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Special Treatment Premises Licences								ECPC	RSP - Public Protection
New application fee (Low risk)	£281.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New compliance / enforcement fee (Low risk)	£133.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New application fee (Medium risk)	£410.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New compliance / enforcement fee (Medium risk)	£293.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New application fee (High risk)	£646.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New compliance / enforcement fee (High risk)	£352.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee (Low risk)	£102.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal compliance/enforcement fee (Low risk)	£133.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee (Medium risk)	£151.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal compliance/enforcement fee (Medium risk)	£293.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal application fee (High risk)	£350.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal compliance/enforcement fee (High risk)	£293.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Transfer of licence	£102.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Variation of licence to the same or lower risk group	£154.00	For Licensing Committee in February	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation of licence from low risk group to medium risk group	£302.00	For Licensing Committee in February	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation of licence to high risk group	£674.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Alteration to plan of premises	£159.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Theft or loss of licence	£49.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
One off event if licenced elsewhere	£147.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
One off event if not licenced elsewhere application fee	£157.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
One off event if not licenced elsewhere compliance/enforcement visit	£131.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex Establishments								ECPC	RSP - Public Protection
Sex shops & Sex cinemas New application	£4,561.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex shops & Sex cinemas New compliance	£1,236.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex shops & Sex cinemas Renewal	£4,255.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex shops & Sex cinemas Renewal compliance	£882.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex shops & Sex cinemas Variation	£1,585.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex Shops & Sex cinemas Transfer	£812.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex entertainment venues New application	£4,830.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex entertainment venues New compliance	£1,708.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex entertainment venues Renewal	£4,373.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex entertainment venues Renewal compliance	£1,177.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex entertainment venues Variation	£1,932.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sex entertainment venues Transfer	£788.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Street Trading								ECPC	RSP - Public Protection
Shop Front Licences								ECPC	RSP - Public Protection
New street trading licence application (existing designated site)	£233.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
New street trading licence enforcement/compliance fee	£286 + 50% of enforcement and compliance fee indicated by size below*	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Licence street designation application fee (new sites)	£1,295.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Licence street designation enforcement/compliance fee (new sites)	£1,892.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Annual Shop Front Licence		For Licensing Committee in February 2026						ECPC	
Up to 1sqm application fee	£68.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Up to 1sqm enforcement/compliance fee	£173.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
1 to 6sqm application fee	£68.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
1 to 6sqm enforcement/compliance fee	£766.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
6 to 12sqm application fee	£68.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
6 to 12sqm enforcement/compliance fee	£1,143.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
12 to 18sqm application fee	£68.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
12 to 18sqm enforcement/compliance fee	£1,522.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Over 18sqm application fee	£68.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Over 18sqm enforcement/compliance fee	£2,240.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Variation of licence	£151.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Temporary licence fee	50% of annual rate based on sqm	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Additional newspaper notice fees to be recharged to applicants	c.£600	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Designated Sites		For Licensing Committee in February 2026						ECPC	
New street trading licence application fee	£233.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
New street trading licence enforcement/compliance fee	£970.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Following successful temporary licence (above) application fee	£0.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Following successful temporary licence (above) enforcement/compliance fee	£1,892.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Licence street designation fee (new sites) application fee	£1,295.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Licence street designation fee (new sites) enforcement/compliance fee	£1,892.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Renewal of annual licence application fee	£79.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Renewal of annual licence enforcement/compliance fee	£1,892.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Variation of licence	£151.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Temporary Licences								ECPC	
1 to 2 days application fee	£162.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
1 to 2 days enforcement/compliance charge		For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
3 to 4 days application fee	£241.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
3 to 4 days enforcement/compliance charge		For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
5 to 6 days application fee	£322.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
5 to 6 days enforcement/compliance charge		For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
7 days application fee	£403.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
7 days enforcement/compliance charge		For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Mitcham & Morden Markets (Pitch per day)								ECPC	
Market registration fee	£35.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Regular market non-food stalls	£11.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Regular market food stalls	£13.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Casual market trader non-food stalls	£18.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Casual market trader food stalls	£22.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Specialist Market - Other Areas & Other Fees								ECPC	
Market trader per month	£79.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Market event up to 4 days	£634.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Temporary licence extension (existing licence holders only)	£126.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Request for copy of licence, loss/theft, change of name/address on licence	£44.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Second renewal reminder letter administration charge	£33.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
Pavement Licenses								ECPC	RSP - Public Protection
New application	£500.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Renewal/Variation application	£350.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery	Subject to consultation	ECPC	RSP - Public Protection
								ECPC	RSP - Public Protection
Scrap Metal Dealers								ECPC	
Site Licence								ECPC	
New application fee (fee 1)	£443.00	£461.00	£18.00	4%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New application fee (fee 2)	£319.00	£467.00	£148.00	46%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal (fee 1)	£292.00	£431.00	£139.00	48%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal (fee 2)	£268.00	£451.00	£183.00	68%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation of licence	£257.00	£268.00	£11.00	4%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Minor variation / application for replacement licence	£49.00	£51.00	£2.00	4%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Collectors licence								ECPC	
New application fee (fee 1)	£205.00	£226.00	£21.00	10%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
New application fee (fee 2)	£161.00	£282.00	£121.00	75%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal (fee 1)	£157.00	£181.00	£24.00	15%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Renewal (fee 2)	£165.00	£184.00	£19.00	12%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation of licence	£131.00	£156.00	£25.00	19%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Variation of licence - conversion to a site licence (fee 1)	£384.00	£399.00	£15.00	4%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Minor variation / application for replacement licence	£49.00	£51.00	£2.00	4%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Hypnotism								ECPC	
Authorisation to carry out a performance (fee 1)	£185.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Authorisation to carry out a performance (fee 2)	£205.00	For Licensing Committee in February 2026	£0.00	0%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Film exhibition								ECPC	
Fee per film issue - report & certification	£116.00	£119.00	£3.00	3%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Fee per film for two viewing officers	£198.00	£204.00	£6.00	3%	Regulation requires full cost recovery	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Licensing pre-application advice								ECPC	
Check & Send - Up to 45 mins include assistance in checking completed draft application form and advising on statutory requirements and the statutory fee: Application for Transfer of licence, Variation of Designated Premises Supervisor (DPS) and Temporary Event Notice (TEN)	£109.00	£116.00	£7.00	6%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Notice preparation and place on site (subject to resources) up to one hour	£145.00	£155.00	£10.00	7%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Small Application- Up to one hour of advice regarding small licence applications, the effect of which would have a minimal environmental impact on neighbouring properties. We would deal with the licensing process, guidance on plans, possible conditions, etc.	£145.00	£155.00	£10.00	7%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Medium Application- Up to 2 hours advice for medium size applications including a site visit by an Environmental Health Officer and/or a Licensing Officer if required, a meeting and written report(s).	£290.00	£310.00	£20.00	7%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Large Application- Up to 4 hours advice for large applications including multiple (if necessary) site visits by an Environmental Health Officer, meetings with Environmental Health Officers and Licensing Officers and written report(s).	£580.00	£619.00	£39.00	7%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Extra large events - 5000 people or more- Category A - up to 7 hours advice for extra large public events includes the cost of specialist officers carrying out inspections, giving advice, providing written reports and the cost of a supervising officer monitoring any reports provided as part of this service	£1,015.00	£1,082.00	£67.00	7%	Fee set by Merton	Service review		ECPC	RSP - Public Protection

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Extra large events - 5000 people or more- Category B - up to 14 hours advice for extra large public events includes the cost of specialist officers carrying out inspections, giving advice, providing written reports and the cost of a supervising officer monitoring any reports provided as part of this service	£2,029.00	£2,164.00	£135.00	7%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Extra large events - 5000 people or more - Category C - up to 21 hours advice for extra large public events includes the cost of specialist officers carrying out inspections, giving advice, providing written reports and the cost of a supervising officer monitoring any reports provided as part of this service	£3,043.00	£3,246.00	£203.00	7%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Food Safety fees								ECPC	
FHRS Revisit	£274.00	£284.00	£10.00	4%	Regulation requires full cost recovery	Service review		ECPC	RSP - Public Protection
Hourly rate for advisory or auditing services beyond approved service plan *	£93.00	£94.00	£1.00	1%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Food Export Certificates (first hour)	£181.00	£188.00	£7.00	4%	Fee set by Merton	Service review	Simplifying into one fee	ECPC	RSP - Public Protection
Food export certificates (subsequent hours)			£0.00	0%		Service review		ECPC	RSP - Public Protection
Expedited health certificate for exported foods (same day turn around)	£277.00	£288.00	£11.00	4%	Fee set by Merton	Service review	Increased based on full cost recovery	ECPC	RSP - Public Protection
health certificate - applicant requested amendment to original request prior to issuing	£93.00	£94.00	£1.00	1%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Certificate of voluntary surrender of unsound food	£173.00	£180.00	£7.00	4%	Fee set by Merton	Service review		ECPC	RSP - Public Protection
Environmental Searches (Contaminated Land)								ECPC	
Search fee (within one hour)	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Regulation requires full cost recovery			ECPC	RSP - Public Protection
Search fee for additional hours	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Regulation requires full cost recovery			ECPC	RSP - Public Protection
Private Water Sampling Fees								ECPC	
Risk assessment (each assessment)	£500.00	£500.00	£0.00	0%	Maximum fee set by regulation	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sampling (each visit)	£100.00	£100.00	£0.00	0%	Maximum fee set by regulation	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Investigation	£100.00	£100.00	£0.00	0%	Maximum fee set by regulation	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Granting an authorisation	£100.00	£100.00	£0.00	0%	Maximum fee set by regulation	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Analysing a sample taken under Regulation 10	£25.00	£25.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Analysing a sample taken during Check monitoring	£100.00	£100.00	£0.00	0%	Maximum fee set by regulation	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Analysing a sample taken during Audit monitoring	£500.00	£500.00	£0.00	0%	Maximum fee set by regulation	Reviewed to ensure full cost recovery		ECPC	RSP - Public Protection
Sports Grounds (new fees for 2024/25)								ECPC	RSP - Public Protection
Sports grounds new application	POA Number of hours x officers hourly rate	POA Number of hours x officers hourly rate	£0.00	0%	Regulation requires full cost recovery			ECPC	RSP - Public Protection
Sports stands new application	POA Number of hours x officers hourly rate	POA Number of hours x officers hourly rate	£0.00	0%	Regulation requires full cost recovery			ECPC	RSP - Public Protection
Sports grounds safety certificates new/amended application	POA Number of hours x officers hourly rate	POA Number of hours x officers hourly rate	£0.00	0%	Regulation requires full cost recovery			ECPC	RSP - Public Protection
Sports stands safety certificates new/amended application	POA Number of hours x officers hourly rate	POA Number of hours x officers hourly rate	£0.00	0%	Regulation requires full cost recovery			ECPC	RSP - Public Protection
Trading Standards								ECPC	RSP - Public Protection
Fireworks regulations 2004 - Licence to supply adult fireworks all year round	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
The Health & Safety & Nuclear (Fees) Regulations 2021								ECPC	RSP - Public Protection
One year duration	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Renewal	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Two year duration	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Renewal	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Three year duration	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Renewal	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Four year duration	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Renewal	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Five year duration	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Renewal	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Varying name of licensee or address of site	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Any other kind of variation	The reasonable costs of the authority	The reasonable costs of the authority	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Transfer of licence or registration	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Replacement of lost licence or registration	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation			ECPC	RSP - Public Protection
Trading standards Consultancy advice charged by the hour	£93.00	94.00	£1.00	1%	Fee set by Merton	Services Review		ECPC	RSP - Public Protection
Gambling Premises:								ECPC	RSP - Public Protection
Bingo Premises								ECPC	RSP - Public Protection
Provisional Statement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Licence application (Provisional Statement holder) Section 205	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
New Application	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Annual Fee	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Variation	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Transfer	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Reinstatement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Adult Gaming Centres								ECPC	RSP - Public Protection
Provisional Statement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Licence application (Provisional Statement holder) Section 205	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
New Application	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Annual Fee	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Variation	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Transfer	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Reinstatement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Family Entertainment Centre Premises								ECPC	RSP - Public Protection
Provisional Statement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Licence application (Provisional Statement holder) Section 205	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
New Application	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Annual Fee	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Variation	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Transfer	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Reinstatement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Betting Premises Licence (non track)								ECPC	RSP - Public Protection

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Provisional Statement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Licence application (Provisional Statement holder) Section 205	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
New Application	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Annual Fee	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Variation	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Transfer	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Reinstatement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Tracks								ECPC	RSP - Public Protection
Provisional Statement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Licence application (Provisional Statement holder) Section 205	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
New Application	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Annual Fee	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Variation	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Transfer	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Reinstatement	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
General Fees								ECPC	RSP - Public Protection
Change of circumstance	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Copy of a licence	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Temporary Use Notice	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
replacement of endorsed copy of Notice	To remain in line with regulation	To remain in line with regulation	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	RSP - Public Protection
Highways								ECPC	
Mobile Crane - per day	£258.00	TBC	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-
Overhead Crane- per annum	£478.95	TBC	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-
Section 50 Minor (0-3days)	£840.00	£840.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-
Section 50 Standard (4-10days)	£980.00	£980.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-
Section 50 Major (11+ days)	£1,120.00	£1,120.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-
Roadspace - per month	N/A	N/A	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-
Roadspace Minor (0-3days)	£300.00	£300.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-
Roadspace Standard (4-10days)	£350.00	£350.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-
Road Major (11+ days)	£400.00	£400.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Section 171 - per license unlimited duration	N/A		£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
S171 - Residential - Roadspace Booking - per year	£300.00 + £140.00 per sqm	£300.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
S171 - Commercial / Development - Road Cat A - per year	£1,500.00 +£140.00 per sqm	£1,500.00	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
S171 - Commercial / Development - Road Cat B - per year	£1,200.00 +£140.00 per sqm	1200	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Pit Lane 0-3Month - per month	£1,000.00	£1,300.00	£300.00	30%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Pit Lane 3-6Month - per month	£1,200.00	£1,560.00	£360.00	30%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Pit Lane 6-12Month - per month	£1,400.00	£1,820.00	£420.00	30%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Pit Lane 12-18Month - per month	£1,600.00	£2,500.00	£900.00	56%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Temp Traffic Order (14.1) 0-3M	£2,809.69	£3,371.63	£561.94	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Temp Traffic Order (14.1)3-6M	£3,147.19	£3,776.63	£629.44	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Temp Traffic Order (14.1) 6-12M	£3,742.81	£4,491.37	£748.56	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Temp Traffic Order (14.1)12-18M	£4,530.00	£5,436.00	£906.00	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Temp Traffic Order (14.2)Emergency	£2,809.69	£3,371.63	£561.94	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Scaffold/Hoarding under 10Mtr length per month residential	£336.00	£403.00	£67.00	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Scaffold/Hoarding over 10Mtr length per month residential	£420.00	£504.00	£84.00	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Scaffold/Hoarding 10-20Mtr length per month - Development	£624.00	£748.00	£124.00	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Scaffold/Hoarding Over 20Mtr length per month - development	£720.00	£864.00	£144.00	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Compound/Welfare/Mobile Plane per month	£480.00	£576.00	£96.00	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Skip per 14 days plus any applicable parking suspension charges)	£70.00	£84.00	£14.00	20%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Building Material per 14 days	£96.00	£96	£0.00	0%	Fee set by Merton	Benchmarking		ECPC	Highways - Network Co-ordination
Fixed Penalty Notice (FPN)	To remain in line with regulation	£120.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
FPN reduced charge if paid within 90 days	To remain in line with regulation	£80.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 0 or 1 (traffic sensitive or protected)First three days - per day	To remain in line with regulation	£5,000.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 0 or 1 (traffic sensitive or protected)Further days - per day	To remain in line with regulation	£10,000.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 0 or 1 (non traffic sensitive unprotected)First three days - per day	To remain in line with regulation	£2,500.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 0 or 1 (non traffic sensitive unprotected)Further days - per day	To remain in line with regulation	£2,500.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 2 (traffic sensitive or protected)First three days - per day	To remain in line with regulation	£3,000.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat2 (traffic sensitive or protected)Further days - per day	To remain in line with regulation	£8,000.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 2 (non traffic sensitive unprotected)First three days - per day	To remain in line with regulation	£2,000.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 2 (non traffic sensitive unprotected)Further days - per day	To remain in line with regulation	£2,000.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 3 for 4 (traffic sensitive or protected)First three days - per day	To remain in line with regulation	£750.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 3 or 4 (traffic sensitive or protected)Further days - per day	To remain in line with regulation	£750.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 3 or 4 (non traffic sensitive unprotected)First three days - per day	To remain in line with regulation	£250.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Cat 3 or 4 (non traffic sensitive unprotected)Further days - per day	To remain in line with regulation	£250.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Footway Cat 0 or 1 per day	To remain in line with regulation	£2,500.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Footway Cat 0 or 1 per day	To remain in line with regulation	£2,000.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Footway Cat 0 or 1 per day	To remain in line with regulation	£250.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
S74 - Mitigated charge - below 5 items and cleared within 1 day	To remain in line with regulation	£100.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Sample Inspection - per inspection	To remain in line with regulation	£50.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Defect Charge - per cycle (max 2 cycles)	To remain in line with regulation	£120.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Major PAA Cat 0,1,2 & Traffic Sensitive	To remain in line with regulation	£105.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Permit Fee - Major PA Cat 0,1,2 & Traffic Sensitive	To remain in line with regulation	£223.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Standard PA Cat 0,1,2 & Traffic Sensitive	To remain in line with regulation	£130.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Minor PA Cat 0,1,2 & Traffic Sensitive	To remain in line with regulation	£65.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Immediate PA Cat 0,1,2 & Traffic Sensitive	To remain in line with regulation	£60.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Permit Variation Cat 0,1,2 & Traffic Sensitive	To remain in line with regulation	£45.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Major PAA Cat 3,4 and Non Traffic Sensitive	To remain in line with regulation	£75.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Major PA Cat 3,4 and Non Traffic Sensitive	To remain in line with regulation	£143.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Standard PA Cat 3,4 and Non Traffic Sensitive	To remain in line with regulation	£75.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Minor PA Cat 3,4 and Non Traffic Sensitive	To remain in line with regulation	£45.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Immediate Cat 3,4 and Non Traffic Sensitive	To remain in line with regulation	£40.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Permit Fee - Permit Variation Cat 3,4 and Non Traffic Sensitive	To remain in line with regulation	£35.00	£0.00	0%	Fixed fee amount set by Regulation	Regulation		ECPC	Highways - Network Co-ordination
Transport Planning advice; Hourly Rate - Director	N/A	£374.00	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Transport Planning advice; Hourly Rate - Head of Service	N/A	£312.00	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Transport Planning advice; Hourly Rate - Transport Planning Manager	N/A	£250.00	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Hourly Rate - Principal Transport Planner	N/A	£190.00	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Hourly Rate - Transport Planner	N/A	£125.00	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Technical Approval of Highways Structures (Category 0); fees charged in stages	N/A	£371; £561; £552	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Technical Approval of Highways Structures (Category 1); fees charged in stages	N/A	£635; £1,137; £552	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Technical Approval of Highways Structures (Category 2); fees charged in stages	N/A	£918; £2,052; £552	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Technical Approval of Highways Structures (Category 3); fees charged in stages	N/A	Actual cost plus 20% administration	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Damage to highway repairs recharge	N/A	Actual cost plus 20% administration	£0.00	0%	Fee set by Merton	New fee		ECPC	Highways
Vehicle Crossover Application	£225.00	£235.80	£10.80	5%	Fee set by Merton	inflationary increase		ECPC	Highways
New Access Bar across Crossover	£100.00	£104.80	£4.80	5%	Fee set by Merton	inflationary increase		ECPC	Highways
Remark Access Bar across Crossover	£50.00	£52.40	£2.40	5%	Fee set by Merton	inflationary increase		ECPC	Highways
Highway Searches	£90.00	£94.32	£4.32	5%	Fee set by Merton	inflationary increase		ECPC	Highways
Housing & Sustainable Development									
Mandatory HMO licence fees*					Fee set by Merton			H&SD	Housing
Units								H&SD	Housing
2 - Part A	£942.38	£1,097.42	£155.04	16%	Fee set by Merton	Service review		H&SD	Housing
2- Part B	£722.23	£852.37	£130.14	18%	Fee set by Merton	Service review		H&SD	Housing
3 - Part A	£996.89	£1,161.75	£164.86	17%	Fee set by Merton	Service review		H&SD	Housing
3- Part B	£722.23	£852.37	£130.14	18%	Fee set by Merton	Service review		H&SD	Housing
4 - Part A	£1,051.39	£1,226.08	£174.69	17%	Fee set by Merton	Service review		H&SD	Housing
4- Part B	£722.23	£852.37	£130.14	18%	Fee set by Merton	Service review		H&SD	Housing

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
5 - Part A	£1,105.90	£1,290.41	£184.51	17%	Fee set by Merton	Service review		H&SD	Housing
5- Part B	£722.23	£852.37	£130.14	18%	Fee set by Merton	Service review		H&SD	Housing
6 - Part A	£1,160.41	£1,354.74	£194.33	17%	Fee set by Merton	Service review		H&SD	Housing
6- Part B	£722.23	£852.37	£130.14	18%	Fee set by Merton	Service review		H&SD	Housing
7 - Part A	£1,214.92	£1,419.07	£204.15	17%	Fee set by Merton	Service review		H&SD	Housing
7- Part B	£722.23	£852.37	£130.14	18%	Fee set by Merton	Service review		H&SD	Housing
8 - Part A	£1,269.42	£1,483.40	£213.98	17%	Fee set by Merton	Service review		H&SD	Housing
8- Part B	£722.23	£852.37	£130.14	18%	Fee set by Merton	Service review		H&SD	Housing
9 - Part A	£1,323.93	£1,547.73	£223.80	17%	Fee set by Merton	Service review		H&SD	Housing
9- Part B	£722.23	£852.37	£130.14	18%	Fee set by Merton	Service review		H&SD	Housing
10 - Part A	£1,378.44	£1,612.06	£233.62	17%	Fee set by Merton	Service review		H&SD	Housing
10- Part B	£722.23	£852.37	£130.14	18%	Fee set by Merton	Service review		H&SD	Housing
*: Licence fees are payable in two instalments. Part A fees are payable at the application stage. If the licence application is refused by the council or withdrawn by the applicant, the Part A payment will not be refunded. If we approve your application, we will send you an email with a link to pay the Part B fee. You need to pay this within 7 days. We will issue your licence after we have received your Part B fee.								H&SD	Housing
Additional HMO licence fees								H&SD	Housing
Number of bedrooms								H&SD	Housing
2 - Part A	£247.00	£267.00	£20.00	8%	Fee set by Merton	Service review		H&SD	Housing
2- Part B	£1,203.00	£1,299.00	£96.00	8%	Fee set by Merton	Service review		H&SD	Housing
3 - Part A	£247.00	£267.00	£20.00	8%	Fee set by Merton	Service review		H&SD	Housing

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
3- Part B	£1,253.00	£1,353.00	£100.00	8%	Fee set by Merton	Service review		H&SD	Housing
4 - Part A	£247.00	£267.00	£20.00	8%	Fee set by Merton	Service review		H&SD	Housing
4- Part B	£1,303.00	£1,407.00	£104.00	8%	Fee set by Merton	Service review		H&SD	Housing
								H&SD	Housing
Selective licence fees - Part A	£247.00	£267.00	£20.00	8%	Fee set by Merton	Charge already set for 5 year term		H&SD	Housing
Selective licence fees - Part B	£445.00	£480.60	£35.60	8%	Fee set by Merton	Charge already set for 5 year term		H&SD	Housing
Other charges are as follows (these apply to both selective and additional licences):					Fee set by Merton	Services Review		H&SD	
Revocation of licence	£0.00	£0.00	£0.00	0%	Fee set by Merton	Services Review		H&SD	Housing
Application following revocation of licence	New application fee	New application fee	£0.00	0%	Fee set by Merton			H&SD	Housing
Application refused or rejected	Part A fee	Part A fee	£0.00	0%	Fee set by Merton			H&SD	Housing
Application withdrawn by applicant	Part A fee	Part A fee	£0.00	0%	Fee set by Merton			H&SD	Housing
Temporary exemption notice (TEN) made by the council	None	None	£0.00	0%	Fee set by Merton			H&SD	Housing
Application received following expiry of a TEN made by the council	New application fee	New application fee	£0.00	0%	Fee set by Merton			H&SD	Housing
Client contribution for temporary accommodation	£10.50 or £17.50 per week (Single/Family)	£10.50 or £17.50 per week (Single/Family)	£0.00	0%	Fee set by Merton	Legal justification		H&SD	Housing
Housing Enforcement								H&SD	Housing
Charge for the FULL HMO Register through council online payment process	£50.00	£50.00	£0.00	0%	Fee set by Merton	Service review		H&SD	Housing
Copies of Licences – flat fee of £25	£25.00	£25.00	£0.00	0%	Fee set by Merton	Service review		H&SD	Housing
Cost of serving Housing act notices	£650.00	£650.00	£0.00	0%	Fee set by Merton	Service review		H&SD	Housing
PRE- LICENCE CONSULTANCY	£180.00	£180.00	£0.00	0%	Fee set by Merton	Service review		H&SD	Housing
Processing of HMO licence Variation	£133.25	£133.25	£0.00	0%	Fee set by Merton	Service review		H&SD	Housing
Planning								H&SD	Planning
Pre-application Category A+	Bespoke	Bespoke	£0.00	0%				H&SD	Planning
Pre-application Category A	£12,000	£12,480.00	£480.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Pre-application Category B+	£10,000	£10,400.00	£400.00	4%	Fee set by Merton	Services Review		H&SD	Planning
Pre-application Category B	£5,000	£5,200.00	£200.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Pre-application Category C+	£2,500	£2,600.00	£100.00	4%	Fee set by Merton	Services Review		H&SD	Planning
Pre-application Category C	£1,800	£1,872.00	£72.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Pre-application Category Concept Meeting	£1,000	£1,040.00	£40.00	4%	Fee set by Merton	Services Review		H&SD	Planning
Pre-application Category D+	£500	£520.00	£20.00	4%	Fee set by Merton	Services Review		H&SD	Planning
Pre-application Category D	£250	£260.00	£10.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Fast Track - LDC & Conditions	£250.00	£250.00	£0.00	0%	Fee set by Merton	Services Review		H&SD	Planning
Fast Track - Householders	£1,000.00	£1,000.00	£0.00	0%	Fee set by Merton	Services Review		H&SD	Planning
Planning Amendment Fee - LDC (Proposed)	£129.00	£150.00	£21.00	16%	Fee set by Merton	Services Review		H&SD	Planning
Planning Amendment Fee - LDC (Existing)	£420.00	£420.00	£0.00	0%	Fee set by Merton	Services Review		H&SD	Planning
Planning Amendment Fee - Householder (Extensions)	£420.00	£420.00	£0.00	0%	Fee set by Merton	Services Review		H&SD	Planning
Planning Amendment fee - Householder (Ancillary)	£210.00	£250.00	£40.00	19%	Fee set by Merton	Services Review		H&SD	Planning
Planning Amendment Fee - Advertisement Consent	£210.00	£210.00	£0.00	0%	Fee set by Merton	Services Review		H&SD	Planning
Planning Amendment Fee - Listed Building Consent	£210.00	£210.00	£0.00	0%	Fee set by Merton	Services Review		H&SD	Planning
Planning amendment Fee - Minors	£420.00	£420.00	£0.00	0%	Fee set by Merton	Services Review		H&SD	Planning
Planning Amendment Fee - Majors	£420.00	£420.00	£0.00	0%	Fee set by Merton	Services Review		H&SD	Planning
Hourly Rate - AD/D	£360	£374.00	£14.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Hourly Rate - Head of Service	£300	£312.00	£12.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Hourly Rate - Team Leader	£240	£250.00	£10.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Hourly Rate - Principal Planning Officer	£180	£190.00	£10.00	6%	Fee set by Merton	Fee set by Merton		H&SD	Planning

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Hourly Rate - PO	£120	£125.00	£5.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Hourly Rate - Admin	£90.00	£100.00	£10.00	11%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Research Records for solicitors	£216.00	£225.00	£9.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Written Response to Solicitors Enquiry	£216.00	£225.00	£9.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Planning Conditions Discharge Check	£216.00	£225.00	£9.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Written confirmation of s106 compliance	£216.00	£225.00	£9.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
s278 agreements	£216.00	£225.00	£9.00	4%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Document Charges - Planning applications/Appeals	£50.00	£55.00	£5.00	10%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Document Charges - Enforcement Notices	£50.00	£55.00	£5.00	10%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Documents Charges - Tree Preservation Orders	£50.00	£55.00	£5.00	10%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Document Charges - Completed s106 Agreements	£50.00	£55.00	£5.00	10%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Documents - Photocopying per A4 Sheet	£3.00	£3.00	£0.00	0%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Documents - Photocopying per A3 Sheet	£3.00	£3.00	£0.00	0%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Variation of s106 agreement - Householder	£600.00	£650.00	£50.00	8%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Variation of s106 agreement - Small Scale Development	£1,080.00	£1,200.00	£120.00	11%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Variation of s106 agreement - Medium Scale Developments	£1,920.00	£2,100.00	£180.00	9%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Variation of s106 agreement - Large Scale Developments	£5,400.00	£6,000.00	£600.00	11%	Fee set by Merton	Fee set by Merton		H&SD	Planning
Planning Enforcement									
Request for confirmation of compliance with an Enforcement Notice	£450.00	£500.00	£50.00	11%	Fee set by Merton	Services Review		H&SD	Planning
Request to withdraw an Enforcement Notice	£800.00	£850.00	£50.00	6%	Fee set by Merton	Services Review		H&SD	Planning
Building Control								H&SD	Building Control
Hourly rate for individual officers	£148.00	£152.00	£4.00	3%	Fee set by Merton	Service Review		H&SD	Building Control
Merton Council Building Control Charges								H&SD	
Table A. CHARGES FOR SMALL DOMESTIC DWELLINGS								H&SD	
Plan charge excl VAT- number of dwellings								H&SD	
1	£312.50	£400.00	£87.50	28%	Fee set by Merton	Service Review		H&SD	Building Control
2	£387.50	£550.00	£162.50	42%	Fee set by Merton	Service Review		H&SD	Building Control
3	£462.50	£700.00	£237.50	51%	Fee set by Merton	Service Review		H&SD	Building Control
4	£537.50	£850.00	£312.50	58%	Fee set by Merton	Service Review		H&SD	Building Control
5	£612.50	£1,000.00	£387.50	63%	Fee set by Merton	Service Review		H&SD	Building Control
For projects of six dwellings or more, Council to be contacted								H&SD	
Inspection charge excl VAT- number of dwellings								H&SD	
1	£937.50	£1,200.00	£262.50	28%	Fee set by Merton	Service Review		H&SD	Building Control
2	£1,162.50	£1,650.00	£487.50	42%	Fee set by Merton	Service Review		H&SD	Building Control
3	£1,387.50	£2,100.00	£712.50	51%	Fee set by Merton	Service Review		H&SD	Building Control
4	£1,612.50	£2,550.00	£937.50	58%	Fee set by Merton	Service Review		H&SD	Building Control
5	£1,837.50	£3,000.00	£1,162.50	63%	Fee set by Merton	Service Review		H&SD	Building Control
For projects of six dwellings or more, Council to be contacted								H&SD	
Full Plans Total Charge Building Notice Fee- number of dwellings								H&SD	

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Full Plan fees can be paid either as a total charge or as two separate payments. Split payment will be taken as follows a. Payment A: Plan charge is payable on deposit of submission. b. Payment B: Inspection charge is invoiced to the applicant after the first inspection.								H&SD	
Table B: Charges for certain small buildings and extensions								H&SD	
Plan Charge excl VAT								H&SD	
- Garages and Car ports up to 40m²	£400.00	£420.00	£20.00	5%	Fee set by Merton	Service Review		H&SD	Building Control
-Extensions up to 10m²	£500.00	£520.00	£20.00	4%	Fee set by Merton	Service Review		H&SD	Building Control
-Extensions between 10m² and 40m²	£175.00	£220.00	£45.00	26%	Fee set by Merton	Service Review		H&SD	Building Control
-Extensions over 40m² up to 300m²	£205.00	£260.00	£55.00	27%	Fee set by Merton	Service Review		H&SD	Building Control
-Loft conversion up to 40m²	£170.00	£220.00	£50.00	29%	Fee set by Merton	Service Review		H&SD	Building Control
-Loft conversion over 40m² up to 300m²	£215.00	£260.00	£45.00	21%	Fee set by Merton	Service Review		H&SD	Building Control
Inspection Charge excl VAT								H&SD	
- Garages and Car ports up to 40m²	N/A	N/A	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
-Extensions up to 10m²	N/A	N/A	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
-Extensions between 10m² and 40m²	£525.00	£660.00	£135.00	26%	Fee set by Merton	Service Review		H&SD	Building Control
-Extensions over 40m² up to 300m²	£615.00	£780.00	£165.00	27%	Fee set by Merton	Service Review		H&SD	Building Control
-Loft conversion up to 40m²	£510.00	£660.00	£150.00	29%	Fee set by Merton	Service Review		H&SD	Building Control
-Loft conversion over 40m² up to 300m²	£645.00	£780.00	£135.00	21%	Fee set by Merton	Service Review		H&SD	Building Control
Full Plans Total Charge Building Notice Fee excl VAT								H&SD	
- Garages and Car ports up to 40m²	£400.00	£420.00	£20.00	5%	Fee set by Merton	Service Review		H&SD	Building Control
-Extensions up to 10m²	£500.00	£520.00	£20.00	4%	Fee set by Merton	Service Review		H&SD	Building Control
-Extensions between 10m² and 40m²	£700.00	£880.00	£180.00	26%	Fee set by Merton	Service Review		H&SD	Building Control
-Extensions over 40m² up to 300m²	£820.00	£1,040.00	£220.00	27%	Fee set by Merton	Service Review		H&SD	Building Control
-Loft conversion up to 40m²	£680.00	£880.00	£200.00	29%	Fee set by Merton	Service Review		H&SD	Building Control
-Loft conversion over 40m² up to 300m²	£860.00	£1,040.00	£180.00	21%	Fee set by Merton	Service Review		H&SD	Building Control
Table C: CHARGES FOR WORKS OTHER THAN THAT COVERED IN TABLE A & TABLE B								H&SD	
Plan Charge excl VAT								H&SD	
Total estimated cost of works- £0- £2,000	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £2,000- £5,000	£320.00	£420.00	£100.00	31%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £5,001- £10,000	£125.00	£140.00	£15.00	12%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £10,001- £15,000	£140.00	£160.00	£20.00	14%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £15,001- £20,000	£160.00	£180.00	£20.00	13%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £20,001- £25,000	£180.00	£200.00	£20.00	11%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £25,001- £30,000	£200.00	£220.00	£20.00	10%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £30,001- £35,000	£220.00	£240.00	£20.00	9%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £35,001- £40,000	£240.00	£260.00	£20.00	8%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £40,001- £45,000	£260.00	£280.00	£20.00	8%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £45,001- £50,000	£280.00	£300.00	£20.00	7%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £50,001- £60,000	£310.00	£320.00	£10.00	3%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £60,001- £70,000	£340.00	£340.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £70,001- £80,000	£370.00	£360.00	-£10.00	-3%	Fee set by Merton	Service Review		H&SD	Building Control
For projects costing more than £80K, council to be contacted								H&SD	
Inspection Charge excl VAT								H&SD	
Total estimated cost of works- £0- £2,000	N/A	N/A	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Total estimated cost of works- £2,000- £5,000	N/A	N/A	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £5,001- £10,000	£375.00	£420.00	£45.00	12%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £10,001- £15,000	£420.00	£480.00	£60.00	14%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £15,001- £20,000	£480.00	£540.00	£60.00	13%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £20,001- £25,000	£540.00	£600.00	£60.00	11%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £25,001- £30,000	£600.00	£660.00	£60.00	10%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £30,001- £35,000	£660.00	£720.00	£60.00	9%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £35,001- £40,000	£720.00	£780.00	£60.00	8%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £40,001- £45,000	£780.00	£840.00	£60.00	8%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £45,001- £50,000	£840.00	£900.00	£60.00	7%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £50,001- £60,000	£930.00	£960.00	£30.00	3%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £60,001- £70,000	£1,020.00	£1,020.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £70,001- £80,000	£1,100.00	£1,080.00	-£20.00	-2%	Fee set by Merton	Service Review		H&SD	Building Control
For projects costing more than £80K, council to be contacted								H&SD	
Full Plans Total Charge Building Notice Fee								H&SD	
Total estimated cost of works- £0- £2,000	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £2,000- £5,000	£320.00	£420.00	£100.00	31%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £5,001- £10,000	£500.00	£560.00	£60.00	12%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £10,001- £15,000	£560.00	£640.00	£80.00	14%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £15,001- £20,000	£640.00	£720.00	£80.00	13%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £20,001- £25,000	£720.00	£800.00	£80.00	11%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £25,001- £30,000	£800.00	£880.00	£80.00	10%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £30,001- £35,000	£880.00	£960.00	£80.00	9%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £35,001- £40,000	£960.00	£1,040.00	£80.00	8%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £40,001- £45,000	£1,040.00	£1,120.00	£80.00	8%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £45,001- £50,000	£1,120.00	£1,200.00	£80.00	7%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £50,001- £60,000	£1,240.00	£1,280.00	£40.00	3%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £60,001- £70,000	£1,360.00	£1,360.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- £70,001- £80,000	£1,470.00	£1,440.00	-£30.00	-2%	Fee set by Merton	Service Review		H&SD	Building Control
For projects costing more than £80K, council to be contacted								H&SD	Building Control
Table C Notes • Total Estimated Cost` means a reasonable estimate that would be charged by a professional builder but excluding professional (Architects/Surveyors) fees and VAT.								H&SD	
Table D- STANDALONE ALTERATIONS TO A SINGLE DWELLING DOMESTIC BUILDING								H&SD	
Total estimated cost of works- Full Plans- Stages fees- Plan Charge excl VAT								H&SD	
Replacement Windows (dwellings only)	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Removal of internal walls	£320.00	£420.00	£100.00	31%	Fee set by Merton	Service Review		H&SD	Building Control

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Conversion of integral garage to habitable room	£125.00	£125.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Upgrading of an existing thermal element, including reroofing works, cavity walls and external wall insulation	£125.00	£125.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Installation of a micro generation equipment (solar panels, wind turbines, etc) and other low or zero carbon heating technology	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Removal of Chimney breast	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Installation of a solid fuel appliance (wood burning stove etc)	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- Full Plans- Stages fees- Inspection Charge excl VAT					Fee set by Merton			H&SD	Building Control
Conversion of integral garage to habitable room	£375.00	£375.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Total estimated cost of works- Full Plans Total charge- Building Notice Charge excl VAT					Fee set by Merton			H&SD	Building Control
Replacement Windows (dwellings only)	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Removal of internal walls	£320.00	£420.00	£100.00	31%	Fee set by Merton	Service Review		H&SD	Building Control
Conversion of integral garage to habitable room	£500.00	£500.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Upgrading of an existing thermal element, including reroofing works, cavity walls and external wall insulation	£500.00	£500.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Installation of a micro generation equipment (solar panels, wind turbines, etc) and other low or zero carbon heating technology	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Removal of Chimney breast	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
Installation of a solid fuel appliance (wood burning stove etc)	£250.00	£250.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
								H&SD	
There is a standard charge for research and report	£105.00	£105.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
There is a standard charge for copy documents	£105.00	£105.00	£0.00	0%	Fee set by Merton	Service Review		H&SD	Building Control
VESTRY HALL - HOURLY RATES (MON-FRI)								H&SD	Economy
Wandle	26	28	£2.00	8%	Fee set by Merton			H&SD	Economy
Merryweather	26	28	£2.00	8%	Fee set by Merton			H&SD	Economy
Whitford Hall	31	45	£14.00	45%	Fee set by Merton			H&SD	Economy

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Mansfield	31	35	£4.00	13%	Fee set by Merton			H&SD	Economy
Kitchen	10	10	£0.00	0%	Fee set by Merton			H&SD	Economy
VESTRY HALL - HOURLY RATES (SAT-SUN)								H&SD	Economy
Wandle	31	35	£4.00	13%	Fee set by Merton			H&SD	Economy
Merryweather	31	35	£4.00	13%	Fee set by Merton			H&SD	Economy
Whitford Hall	36	50	£14.00	39%	Fee set by Merton			H&SD	Economy
Mansfield	36	38	£2.00	6%	Fee set by Merton			H&SD	Economy
Kitchen	10	10	£0.00	0%	Fee set by Merton			H&SD	Economy
Vestry Hall functions & Weddings			N/A	N/A	Fee set by Merton			H&SD	Economy
Friday Evening Function		1295	N/A	N/A	Fee set by Merton		New option for functions and weddings at Vestry	H&SD	Economy
Saturday Evening function		2500	N/A	N/A	Fee set by Merton		New option for functions and weddings at Vestry	H&SD	Economy
Wedding Reception Only		3500	N/A	N/A	Fee set by Merton		New option for functions and weddings at Vestry	H&SD	Economy
Wedding Ceremony and Reception		5000	N/A	N/A	Fee set by Merton		New option for functions and weddings at Vestry	H&SD	Economy
Garden Hire		300	N/A	N/A	Fee set by Merton		New option for functions and weddings at Vestry	H&SD	Economy
Late Night Licence		750	N/A	N/A	Fee set by Merton		New option for functions and weddings at Vestry	H&SD	Economy
Event Coordination Services		£350-£420	N/A	N/A	Fee set by Merton		New option for functions and weddings at Vestry	H&SD	Economy
CANONS HOUSE (PER HOUR)								H&SD	Economy
Drawing Room	33	35	£2.00	6%	Fee set by Merton			H&SD	Economy
Cedar Room	33	35	£2.00	6%	Fee set by Merton			H&SD	Economy
Kitchen Activity Space	33	25	-£8.00	-24%	Fee set by Merton			H&SD	Economy
Drawing Room - Community rate	28	30	£2.00	7%	Fee set by Merton			H&SD	Economy
Cedar Room - Community rate	28	30	£2.00	7%	Fee set by Merton			H&SD	Economy

Description of service or item being charged for	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Kitchen Activity Space - Community rate	28	20	-£8.00	-29%	Fee set by Merton			H&SD	Economy
Blue Room	19	22	£3.00	16%	Fee set by Merton			H&SD	Economy
Drawing Room - Weekend rate	33	38	£5.00	15%	Fee set by Merton				
Cedar Room - Weekend rate	33	38	£5.00	15%	Fee set by Merton				
Kitchen Activity Space - Weekend rate	33	38	£5.00	15%	Fee set by Merton				
Blue Room - Weekend rate	19	22	£3.00	16%	Fee set by Merton				
Exhibition Space	From £275.00	From £275.00	£0.00	0%	Fee set by Merton			H&SD	Economy
Terrace/East Lawn	From £550.00	From £550.00	£0.00	0%	Fee set by Merton			H&SD	Economy
East Lawn - Community rate	From £200	From £200	£0.00	0%	Fee set by Merton			H&SD	Economy
terrace community rate	£35 per hour	£35 per hour	£0.00	0%	Fee set by Merton				
Workspace - One off day booking (per day)	25	25	£0.00	0%	Fee set by Merton			H&SD	Economy
Workspace - 5 days per Calendar month (per month)	80	80	£0.00	0%	Fee set by Merton			H&SD	Economy
Workspace - 10 days per Calendar month (per month)	120	120	£0.00	0%	Fee set by Merton			H&SD	Economy
Workspace - unlimited days per Calendar month (per month)	180	180	£0.00	0%	Fee set by Merton			H&SD	Economy
Workspace - Media Suite	POA	POA	£0.00	0%	Fee set by Merton			H&SD	Economy
Children, Lifelong Learning & Families									
Early Years								CLLF	
ICP Childminder Training Course	£128.75	£150.00	£21.25	14%	Fee set by Merton	Benchmarking	charge is per person for 4 sessions	CLLF	Early Years, Family Wellbeing and Early Help
Lavender Childcare Fees depending on amount purchased and free entitlement element charges	£281.69 - £769.57	£295.77 -£808.04	£14.08 - £38.47	5%	Fee set by Merton	uplifted to factor in increased running costs and staffing increases, and to bring closer to market rates which are higher	Per month fees	CLLF	Early Years, Family Wellbeing and Early Help

Description of service or item being charged for	Charge 23/24 (£)	Charge 24/25 (£)	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Finance and Digital											
Financial Support Service for Schools										F&D	Resources
Level 1	£2,650.00	£2,730.00	£2,870.00	£2,961.84	£91.84	3%	Fee set by Merton	Inflationary increase		F&D	Resources
Level 2	£3,800.00	£3,914.00	£4,110.00	£4,241.52	£131.52	3%	Fee set by Merton	Inflationary increase		F&D	Resources
Level 3	£4,870.00	£5,016.00	£5,270.00	£5,438.64	£168.64	3%	Fee set by Merton	Inflationary increase		F&D	Resources
Innovation & Change											
SLA services to schools										I&C	HR
HR – Employee Assistance Programme SLA										I&C	HR
Charge for 1 April to 31 March	£5.48	£5.64	£5.64	£5.80	£0.16	3%	Fee set by Merton	Inflationary rise		I&C	HR
HR – Advice and Consultancy SLA										I&C	HR
Band/ No of staff										I&C	HR
A 0-35	£1,529.90	£1,529.90	£1,575.80	£1,623.07	£47.27	3%	Fee set by Merton	Inflationary rise		I&C	HR
B 36-45	£1,668.29	£1,668.29	£1,718.34	£1,769.89	£51.55	3%	Fee set by Merton	Inflationary rise		I&C	HR
C 46- 55	£1,738.57	£1,738.57	£1,790.73	£1,844.45	£53.72	3%	Fee set by Merton	Inflationary rise		I&C	HR
D 56-65	£1,806.68	£1,806.68	£1,916.50	£1,974.00	£57.50	3%	Fee set by Merton	Inflationary rise		I&C	HR
E 66-85	£2,084.55	£2,084.55	£2,147.09	£2,211.50	£64.41	3%	Fee set by Merton	Inflationary rise		I&C	HR
F 86-100	£2,780.85	£2,780.85	£2,864.28	£2,950.21	£85.93	3%	Fee set by Merton	Inflationary rise		I&C	HR
G 101-150	£3,474.98	£3,474.98	£3,579.23	£3,686.61	£107.38	3%	Fee set by Merton	Inflationary rise		I&C	HR
H 151-200	£3,891.24	£3,891.24	£4,007.98	£4,128.22	£120.24	3%	Fee set by Merton	Inflationary rise		I&C	HR
I 201-250	£4,516.13	£4,516.13	£4,651.61	£4,791.16	£139.55	3%	Fee set by Merton	Inflationary rise		I&C	HR
Variable charge per head £9.60 for all above bands	£9.60	£9.60	£9.89	£10.19	£0.30	3%	Fee set by Merton	Inflationary rise		I&C	HR
HR – Occupational Health Service SLA										I&C	HR
Charge for 1 April to 31 March										I&C	HR
Fixed charge per head	£16.07	£19.28	£19.28	£19.86	£0.58	3%	Fee set by Merton	Inflationary rise		I&C	HR
Payroll, HR Processing and Support Services SLA										I&C	HR
Charge for 1 April to 31 March										I&C	HR
Annual Charges Payroll per employee	£71.71	£72.00	£72.00	£76.32	£4.32	6%	Fee set by Merton	Inflationary rise		I&C	HR
HR - Agency staffing										I&C	HR
Agency recruitment via Comensura and HR contracts team for agency workers			N/A	£0.25 per hour	N/A	N/A	Fee set by Merton	New fee - opportunity recruit agency staff via our existing platform.		I&C	HR
Legal Service										I&C	Legal Services
Legal Services - Schools SLA										I&C	Legal Services
Charge for 1 April to 31 March										I&C	Legal Services
Time charge based on hourly rate	£72 per hour	£77	£77	£82	£5.00	6%	Fee set by Merton	In line with SLLp model, matches revised charge for all partner boroughs		I&C	Legal Services
Environment, Civic Pride and Climate											
CCTV										ECPC	CCTV
RDC socket installation (one-off, per camera)			£450.00	£467.00	£17.00	4%	Fee set by Merton	Inflationary rise		ECPC	CCTV
RDC annual staffing/admin/monitoring (per camera)			£3,600.00	£3,809.00	£209.00	6%	Fee set by Merton	Inflationary rise		ECPC	CCTV
RDC network/server charges (per camera)			£50.00	£52.00	£2.00	4%	Fee set by Merton	Inflationary rise		ECPC	CCTV
Permanent cameras - maintenance/repairs & server room (per camera, per year)			£373.74	£392.43	£18.69	5%	Fee set by Merton	Inflationary rise		ECPC	CCTV
Permanent cameras - staffing/admin/monitoring (per camera, per year)			£2,508.74	£2,654.25	£145.51	6%	Fee set by Merton	Inflationary rise		ECPC	CCTV
Permanent cameras - network charges (per camera, per year)			£618.06	£641.55	£23.49	4%	Fee set by Merton	Inflationary rise		ECPC	CCTV
Total permanent camera charge (per camera, per year)			£3,500.54	£3,688.22	£187.68	5%	Fee set by Merton	Inflationary rise		ECPC	CCTV
Sports and Leisure services										ECPC	Public Space
Fireworks Earlybird Child (0-4 Years)	£0.00	£0.00	£0.00	To be reviewed Summer 2026	tbc	tbc	Fee set by Merton	Service Review	Commercial - will be agreed next summer	ECPC	Public Space
Fireworks Child (0-4 Years)	£0.00	£0.00	£0.00	To be reviewed Summer 2026	tbc	tbc	Fee set by Merton	Service Review	Commercial - will be agreed next summer	ECPC	Public Space
Fireworks Earlybird Adult (16+ Years)	£10.00	£10.50	£12.50	To be reviewed Summer 2026	tbc	tbc	Fee set by Merton	Service Review	Commercial - will be agreed next summer	ECPC	Public Space
Fireworks Adult (16+ Years)	£12.00	£12.50	£14.00	To be reviewed Summer 2026	tbc	tbc	Fee set by Merton	Service Review	Commercial - will be agreed next summer	ECPC	Public Space
Fireworks Earlybird Junior (5-15 Years)	£7.50	£8.00	£8.00	To be reviewed Summer 2026	tbc	tbc	Fee set by Merton	Service Review	Commercial - will be agreed next summer	ECPC	Public Space

Description of service or item being charged for	Charge 23/24 (£)	Charge 24/25 (£)	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Fireworks Junior (5-15 Years)	£9.00	£9.50	£10.00	To be reviewed Summer 2026	tbc	tbc	Fee set by Merton	Service Review	Commercial - will be agreed next summer	ECPC	Public Space
Fireworks Earlybird Family (2 Adults + 2 Juniors)	£32.00	£33.00	£35.00	To be reviewed Summer 2026	tbc	tbc	Fee set by Merton	Service Review	Commercial - will be agreed next summer	ECPC	Public Space
Fireworks Family (2 Adults + 2 Juniors)	£38.40	£40.00	£41.00	To be reviewed Summer 2026	tbc	tbc	Fee set by Merton	Service Review	Commercial - will be agreed next summer	ECPC	Public Space
Children, Lifelong Learning & Families											
Service Level Agreement pricing- charge from 1 April to 31 March										CLLF	
Cleaning Contract Monitoring										CLLF	
All primary, secondary and special schools	no charge	no charge	no charge	no charge	£0.00	0%	Fee set by Merton			CLLF	Strategy, Commissioning and Partnerships
Catering Contract Monitoring										CLLF	
All primary, secondary and special schools	no charge	no charge	no charge	no charge	£0.00	0%	Fee set by Merton			CLLF	Strategy, Commissioning and Partnerships
Merton School Improvement (MSI)										CLLF	
Primary schools of 250 or less	£1,429.00	£1,486.00	£1,531.00	£1,579.00	£48.00	3%	Fee set by Merton	inflationary rise		CLLF	Education
Primary schools of 251 or more	£2,071.00	£2,154.00	£2,219.00	£2,290.00	£71.00	3%	Fee set by Merton	inflationary rise		CLLF	Education
Secondary schools	£3,774.00	£3,925.00	£4,043.00	£4,172.00	£129.00	3%	Fee set by Merton	inflationary rise		CLLF	Education
Special schools	£2,007.00	£2,087.00	£2,150.00	£2,218.00	£68.00	3%	Fee set by Merton	inflationary rise		CLLF	Education
Governor Support Service: Advice and support										CLLF	
School size:										CLLF	
less than 250 pupils	£620.00	£640.00	£659.00	£680.09	£21.09	3%	Fee set by Merton	inflationary rise		CLLF	Education
250 - 350 pupils	£740.00	£760.00	£783.00	£808.06	£25.06	3%	Fee set by Merton	inflationary rise		CLLF	Education
351 - 450 pupils	£780.00	£805.00	£829.00	£855.53	£26.53	3%	Fee set by Merton	inflationary rise		CLLF	Education
451 - 550 pupils	£810.00	£835.00	£860.00	£887.52	£27.52	3%	Fee set by Merton	inflationary rise		CLLF	Education
551 - 650 pupils	£840.00	£865.00	£891.00	£919.51	£28.51	3%	Fee set by Merton	inflationary rise		CLLF	Education
651 - 900 pupils	£875.00	£900.00	£927.00	£956.66	£29.66	3%	Fee set by Merton	inflationary rise		CLLF	Education
900+ pupils	£1,460.00	£1,505.00	£1,550.00	£1,599.60	£49.60	3%	Fee set by Merton	inflationary rise		CLLF	Education
Secondary schools	£1,460.00	£1,505.00	£1,550.00	£1,599.60	£49.60	3%	Fee set by Merton	inflationary rise		CLLF	Education
Governor Support Service: Training										CLLF	
School size:										CLLF	
less than 250 pupils	£620.00	£640.00	£659.00	£680.09	£21.09	3%	Fee set by Merton	inflationary rise		CLLF	Education
250 - 350 pupils	£840.00	£865.00	£891.00	£919.51	£28.51	3%	Fee set by Merton	inflationary rise		CLLF	Education
351 - 450 pupils	£860.00	£885.00	£912.00	£941.18	£29.18	3%	Fee set by Merton	inflationary rise		CLLF	Education
451 - 550 pupils	£890.00	£915.00	£942.00	£972.14	£30.14	3%	Fee set by Merton	inflationary rise		CLLF	Education
551 - 650 pupils	£905.00	£930.00	£958.00	£988.66	£30.66	3%	Fee set by Merton	inflationary rise		CLLF	Education
651 - 900 pupils	£945.00	£975.00	£1,004.00	£1,036.13	£32.13	3%	Fee set by Merton	inflationary rise		CLLF	Education
900+ pupils	£1,460.00	£1,505.00	£1,550.00	£1,599.60	£49.60	3%	Fee set by Merton	inflationary rise		CLLF	Education
Secondary schools	£1,460.00	£1,505.00	£1,550.00	£1,599.60	£49.60	3%	Fee set by Merton	inflationary rise		CLLF	Education
Governor Support Service: Both packages (Advice and Support & Training)										CLLF	
School size:										CLLF	
less than 250 pupils	£995.00	£1,025.00	£1,056.00	£1,089.79	£33.79	3%	Fee set by Merton	inflationary rise		CLLF	Education
250 - 350 pupils	£1,185.00	£1,220.00	£1,257.00	£1,297.22	£40.22	3%	Fee set by Merton	inflationary rise		CLLF	Education
351 - 450 pupils	£1,215.00	£1,250.00	£1,288.00	£1,329.22	£41.22	3%	Fee set by Merton	inflationary rise		CLLF	Education
451 - 550 pupils	£1,240.00	£1,275.00	£1,313.00	£1,355.02	£42.02	3%	Fee set by Merton	inflationary rise		CLLF	Education
551 - 650 pupils	£1,290.00	£1,330.00	£1,370.00	£1,413.84	£43.84	3%	Fee set by Merton	inflationary rise		CLLF	Education
651 - 900 pupils	£1,320.00	£1,360.00	£1,400.00	£1,444.80	£44.80	3%	Fee set by Merton	inflationary rise		CLLF	Education
900+ pupils	£2,490.00	£2,565.00	£2,642.00	£2,726.54	£84.54	3%	Fee set by Merton	inflationary rise		CLLF	Education
Secondary schools	£2,490.00	£2,565.00	£2,642.00	£2,726.54	£84.54	3%	Fee set by Merton	inflationary rise		CLLF	Education
Other Chargeable Services Available										CLLF	
External Review of Governance		£650.00	£950.00	£980.40	£30.40	3%	Fee set by Merton	inflationary rise		CLLF	Education
Parent or staff governor election nomination stage		from £90	from £95	from £98	£3.00	3%	Fee set by Merton	inflationary rise		CLLF	Education
- Ballot Stage (Primary)		£90.00	£95.00	£98.04	£3.04	3%	Fee set by Merton	inflationary rise		CLLF	Education
- Ballot Stage (Secondary)		£120.00	£125.00	£129.00	£4.00	3%	Fee set by Merton	inflationary rise		CLLF	Education
- Whole Governing Board Training		£275 per 2 hour session	£295 per 2 hour session	£304 per 2 hour session	£9.00	3%	Fee set by Merton	inflationary rise		CLLF	Education
Individual Governing Board Review of Published Governance Information			£100.00	£103.20	£3.20	3%	Fee set by Merton	inflationary rise		CLLF	Education
Review of Board Progress (following Governance Review)			£460.00	£474.72	£14.72	3%	Fee set by Merton	inflationary rise			
School Safe Connect (formerly SMISST & DPO Services										CLLF	
Primary schools										CLLF	
201 - 400 pupils		£2,600.00	£1,902.00	£1,962.86	£60.86	3%	Fee set by Merton	inflationary rise	Replaces SMISST & DPO Services	CLLF	Education
401 - 500 pupils		£2,875.00	£2,103.00	£2,170.30	£67.30	3%	Fee set by Merton	inflationary rise	Replaces SMISST & DPO Services	CLLF	Education

Description of service or item being charged for	Charge 23/24 (£)	Charge 24/25 (£)	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Over 500 pupils		£3,155.00	£2,308.00	£2,381.86	£73.86	3%	Fee set by Merton	inflationary rise	Replaces SMISST & DPO Services	CLLF	Education
Secondary schools										CLLF	
800 to 1200 pupils		£4,214.00	£3,082.00	£3,180.62	£98.62	3%	Fee set by Merton	inflationary rise	Replaces SMISST & DPO Services	CLLF	Education
Over 1200 pupils		£4,695.00	£3,434.00	£3,543.89	£109.89	3%	Fee set by Merton	inflationary rise	Replaces SMISST & DPO Services	CLLF	Education
Special schools		£2,234.00	£1,634.00	£1,686.29	£52.29	3%	Fee set by Merton	inflationary rise	Replaces SMISST & DPO Services	CLLF	Education
Performance analysis										CLLF	
Primary schools										CLLF	
250 or fewer pupils	£997.00	£1,057.00	£1,079.00	£1,113.53	£34.53	3%	Fee set by Merton	inflationary rise		CLLF	Education
251 or more pupils	£1,339.00	£1,420.00	£1,449.00	£1,495.37	£46.37	3%	Fee set by Merton	inflationary rise		CLLF	Education
Secondary schools										CLLF	
900 or fewer pupils	£2,415.00	£2,560.00	£2,612.00	£2,695.58	£83.58	3%	Fee set by Merton	inflationary rise		CLLF	Education
901 or more pupils	£3,003.00	£3,183.00	£3,247.00	£3,350.90	£103.90	3%	Fee set by Merton	inflationary rise		CLLF	Education
Special schools and PRU	£546.00	£579.00	£590.58	£609.48	£18.90	3%	Fee set by Merton	inflationary rise		CLLF	Education
Day course/ training	£107.00	£114.00	£117.00	£120.74	£3.74	3%	Fee set by Merton	inflationary rise		CLLF	Education
Half Day course/ training	£54.00	£60.00	£62.00	£63.98	£1.98	3%	Fee set by Merton	inflationary rise		CLLF	Education
Charges for non-subscribing schools / organisations										CLLF	
In-school advice and in-school training for all phases are as follows (subject to capacity and any sessions cancelled within 12 hours will incur a £100 administrative charge):										CLLF	
up to 2 hours	£321.00	£340.00	£347.00	£358.10	£11.10	3%	Fee set by Merton	inflationary rise		CLLF	Education
Twilight training/ meetings	£536.00	£568.00	£580.00	£598.56	£18.56	3%	Fee set by Merton	inflationary rise		CLLF	Education
Half day training	£643.00	£681.00	£695.00	£717.24	£22.24	3%	Fee set by Merton	inflationary rise		CLLF	Education
Whole day training	£964.00	£1,020.00	£1,041.00	£1,074.31	£33.31	3%	Fee set by Merton	inflationary rise		CLLF	Education
Continuing professional development (CPD) training										CLLF	
Day course/ training	£268.00	£285.00	£291.00	£300.31	£9.31	3%	Fee set by Merton	inflationary rise		CLLF	Education
Half Day course/ training	£134.00	£145.00	£148.00	£152.74	£4.74	3%	Fee set by Merton	inflationary rise		CLLF	Education
Education Welfare Service (EWS) charge for 1 September to 22 July										CLLF	
1 hour of buyback LA retained funding 39 weeks term time only	£51.50 per hour	£51.50 per hour	£52.60 per hour	£54.28 per hour	£1.68	3%	Fee set by Merton	inflationary rise		CLLF	Education
Half day buy back (3.5 hours) LA retained funding 39 weeks term time only	£178.50 per hour	£178.50 per hour	£184 per half day	£189.88 per half day	£5.88	3%	Fee set by Merton	inflationary rise		CLLF	Education
Full day by back (7 hours) LA retained funding 39 weeks term time only	£357 per hour	£357 per hour	£368 per day	£379.77 per hour	£1.77	3%	Fee set by Merton	inflationary rise		CLLF	Education
Educational Psychology Service (EPS)										CLLF	
Charge for 1 April 2024 to 31 March 2025										CLLF	
Price per Session										CLLF	
Commissioned by 31/03/24	£285.00	£294.00	£300.00	£309.60	£9.60	3%	Fee set by Merton	inflationary rise		CLLF	Education
Commissioned after 31/03/24	£380.00	£361.00	£368.00	£379.78	£11.78	3%	Fee set by Merton	inflationary rise		CLLF	Education
Speech and Language Team and Merton SEND Support and Inclusion Service (previously Language Behaviour and Learning Support)										CLLF	
LBL Buy back at Level 1 – provides 10 units -	£1,475 per term	£1,520 per term	£1,550 per term	£1,559.60 per term	£49.60	3%	Fee set by Merton	inflationary rise		CLLF	Education
LBL Buy back at Level 1 – provides 10 units - additional units up to 9 can be added at	£147.50 per unit.	£152.00 per unit.	£155.00 per unit	£159.96 per unit.	£4.96	3%	Fee set by Merton	inflationary rise		CLLF	Education
LBL Buy back at Level 2 - provides 20 units	£2,725 per term	£2,805 per term	£2860.00 per term	£2,951.52 per term	£91.52	3%	Fee set by Merton	inflationary rise		CLLF	Education
LBL Buy back at Level 2 - provides 20 units - additional units up to 19 can be added at	£136.25 per unit.	£140.25 per unit.	£143.00 per unit	£147.57 per unit.	£4.57	3%	Fee set by Merton	inflationary rise		CLLF	Education
Non Buy back schools										CLLF	
Individual Consultation		£207.50	£423.00	£436.54	£13.54	3%	Fee set by Merton	inflationary rise		CLLF	Education
Individual Intervention		£830.00	£846.00	£873.07	£27.07	3%	Fee set by Merton	inflationary rise		CLLF	Education
Training Session approx 2hrs*		£415.00	£423.00	£436.54	£13.54	3%	Fee set by Merton	inflationary rise		CLLF	Education
Half day training		£622.50 - £830.00	£635 - £846	£655.32 - £873.07	20.32 - 27.07	3%	Fee set by Merton	inflationary rise		CLLF	Education
Whole day training* (* including planning and preparation)		£1037.50 - £1245.00	£1058.25 - £1280.00	£1092.11 - £1320.96	33.86 - 40.96	3%	Fee set by Merton	inflationary rise		CLLF	Education
HR – Schools Recruitment										CLLF	
Module A - On Line Recruitment										CLLF	
Primary schools	£984.00	£1,049.93	£1,081.43	£1,116.04	£34.61	3%	Fee set by Merton	inflationary rise		CLLF	Education
Special schools	£1,432.00	£1,527.94	£1,573.78	£1,624.14	£50.36	3%	Fee set by Merton	inflationary rise		CLLF	Education
Secondary schools and academies	£3,072.00	£3,277.82	£3,376.15	£3,484.19	£108.04	3%	Fee set by Merton	inflationary rise		CLLF	Education
Module B - On Line Recruitment- administered package										CLLF	

Description of service or item being charged for	Charge 23/24 (£)	Charge 24/25 (£)	Charge 25/26 (£)	Proposed Charges 26/27 (£)	Increase (£)	Increase (%)	Charging Rule	Rationale for fee change	Service Comments	Department	Division/Team
Primary schools	£1,181 plus £18 per advert admin fee	£1,260.13 plus £21.60 per advert admin fee	1297.93 plus £22.25 per advert admin fee	£1,339.46 plus £22.96 per advert admin fee	£41.53 plus £0.71	3%	Fee set by Merton	inflationary rise		CLLF	Education
Special schools	£1,575 plus £18 per advert admin fee	£1,680.53 plus £21.60 per advert admin fee	£1730.95 plus £22.25 per advert admin fee	£1,786.34 plus £22.96 per advert admin fee	£55.39 plus £0.71	3%	Fee set by Merton	inflationary rise		CLLF	Education
Secondary schools and academies	£3,215 plus £18 per advert admin fee	£3,430.41 plus £21.60 per advert admin fee	£3533.32 plus £22.25 per advert admin fee	£3,646.38 plus £22.96 per advert admin fee	£113.06 plus £0.71	3%	Fee set by Merton	inflationary rise		CLLF	Education
Early Years										CLLF	
Newminster Children's Centre CLCH Lease	£39,608.44	£41,401.00	in line with lease fee charges	in line with lease fee charges	£0.00	0%	Fee set by Merton	Contractual arrangement		CLLF	Early Years, Family Wellbeing and Early Help
Ivy Gardens Children's Centre CLCH Lease	£32,724.65	£34,206.00	in line with lease fee charges	in line with lease fee charges	£0.00	0%	Fee set by Merton	Contractual arrangement		CLLF	Early Years, Family Wellbeing and Early Help
Steers Mead Children's Centre CLCH Lease	£84,515.59	£88,341.00	in line with lease fee charges	in line with lease fee charges	£0.00	0%	Fee set by Merton	Contractual arrangement		CLLF	Early Years, Family Wellbeing and Early Help
The Avenue Children's Centre CLCH Lease	£55,688.38	£58,209.00	in line with lease fee charges	in line with lease fee charges	£0.00	0%	Fee set by Merton	Contractual arrangement		CLLF	Early Years, Family Wellbeing and Early Help
Acacia Centre CLCH Lease	£112,021.45	#########	in line with lease fee charges	in line with lease fee charges	£0.00	0%	Fee set by Merton	Contractual arrangement		CLLF	Early Years, Family Wellbeing and Early Help
ad hoc rents	varies	varies	align with libraries	to be aligned with libraries	£0.00	0%	Fee set by Merton	Contractual arrangement		CLLF	Early Years, Family Wellbeing and Early Help

Section F

Risk Management Strategy & Policy 2026/27

Introduction

Organisations exist to achieve their ambitions, aims and objectives. Risk Management is the process by which organisations methodically address and identify the risks that may prevent them from achieving these ambitions, aims and objectives. The intention is to achieve sustained benefit within each of their activities, and across the portfolio of all their activities. Ultimately, risk management is about creating a better understanding of the most important problems facing organisations.

Risk is also implicit in the decisions all organisations take; how those decisions are taken will affect how successful they are in achieving their objectives. Decision making is, in turn, an integral part of the day-to-day existence and is particularly significant in times of change. Risk management therefore is a key component in the management of change and helps to support effective decision making.

We endeavour to identify all risks facing the council and to monitor, manage and mitigate (where possible) all those risks which are deemed to be high (scored Amber or Red). Risks are monitored via Departmental Risk Registers, and key crosscutting risks to the council are also placed on the Key Strategic Risk Register (KSRR).

Merton London Borough Council is committed to effective risk management to safeguard public resources, achieve strategic objectives, and deliver quality services. This strategy and policy outlines our approach and arrangements to identifying, assessing, managing, and monitoring risks, supporting transparency, accountability, and resilience.

Risk management links closely with Health and Safety, Business Continuity, Emergency Planning and Insurance; by ensuring close links we can enhance our resilience. Generally, a single issue or risk will fall into only one of these categories; however some may fall into two or more. As Business Continuity is a way of mitigating risk, its link with risk management is key to ensuring the continuous delivery of services which are important to the community.

Figure 1 – Risk Management Structure



Policy Statement

Merton's policy is to manage our risks by identifying, assessing and controlling them, with the aim of eliminating or reducing them to acceptable levels whilst being mindful that some risks will always exist and will never be eliminated.

The council recognises its responsibility to risk management by supporting a structured, systematic and focused approach to risk management through the approval of our risk management strategy.

The effective management of risk is at the core of our approach to delivering cost effective and efficient services as well as sound corporate governance and is a continuous and evolving process, running through our strategies and service delivery arrangements. As risk is very much concerned with our objectives, the management of it will be closely linked to the creation of our strategic, service, project and partnership objectives and plans.

Our risk management process will be continuous and will support internal and external change. The risk management process will be fully integrated with the normal business management processes across the authority.

Merton's aims and objectives in relation to risk management are to:

- Establish and maintain a robust framework and procedures for the identification, analysis, assessment and management of risk, including reporting and recording.
- Minimise the council's exposure to unacceptable levels of risk, minimise injury, damage, loss and inconvenience to staff, residents and service users.
- Integrate risk management into the day-to-day activities of staff and the culture of the organisation, raising awareness of the importance and need for risk management.
- Assign clear roles and responsibilities for councillors and officers responsible for risk management
- Ensure consistent application of our methodology across all of our activities, including partnerships and projects.
- Effectively manage the total cost of risk.

We will achieve this by:

- Having a clear and concise risk management strategy which underpins our approach and responsibilities to risk
- Incorporating risk management into business planning, project management and service delivery
- Monitoring risk on a regular basis through the Corporate Risk Management Group (CRMG)
- Reporting on risk on a regular basis to the Corporate Leadership Team (CLT), Cabinet, and Governance Standards and Audit Committee

Risk Management Strategy

The council is committed to delivering risk management to achieve its objectives, deliver effective and quality services, and safeguard the interests of the public. Risk management is integral to council planning, decision-making, and governance processes which apply to all departments, services areas and all staff.

The process of identifying and evaluating risks is known as risk assessment. By understanding the risks we face, we are better able to actively recognise where uncertainty surrounding events or outcomes exists and identify measures which can be taken to protect the council, its staff, residents, customers and assets from these risks.

This strategy and policy provide a structured approach to identifying emerging risks as well as assessing and managing current risks. It also incorporates a process for regularly reviewing and updating identified risks.

This strategy will be reviewed on an annual basis and updated where required with regular reporting through governance and scrutiny committees. The council promotes continuous improvement by learning from near misses, incidents and best practice.

Risk Appetite

Risk Appetite is the amount of risk, at a broad level, that an organisation is willing to accept in pursuit of its strategic objectives.

- Averse: The lowest level of risk appetite. At this level, an organisation is making risk avoidance one of its top priorities. ...
- Minimalist: A low risk appetite. ...
- Cautious: A moderate risk appetite. ...
- Flexible: A high risk appetite. ...
- Open: The highest level of risk appetite.

The Council accepts that risk is an inherent part of innovation, pursuing new opportunities and delivering high quality services. It also accepts that it is not possible, practical, or desirable to eliminate all risk from its activities.

The Council therefore seeks to manage all risk within acceptable levels (its ‘risk appetite’ or ‘tolerance’). While overall having a moderate tolerance of risk (all risk owners are expected to implement mitigation tactics for all amber/red risks/issues), the level of risk accepted will vary between the opportunities being sought, activities being delivered and the overall risk exposure from combined risk of a similar nature.

The council recognises that its risk appetite to achieve the corporate priorities identified within its business plan could be described in general as an “informed and cautious” approach. Where significant risk arises, we will take effective control action to reduce these risks to an acceptable level.

It is also recognised that a higher level of risk may need to be accepted, for example to support innovation in service delivery. To offset this there are areas where the council will maintain a very cautious approach for example in matters of compliance with the law, and public confidence in the council, supporting the overall “informed and cautious” position on risk.

The primary function of “scoring” risks is to facilitate their prioritisation and assessment against risk appetite. This step involves determining the likelihood of the risk occurring and its impact should it occur. Please see the “Risk Scoring Section” below for further detail of the scoring mechanism and the definitions utilised at LCC to calculate the level of the risk: - Impact x Likelihood = Risk score.

The table below confirms expectation of how scored risks should be managed:

Scored Level of Risk	Rating	Expected Action
High Risk	15-24	Risk to be monitored at least monthly, senior management would expect its proactive management incorporated into operational activity at maximise the chance of the risk moving down to Amber or Green
Medium Risk	5 -12	Managers expected to undertake mitigating actions to minimise chance of risk increasing to Red and maximise the chance of reduction to Green.
Low Risk	1 - 4	Risk scoring within tolerable level, risk to be monitored quarterly to minimise chance of risk increasing to Amber

Risk Management Definitions

b. Definitions

A ‘**Risk**’ is defined as the “effect of uncertainty on objectives” (ISO 31000). Risk is the threat that an event or action may adversely affect an organisation’s ability to achieve its objectives and successfully execute its strategies. A risk can be a threat, obstacle, barrier, concern, problem or event that may prevent us fulfilling our objectives.

‘**Risk Management’** refers to a coordinated set of activities and methods that is used to direct an organisation and to control the range of risks that affect its ability to achieve objectives.

A '**Risk Management process'** is one that systemically applies management policies, procedures, and practices to a set of activities intended to establish the context, communicate and consult with stakeholders, and identify, analyse, evaluate, treat, monitor and review risk.

An '**Issue**' is an unexpected event happening in the present moment with a potential negative impact on achieving objectives. It is happening right now or just happened with immediate effect.

Issues are management outside of the risk management process. Issues are current problems, questions, outstanding items, tasks or a request that exists in the immediate present. There is a strong element of fact surrounding it. An issue becomes a risk when the issue cannot be addressed and could continue or get worse.

Definition of Risk Management

Organisations exist to achieve their ambitions, aims and objectives. Risk Management is the process by which organisations methodically address and identify the risks that may prevent them from achieving these ambitions, aims and objectives. The intention is to achieve sustained benefit within each of their activities, and across the portfolio of all their activities.

Ultimately, risk management is about creating a better understanding of the most important problems facing organisations.

Risk is also implicit in the decisions all organisations take; how those decisions are taken will affect how successful they are in achieving their objectives. Decision making is, in turn, an integral part of the day-to-day existence and is particularly significant in times of change. Risk management therefore is a key component in the management of change and helps to support effective decision making.

We endeavour to identify all risks facing the council and to monitor, manage and mitigate (where possible) all those risks which are deemed to be high (scored Amber or Red). Risks are monitored via Departmental Risk Registers, and key crosscutting risks to the council are also placed on the Key Strategic Risk Register (KSRR).

c. Benefits of Risk Management

In addition to the business and service benefits of our approach, we are required to undertake risk management because it forms part of the Annual Governance Statement. We must, therefore, demonstrate that we have a systematic strategy, framework and process for managing risk.

However, the council recognises that the benefits of risk management far outweigh the requirement to undertake the activity and such benefits include:

- Stronger ability to achieve our ambitions, aims and objectives as key risks are managed.
- Better decision making as we are more aware of risk.
- Ability to take advantage of opportunities because we understand the risks attached to them.
- Better governance and the ability to demonstrate it to our stakeholders.
- Reduction in failure, loss, damage and injury caused by risk
- Improvement in our ability to adapt to change
- Improvement in our corporate governance
- Compliance with statutory and regulatory requirements
- Supports a continuous improvement and learning culture.

Types of Risks

Strategic Risks

These are the Council's most serious risks and tend to be either broad in impact whereby they have the potential to impact significantly on the capability, vitality, or success of the Authority as a whole or they are deep in impact, that is the effects of the risk event occurring are especially serious. The approach to corporate risks sets the context for decisions at other levels in the council. The number of corporate risks will vary depending on the Council's risk profile.

However, generally corporate risks are the top ten to 15 most serious risks faced by the Council. A key strategic risk is likely to have one or more of the following characteristics: -

- Strategic and cross-cutting, with the potential to impact on a range of different areas or functions;
- Related to the Council's ability to successfully deliver one or more corporate objectives;
- Affects the outcomes sought from one of the Council's major programmes;
- Operates over the medium or long-term;
- The potential to impact negatively on the organisation's capacity, for example by limiting, reducing or failing to maximise financial or human resources;
- Linked to the organisation's ability to successfully deliver transformational change and major initiatives, while continuing with business as usual;
- Concerned with the wellbeing of residents, businesses and/or LBM staff; and may impact on the Council's reputation

Corporate risks are captured on the KSRR, which is owned by the Corporate Leadership Team (CLT). The KSRR is also presented to the Governance Standards and Audit Committee meetings each year as this committee is responsible for monitoring the effective development and operation of risk management. Risks from the Departmental Risk Registers can be escalated here as part of the ongoing review process. The KSRR is reviewed on a regular basis. For reporting purposes, the KSRR should always be updated with information that is suitable for public consumption.

Key service risks should be recorded in the Departmental Risk Register. The risks should be owned by the relevant Head of Service (HoS) or Assistant Director and be reviewed on a regular, usually quarterly basis by Departmental Leadership Teams (DLTs).

Operational Risks/ Service Delivery

These are risks that relate to the day-to-day delivery of Council services and could relate to a wide variety of different types or sources of risk. These risks can include:

- Systems failures
- Inadequate resource management
- Lack of skilled personnel
- Supply chain interruptions
- Cyber threats
- Compliance breaches
- Quality failures etc

For the council, such risks might lead to delays, failures, reduced service quality, and increased costs, ultimately impacting the communities trust and satisfaction which could result in a reputational impact.

Project/ Programme Risks

These risks refer to potential challenges and issues that can affect the successful delivery of planned initiatives, infrastructure improvements, or community services. These types of risks may include:

- Budget overruns
- Delays due to unforeseen circumstances
- Changes in regulatory requirements
- Stakeholder misalignments
- Resource shortages etc

If not managed effectively, these types of risks could lead to incomplete projects, wasted public funds and reduced community benefit.

Risk management is a key part of the ongoing management of projects and partnerships and is clearly defined in Merton's Approach to Projects (MAP).

Partnerships Risks

These risks involve the potential challenges and uncertainties that arise when working collaboratively with external organisations, businesses, and other government bodies. These risks may include:

- Misaligned objectives
- Unclear roles and responsibilities
- Poor communication and breakdowns
- Financial instability of partners
- Differing governance standards etc

Partnership risks could result in project delays, compromised service quality, or reputational harm. The council is involved in a wide range of partnerships to achieve our ambitions, aims and objectives. It is vital we assess the risks to achievement within our key partnerships and ensure that they are monitored regularly.

Our methodology for assessing and monitoring risks has been adopted by our key partnerships in order to ensure consistent scoring, and effective integration into our risk management system.

Financial Risk Management

Local government has faced unprecedented financial challenges in recent years that are likely to remain well into the next decade. The harsh financial economy faced by local authorities has led Central Government and the public sector accounting body CIPFA to start to consider how best to minimise the chance of further Section 114 notices being released and providing early warnings of authorities being unable to balance their budgets. Within Merton the following activity is already undertaken:

<u>Budget Setting</u>

- Financial pressures caused by demographic pressures in Special Educational Needs, Placements and Adult Social Care have been monitored closely – ongoing demands have received some additional funding
- Financial modelling within the Medium-Term Financial Strategy and Capital has been developed
- Horizon spotting is used to improve response times to changes in Central Government funding.
- Financial Risk thresholds are kept under review
- Impact of Brexit and Covid

<u>Budget Monitoring</u>:

- All budgets are monitored monthly, and reviewed with outturn, current spend and commitments
- Monthly review of progress on delivery of savings with management action
- Monitoring resources are targeted at high-risk areas

Year End Accounting

- Reviewing closing issues to minimise the chance of the issues occurring again
- A greater emphasis on quality control of working papers
- More emphasis on reconciliation work within the financial year.
- There is also a financial impact element to the authorities risk matrix which has been reviewed and simplified. Officers will continue to review activity and adopt best practice etc. where appropriate.

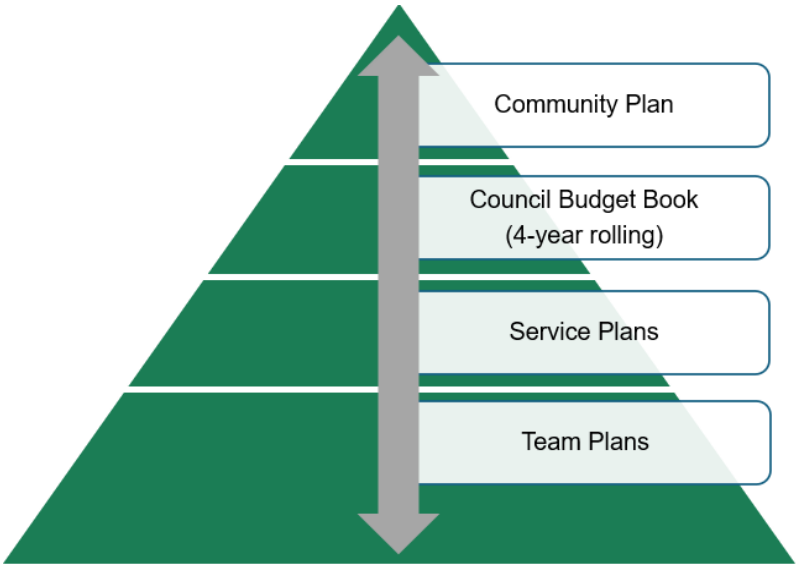
Risk Management Approach

In order to formalise and structure risk management, it is recognised there is an obvious and clear link with the business planning process and therefore risk management sits within the Financial Strategy, Systems, Regeneration and Risk Management team.

Corporate Risks – corporate risks not contained on the KSRR are normally incorporated into either the Innovation and Change or Financial and Digital Directorates (previously Corporate Services) where and appropriate risk owner will be identified

The overall council Budget Book, incorporating the individual service plans, sets out what a team, division, department, or the council as a whole, want to achieve within a specific time frame, as shown below.

Figure 2 - Merton Performance Management Framework



- CLT is ultimately accountable for delivering the council's Budget Book therefore they are responsible for monitoring and reviewing the KSRR.
- DLTs are responsible for their own services' risk registers.
- Divisions or teams are responsible for their own risk registers, if applicable.

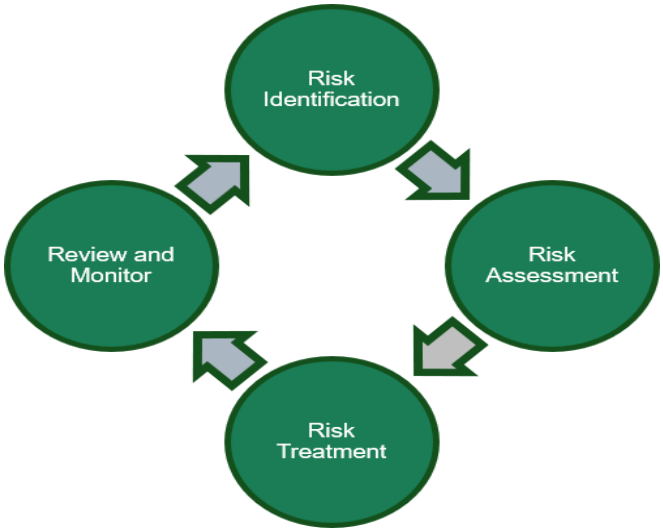
It is important that risks identified and assessed at an operational level can be escalated to a departmental or corporate level. However, because a risk may have a great impact on a team it does not necessarily follow that it may have the same impact on the department, or the organisation as a whole.

Ultimately, it is the respective management team which decides if a risk is an appropriate inclusion on its risk register.

Risk Management Process

The risk management process has 4 steps as outlined in figure 3, below. Underpinning each stage of the process is open communication and consultation with interested parties and stakeholders. This supports ensuring internal and external stakeholders are considered and involved in the council's work to understand and define its risks.

Figure 3 – Risk Management Process



a. Risk Identification

The identification of risks should be completed at all organisational levels and primarily, risks are identified in relation to the achievement of the council's objectives. The objectives can be Strategic, Operational, Service or Project level. Risk identification exercises should be repeated periodically to ensure that new and emerging risks are identified and recorded on the risk register as appropriate. This support keeping an up-to-date risk profile.

Risks can be identified in a number of forums, including:

- Workshop sessions with management teams having open discussions (risk reviews, horizon scanning for risk identification, incident management)

- Interviews (1:1 meetings) with responsible individuals (i.e. risk owners, key stakeholders)
- Meetings with smaller groups of people (i.e. agenda team meetings, risk champions meetings)
- Questionnaires

Sources of information that could help inform risk identification include:

- The Council's Corporate Plan and Department or Service plans
- Strengths, weaknesses, opportunities and threats (SWOT) analysis
- PESTLE analysis (Political, Economic, Social, Technological, Legal, Environmental)
- Historical incident and claims data
- Audit reports (risks or issues raised by audit or any other internal/ external scrutiny body
- Benchmarking and best practice comparisons
- Process and control documentation
- Performance reports
- Financial reports (i.e. risks identified through budget setting process)
- Internal or external research papers or statistical trends (i.e. supplier data, market research, insurance reports etc)
- Health & safety/ business continuity risk assessments (e.g. scenario planning and simulation exercises)
- Partnership, programme or project documentation (e.g. business case or project risk register)
- Regulatory and legal requirements

It is essential for risks to be defined and articulated properly at this stage to ensure the risk is properly understood by the risk owner and key stakeholders reading the recorded risk. This includes understanding the key causes and potential consequences of the risk which are separate fields on the risk register format. Not doing so can result in confusion about the exact nature of the risk, why it is a risk to the council and why it could occur. This could lead to inappropriate or ineffective risk controls being implemented, or the risk analysis being over or underestimated.

Including key cases (real or perceived exposures/ causes) and potential consequences (worst likely scenario, significant impacts) can support identifying potential actions to treat the risk to reduce either the likelihood or impact.

b. Risk Assessment

Once a risk is identified, the risk matrix (see Figure 4, below) is the main tool for assessing each risk. As mentioned above, the analysis supports prioritising each risk, so we understand which risks are most significant and therefore are in need of greater attention, effort and resources. It also allows us to compare different types of risk with each other and gives a view of the council's risk profile.

Each risk should be assessed for the probability likelihood it will occur and the severity impacts if it did. The risk score is calculated by multiplying the impact score and the likelihood score. This assessment should be made at the inherent risk level (original level - no controls in place), the residual risk level (current – considering controls in place and working effectively) and at Target risk level (considered an acceptable level of risk).

Probability assessment is applied relative to specific timeframes e.g. 'operational' risks will be assessed over a shorter timeframe than 'strategic' risks.

Likelihood Criteria:

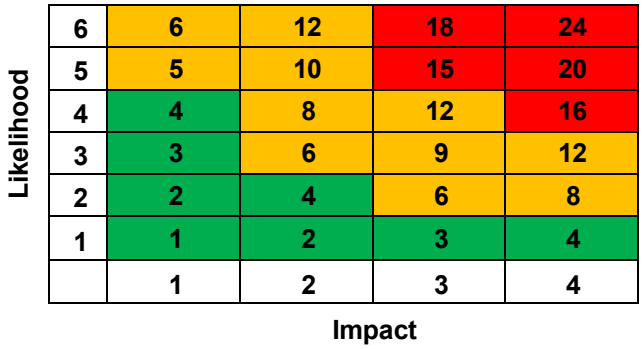
- 6 – Very High
- 5 – High
- 4 – Significant
- 3 – Possible
- 2 – Low
- 1 – Almost impossible

The severity impact should be considered against the relevant objectives such as strategic risks should be scored against the council's strategic objectives; department risks scored against department objectives; service risks scored against service objectives; project risks scored against the objectives of the project. The impact relates to the potential effects on an objective, activity, function or the whole organisation which may be negative. Risk assessment can be subjective to an individual therefore, using the definitions in the impact criteria (Appendix A) can support a more objectives assessment as the risk level are in the council's context.

Impact Measure: There are 4 impact descriptors as follows:

- 4 – Very Serious
- 3 – Serious
- 2 – Moderate
- 1 – Marginal

Figure 4 – Risk Matrix



Likelihood	Impact
6. Very high	4. Very Serious
5. High	3. Serious
4. Significant	2. Moderate
3. Possible	1. Marginal
2. Low	
1. Almost impossible	

c. Risk Treatment

The Risk Treatment step is ensuring appropriate and effective controls are in place and mitigating actions are decided for each risk. It is about turning the information gained about each risk from identification and analysis into appropriate action, to treat or not to treat the risk. The risk identification (causes and consequences) will support informing any specific actions that may be needed.

There are four treatment options available if the judgement of the risk is **further treatment is needed:**

- **Treat**: Implement procedures and controls to reduce the frequency or the severity; formulate a contingency plan to reduce service interruption
- **Tolerate**: Bear losses out of normal operating costs following an informed decision to retain risk/monitor situation
- **Transfer**: Transfer risk to another party, outsource and/or insurance
- **Terminate**: Stop the activity or do it differently using alternative systems

Risk Controls

Most of the risks within the risk register will require some level of treatment to bring them within the acceptable appetite of the Council. When designing a control there are some key considerations your control must be;

- Measurable and quantifiable, this will allow for you to check whether the control is performing as expected.
- A consistent event, a control must happen on a regular basis to be effective, this could be hourly, daily, monthly or yearly.
- Happening now, the control must be a current process that is taking place and is actively mitigating the risk

There are four main types of controls; these are described in the table below, you will often need a mix of these to effectively mitigate a risk, spread across different areas of the business.

Control Type	Description	Examples
Preventative	Designed to stop errors and anomalies occurring	• Adequate segregation of duties • Proper authorisation of transactions • Adequate documentation and control of asset
Detective	Aimed at finding problems before they become problems	• Budget monitoring – to identify unexpected variances • Account reconciliation – to ensure ledger balances are accurate • Exception reports – to highlight unusual transactions or patterns • Bank reconciliations – to compare the ledger to bank statements
Corrective	These are implemented after problems have been identified by detective controls	• Restoring data from backups after a system failure or data loss • Patching software vulnerabilities after a breach is detected • Retraining staff after errors or misconduct • Conducting post-incident reviews when something has gone wrong
Directive	Aim to ensure that risks are managed through formal direction	• Codes of conduct • Professional codes of practice • Policies and procedures

Specific actions agreed to further treat risks should be recorded on the relevant risk register with an appropriate timeframe agreed for implementing them. To support action tracking, a model such as 'SMART' – Specific, Measurable, Achievable, Realistic, Timely can support effective action implementation. It is essential that risk owners detail key actions which provide a measurable mitigation when reviewing their risks.

d. Review & Monitor

Regular and continuous review with scheduled risk reviews and ongoing monitoring of key indicators and warning signs ensure risks are continually considered and kept up-to-date.

Clear ownership and accountability are essential with designated individuals responsible for risk updates, reviews, and escalation/ de-escalation when necessary. Sharing risk information transparently across teams and stakeholders' supports building trust and informs decision making.

Each Operational area is responsible for updating and maintaining its own risk register. Monitoring and review of these risk registers should be done at least quarterly. Capturing lessons learnt from past events helps strengthen risk management processes and continuous improvement

When any team reviews risk registers the following should be considered:

- Have existing risks changed in any way?
- Has the likelihood or impact score changed since the last review?
- Have further actions, if they were needed, been implemented?
- Are the controls in place to manage the risk effective and still working adequately? What assurance is available to support this judgement?
- Are the controls in place appropriate to the level of risk?
- Is the response overly cautious or is more attention needed?
- Have all interested parties or stakeholders been consulted on the risk or communicated with in an appropriate way?
- Are there any new or emerging risks not captured in the risk register?
- Are there any risks that can be deleted or removed from the register?

Recording Risks

A Risk Register is the primary tool to capture and record the risks identified. It is a 'snapshot' in time which reviewing and updating a risk register is essential to ensure the information is relevant and up to date. The council uses JCAD systems to record risks and issues.

https://merton.jcadcore.com/secure/Dashboard/Dashboard

Risk Management – New Risk Template is found on this page

Governance/ Reporting Risks

All risks on individual service risk registers are reviewed at Departmental Leadership Team (DLT) meetings with particular attention given to red or increasing amber risks.

Risks are also checked for any cross-cutting implications. If the risk is high scoring and/or could have an impact across the organisation, then it must be included in Key Strategic Risk Register, which contains risks which could have a detrimental impact across the whole organisation should they occur.

The Risk Management Strategy and KSRR are reviewed annually and approved by Council as a part of the budget process. There is an annual report to the Governance Standard and Audit Committee on progress and the sufficiency of Risk Management.

See further roles and responsibilities are detailed in Appendix B

Risk Management in Committee Reports

When a report is submitted to a committee the author is required to complete a section on Risk Management. The committee should be informed of any significant risks involved in taking a recommended course of action, or if it decides not to follow the recommended course of action. The risk assessment should follow the corporate risk management procedures and be scored using the risk matrix. The report should also give details of any control measures (either proposed or existing) to manage any significant risks identified. Where appropriate, reference should be made to any existing risk(s).

Report authors are advised to consult with the Financial Strategy, Systems, Regeneration and Risk Management team or their departmental Risk Champion, for further advice and to propose any risks to be considered for inclusion in the departmental or KSRR.

Risk Management Practice during Extraordinary Events

It is envisaged that the velocity of change during such an occurrence (e.g. Covid) will require the authority to maintain a separate risks and issues register to ensure an adaptable, flexible and frequent review to accurately track the movement of items. During these periods an additional risk log will be established, where by managers submit and update their risks directly via a secured, interactive shared portal (currently SharePoint). This information will then be reviewed and amended appropriately by senior management, DLTs, CLT and Members.

Escalating/ De-escalating Risks

A decision may also be taken at this time to escalate or de-escalate the risk, for example from a project manager to a sponsor or from a department to the executive. The following criteria may help this decision:

To escalate:

- Severity of impact increases becoming cross cutting with significant impacts across the council.
- Likelihood probability rises due to changes in internal or external factors.
- Audit report or checks show that controls in place are insufficient or failing with new vulnerabilities identified.
- Legal implications where a risk could results in non-compliance, legal action or investigation.
- Resources needed to manage the risks exceeds the current capacity and required more support from the council.
- Stakeholder concern increases which requires senior management attention.

To de-escalate:

- Impact severity or likelihood probability reduces due to mitigation success or change in circumstances.
- Controls in place are assessed as effective and working as intended to manage the risk.
- The underlying causes or exposures have been address or no longer exists.
- The risk can be managed at a lower level which is proportional to the risk.
- The risk is no longer cross cutting but singular to a service or project.

Monitoring Risks

During the year, new risks will arise that have not previously been considered and there may be changes to existing risks. Therefore, the risk registers need to be regularly managed, with risk owners re-assessing their risks, re-scoring them if appropriate, and providing sufficient narrative in respect of the Control Measures they have in place (ie the actions which they are taking to mitigate against the risk). The reviews of risk registers should be managed by exception. The reporting cycle as detailed below, takes place during April, July, October and January.

Quarterly (1st Week)	Quarterly (2nd Week)	Quarterly (4th Week)	Annually	Annually
DLT – review operational service risks and propose KSRs as per the definitions of likelihood and impact for crosscutting risks	Corporate Risk Management Group (CRMG) – review service risks and proposed KSRs	CLT – identify and review KSRs	The Strategy is presented to Cabinet (Feb) and Council (March) for Review and Approval as part of the Budget Process	Governance Standards and Audit Committee- provide independent oversight of the adequacy of the risk management framework and KSR's

All risks are reviewed according to the quarterly cycle shown in the table above, with a particular focus upon red risks, and also upon amber risks which have increased their risk score since the previous quarterly review.

Removal of any risks from the registers must be approved by DLTs and CRMG prior to being presented to CLT. CRMG will only approve removal of a risk if it is scored green for a minimum of two consecutive reporting cycles (i.e., two quarters). There are otherwise no rigid guidelines for dropping risks from the registers because clear parameters are not always possible. A decision is sometimes taken to keep a low-scoring risk in view on the basis that its status might change over a short period, or so those with an assurance role can be confident mitigation against a risk can be sustained.

A flowchart showing how service, departmental, corporate and partnership risks are decided to be escalated and reported is shown in Appendix D.

Training & Development

The council is dedicated to ensuring all staff understand and have the knowledge to manage risks effectively through ongoing training and support as required. Training sessions will be delivered to focus on awareness and understanding, clarifying roles and responsibilities, and providing practical guidance on the risk management process and arrangements in this strategy and policy framework.

By embedding risk management in everyday activities and decision-making, the council support staff managing risk proactively and continually improve the protection of services, resources, and communities.

Appendix A - Impact/ Likelihood Criteria

Impact

Categories	1 - Marginal	2 – Moderate	3 - Serious	4 - Very serious
Financial Impact – FI	£100k - £500k per annum	£500k - £1m per annum	£1m - £5m per annum	Over £5m per annum
Service Provision - SP	Reduced service	Significant reduction	Service suspended short term	Service suspended long term / statutory duties not delivered
Health and Safety - HS	Broken bones / illness	Major illness / threat not life threatening	Loss of life / major illness	Major loss of life / large scale illness (pandemic)
Objectives - O	Objectives of one service area not met	Departmental objectives not met	Corporate objectives not met	Statutory objectives not met
Reputation - R	Adverse local media lead story short term	Adverse local media story long term. Adverse national publicity short term.	Adverse national publicity longer term	Remembered for years
Technology - T	Minor system downtime / minor data loss	Significant system downtime / moderate data loss	Critical system failure / major data loss	Catastrophic system failure / total data loss / prolonged outage impacting statutory functions

Likelihood

Classification	Definition
6 - Very High	Occurs or likely to occur more than 90% of the time Expected to happen in almost all cases
5 - High	Occurs or likely to occur over 50% of the time Likely to happen in most situations
4 - Significant	Occurs or likely to occur over a 25% of the time Happens regularly but not always
3 - Possible	Occurs or likely to occur less than a 25% of the time Could happen occasionally
2 - Low	Occurs or likely to occur less than 5% of the time Rare, but not impossible
1 - Almost Impossible	Occurs or likely to occur less than 1% of the time Exceptionally rare; highly unlikely

Appendix B - Roles & Responsibilities

Establishing roles and responsibilities are essential for effective risk management as they clarify ownership and accountability providing transparency. It also supports consistent applications of risk management arrangements where everyone understands their role. It can support fostering a proactive and collaborative risk culture that helps the council anticipate, control and respond to risks more effectively.

The agreed roles and responsibilities within the risk management framework are outlined below:

Councillors
Elected councillors are responsible for governing the delivery of services to the local community. Councillors have a responsibility to understand the key risks the council faces and will be made aware of how these risks are being managed through the annual business planning process. All Councillors will have a responsibility to consider the risks associated with the decisions they undertake and will be informed of these risks in the plans and reports submitted to them.

Chief Executive and CLT
The Chief Executive and CLT are ultimately accountable in ensuring that risk management is fully embedded in the council's business planning and monitoring processes as well as having overall accountability and responsibility for leading the delivery of the council's Risk Management Strategy and Framework. They are responsible for reviewing the Key Strategic risks. CLT will take a leading role in the risk management process, ensuring that risk management is communicated, understood and implemented by Councillors, managers and staff. CLT will also play an important role in establishing a supportive culture.

CLT will submit a annual report on the key strategic risks to the Governance Standards and Audit Committee and an annual report to Cabinet.

Executive Directors
Each Executive Director is accountable for proper monitoring of their departmental risk register, action plans and the embedding of risk management into the business planning process of their department. They will be actively involved in the risk management process within their department and CLT, including nominating an appropriate Risk Champion for their department. Executive Directors are also accountable and responsible for leading the delivery of the council's Risk Management Framework in their respective Department. Alongside their DLT colleagues they monitor their Risk Registers on a regular, usually quarterly basis.

Executive Directors will:

- Work with their departmental leadership team to scan the horizon, put in place early warning mechanisms, and to take an overview of risk within their department
- Use information about risks to inform decisions, develop strategy and implement policy
- Champion and embed proactive, enabling and robust risk management practices within their department, in line with the risk management strategy
- Review and monitor risk appetite for their department
- Lead strategies to address corporate risks within their department
- Ensure risk registers are held for any major programmes and projects
- Assign responsibility for managing and controlling specific risks
- Serve as the primary link between risks emerging at the department level and the key strategic risk register, cascading risks up and action down
- Monitor the implementation and efficacy of risk management within their department

Section 151 Officer / Internal Audit

The Section 151 officer and Internal Audit will be responsible for carrying out independent reviews of the risk management strategy and processes. They will provide assurance and give an independent and objective opinion to the council on the adequacy of its risk management strategy, control procedures and governance. The section 151 officer will chair the CRMG group.

An annual Audit Plan, based on a reasonable evaluation of risk, will be carried out and an annual assurance statement will be provided to the council based upon work undertaken in the previous year. Internal Audit will: -

- Use risk assessments to inform its annual audit plan;
- Carry out risk-based audits, evaluating controls and providing an opinion of levels of assurance; carry out audits to test the suitability and implementation of the risk management framework; and
- Make recommendations for improving risk management practices

Risk Champions

Risk champions will work with their Director, Heads of Service, Managers and Team Leaders to ensure the RM Strategy and Framework is embedded in the Department and departmental planning, performance, project and partnership management, offering support and challenge. They will also represent their department at CRMG meetings.

Risk Champions will ensure that risks are identified, assessed and scored correctly by

the Risk Owners, offering advice and guidance where appropriate. They will also challenge risk scores where they do not appear to be reasonable, or where they contradict the Control Measures narrative or the corporate Risk Scoring Guidance.
All Risk Champions will receive appropriate training to ensure that they can perform their role effectively. Training needs will be regularly evaluated.

Programme and Project Sponsors and Managers
Programme and Project Sponsors and Managers are responsible for the development and review of the Project and Programme Risk Registers. They will:

- Embed risk management, in line with the Council's risk management framework, within the programme/project lifecycle to support project definition, approval, change control, decision making and delivery
- Agree risk appetite within the programme/project and the overall approach for managing and escalating risk
- Maintain a programme/project risk register and an overview of total risk exposure
- Align risks with programme/project objectives and outcomes
- Assign clear accountabilities for risk, including risk owners and risk action owners
- Put in place early warning mechanisms
- Communicate clearly risks to stakeholders and relevant governance boards, and ensure risk is comprehensively covered in project documentation, escalate risks to directors and senior managers where appropriate, and if the overall risk exposure or a specific risk is particularly serious, to the Key Strategic Risk Register
- Seek out expertise to help effectively identify and control risks
- Maintain records of historic and current risk registers forming an effective audit trail.

Service Managers

Managers have a responsibility not only for the risks for which they are the risk owner, but are also accountable for those risks, within their service, which are owned / managed by others.

Service managers will:-

- Manage operational risk and the risks associated with policy implementation in accordance with the risk management framework;
- Escalate serious risks to the department and corporate levels as appropriate, as well as advise when operational risk may impact on project delivery;
- Take account of risk management issues when setting staff performance target

They are required to maintain an awareness of risk and ensure that any risks they identify are captured by the risk management process, understanding and responding to the key risks which could significantly impact on the achievement of their service and/or team objectives.

Managers should encourage staff to be open about discussing risk to support the identification of risks at an early stage and ensure that appropriate mitigation actions and control measures can be put in place.

Risk Owners

Risk owners are responsible for identifying and implementing appropriate actions which will mitigate against risks they own and reduce these risks to an level acceptable to the organisation. They are required to regularly review the effectiveness of their control measures and provide a formal update to DLTs and CRMG on a quarterly basis as part of the risk review cycle.

Risk owners will:-

- Seek out relevant expertise to help in the assessment of risk and appropriate control measures
- Review and report on the proximity and status of assigned risks
- Escalate risks to the department or corporate level as and when necessary
- Identify risk action owners for implementing control measures and ensure that they put in place actions to control risks, drawing on the advice of relevant experts; monitor risk and control measures and feedback on the progress in implementing controls and their efficacy.

Individual Employees

Individual employees need to have an understanding of risks and consider risk management as part of their everyday activities, identifying risks deriving from their everyday work, processes and environment. Risks which could impact on service delivery, the achievement of objectives, or their own or others' wellbeing must be identified and actively managed, with mitigating actions in place where appropriate.

All staff should

- Understand the Council's approach to risk management
- Make active and effective use of risk management
- Escalate risks to the project, department or corporate level as appropriate
- Provide feedback on the usefulness of the risk management framework.

Financial Strategy, Systems, Regeneration and Risk Management Team

The Financial Strategy, Systems, Regeneration and Risk Management Team is responsible for ensuring that risk management is embedded throughout the council, as well facilitating and supporting the risk management process and supporting risk owners. The team will

- Ensure risk management guidance and intranet pages remain up to date and relevant,
- Maintain and administer the Key Strategic risk register and support the Corporate Leadership Team in ensuring it is comprehensive and accurate
- Keep abreast of best practice and draw on Internal Audit recommendations to review and coordinate improvements to the risk management framework;
- Communicate and promote the risk management framework,
- Be available to provide support to those undertaking risk management;
- Promote, integrate and reinforce risk management within other disciplines, in particular project governance and management and decision making

In addition, the Financial Strategy, Systems, Regeneration and Risk Management Team will ensure risk is part of the annual service planning process, facilitate the CRMG meetings, and submit strategic updates and reports on risk management to CLT, Cabinet, Governance Standards and Audit Committee etc. as required.

Corporate Risk Management Group

The Corporate Risk Management Group will provide strategic direction and leadership to ensure our risk strategy is maintained and updated and that risks are appropriately identified and managed within the organisation. It will provide a forum for the detailed discussion and monitoring of organisational risks for the benefit of the council, its staff and the wider community.

CRMG will strive to ensure that the risk management framework is embedded within the council's overall strategic and operational policies, practices and processes in a consistent and standardised manner.

In addition, it will provide assurance that all risk systems and processes are operating effectively to minimise the Council's overall exposure to risk. The headline departmental risks and planned mitigation activity reported by each department will be discussed by CRMG on a quarterly basis. CRMG will then report its conclusions and recommendations for discussion at CLT.

Cabinet

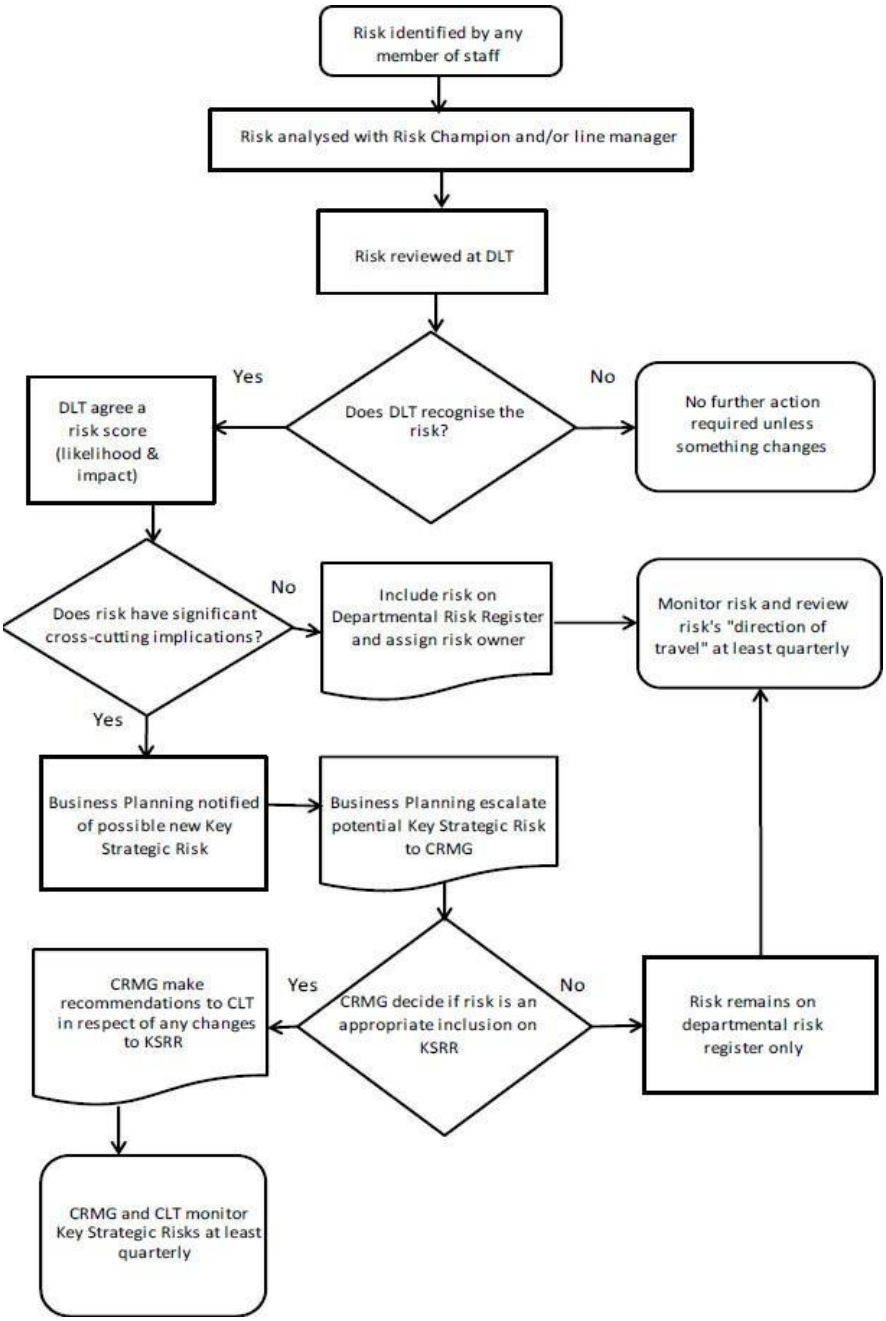
Cabinet will receive reports on the risk management strategy to determine whether corporate risks are being actively managed. They are responsible for agreeing the strategy on an annual basis, or when significant changes are made, and to report to full Council on the adequacy of the risk management framework.

Governance Standards and Audit Committee

The Governance Standards and Audit Committee is responsible for monitoring the effective development and operation of risk management. Its role is to provide an independent oversight of the adequacy of the risk management framework and the associated control environment. Annual reports will be provided regarding the KSRR in order that the committee can determine whether strategic risks are being actively managed.

On an annual basis, the committee will review and recommend the adoption of the risk management strategy to cabinet, or if significant changes are identified, to request a revision.

Appendix C - Risk Management Decision and Escalation Process



Key Strategic Risk Register

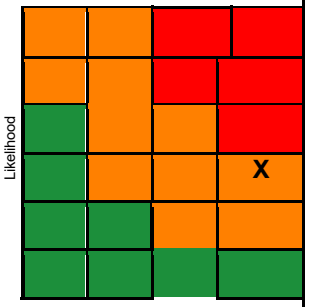
Type of Risk: Key Strategic Risk
Current Impact: Financial Impact &

Reputation

Corporate Governance

CG0001 - Data Protection Compliance

Managed By: *Executive Director of Innovation and Change*
Assignee: Director, Governance and Civic Services

Risk Description	Causes	Consequences	Current Score History
Failure to comply with the requirements of the Data Protection Act, GDPR and related legislation	a) inappropriate processing, use, retention, access or inaccuracy of data b) staff insufficiently aware of requirements of Act and other legislation c) Risk of data loss as a result of failures by individuals or services to appropriately safeguard that data by, for example, taking information off-site in insecure ways, or by leaving it in publicly accessible locations d) failure to appropriately safeguard data by, for example, failing to detect incorrect emails addresses as a result of auto-generation of addresses, or by mis-addressing letters e) deliberate theft of data by staff members for use / misuse in other settings f) Risk of data loss in the supply chain and impact on data	a) Harm to residents, businesses or others, through breach of privacy or data loss (could result in physical harm to individuals); b) Loss of service or functions; c) Damage to reputation, which could be significant and enduring; d) Financial impact on council through Information Commissioner's Office fines and possible redress; e) Key stakeholders lose confidence & may not share data with the council f) Legal action against the Council by individuals or organisations who have suffered harm	 20-Nov-2025 12 18-Sep-2025 12 9-Jun-2025 12 9-Jun-2025 12 12-May-2025 12

Controls Actions

Control:

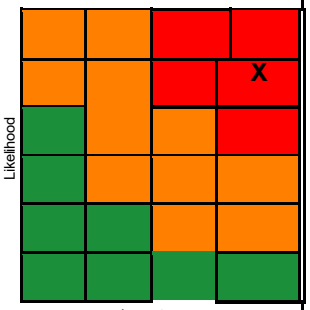
- Established a clear, comprehensive data protection policy outlining how personal data is collected, processed, stored, and deleted.
- Data Protection and Rights to Information policies reviewed regularly, updated and published.
- Named Data Protection Officer and Senior Information Risk Owner (SIRO) with responsibility for Data Protection and for reporting information breaches. Information Asset Owners responsible for critical systems and assets (IAO). Information Asset Register software in place for online Data Protection Impact Assessments and the Information Asset Register now operational and updated regularly.
- Information Governance Board meets regularly, with risk reviews a standing item.
- Continued weekly reporting of Freedom of Information (FOI) / Subject Access Requests (SAR) performance to Corporate Leadership Team (CLT) and reviewed weekly at Directorate Leadership Team (DLT) meetings
- Information Governance implications and mitigations included in Decision Report template for all decision reports that have an Information Governance impact. .
- Children's and Adult Services have Caldicott Guardians.
- Automated redaction solutions in place.

Mitigating Actions:

- Action plan being developed in responses to recommendations from Internal Audit, and to be implemented, timelines will be identified as part of this action plan.
- Mandatory Staff Training on Cyber Security required annually.
- Data Protection Impact Assessments (DPIAs) completed for all relevant procurement exercises and when developing new policies.
- Planned and regular communications to employees regarding their responsibilities in respect of IG, with reminders on good practice in handling and managing data
- Ensuring that DPIAs for new systems mitigate risks of misuse either inadvertently or deliberately. Provide clear guidance to staff on the status of Council systems, such as MS Teams, that are similar to social media applications regarding appropriate use and the risks relating to deleting or editing content.

DIG0002 - Risk of Cyber attack on the Council's IT Infrastructure and Systems
Managed By: *Executive Director of Finance and Digital*
Assignee: Head of IT Service Delivery

Type of Risk: Key Strategic Risk
Current Impact: Reputation

Risk Description	Causes	Consequences	Matrix Current Score History
A cyber attack is any intentional effort to steal, expose, alter, disable, or destroy data, applications or other assets through unauthorized access to a network, computer system or digital device. The Council must facilitate the use of digital information and services whilst providing sufficient protection against a cyber attack. There is an increasing number of successful cyber attacks on public sector bodies. The risk of Merton coming under a cyber attack which eventually is successful is increasing.	There are many risk factors that are associated with Cyber-attacks that could impact Council systems and services. In general there has been an increase in cyber related incidents targeted towards the disruption of systems but this has pivoted towards exploiting third party supply chains as well as directly targeting the organisation. The main vectors for successful attacks are associated with: a) phishing of staff (poor password hygiene and training standards), b) direct intrusion either as a result of a successful phish or by brute force at the various points that our systems are exposed to the internet, or by exploiting poorly managed legacy systems or services relating to previously reported vulnerabilities.	a) An attack could lead to the loss of service and this could be a threat to life for vulnerable clients b) An attack could lead to the publication/loss of personal or commercially sensitive data c) An attack could lead to the loss of income or legal recompense d) An attack would also lead to a loss of reputation for the Council	 18-Dec-2025 20 18-Dec-2025 20 20-Nov-2025 16 23-Sep-2025 16 19-Sep-2025 16

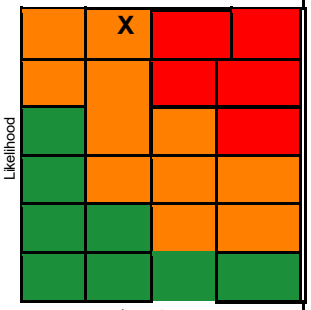
Controls Actions

Control:
- Enterprise-class cloud backup solution
- Multi-cloud IT system solution
- Implementation of Microsoft Security tools across environment
- Active configuration of end-devices to ensure up to date
- Enterprise-class firewalls in place to ensure protection of environment
- Enterprise-class email hygiene solution
- Full outsourced 24x7 Security Operations Centre (SOC) solution
- Head of Cyber Security in place
- Cyber Security Assurance Group – meet every ~6 weeks to review security assurance posture for council
- Bi-weekly Cyber Security report provided – status, threat intel, project status, etc.
- Reporting to CLT on security posture
- Risk Management procedure developed for IT/Cyber with updated risk register. Interfaces into council's wider risk management process
- Incident Response procedure developed for IT/Cyber. Interfaces into council's wider Business Continuity / Disaster Recovery process
- Incident Response scenarios –run on a regular basis
- Email phishing exercises – run on a regular basis as part of maintaining cyber awareness within council
- Regular communication related to cyber-security issues published on council Hub

Mitigating Actions:
- Updates to procedures in response to specific cyber-threats
- Annual IT Health Check conducted by accredited 3rd party with follow up remediation of identified issues
- Vulnerability / Configuration management tool set, under review for upgrade
- Regular incident response exercises and adapt Incident Response exercises as threat landscape changes
- Daily check of security alerts from tools (Azure, SOC) and remediation actions as required
- Updated Acceptable Use Policy for all staff – in final review
- Updated Digital Staff Security Policy – in final review
- mandatory cyber security training, which has to be passed by all staff

LL0002 - Schools PFI Contract
Managed By: *Executive Director of Children, Lifelong Learning and Families*
Assignee: Director, Strategy, Commissioning and Partnerships

Type of Risk: Key Strategic Risk
Current Impact: Service Provision & Financial Impact

Risk Description	Causes	Consequences	Matrix Current Score History
The projected payments for the Schools PFI contract increase in the final 3 years of the contract and previous RPIx inflation measure increases mean that the reserve kept for this purpose is projected to be exhausted by 2027/28 and then go into deficit. Secondly that the council is responsible for 3 maintained schools building again from December 2029 and they should not be a maintenance burden at that point Thirdly from December 2029 schools will no longer receive PFI financial protections agreed in 2002 so this may add to their budget pressures from 2029/30 financial year	Due to: a) the signing of the PFI contract in 2002 ties the council to the Unitary Charge being linked to the RPIx inflation index which is at least 2-2.5% higher than CPI b) the payment and DfE grant receipt structure means there are large additional final gaps in the 2028/29 and 2023/30 financial years for which a reserve needs to be built up - The PFI contractor has sought to minimize their capital expenditure obligations in the contract c) The council signed 'governing body' agreements with schools along with the PFI contract in 2002 that has led to the council paying over £4 million from general fund for affordability gap, partly due to these agreements	Leading to: The risk of the council needing to find additional funding that isn't planned for	 24-Dec-2025 12 19-Nov-2025 12 2-Oct-2025 12 2-Oct-2025 12 2-Jul-2025 12

Controls Actions

Control:
The council now has a PFI expiry board attended by the Executive Directors for Children and Finance.

The council has considerable support from the DfE (Department for Education) and NISTA (National Infrastructure and Service Transformation Authority) to prepare for the end of the contract, and hand-back of the buildings to the public sector. This includes a technical advisor.

Further specialist support is also being received in relation to the hand-back survey.

The Executive Director for Finance has been fully briefed and the cost assumptions are modelled within the Medium Term Financial Strategy (MTFS).

Mitigating Actions:
We have reviewed and updated the financial reserve strategy to ensure there is sufficient funding for late stage higher contract payments up to the end of 2029, funded by there being savings from 2030/31 when the contract ends and the council will no longer need to fund the affordability gap of more than £4 million p.a.

We have undertaken financial modelling to work with schools so that they understand extra potential costs of being outside the council's financial protection of being in the PFI contract.

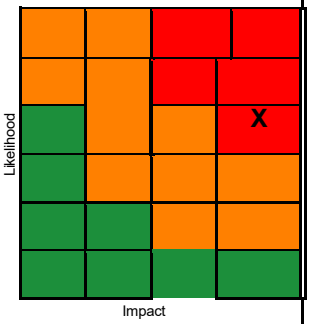
To ensure the estate is handed back in the best condition possible there is a contract process to ensure an expert surveyor is appointed to provide a condition survey and act as expert for works to be undertaken. Detailed work is being undertaken with the DfE, NISTA, and consultants to ensure a robust specification is provided and then agreed with the contractor party. We are also reviewing the payment mechanism with NISTA to ensure all contract levers are used and are reviewing any necessary resources required to ensure this is effective.

LL0003 - DSG Safety Valve

Managed By: *Executive Director of Children, Lifelong Learning and Families*

Assignee: Risk Champion for Children, Lifelong Learning and Families

Type of Risk: Key Strategic Risk
Current Impact: Financial Impact

Risk Description	Causes	Consequences	Matrix Current Score History
The Council has a significant deficit in its Dedicated School Grant (DSG) High Needs budget, which increased to £53.56 million at the end of the 2024/25 financial year	The High Needs block grant from the government has not kept up with the increase in Education, Health and Clare Plans (EHCPs) and related higher cost placements for children with SEND (Special Educational Needs). The council entered the national Safety Value programme in 2022 which has had some success in preventing a further increase in the deficit, but the deficit is still rising due to: a) inflation, High Needs Block uplifts from national government of 2% in 24/25 and 5.8% in 25/26 that have not kept up with increasing demand and inflationary pressures. b) EHCPs are continuing to go up (all be it now below the national level) without the corresponding additional funding c) The number of EHCP children in specialist placements remains high, although the number in the most expensive independent schools has reduced d) The council does not get the same contributions from health for therapies etc. as other council areas do e) Due to not be able to meet need agreed in the EHCP in school provision a number of children are on expensive individual plans	Based on the current trajectory of spending against grant the council is relying on the deficit being off the balance sheet as part of the statutory override which will continue until at least 31 March 2028. Should the cumulative overspend continue at this rate and the statutory override not continue then the council, alongside many others may need to issue a Section 114 notice	 24-Dec-2025 16 2-Oct-2025 16 2-Jul-2025 16 30-May-2025 16 29-May-2025 16

Controls Actions

Control:
There are a series of SEN boards monitoring progress against our High Needs Plan including Budget Monitoring group.
Regular Reporting to DfE: Maintain scheduled reporting to the Department for Education as per Safety Valve programme requirements, ensuring transparency and accountability - signed off by Section 151 officer
We continue to deliver against the 9 priorities in the Safety Valve Plan, and this has been recognised by DfE. Evidence of impact is that rate of EHC growth has reduced compared to London and national averages.
The government has confirmed that the statutory override will remain in place until end 27/28

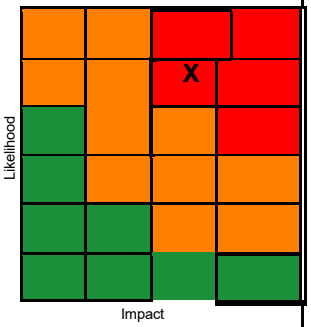
Mitigating Actions:
We have appointed a SEND Transformation Manager to review all aspects of our processes to consider how we can reduce options to reduce spend while meeting our statutory obligation , This includes the following areas:
- Sufficiency – projects to provide further state school places to reduce spend in Independent school placements
- Decision making – a consultant is considering what additional processes can manage high cost decisions on placements
- Continued approach on fee negotiation with Independent and Non Maintained Special Schools and future commissioning plans for INMSS and Alternative Provision, including use of a Dynamic Purchasing system
- Through the additional SEND Transformation capacity, we will create a new Inclusion and Belonging Strategy
- We are meeting with the DfE to discuss funding and support for Merton in the context of the forthcoming SEND White Paper

LL0004 - School Budget Deficit

Managed By: *Executive Director of Children, Lifelong Learning and Families*

Assignee: Risk Champion for Children, Lifelong Learning and Families

Type of Risk: Key Strategic Risk
Current Impact: Financial Impact

Risk Description	Causes	Consequences	Matrix Current Score History
School Budget Deficit School Deficit Budgets become a liability for the future of a school or a liability for the council. School budget deficits exacerbated by falling primary school rolls	Funding from government not matching increased costs to schools. Schools are funded according to pupil numbers so falling rolls can lead to reduced economies of scale and class sizes that do not match funding. Approximately 1/3 of LA maintained schools are proposing to set a deficit budget resulting in total deficit budget of nearly £2 million. Total deficit at end of 23/24 outturn was £2.434m. Total forecast budget deficit for 24/25 currently sits at £3.63m.	Schools need to eventually meet a balanced budget or they would ultimately have to close or the council has to step in. Measures may have a negative impact on educational outcomes which are more challenging as a deficit grows. Should a maintained school close the deficit falls to the council's general fund	 24-Dec-2025 15 2-Oct-2025 15 2-Jul-2025 15 30-May-2025 15 30-May-2025 15

Controls Actions

Control:
Monthly tabletop monitoring of all schools' own budget forecasts to understand the direction of travel of deficit recovery (for those who have set a deficit budget) and to monitor other schools which may be headed in the direction of needing to set a deficit budget in the future.

Termly meetings with all schools where the licensed deficit budget is greater than £100,000, or there is risk that deficits will not be bought into balance by end of year 3. This involves support and challenge from School improvement and Finance working together to produce a deficit recovery plan with the Head and Chair of Governors.

Additional termly meetings with schools where a deficit budget of less than £100,000 has been set, but the direction of travel towards recovering the deficit is going in the wrong direction.

Half termly or more regularly 'support and challenge' style meetings for schools where there are particular concerns. At the moment there are two schools which fall into this category.

Clear Financial Planning and Budget Setting

Mitigating Actions:
Further challenge to schools to undertake measures early to meet a balanced budget

School places strategy to be taken to members on the need for some timely difficult choices where roll numbers may mean some schools are not financially viable

Review cash flow projections frequently and adjust accordingly to prevent deficits from growing.

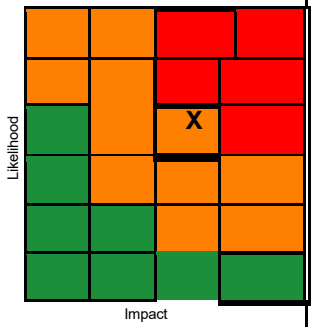
The local authority can help by reallocating funds or offering a temporary loan if necessary.

Explore areas of savings such as reducing non-essential spending, optimising staff deployment, or looking for cheaper suppliers.

The local authority can assist schools in applying for specific grants or funding opportunities related to education.

FIN0001 - Corporate Business Plan & Balanced Budget
Managed By: *Executive Director of Finance and Digital*
Assignee: Financial Strategy Manager

Type of Risk: Key Strategic Risk
Current Impact: Financial Impact

Risk Description	Causes	Consequences	Matrix Current Score History
Corporate Business Plan & Balanced Budget We may fail to develop a corporate Business Plan & set a balanced budget for the next financial year & beyond	- Reduction in Government Grant - high level of inflation and utilities costs - ensuring DSG deficit is cleared - Increasing impact of demand- led services e.g. social care and homelessness	- continued savings programme may have a negative impact on service provision - failure to set a balanced budget is likely to damage the council's reputation - continued reduction in real terms budget may have a negative impact on staff morale - dissatisfaction of internal & external customers	 16-Dec-2025 12 20-Nov-2025 15 18-Sep-2025 15 9-Jun-2025 15 20-May-2025 15

Controls Actions

Control:
The estimated position on the Medium Term Financial Strategy is reported regularly to Members/Senior Management. In setting the 2025/26 budget additional financial resources of circa £9.8m were agreed to address ongoing service pressures and growth and tight monitoring and control will be necessary to keep expenditure within approved budgets. Further service pressure funding proposed for 2026/27, subject to approval.

In setting the 2026/27 budget and draft MTFS 2026-30 it is expected that again available resources will be tight over the medium term for reasons set out and the wider impact of the Fair Funding Review 2.0. This will continue to require strategic change and management over the next MTFS period 2026-30 to manage reduced funding in the future and deal with key pressures.

MTFS budget report to Cabinet in February 2026 proposes a balanced budget. Savings have been approved by Cabinet in October 2025 and January 2026 which were referred to Overview and Scrutiny Panels and the Commission in November 2025 and January 2026.

Mitigating Actions:
Officers have produced a reporting timetable from Summer through to the following March where regular updates are provided to Members and Senior Management - where updated MTFS forecasts are presented including the identification of savings and essential growth to facilitate the setting of a balanced budget.

Monthly financial monitoring tracks the achievement of multi-year savings proposals, there are adjustments for replacement savings. Forecast expenditure and income patterns are utilised to provide future year growth and savings proposals

Workstreams are established to review key areas of overspend such as DSG and Homelessness to reduce expenditure/increase income

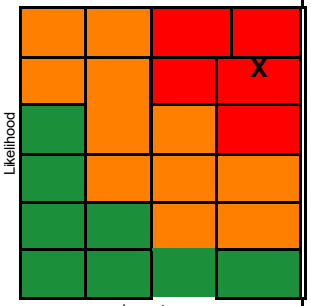
Dedicated resource reviewing funding notifications and horizon spotting, with analysis of funding announcements, input to consultations re. spending review, fair funding, business rates

Networks with Society of London Treasurers are utilised for up-to-date information.

As part of a Financial Transformation programme, officers are reviewing the training programme for budget managers to improve financial forecasting.

HOUS0004 - Increased Demand from Homeless Households for Temporary Accommodation
Managed By: *Executive Director of Housing and Sustainable Development*
Assignee: Risk Champion for Housing and Sustainable Development

Type of Risk: Key Strategic Risk
Current Impact: Reputation & Service Provision

Risk Description	Causes	Consequences	Matrix Current Score History
Housing Supply- Affordable Housing Lack of Housing Supply combined with increasing issues of affordability in respect of existing housing stock impacts on the Council's abilities to meet its statutory duties; to achieve the administration's priority ambitions for the borough; and to recruit and retain staff.	increased demand from households affected by cost of living (inflation) Increase of ASTs ending Applications from refugees (inc Afghanistan and Ukraine) Rising house prices and rents 'price out' an increasing proportion of the population	Increasing number of households in Temporary Accommodation, including accommodation outside of the borough, and associated General Fund costs. Increased numbers of rough sleepers Increased demand on rent deposit Increased use of B&B for families for longer than 6 weeks resulting in legal challenge and/or scrutiny from Govt Reputational risk and increasing resident dissatisfaction. Threat of legal challenge Refugee placements in TA: 2018/19=0, 2019/20=2, 2020/21=1, 2021/22=4, 2022/23=19, 2023/24=53, 2024/25=53 Inability of Council to deliver on administration priority ambitions. Inability to provide a longer term solution for refugees and asylum seekers looking to settle in the borough, which impacts on the Council's ability to maintain credibility as a Borough of Sanctuary.	 19-Dec-2025 20 29-Sep-2025 20 23-Sep-2025 20 23-Sep-2025 20 22-May-2025 20

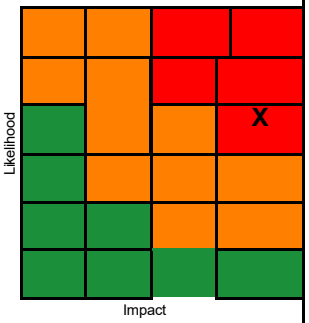
Controls Actions

Control:
The Council has robust casework and monitoring processes and has recently carried out an end-to-end review of the entire homelessness process with a view to updating processes and team structures
Temporary Accommodation Pack has been produced to hand out to new clients with a view to improve collection rates
Staff trained recently on HHSRS and Domestic Abuse and Renters Reform Act
Working with other agencies with a Duty to Refer to ensure early intervention
We have recruited to permanent posts for Team Leaders.
The Council has appointed an Interim Programme Manager for homelessness and temporary accommodation with a view to implementing the delivery plan

Mitigating Actions:
- With grant from MCHLG, there is an action plan to purchase buildings to use for Temporary Accommodation. There is a plan in place to purchase new builds and street properties in 2025-26 and 2026-27
- The Council's delivery unit is working directly with the service and has put together a delivery plan which is focused on a number of work streams such as housing benefit, service transformation, demand management, private sector supply, TA supply and social supply
- There are daily meetings with front line staff to discuss prevention of homelessness around specific cases approaching, to reduce numbers going into temporary accommodation
- Merton has invested in "Resonance" a social impact investment company – will also purchase 22 properties for Merton to nominate to for temporary accommodation

Type of Risk: Key Strategic Risk
Current Impact: Service Provision

APHIC0001 - NHS and ICB
Managed By: *Executive Director of Adult Social Care, Integrated Care and Public Health*
Assignee: Director Integrated Care, Commissioning and Assurance

Risk Description	Causes	Consequences	Matrix Current Score History
Changes to the NHS and ICB pose significant risks for the stability of health and care systems for Merton and across SWL- with possible detrimental impact on services and health and care outcomes for residents.	• The shift of ICBs to a strategic commissioning role, and the delegation/transfer of other current responsibilities including to local authority • Uncertainty over the Integrator lead role • These transitioned and retained functions are set against a backdrop of highly significant resource (financial and staff) reduction including for: -Commissioning -CHC -Data and informatics -EPRR and SCCs -Performance management and oversight -Safeguarding • The ICB is focussed predominantly on services that will be retained and achieving 59% staff reductions with more limited focus/capacity for the transition of services in a short window (by April 2026) • The speed at which the changes are needed to be designed and implemented. • The implementation of the NHS10-year plan NHSE and ICB system changes including new operating model and transitioned and retained services following highly significant staff reduction and deficit position of SWL ICB.	1. Reduced Access to NHS Services - • Residents may face longer wait times, reduced service availability, or confusion about where to seek NHS health care and expect the council to provide this or support. 2. Worsening Health Inequalities • Vulnerable populations may be disproportionately affected if services are reduced or restructured without equity considerations. 3. Decline in Health and Care Outcomes • Disruptions in preventive care, chronic disease management, or mental health services could lead to poorer long-term outcomes 4. Disruption to Service Delivery • Reorganisation can lead to confusion over roles, responsibilities, and funding flows. • Potential delays or interruptions in commissioning and delivery of services. 5. Loss of Institutional and Place Knowledge and relationships • Staff turnover or redeployment may result in the loss of local expertise and continuity. • Loss of Trust and relationship within the system that need to be rebuilt. 6. Fragmentation of Care • Changes may weaken integrated pathways between health and social care, leading to siloed services and continuity of care for residents 7. Financial Instability • Budget reallocations or funding uncertainties could impact service sustainability and innovation. 8. Governance Challenges • Changes in accountability structures can complicate oversight and decision-making. 9. Reputational risk for the council • Residents don't easily delineate between council and NHS service delivery.	 14-Jan-2026 16 14-Jan-2026 16 19-Nov-2025 18 24-Sep-2025 18

Controls Actions

Control:

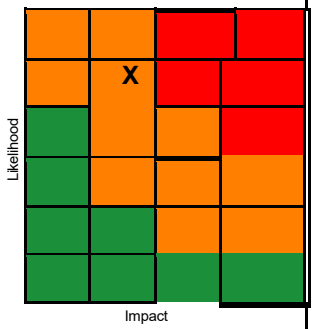
- Identifying and shaping the potential opportunities from the changes as early as possible and having plans in place are critical to ensuring risks are managed.
- Council staff are members of the Borough Committee, ensuring the council has a voice can be heard in the changes.
- Engage Healthwatch, Overview and Scrutiny Committees, to provide independent oversight & challenge.
- Regularly update business continuity plans for critical services.
- Ensure established governance structures for joint working continue to perform and have space for leadership discussion

Mitigating Actions:

ICB Plans for retained and transitioned services will be scrutinised at Healthier Communities and Older People's Scrutiny on 11th September 2025 and again on 5th March 2026 including: A new operating model for ICB following staff reduction. The model for Integrated Neighbourhood Teams and the Merton alliance. Transition plans and retained functions
Council engaged Channel3 Consulting to support development of a council response to changes and ongoing view of what this should mean for Merton residents
New weekly community providers leadership group established to ensure early discussion and planning
Council has developed a response to the London Neighbourhood Health & Care Target Operating Model and shared with NHS colleagues.
Working with neighbouring boroughs in South West London on collect response planning
New Provider CEO group established.

PP0008 - Business Continuity
Managed By: *Executive Director of Environment, Civic Pride and Climate*
Assignee: Risk Champion for Environment, Civic Pride and Climate

Type of Risk: Key Strategic Risk
Current Impact: Reputation

Risk Description	Causes	Consequences	Matrix Current Score History
Gaps in the current Business Continuity plans may result in reduced mitigation of operational disruptions.	• Business Continuity plans and impact analysis require further work to be undertaken • Inconsistent engagement across the organisation	• Reduced capability to recover from major loss • Possibility of severe financial losses • Reduced ability to maintain service delivery • Possible failure to deliver statutory duties • Risk of reputational harm	

12-Dec-2025	10
9-Dec-2025	15
13-Nov-2025	15
29-Sep-2025	15
26-Jun-2025	15

Controls Actions

Control:
- Civil Contingencies Act 2004 – Category 1 requirement to have emergency plans and business continuity arrangements in place
- Oversight from the Strategic level Corporate Resilience Board (CRB) & Corporate Leadership Team (CLT)
- Business Continuity Management System aligned to ISO Standard 22301 and Business Continuity Institute good practice.
- Resilience Standards for London submissions provide London Resilience Forum and sub regional peer to peer oversight at Strategic, tactical and operational level.

Mitigating Actions:
The council participates fully in the pan-London resilience work including self and peer assessment on our resilience standards and attendance and learning at regional and sub-regional exercises.

Current arrangements for reviewing, updating and testing departmental Business Continuity plans are improving with a proposed business continuity programme roll out schedule for 2025 delivered to CRB members for review. Currently assessing the Critical Plans.

Programme engagement with executive directors and departmental representatives has taken place with the Civil Contingencies Advisor attending an Extended Leadership Team meeting (ELT) to provide an overview and assurance of progress on the plan review.

Provide ongoing training programme for all employees on their roles and responsibilities in the event of an emergency, including emergency response procedures and continuity plans.

Develop and document procedures for the recovery and restoration of critical services following an incident, focusing on how to bring services back to normal operations.

Use the results of these tests to refine the BCP, ensuring that lessons learned are integrated into the plan.

New starters to the council receive a Business Continuity briefing in their Mandatory Induction to the Council which forms a part of the embedding strategy to make Resilience and Business Continuity Everyone's Business.

100% BCPs to be updated on an annual basis.

Where there are new areas of service, an aim to introduce a BCP into that area within 6 months to ensure risk is reduced.

Officers with resilience responsibilities (e.g. new plan owners and plan representative) receive training within 2 months of allocation to role.

BUDGET BOOK- GLOSSARY OF TERMS

ASSET MANAGEMENT PLAN / REVIEW
An Asset Management Plan (AMP) is a tactical plan for managing an organisation's infrastructure and other assets to deliver an agreed standard of service. The plan is reviewed annually as part of the budget cycle.

BALANCES
Balances are maintained to meet expenditure pending the receipt of income and to provide a cushion against expenditure being higher or income lower than expected.
Contributions to balances can be either a planned contribution from the revenue budget or a transfer of any revenue surplus at the year end. The maintenance of an appropriate level of balances is a fundamental part of prudent financial management.

BASELINE FUNDING LEVEL
The amount of an individual local authority's Fair Funding Assessment allocation provided through the local share of retained business rates income.

BILLING AUTHORITIES
A unitary council, or a lower tier council in a two-tier area, which collects the council tax for its own activities, and for those of the precepting authorities in its area. The billing authority passes on the precept receipts to each precepting authority in its area. These are the 326 billing authorities that collect council tax and business rates: district councils, London boroughs, and unitary councils. Before 1 April 2009 there were 354.

BORROWING STRATEGY
A borrowing strategy set up the parameters within which money may be borrowed by the Authority. These parameters are designed to manage the risk taken by the authority within best practice.

BUDGET
Statement of the spending plans for the year.

BUSINESS RATES
These rates, formally called non-domestic rates, are the means by which local businesses contribute to the cost of providing local council services.

BUSINESS RATE BASELINE (BRB)
An authority's BRB is an estimate of the authority's business rates income generating ability determined on an individual basis. This has been recalculated as part of the business rates reset.

BUSINESS RATE RETENTION (BRR) SCHEME
Business rates are a tax on non-domestic properties. Billing authorities have a responsibility to issue bills and collect rates in their areas. This income is subject to redistribution across local government via 'top-ups' and 'tariffs'. From 2026-27 the government has reset the business rates retention system as part of the Fair Funding Review.

CAPITAL EXPENDITURE
Expenditure on the acquisition of a fixed asset or expenditure, which adds to, and not merely maintains, the value of an existing fixed asset.

CAPITAL FINANCING REQUIREMENT (CFR)
The total historical outstanding capital expenditure which has not yet been paid for from either revenue or capital resources i.e. a measure of the underlying borrowing need. (See Minimum Revenue Provision)

CAPITAL PROGRAMME
Documentation which summarises the outcome of priority allocations contained in the capital strategy and details individual schemes for approval by Council / Cabinet.

CAPITAL PROGRAMME BOARD
The Capital Programme Board ensures:

- that the overall capital investment strategy is consistent with strategic objectives, is affordable within the revenue budget strategy, and examines potential funding options
- that bids are submitted in accordance with the set framework and guidelines (including business cases, value for money and options appraisal) and prioritised in accordance of agreed criteria
- compiles and manages a multi-year capital programme for consideration by CMT and approval by Cabinet

CAPITAL PROJECTS / SCHEMES
Capital Projects / Schemes is the level at which Member approval is obtained.

CAPITAL RECEIPTS
Proceeds from the sale of fixed assets and repayments of capital grants and loans. These are divided into reserved and usable parts.

CAPITAL MONITORING
The monthly comparison of actual spend against the anticipated spend (profiled budget) and the revision of projected year end spend where necessary. Periodically budget managers will be required to review their in year budget requirement and re- profile their projected expenditure over subsequent financial years.

CAPITAL STRATEGY
A Capital Strategy is a core planning document designed to dovetail with the MTFS and Treasury Strategy to ensure that limited capital resources are deployed in accordance with corporate priorities / achieving our vision. The document will also detail how the proposed capital programme will be funded.

CASH FLOW MANAGEMENT
Cash flow is the movement of money into or out of a business. Cash flow management optimises activity and investment around these cash flows.

CHARTERED INSTITUTE OF PUBLIC FINANCE AND ACCOUNTANCY (CIPFA)
The Institute produces standards and codes of practice that must be followed in preparing the Council's financial statements.

CODE OF PRACTICE ON LOCAL AUTHORITY ACCOUNTING
The Code of Practice on Local Authority Accounting ('The Code') applies International Financial Reporting Standards (IFRS) to the Local Authority context. The Code supports consistent financial reporting and Local Authorities must adhere to it when producing the annual Statement of Accounts.

COLLECTION FUND
This is a statutory 'ring fenced' account. It records income and expenditure on Council Tax, Non Domestic Rates, payments to the precepting authorities and transfer to the Council's General Fund.

COMMUNITY ORGANISATION
An organisation with benevolent or philanthropic purposes.

CONSEQUENCE (RISK)
Is the outcome of an event and that has an effect on objectives. A single event can generate a range of consequences which can have both positive and negative effects on objectives. Initial consequences can also escalate through 'knock-on' effects.

CONTROL (RISK)
A control is any measure or action that modifies risk. Controls include any policy, procedure, practice, process, technology, technique, method, or device that modifies or manages risk. Risk treatments become controls or modify existing controls once they have been implemented.

SPENDING REVIEW
A Spending Review is a governmental process carried out by HM Treasury which sets out fixed three-year departmental expenditure limits and, through public sector service agreements, defines key service improvements.

CONTINGENCY
A contingency is the setting aside of a finite sum in the budget to offset the cost of a future event or circumstance which may or may not occur. This contrasts with a reserve which is a sum set aside in the accounts.

CORE SPENDING POWER (CSP)
This is the term the Government use to say how much money Councils have to run their services. It's a headline figure used by the Government to represent the key revenue resources available to local authorities, including an estimate of actual and potential 'Council Tax'. CSP is the measure used by government to compare funding across the country and is a useful high-level comparator.

CORPORATE GOVERNANCE
Corporate Governance is the system by which local authorities direct and control their functions and communicate to their communities.

COUNCIL TAX
It is a local tax on domestic property which was introduced in 1993 by the Local Government Finance Act 1992, It is raised by councils but is now subject to referendum limits set by the Government . It is calculated by deducting any funding from reserves, income it expects to raise and general funding from the total annual cost of providing services, to leave a balance to be funded by council taxpayers

COUNCIL TAX BASE
This is the number of Band D equivalent dwellings in a council area. To calculate the tax base for an area, the number of dwellings in each council tax band is reduced to take account of discounts and exemptions. The resulting figure for each band is then multiplied by its proportion relative to Band D (from 6/9 for Band A to 18/9 for Band H) and the total across all eight bands is calculated. An adjustment is then made for the collection rate.

COUNCIL TAX REFERENDUM PRINCIPLES
These mark levels of council tax increases (either in percentage or cash terms) above which a local authority must hold a referendum, which allows residents to approve or veto the increase. The comparison is made between the authority's average Band D council tax level for the current financial year and the proposed average Band D for the next financial year.

COUNTRY LIMITS
The current economic climate has not only affected companies and financial institutions; it has affected sovereigns (lending to countries [government bonds]) as well. This will be incorporated into counterparty selection.

COUNCIL'S BORROWING REQUIREMENT
Based on projected spend, this is the amount of money a local authority will need to borrow to finance this projected spend.

COUNTERPARTIES
The organisation in respect of which the Authority borrows from or invests money with. A counterparty will be removed, suspended or kept on close watch from the council's approved list if it fails to meet the Council's criteria.

COUPON
Is the interest rate stated on a bond at the time it is issued.

CREDITWORTHINESS
An assessment of the likelihood that a borrower will default on their debt obligations. It is based upon factors, such as their history of repayment and their credit score. Lending institutions also consider the availability of assets and extent of liabilities to determine the probability of default.

DEBTORS
A debtor is an organisation or individual that owes the Authority money and the debt is legally enforceable

DEBT RESCHEDULING See rescheduling of debt
Where certain debt may be redeemed and a further loan obtained. This may be undertaken to provide an even spread of debt redemption date and terms, It may also be used to optimise beneficial borrowing rates in the market while maintaining activity within acceptable risk levels.

DEPRECIATION
Depreciation is a charge to the revenue account to reflect the reduction in the useful economic life of a fixed asset, reducing the value of the fixed asset in the balance sheet. It is not a charge to the General Fund as it is reversed in the Movement in Reserves Statement and replaced with the Minimum Revenue Provision.

EARMARKED CAPITAL RESOURCES / GRANTS Overlaps with reserves
Money received by the Authority which has certain conditions / restrictions (loose terminology) over its use limiting the type of expenditure that it may be applied against. IFRS refers to Stipulations and sub divides them into Conditions and Restrictions.
Earmarked grants (revenue or capital) are grants which are subject to restrictions.

ESTIMATED BUSINESS RATES AGGREGATE
The total business rates forecast at the outset of the business rate retention scheme to be collected by all billing authorities in England in 2013-14. The Estimated Business Rates Aggregate is uprated year on year in line with the change in the small business multiplier (usually the September Consumer Price Index).

EVENT (RISK)
An event could be one occurrence, several occurrences, or even a non-occurrence (when something doesn't happen that was supposed to happen). It can also be a change in circumstances. Events can also be referred to as incidents or accidents and always have causes and usually have consequences.

FAIR FUNDING ASSESSMENT (FFA)
A local authority's share of the local government spending control total comprising its Revenue Support Grant, Local Authority Better Care Grant and Baseline Funding Level for the year in question. The FFA reflects the government's intention to simplify the funding system and this has resulted in the consolidation of 17 funding streams into unringfenced Revenue Support Grant.

FINANCE LEASE
A lease whose terms transfers to the lessee substantially all the risks and rewards that an owner of property would have.

FINANCIAL INSTRUMENT
A real or virtual document representing a legal agreement involving some sort of monetary value. In today's financial marketplace, financial instruments can be classified generally as equity based, representing ownership of the asset, or debt based, representing a loan made by an investor to the owner of the asset.

FINANCIAL YEAR
The financial year runs from 1 April to the following 31 March.

FIXED ASSETS
Assets that yield benefits to the local authority and the services it provides for a period of more than one year. These assets can be tangible or intangible.

FTSE 100
This is the index of the top 100 UK listed companies by market capitalisation.

GENERAL FUND
The main fund of the Council, from which all expenditure is met and all income is paid, with the exception of those items, which by statute have to be taken to some other account.

GOVERNMENT GRANTS (Overlaps with Earmarked capital resources)
Financial assistance by government and other bodies, in the form of cash transfers to an authority, issued in return for compliance with certain conditions relating to the activities of the authority.

GROSS EXPENDITURE
The total expenditure of a fund or account.

GROSS (INHERENT) RISK
The probability and impact of a loss arising out of a potential event or which exists in an environment, in the absence of any action to control
or modify the effects.

GROUP LIMITS
This is a limit on the amount of money that may be invested with or borrowed from a particular conglomerate.

IMPAIRMENT
The loss of value in a fixed asset arising from physical damage, deterioration in the quality of service provided by the asset or from a general fall in prices. When this occurs the asset must be written down to the recoverable value. The charge is then reversed out from the General Fund in the Movement in Reserves Statement and replaced with the Minimum Revenue Provision.

INTERNATIONAL FINANCIAL REPORTING STANDARD (IFRS)
International Financial Reporting Standards are a single set of accounting standards, developed and maintained by the IASB (International Accounting Standards Board) for the purposes of being applied on a globally consistent basis by developed, emerging and developing economies. The Code of Practice on Local Authority Accounting is based on IFRSs

INVESTMENT POLICY
The London Borough of Merton's investment policy has regard to the CLG's Guidance on Local Government Investments and the 2011 revised CIPFA Treasury Management in Public Services Code of Practice and Cross Sectoral Guidance Notes. The council's investment priorities will be security first, liquidity second, then return.

INVESTMENT STRATEGY
The investment of the Authority's cash balances to optimise its strategic and operational needs.

INVESTMENT TREASURY INDICATOR AND LIMIT
This is a prudential indicator for funds invested for more than 364 days, designed to measure the need for early investment redemption against the Authority's liquidity requirement.

LEASE (LEASING)
A contract under which a lessor conveys the right to use an asset to a lessee for a period of time. The definition can include arrangements that are not leases in the legal sense.

LENDERS OPTION BORROWERS OPTION (LOBO)
When borrowing or lending money, certain time related limits may be established when the arrangement is made e.g. at a certain point in time the interest rate of a loan will increase; at this point both parties have the opportunity to opt in / out of the arrangement.

LESSEE
The party to a lease acquiring the right to use the leased asset.

LESSOR
The party to a lease that owns the asset and conveys the right to use it to the lessee.

LEVY
Mechanism to limit disproportionate benefit from business rates. Levy payments are used to fund the safety net. The future use of the levy is currently being reviewed as part of the Government's review of Business Rates Retention.

LIABILITIES
A legally enforceable sum owed to a third a party.

LIKELIHOOD (RISK)
'Likelihood' is the chance that something might happen. Likelihood can
be defined, determined, or measured objectively or subjectively and can be expressed either qualitatively or quantitatively.

LOCAL GOVERNMENT FINANCE SETTLEMENT
The local government finance settlement is the annual determination of funding distribution as made by the Government and debated by Parliament.

LOCAL SHARE
The percentage share of locally collected business rates that is retained by local government.

LOCALISM ACT 2011
It sets out a series of proposals with the potential to achieve a substantial and lasting shift in power away from central government and towards local people. They include: new freedoms and flexibilities for local government; new rights and powers for communities and individuals; reform to make the planning system more democratic and more effective

LOWER TIER COUNCILS
Councils that carry out the functions which in shire areas with two tiers of local government are carried out by shire districts. They are the same councils as billing authorities.

MINIMUM REVENUE PROVISION
A provision, via a revenue charge, in respect of historical capital expenditure which has been financed by borrowing , as required by the Local Authorities (Capital Finance and Accounting) (England) (Amendment) Regulations 2008.

MONITORING RISK
To monitor means to supervise and to continually check and critically observe. It means to determine the current status and to assess whether or not required or expected performance levels are being achieved.

MULTIPLIER
The business rates multiplier which, when multiplied by the rateable value of a property, determines a ratepayer's business rate bill. There are two multipliers – one for small businesses and one for larger businesses. These are set nationally. The small business multiplier is uprated annually by Inflation Index, unless the Government decides otherwise and the other multiplier adjusted accordingly, to fund rate relief for small businesses.

NON-DOMESTIC RATE (NDR)
A levy on businesses based on national 'rateable value' of the premises occupied. NDR is collected by the Council in line with national criteria, paid into a national pool and then redistributed to all local and police authorities on the basis of population.

OPERATIONAL BOUNDARY
The operational boundary is a prudential indicator for monitoring the total external debt, gross of investments, and separately identifying borrowing from other long term liabilities.

OPERATIONAL RISK
Risk of loss or gain, resulting from inadequate or failed internal processes, people, and systems or from external events' and capable of impacting the operations of the organisation.

OPERATING LEASE
A contract that allows for the use of an asset, but does not convey rights of ownership of the asset. An operating lease is not capitalised; it is accounted for as a rental expense in what is known as "off balance sheet financing." For the lessor, the asset being leased is accounted for as an asset and is depreciated as such.

PENSION FUND
The Local Government Pension Scheme (LGPS) is a scheme established by statute to provide death and retirement benefits for all eligible employees. The scheme's benefits are defined in the LGPS Regulations, and are geared to a scheme member's Career Average Revalued Earnings (CARE).

The scheme is financed by a combination of employee and employer contributions, together with income from a fund of investments. The employee contribution rate ranging from 5.5% to 12.5% of pensionable pay in nine salary bands. The contribution percentage that a member pays is based on their estimated actual annual pensionable salary from 1 April to 31 March each year. Whilst the employer's rate varies according to an assessment of the funds current and forecast pension/benefit costs, (the fund's liabilities), relative to its income. This assessment is undertaken, in accordance with LGPS Regulations, every three years by the Fund's appointed actuary, who sets the necessary level of employer contribution into the fund so that the fund's liabilities can be paid.

PERFORMANCE MANAGEMENT FRAMEWORK
Performance management is about how an organisation consistently plans and manages to ensure continuous improvement. Sustainable improvements in services are unlikely to happen without it. A performance framework is designed to help individuals, teams, divisions etc. understand :

- what the organisation is trying to achieve
- the planning, monitoring and review cycle
- their responsibilities.

PRECEPT
A council tax charge from local authorities which do not issue bills themselves. These include county councils, police and crime commissioners, fire and rescue authorities, the Greater London Authority, combined authority mayors, and town and parish councils.

PRECEPTING AUTHORITY
An authority or body that does not collect council tax or business rates but is part of the business rates retention scheme. This is an authority which sets a precept to be collected by billing authorities. County councils, police authorities, the Greater London Authority, single purpose fire and rescue authorities and parish councils are all precepting authorities.

PRIVATE FINANCE INITIATIVE (PFI)
PFI contracts are agreements with private sector organisations to refurbish, maintain and operate fixed assets on behalf of public sector organisations such as local authorities.

PROCUREMENT BOARD
The Procurement Board provides a corporate focus for procurement issues and oversees the procurement development in Merton. The Board also provides both strategic direction for, and effective governance of, the procurement arrangements across the Authority, ensuring they are effective, efficient and utilised.

PROPORTIONATE SHARE
The term "proportionate share" in business rates typically refers to the percentage of total national or local business rates allocated to individual billing authorities. It is calculated using historic business rate collections and determines the baseline funding distributed to local councils to support public services

PROVISIONS
Amounts set aside for any liabilities or losses which are likely to be incurred, but which are uncertain as to the amounts or the dates on which they will arise.

PRUDENTIAL CODE
The Local Government Act 2003 requires the Council to have regard to the CIPFA Prudential Code for Capital Finance in Local Authorities. In doing so, the Council is required to set and monitor a series of Prudential Indicators, the key objectives of which are to ensure that, within a clear framework, the capital investment and borrowing plans of the council are affordable, prudent and sustainable.

RESCHEDULING OF DEBT See debt rescheduling
The switching of debt between the short term and the longer term and vice versa to obtain favourable borrowing rates.

REVENUE EXPENDITURE
Expenditure incurred on day to day running costs and confined to accounts within one financial year.

REVENUE MONITORING
The monthly comparison of actual expenditure and income spend against the anticipated spend (profiled budget). A budget manager will then allow for known income/expenditure to project the year end position.

RESERVES
This is a council's accumulated surplus income (in excess of expenditure) which can be used to finance future spending. Reserves can be either capital or revenue

REVENUE SUPPORT GRANT
Paid from central government to authorities as part of their allocation through the Fair Funding Assessment (FFA). It is in addition to their local share of business rates. RINGFENCED GRANT A grant paid to councils which has conditions attached to it, which restrict the purposes for which it may be spent.

RISK
Is the effect of uncertainty on achieving an objective or objectives.

RISK ANALYSIS
Process that is used to understand the nature, sources, and causes of the risks that you have identified and to estimate the level of risk. Risk analysis is also used to study impacts and consequences and to examine the controls that currently exist. How detailed your risk analysis ought to be will depend upon the risk, the purpose of the analysis, the information available and the resources available.

RISK ASSESSMENT
Risk assessment is a process comprising three stages, i.e., risk identification, risk analysis, and risk evaluation.

RISK APPETITE
'Risk appetite' is the amount of risk across a broad level that the Council is willing to accept in pursuit of objectives and value. 'Appetite' defines the Council's general approach to risk, and influences how risks are assessed and addressed, i.e. whether or not risks are taken, tolerated, retained, shared, reduced, or avoided, and whether or not risk treatments are implemented or postponed.

RISK CRITERIA
Risk criteria are terms of reference and are used to evaluate the significance or importance of an organisation's risks. They are used to determine whether a specified level of risk is acceptable or not acceptable. Risk criteria should reflect your organisation's values, policies, and objectives, should be based on its external and internal context, should consider the views of stakeholders, and should be derived from standards, laws, policies, and other requirements.

RISK LEVEL
The 'risk level' is its magnitude. It is estimated by considering and combining consequences and likelihoods. A level of risk can be assigned to a single risk or to a combination of risks.

RISK MANAGEMENT
A risk is a threat, obstacle or, barrier, that will stop the Authority from achieving its ambitions, aims and objectives. Risk management is the process of managing the risks that may prevent delivery of desired outcomes so that the organisation can anticipate and respond positively to change. Merton's approach to risk management is to raise awareness, integrate it into day to day operations and establish a robust framework and procedures to identify, analyse, assess and manage risk.

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RISK MANAGEMENT POLICY
Defines a general commitment, direction, or intention. A risk management policy statement expresses an organisation's commitment to risk management and clarifies its general direction or intention.

RISK MANAGEMENT PROCESS
A risk management process is one that systematically applies management policies, procedures, and practices to a set of activities intended to establish the context, communicate and consult with stakeholders, and identify, analyse, evaluate, treat, monitor, and review risk.

RISK OWNER
A risk owner is a person or entity that has been given the authority to manage a particular risk and is accountable for doing so.

RISK PROFILE
Is the written description of a set of risks relating to an entity. A risk profile can include the risks that the entire organisation must manage or only those that relates to a particular function or part of the organisation.

RISK SOURCE
A risk source has the intrinsic potential to give rise to risk. A risk source is where a risk originates, i.e. it is where the risk stems from.

RISK TREATMENT
Risk treatment is a risk modification process, involving selecting and implementing one or more treatment options. Once a treatment has been implemented, it becomes a control or it modifies existing controls. The following risk treatment approaches, i.e. a '4T's'

SECTION 151 OFFICER
Section 151 of the Local Government Act 1972 requires every local authority to make arrangements for the proper administration of their financial affairs and requires one officer to be nominated to take responsibility for the administration of those affairs. The Section 151 officer is usually the local authority's treasurer and must be a qualified accountant belonging to one of the recognised chartered accountancy bodies. The Section 151 officer has a number of statutory duties, including the duty to report any unlawful financial activity involving the authority (past, present or proposed) or failure to set or keep to a balanced budget.

SAFETY NET
Mechanism to protect any authority which sees its business rates income drop beyond a set percentage of their baseline funding level. The safety net will be set at 100% of local authorities' baseline funding level for 2026-27, moving down to the existing level (92.5%) over the multi-year settlement.

SETTLEMENT FUNDING ASSESSMENT
Previously referred to as Start-Up Funding Assessment. It comprises at a national level the total Revenue Support Grant and the local share of Estimated Business Rates Aggregate for the year in question. On an individual council level it comprises each council's Revenue Support Grant for the year in question and its baseline funding level, uprated year-on-year in line with the September forecast of the Retail Price Index, unless otherwise decided

SPECIFIC GRANT
Grants paid under various specific powers, but excluding Revenue Support Grant or area- based grant. Some specific grants are ringfenced.

SPECIFIED INVESTMENTS
These are to be sterling investments of a maturity period of not more than 364 days, or those which could be for a longer period but where the Council has the right to be repaid within 364 days if it wishes. These are low risk assets where the possibility of loss of principal or investment income is considered negligible.

SPENDING REVIEW
Sets out the long-term spending limits for government and typically covers the next 3 or 4 years.

STAKEHOLDER
A stakeholder is a person or an organisation that can affect or be affected by a decision or an activity. Stakeholders also include those who have the Perception that a decision or an activity can affect them. ISO 31000 distinguishes between external and internal stakeholders.

STRATEGIC RISK
Long-term threat or opportunity risk concerned with where the organisation wants to go, how it plans to get there and how it can ensure survival.

SUPPORT SERVICES
These are services that are not statutory local authority services but which give support to those services.

TARGET LEVEL (RISK)
The desired impact that a risk would have on an organisation if it occurred.

TARIFFS AND TOP-UPS
Calculated by comparing an individual authority's business rates baseline against its baseline funding level. Tariffs and top-ups Have been recalculated as part of the reset of the business rates retention system.

TREASURY MANAGEMENT
The management of the local authority's investments and cash flows, its banking, money market and capital market transactions; the effective control of the risks associated with those activities; and the pursuit of optimum performance consistent with those risks.

TREASURY MANAGEMENT PRACTICES / TREASURY MANAGEMENT CODE OF PRACTICE
The Local Government Act 2003 requires the Council to adopt the CIPFA Prudential Code for Capital Finance in Local Authorities. In doing so, the Council is required to set and monitor a series of Prudential Indicators, the key objectives of which are to ensure that, within a clear framework, the capital investment plans of the council are affordable, prudent and sustainable.

UNCERTAINTY (RISK)
Uncertainty (or lack of certainty) is a state or condition that involves a deficiency of information and leads to inadequate or incomplete knowledge or understanding

USEFUL LIFE
This is the period over which the local authority derives benefit from the use of a fixed asset.

BUDGET BOOK – LIST OF ACRONYMS

Acronym	Definition
AD	Assistant Director
ASC	Adult Social Care
ASCICPH	Adult Social Care, Integrated Care & Public Health
BCF	Balance Carried Forward
C& YP	Children and Young People
CC	Corporate Capacity
CCTV	Close Circuit Television
CFO	Chief Financial Officer
CFA	Client Financial Affairs
CFR	Capital Financing Requirement
CIPFA	Chartered Institute of Public Finance and Accountancy
CLLF	Children, Lifelong Learning & Families
CLT	Corporate Leadership Team
CPD	Continuing Professional Development
CPZ	Controlled Parking Zone
CRM	Customer Relationship Management
CSC	Children's Social Care
CSF	Children Schools & Families
CYP (C&YP)	Children and Young People
DFG	Disabled Facilities grant
DMT	Departmental Management Team
DSG	Dedicated Schools Grant
EA	Equality Analysis
EHRC	Equality and Human Rights Commission
EIA	Equalities Impact Assessment
EY	Early Years
FOI	Freedom Of Information
FPN	Fixed Penalty Notice
FTE	Full Time Equivalent
GLA	Greater London Authority
HB	Housing Benefits
HCOP	Healthier Communities and older People
HRA	Housing Revenue Account
IFRS	International Financial Reporting Standard
IT	Information Technology
iTrent	The Council's payroll system
JD	Job Description
K	£ Thousand
LA	Local Authority
LAPPC	London Authority Pollution Prevention and Control
LB	London Borough
LBM	London Borough of Merton
LD	Learning Disabilities
LGA	Local Government Association
LSC	Learning Skills Council
LOBO	Lenders Option Borrowers Option
MPC	Monetary Policy Committee

BUDGET BOOK – LIST OF ACRONYMS

Acronym	Definition
MRP	Minimum Revenue Provision
MTFS	Medium Term Financial Strategy
NDR	Non Domestic Rate
OSC	Overview and Scrutiny
OT	Occupational Therapy
PAA	Provisional Advanced Authorisation
PCN	Penalty Charge Notice
PFI	Private Finance Initiative
PM	Post Mortem
PPA	Planning Performance Agreement
PPL	Phonographic Performance Limited
PPP	Policy Planning and Performance
PRS	Private Rented Sector
PV	Photovoltaic
QA	Quality Assurance
SC	Sustainable Communities
SEN	Special Educational Needs
SEND	Special Educational Needs and Disabilities
SFA	Skills Funding Agency
SLA	Service Level Agreement
SLWP	South West London Partnership
SW/ SWL	South West / South West London
TBC	To Be Confirmed
TFL	Transport For London
TUPE	The Transfer of Undertaking (Protection of Employment)
VAT	Value Added Tax